Dabur India Ltd. (DABUR)

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To,
Corporate Relation Department
BSE Ltd.
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India Ltd.
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/l, G Block, Bandra Kurla Complex
Bandra (E), Mumbai-400051
BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q4 FY 2022-23 Financial Results
DearSir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 4, 2023, post declaration of Financial Results for the quarter and year ended March 31, 2023. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
EVP (fthance) and Company Secretary
End:as above
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DABUR INDIA UMfTED, Punjabi Bhawan. 10, Rouse Avenue. New Delhl-110 002. Tel.: +91 11 71206000 Fax: +91 11 23222051
Regd. Office: 8/3, AsafAII Road. New Delhi -110 002 (India)
PAN: AAACD0474C, CIN: L24230DL1975PLC007908. Email: corpcomm@dabur.com, Webslte: www.dabur.com

"Dabur India Limited Q4 & FY23 Results Investor Conference Call"

May 4, 2023

MANAGEMENT :
MR. MOHIT MALHOTRA – CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN – CHIEF FINANCIAL OFFICER
MR. ASHOK JAIN – EVP(FINANCE) AND COMPANY SECRETARY
MS. GAGAN AHLUWALIA –VP (CORPORATE AFFAIRS)
MR. N. KRISHNAN – DGM (FINANCE)

Gagan Ahluwalia : Good afternoon, ladies and gentlemen. On behalf of the manage ment of Dabur India Limited, I welcome you to this conference call pertaining to the Results f or the Quart er and Full Year Ended 31st March 2023.
Present here with me are Mr. Mohit Malhotra – Chief Executive O fficer, Dabur India Limited;

Mr. Ankush Jain – Chief Financial Officer; Mr. Ashok Jain – EVP (Finance) and Company Secretary; and Mr. N. Krishnan – DGM (Finance).
We will start with an overview of the company's performance by Mr. Mohit Malhotra, followed by a Q&A. I now hand over to you, Mohit.
Mohit Malhotra : Thank you, ma'am. Good afternoon, ladies and gentlemen. Thank you for joining us today for the Results Call of Q4 and FY23.
FY23 saw geopolitical issues disrupting the global supply chain , which led to a steep rise in commodity prices. As a result, inflation across the world went up to unprecedented levels. While it had started to wane during the end of the year, pockets of s tress remained. To tame this inflation, central banks across the world have raised interest rates, which has led to a demand slowdown and currency headwinds in our key markets, especially.
India has not been very different. With WPI in double digits fo r the majority of the year, CPI is still hovering around the upper range of MPC comfort levels. Th e operating environment remained challenging during the quarter. As per syndicated data , for the first 9 months of the year, there has been a volume decline across the FMCG sector. W e have seen some positive growth emerging in the later part of Q4. This positive volume g rowth was mainly driven by the food basket. HPC and OTC categories continue to report volume d eclines. Rural markets have continued to lag urban on account of high inflation and downtra ding by consumers. Having said that, the silver lining for the year has been the performance o f the new age channels and some green shoots which are emerging in the rural markets towards th e end of the quarter, indicating early signs of revival in demand.
In this context, Dabur's consolidated revenue for the year cros sed Rs. 11,000 mark to close the year at Rs. 11,530 crores and registered constant currency grow th of 8.2%. India business grew by 6.2% and international business registered a growth of 11.1% in constant currency. The 3-year CAGR for India business is 11.2%, with near double-digit C AGRs in healthcare and HPC and strong double-digit growth in F&B business. Our consolidate d gross margins contracted by 258 bps in consolidated business as we faced material inflation to the tune of 12.6%. The good news is that margin contraction is sequentially reducing with m oderation in inflation.

During Q4, the company recorded consolidated revenue growth of 8.6% in constant currency and 6.4% in INR. While India business reported a growth of 4.7% , secondary sales grew around 10%.
In terms of categories, the food and beverage business recorded a stellar growth of around 30%, both during the year and the quarter. The beverage business con tinued to be on a strong trajectory on back of strong execution and our initiatives towards expandi ng the total addressable market. We outperformed the industry significantly, and our market shar e in J&N segment have increased during the year. The food drinks portfolio under the Real Koolerz crossed Rs. 200 crores mark during the year. The Foods business also performed very well with a growth of 34%. This has been further bolstered by the Badshah acquisition, whi ch was consolidated for the first time in Q4. Including Badshah, F&B business recorded a growth o f 34% for the year.
HPC portfolio recorded a 5.1% growth during the year despite ca tegory declines. Our toothpaste portfolio recorded a growth of around 5%, leading to a double-d igit 3-year CAGR. Da

bur Red
continued to gain market share in the category. We are the #2 p layer in the Oral Care segment with every second household in the country being a Dabur Oral C are household. Hair Oils' market share witnessed an increase of 130 basis points to touch the highest ever market share that we've ever witnessed in hair oils of 17%. Shampoo recorded an 8% growth with a 3-year CAGR of 15%, and we saw our market shares inch up in shampoos b y 30 bps. During the quarter, secondary sales of HPC saw a growth of 7%, but the primary sale s were impacted on account of unseasonal rains and a bit of down stocking.
While for the year, healthcare portfolio recorded a 7% decline, the 3-year CAGR is strong 9% after lapping over the high basis of the COVID year. We saw mar ket shares across health supplement portfolios also grow. The digestive category saw a g rowth of 10.4% on the back of robust performance of our Hajmola and Pudin Hara franchises. OT C portfolio recorded a double-digit 3-year CAGR with a strong performance in Honitus brand. G rowth of healthcare in quarter 4 was flattish on account of high basis due to Omicron variant in the base quarter.
Among the channels, e-commerce was a standout performer with a 30% growth and contributes around 9% of our revenue. Modern trade saw double-digit growth during the year. We also saw market-leading expansion in our distribution during the year wi th our direct reach now going up to 1.4 million outlets. Village coverage was further increased to 1 lakh villages. Efficiency of distribution, as indicated by the Edge score, also improved by around 20%.
International business recorded a constant currency growth of 1 1% in FY23. While Turkey and Egypt recorded exceptional constant currency growth, INR growth s were impacted due to

currency devaluations in these countries. Sub Saharan Africa an d Nepal business clocked strong growths.

For the quarter, while overall i nflation reduced, there is an i ncrease in input cost of F&B basket leading to gross margin contraction of 163 bps in consolidated business and 74 bps in stand-alone business. Sequentially, our gross margin contraction has been reducing. Operating profit declined by 9.6% during the quarter due to resumption of media spends in the quarter, which saw a 16% growth in India. Reported PAT for the quarter touched Rs. 301 crores, recording a 2.2% growth. This includes amort ization related to Badshah acqu isition.

During the year, despite facing challenges such as inflation, d emand slowdown in categories and currency headwinds, we have aggressively pursued our business g rowth and have successfully increased our market share across the portfolio. As a matter of fact, secondary growth in the quarter was in double digits. Also, our gross margin contractio n is reducing. Inflation is abating and we are seeing positive volume growth in rural markets. Heal thcare has already lapped over the basis of COVID and should see strong growth going forward.

With this, I bring my address to a close and open the Q&A. Than k you.

Mihir Shah from Nomura

Mihir Shah : Sir, first question is on juices. From next quarter onwards, we are likely to cycle to the high base. And will Dabur's entry into the drinks category help tide over this high base? Or just like what we had seen in health supplements, there can be a sharp optical decline in growth numbers in juices from first quarter onwards?

Mohit Malhotra : Mihir, good question. So, while we are cycling the high basis of food and beverage going forward, and majority of the business comes in Tetra Pak, which is sitting on a high base, a slight amount of moderation in the Foods growth cannot be ruled out. S o, there will be moderation in the growth. We will not see a growth of around 30%, because 90% of the portfolio is around Rs. 1,700 crores for us and only Rs. 200 crores is happening, plus there i

s a seasonality impact also,
which will be there. So, I think overall, our Foods growth shou ld moderate, and I would say that it would be a high single-digit to a double-digit kind of Foods growth, but not a very high double digit of around 30%.

And we are also very careful on the Foods. So, this, in a way, has got a silver lining to it, because food is a low gross margin business. If it balances across the other portfolios, our gross margin also inches up. Plus, there is also a factor of seasonality. Th ere are untimely rains happening now, which we saw in the fourth quarter and also, we are seeing in the first quarter going forward. So, a little moderation in the Foods growth is definit ely on the cards that we see.

Mihir Shah : Sir, secondly, on Hair Oils, while you mentioned that you hav e increased market share to an all-time high, it seems that versus peers, what we saw in the other commentary from peer companies,

the Hair Oil growth has seen some kind of a pickup. So, can tha t be a case for a delayed improvement for Dabur's brands in Hair Oils?

Mohit Malhotra : See, as far as the syndicated data is concerned, I can't comm e n t o n t h e r e s u l t s o f t h e p e e r companies like Bajaj and all, but definitely, we'll tell you ab out the syndicated data. Syndicated data shows still a decline. While the decline is stemming and i t's becoming almost flat, we see a decline of around 3% in the Hair Oil category, actually 2.3% in the Hair Oil category, whereas our business has increased by around 2% in the Hair Oils, there by gaining market share of around 130 basis points as I talked about. And this is pretty secular across all the subsegments of Hair Oils for us. So, even in perfumed hair oils, we've gained marke t share, and our strategy of supporting our core brand with the flanker brands is working ve ry well.

Our Sarson Amla registered a very, very high double-digit growt h. Our Brahmi Amla registered a growth. Our Dabur Amla related products also registered a gro wth. Our coconut oil, which is Anmol, has also registered high growth, and we've increased our market share. We are also improving our presence in other subsegments, which hitherto we were not present, like cooling oil also, in the current season. So, I think overall, I'm prett y positive about the Hair Oil category. While the category growth is not there, Dabur has huge headroom to grow because we are only around 17% of the overall market . The rest of the market is ope n for grabs. Our Dabur Almond Hair Oil is also doing very well, and we feel it's got a lot of legs in modern trade and e-commerce, and that's where we're building the business.

Mihir Shah : Got it. Understood, sir. Sir, next on Health Supplements. I a ctually missed the point that you made. I believe you mentioned some strong growth in Health Supp lements, likely because now the high base phase is over. Can you just allude to what you we re indicating, please?

Mohit Malhotra : Yes. So, there are different parts of our Healthcare. I think you're referring to Healthcare for us. In the Healthcare segment, there are three subsegments that we have. First is the Health Supplement. Health Supplement was cycling a high base. So, I th ink we've already entered a phase where the last of the high bases of the Omicron quarter, which is now over and out. Like in the last quarter, we had a Rs . 90 crores base of Chyawanpras h and we registered a business of roughly around Rs. 60 crores. There was Rs. 30 crores fall i n Chyawanprash that we saw in the last quarter. But now it's all behind us.

And on honey, already registered a growth of around 6% in the l ast quarter, but Chyawanprash declined by around 35% in the last quarter. That's impacted our margins also. Going forward, I think that being behind us, we will see good growth in the Heal th Supplement part, which is glucose, we are already s

eeing. A nd honey, we are already seein g some green shoots. And also, in case of Chyawanprash, the growth has begun, which is also hi gh margin for us. That's one part of the Healthcare portfolio.

The second part of the healthcare portfolio is the OTC business . OTC business on back of brands like Hajmola, Pudin Hara, Lal Ta il is already seeing a good gro wth. Again, COVID bases are now over, and we should see a high growth there. And third is t he Ethical and the generic business for us, which is around Rs. 400-odd crores. That also should see a high growth. What we've done in the healthcare business is that we've inducted, a nd we've restructured the whole company, and we have got ex-CEO of Himalaya join us, Mr. Philip e Haydon.

I think I alluded to this before in my previous call also. He h as come in and he has announced some sort of restructuring in our Healthcare business, in which we've created a new vertical. It's called Dabur Therapeutics Limited, it's therapeutics as a divis ion. Now this division is manned by around 440 people that we've got. So, Fem Pharma business, w hich we inherited on back of the Fem acquisition, has been integrated with our branded Ethic al business and 440 people will be doing advocacy to allopathic doctors.

Unlike hitherto we were only going to ayurvedic doctors, now we are going to allopathic doctors. There are almost like around 15 to 16 lakh allopathic doctors. So, in the key metros, we'll be reaching out to those doctors doing advocacy and they have been gi ven a t arg et of ro ug hl y around Rs. 200 crores. And Ba by Care will be one of the frontru nner portfolios which we would sell through this team. And we've taken a target of roughly aro und Rs. 20 crores to going up to around Rs. 40 crores, Rs. 50 crores next year, driven by this a dvocacy where we'll be reaching out to gynecologists, pediatricians, etc., So, those plans are being made and also being executed as we speak.

So, I will expect good growth in the OTC and the branded Ethica l portfolio on back of this. And then the third part is the Ethical business, which is already n avigated the COVID basis, and we should see good growth in the Ethical business also, which is s elling generic products through vaidyas, which is business as usual for us. So, that's a flavor on healthcare portfolio for you.

Mihir Shah : Got it. Sir, my last question is on other expenses. It seems that there's some kind of a one-off in the other expenses sequentially jumped quite a bit. Is there an y cost of Badshah sitting there? Or is there any bunch up of cost that will likely discontinue in t he coming quarters?

Mohit Malhotra : Yes. So, these are one-off expenses of roughly around Rs. 20 crores to Rs. 25 crores, which is actually sitting in with that other expenses, which is seemingl y very high, growth of around 20%.

Now what's happened in the business is, our business in terms o f case sales has grown by around 11% in the quarter. And for the full year, it's grown about 14% . So, 60% are the variable expenses here. Those variable expenses have grown in line with my case s ale growth, which is around 11%. So, that 11% is explained, and variable expenses include f reight, travel, processing fee, warehousing charges, et cetera.

Travel, which was not there due to Omicron last year, has also come in now. Processing charges with third parties have gone up, warehouses charges have gone u p. Freight has gone up because the tonnage of the food that we sold in this quarter was very h igh on account of the season being there. That is one, which is intrinsic, which is not one-off. T he other one-off in the range of around Rs. 20 crores, which is a Forex adverse impact, which we saw coming in from Sri Lanka. Last year, when the Sri Lanka currency got hammered, we had boo ked some gain there, which is a loss

coming in the current year. Then there was a phasing of CSR expenses, which happened roughly to a tune of around Rs. 10 crores here. There's some di stribution restructuring that we have done in International business in MENA markets. There are some costs, which are sitting in that bucket and similar expenses like that. So, I think that 's what should not get repeated. That's the other expense for us. There is no Badshah related ex pense here.

Chirag Shah from CLSA

Chirag Shah : M o h i t , I t h i n k y o u d i d a g o o d j o b e x p l a i n i n g M r . P h i l i p e H a y d on's role in the Healthcare business. If you can just elaborate a little bit further as to how do you see that part of the business growing over the next 2 to 3 years? And on Badshah, I understan d that the national rollout would be a gradual play. Are we also seeing margin pressures over the re? And are there plans to get into adjacencies through that brand?

Mohit Malhotra : Yes. So, Chirag, first of all, Healthcare business. So, Phili pe has just come in. It's already been around 2, 3 months since he has b een there. But I must tell you that we are very happy with his joining the company. I think there's been a hockey stick kind o f a growth which has come in action that we are seeing in the Healthcare space. We've create d a vertical in a short span of time. And 450 people have already come in, and it's not additional re cruitment, it is relocating resources from different places in the company.

So, we divide Healthcare into three parts now. One is the Ethic al part; one is the Health Supplement part and the OTC part. There will be a part of the p ortfolio which will be promoted through advertising, which is our power brand structure, and th ere is a part that will be promoted through ayurvedic advocacy, and a part will be promoted through allopathic advocacy. And the portfolio will also increase ther e, which will be more relevant to allopathic, which will be more margin accretive.

Like I told you, Baby is the space that we are initially going with. So, slowly and gradually, I think we want to provide impetus to our Healthcare portfolio an d grow there, and that could not happen just on back of advertising. So, I think doctor support was the most critical, which we guys were missing out on. I think with his coming in, I think t hat will really help us bolster that support. How to market to a doctor, what a pharmaceutical compa ny does, all those missing pieces which were there, they are being plugged as a gap in the organization with his coming in.

And a lot of new recruitments have also happened, which are fro m the healthcare space or pharma space that we are plugging in our business. So, there ar e 3 business verticals now. One is the Health Supplement, headed by a person under Philipe. The re's a person who's heading OTC. There's a person who is heading our Ethical business. And the fourth person has been added who will be heading ou r Therapeutics division.

Chirag Shah : That's great. And just on the Badshah part.

Mohit Malhotra : Yes, the second part is the Badshah part. In Badshah part, we are still focusing on Gujarat, Maharashtra and Andhra Pradesh as being the key market, and we will focus there. We don't want to put pressure on Badshah to extend to all India at the m oment until and unless we start the national advertising there and create some sort of pent-up demand before we start distribution there. We don't want the stocks to get stuck anywhere.

So, the second part of your question was about inflation. Yes, inflation in the Foods basket has gone up. Spices inflation is in the range of around 20%. So, th ere is a pressure on the gross margins definitely in Badshah, but we've done some rationalizat ion in terms of marketing and sales. Margins and price increases that we have taken, pack pri ce architecture, grammage reduction

s, etc., All those thin gs are happening as we speak. W e've got a different structure for Badshah. One of our key people, who was heading our Turkey busi ness earlier and international business, Mr. Rehan, he is now the profit center head for Badsh ah, sitting out of Bombay and running the business.

So, we are continuously monitoring the situation, and we are ve ry hopeful about Badshah registering a 20% growth going forward next year. And Badshah i s one element of our Foods business, which is what we acquired. So, that is the 20% growth we're talking about. Our existing Organic Food business is also trending at around Rs. 120-odd cr ores. Badshah is another Rs. 250-odd crores. So, we're talking about Rs. 400 crores. Next ye ar, we are targeting ourselves to reach a Rs. 500 crores level, which in the next 5 years should become Rs. 1,000 crores for us as a Foods business, I'm not talking about beverage Business.

Beverage business is separate. In beverage, we said drinks, whi ch is Rs. 200 crores will become Rs. 500 crores for the next 5 years, and our J&N business is se parate. So, we feel that our Foods business has got a lot of legs with the equity of Real and Bads hah and Hommade, three businesses here. And we are providing a lot of thrust on the Fo od and Beverage portfolio. And with this Food and Beverage portfolio, I think, which is in the range of roughly around Rs. 1,700 crores, should easily, in next 5 to 6 years' time, it should do uble in 5 years. I think 18%, 19% growth has gone nowhere. So, we are looking at around Rs. 4,000 crores to Rs. 5,000 crores in the next 5 years' time for our Food and Beverage vertical, whic h today is 1,700 crores for us.

Chirag Shah : You were also looking at a separate distribution network for drinks you said last time, right?

Mohit Malhotra : Yes, it is not just drinks. We are looking at a separate netw ork for our Beverage business. So, what's happening is that when we were restricted to J&N market only in the metros and the two-way towns, we had separate distribution network. One network wh ich catered to the chemist outlet and healthcare, one network which catered to the grocery , which is HPC, and the third network which caters to E&D outlets which is eating and drinkin g outlets. So, that team has got bolstered as the Foods business is increasing and drinks busine ss is also increasing. So, that is happening as we speak in Dabur. But in Badshah, which is a sepa rate distribution network for spices, that's a separate busine ss altogether. I hope I answere d your question.

Manoj Menon from ICICI Securities

Manoj Menon : Just continuing with the template which my friend Mihir had o n few categories, I also have questions at the category level. Mohit, the first piece on Toot hpaste. The tailwind of Natural and plus, let's say, South India penetration or distribution, maybe few other factors were, let's say, long-term drivers for growth in Toothpaste for you, let's say, in the last 5 to 10 years. How do we think into the medium term that Toothpaste growth for you, s pecifically, given that the natural salience in my understanding is somewhere in the 30s?

Mohit Malhotra : Manoj, Natural, as I understand, you want a flavor on the Ora l Care business as far as we are concerned. So, I think we are in a very good space as far as Or al Care is concerned. So, Oral Care Natural segment, like you're saying, is 30%, and the growt h has stemmed in value terms in the Natural segment, which is essentially because Sensitive has caught up in Oral Care. If you do a fine segmenting and analyze the whole thing, the Sensitive segment on back of Sensodyne is the one which is growing, and there’s a lot of action happen ing in the Sensitive segment.

But as far as Natural is concerned, I think the volume growth t here continues to take business from the regular white. And I think the value-added

Natural seg ment will continue to grow. We have our representation in that segment, which is our general D abur Red. Dabur Red is doing exceedingly well for us. But before I came to Dabur Red and spe cific brands, I think now Dabur’s penetration in Oral Care segment has gone up from 45% t o 50%. So, every second household in India is a Dabur Oral Care household, like I talke d about. So, it’s already. So, our penetration is every second person has got a toothpaste brand f rom Dabur in his home. So, that is the kind of traction that we’ve gained over the past 5, 6 ye ars and 5% increase in penetration over the past 2, 3 years is absolutely a humongous effort which the team has made and done pretty well. So, that is as far as Oral Care is concerned for u s, and we think we’ll continue to take a share from the market leader on the Oral Care space.

Now coming to Dabur Red, which is our flagship brand. It contin ues to do well for us, and we are looking at extensions of Dabur Red. We will continue to sup port Dabur Red with media, which is our core brand. That's why we've taken Amitabh Bachcha n and the creatives are really

working for us, and we've seen penetrations of the brand and ma rket shares of the brand actually inch up on back of that communi cation. The second is Dabur Herb al Toothpaste, which has got very strong traction in South of India. It's doing well. The gr owth is around 23% for that brand. Meswak is doing well for us. And Babool, because of rural distr ess, Babool has pulled us down and our market share has declined in our Babool Toothpaste. So, we've got some work to be done there. Even our LDM declined on the back of rural stress. So, I think there's some work to be done there.

So, that said, I think overall, Oral Care, we are in a very goo d space. And in terms of margins also, our margins have gone up. Because inflation happened, we' ve been able to take the price increases and completely hedge the inflation with pricing. If y ou look at the growth in our gross margins, our gross margins have inched up in Oral Care and pret ty profitably so. So, I think overall in a good space. I don't know if you want any other fla vors, and I can provide you with that. We already had 7% secondary growth in Q4 in our Oral Care , and our market shares have improved.

Manoj Menon : Fair enough. I will take it offline because I've got a few fo llow-ups actually on Toothpaste, in the interest of time. Sir, I also had a follow-up on the juices business. In your presentation, thanks for the disclosure that the new launch Koolerz sees Rs. 200 cro res exit run rate. And I also heard you had a medium-term target of Rs. 500 crores. But I was actua lly wondering, is it low balling or can this be much, much higher, because given your, let's say , distribution strength, given your expertise in the Beverages segment over the last 20-plus years. And also, the question on, let's say, Mihir's was on, let's say, high base, etc., But given your opportunity for simple placements, and that also you are actually expanding or extending the Real brand only, right? It's just an extension, why should there be a high base issue so early?

Mohit Malhotra : So, 1 thing, we are not talki ng about drinks as exit. This is actually the total business that we generated for the whole year is Rs. 200 crores. It's not exit. Exit will be even higher. So, I think Rs. 300 crores should be the exit that we are talking about. An d therefore, distribution, that's why we are carving out a separate distribution network for juic es and nectars and drinks all together, because the same outlet actually sells that. And we a re also intending to get into the fizz market, which is even a larger addressable market, again, and with the Real brand. So, which is, in a sense, consolidating the core brand of Real is what we are looking at. And this business will scale up for us.

So, there are no holds barred as to the growth in drinks, juice s and nectars for us. Our gross margins were also increasing till the last quarter, but we've s een now inflation inching up of around 12% in Foods. So, there' s a little pressure, and we are watching and doing some cost optimization if we can do that. Bu t there are no holds barred o n the juices segment for us, yes.

So, as far as the season is concerned, now there are rains whic h have come in. And if you look at the drinks portfolio, Manoj, this is basically out-of-home c onsumption. And whenever rains happen, out-of-home consumption gets impacted, and it is not Re al drinks which will get impacted, it will be all across. O ther players will also get bi g time impacted, because I think the entire drink market, which is available in bottle, will get imp acted, which is out-of-home consumption due to rains happening. So, that is what I was allu ding to, not that we've just seen one month as yet, but our intent is to take up the business to Rs. 500 crores in the next 2 to 3 years if you ask me.

Manoj Menon : And just one last one on this, if I may. What proportion of, let's say, your direct GP distribution, in which, let's say, you'll be able to sell the beverage produc ts?

Mohit Malhotra : See, our direct distribution is invariably around 15%, 20% to our overall distribution. Like we reach out to around 1.4 million ou tlets, and totally, we go to around 7.7 million outlets. So, it will be in the same proportion that direct will be there becaus e a similar stockist will be selling that. But that said, the more the direct, the better it is beca use you are able to sell the entire breadth of the portfolio in those outlets.

Manoj Menon : No, Mohit, sorry, I didn't explain appropriately from my side . So, what I'm trying to understand is out of the 1.4 million direct overall reach which you have, what proportion of this, let's say, realistically you can actually place Real Koolerz? Or any of th ese newer products which you are looking to launch in Beverages?

Mohit Malhotra : So, if you ask me, around 80% of that we'll be able to place. B u t w e ' v e k e p t a s e p a r a t e distribution network, Manoj, from our Healthcare and from our g rocery distribution. This is E&D, and this is a second or third person who's going and selli ng this to those outlets. So, we already have an equation to that outlet, but a new person will go and sell this, because the credit extension has to be separate, payment collection has to be sepa rate. Separate investment by the stockist has to go there. And the agents have to be typically s elling or they should have a DNA of selling drinks, which is a much higher turnaround time. So, it's a separate network. But that said, I think 80% of our direct network can sell, because rural is common and every grocery will carry a drink except for the chemist outlet, which is roughly a round 100,000 only.

Shirish Pardeshi from Centrum

Shirish Pardeshi : I have got 3 questions. The larger question is on HPC. And Mo hit, you've brought in lot of complexity into the business. There are separate teams for diff erent verticals. The healthcare team is separate, your HPC team is separate, and there is a sep arate distribution which you are trying. How we should think on a base of FY23 where the growth in HPC was muted. And I'm sure you have taken a lot of initiatives. So, the question here is how we should think of FY24 growth? The distribution piece is already stitched. You have be en guiding that rural expansion

is happening and you're already touching now almost 1 lakh vill ages. So, is the growth going to be more of the distribution? Or at the back end, the rural reco very is also going to be an important factor in FY24?

Mohit Malhotra : So, Shirish, cutting to chase on your question, I think

the t otal -- why the business could not perform so well for HPC, while I will not say it's not performe d, our CAGR of HPC for past 3 years, that if you see, has been near 10% CAGR of HPC business, which is a very good growth that you see over the past 3 years. In the current year, we've seen our business also grow by around 5%, while the HPC categories, if you consolidate the cat egories where we exist in, which is Hair Oils, which was minus 3%; Toothpaste, which was minus 5 %; Home Care, which was the only category which is growing for us; and Skin Care also r eeling under COVID.

So, these are the 4 different subsegments that we have in our H PC business, all were down. So, there was a negative (-4%) as compared we have grown by 5%, whi ch is gaining market share across our brands. So, I will not say that the business is unde r pressure, or the distribution network is under pressure, or there is too much complexity. I t hink there is more efficiency and effectiveness to be added through analytics and data. I think t hat is the issue which is lacking in the company and which we are building with a very strong hold. This is the history of HPC.

Going forward, granularly if I have to tell you, HPC, I told yo u 17% market share in Hair Oils is huge. But if the Hair Oils category is declining by 3%, if I 'm growing by plus 3%, I'm actually gaining that market share there. So, that was a problem. And I' m getting into all the gaps in the Hair Oils segment also. In shampo o, our bottle saliency is pick ing up. Our shampoo market share is around 7%. I remember when I joined the company around 4, 5 years back, our market share was in the range of around 3%, 4%. Now it has gone up to around 7%, which we've never seen. Our bottle saliency is picking up. Modern trade Vatika has beco me very salient, and the bottle saliency is going up and there the gross margins are also very high.

Yes, for last 1 year, we've seen huge inflation. And because in sachet, we are present in a 6 mL, 7 mL sachet, there was no scope of taking a price increase at t he Rs. 1 price point. So, there was a gross margin pressure. But that said, our growth has been 8% for the full year as well as shampoos is concerned.

Coming to toothpaste, our growth is 5%. The category is declini ng by 5%, so we've gained share from the market leader. There is also no problem, I've already told you. In Home Care, there is a big goldmine the way we see it. We have Odonil brand. The Odo nil brand now has a 33% market share for us as compared to our competitor, which also h as 33% market share. We are already teetering on the brink of being a market leader and bec oming bigger than our market leader, who existed there, and #2 brand is Aer there, and Odoni l is the parallel brand. And I think

next month we should become the largest brand in the Air Freshe ner business. And now we are calling ourselves India's larges t selling air freshener brand

So, good traction that we are seeing in our Odonil in all the f ormats, be it the gel format, powder format, aerosol format. Odomos, which is our personal applicati on cream, is getting extended into LV, which is a larger category of Rs. 2,500 crores. That w e have just rolled out in South of India, and we are growing the Odomos brand in line with our str ategy of increasing the total addressable market. So, that's doing well.

Skin Care, Gulabari and Fem. In Fem, because of COVID, out-of-h ome consumption was impacted, but gradually slowly we are seeing that is also comin g back. And so is the case with Gulabari for us. So, HPC is in a good space. Next year, I think we should be able to do a high single to a low double-digit growth as far as HPC is concerned, with gross margin expansion. Because petroleum-based, crude-based inflation is now abating q uite a bit with LLP prices now softening. It used to be in the range of around 100. Now petrol

eum prices are in the range of

around 80, 85. So, there is an expansion happening here.

That said, because of rural pressure, there was LUP growth whic h was happening. And because of that, there was gross margin issue, but because of that our penetrations have gone up. So, there's a flip side to it. Our penetrations have gone up in Hai r Care also. So, I think I've given you a flavor of HPC.

Shirish Pardeshi : That's really helpful, Mohit. My second question is on the ma rgin front. We always used to be in the tight band of 20%, 21% EBITDA margin. Now what you have mentioned in the beginning is that there is some cooling of the inflation which is there. So, can we look back going to 20% margin in FY24? Or do you think we're still not there?

Mohit Malhotra : So, good point. Sequentially, we've seen the contraction of g ross margins reducing and inflation also abating. So, we closed at around 18.8% operating margin. S o , I t h i n k w e w i l l i n c h u p definitely. Now I can't say with confidence that we'll inch up to a level of 20% in 1 year or will it take us 2 years, because our media spending has also gone do wn. And whatever upside that we get in gross margin, we want to invest in media, and we want to put it in operating margin. How much we can do that balancing is what we will have to see t hrough the year. So, I can't real ly comment w it h conf i dence. But I t hink the first priorit y wil l be to put money back on media, getting the demand surge happen. And the second priority will be increasing the operating margin there to the 20% level.

Shirish Pardeshi : But suffice to say that FY23 we did 18.8%. So, you will be ab le to protect that number?

Mohit Malhotra : Definitely. Not protect that number, go beyond that number, f or sure. We have set a target of roughly around 19%, 19.5%. So, that much we should be able to d o. It's actually situational, no,

depending upon how much inflation there is. If inflation cools down, then we'll be able to get it. And it's a mix of a lot of things of competitive intensity, lan dscape we are opera ting, inflation, etc., I can't comment with confid ence and give you guidance on that, yes.

Shirish Pardeshi : No, that's wonderful. My last question on the NPD. Over the l ast 5, 6 quarters, you've entered into mustard oil, you've gone into dry fruits, and you have don e a lot of actions into the juices and nectars and also dairy beverages. If I look back, I mean, y ou always maintain that 3.5%, 4% contribution should come from the new product. But tell me, aga in, I'm using the word complexity, what is the success you see in those experiments? I s there anything materially you will be able to share that you look at the growth in the new pr oduct is looking promising or the experiment is done?

Mohit Malhotra : See, I've shared a couple of examples already in my commentar y. Now the first example was juices. Drinks have already become Rs. 200 crores. We are scali ng that up to Rs. 500 crores. This is NPD. This never used to exist around 2 years back. So, it's a complete, pure, new business which will become Rs. 500 crores. Now Hommade, chutneys, pickle s, etc., I told you that we have exited the year at around Rs. 110 crores, Rs. 115 crores, which we will be scaling the Foods along with Badshah to Rs. 500 crores. This is all new product b usiness that is generated. This is Food and Beverage which I talked about.

Now coming to Healthcare portfolio. We launched Tea and Vita he re, and also a lot of honey extensions. They have done very well for us, and we launched Ba by Care. Baby Care scaled up to Rs. 20 crores. We are taking it up to around Rs. 50 crores l evel in the current year. And we will all watch how Baby Care actually does in GT, because we ar e creating a separate team through advocacy like I talked about. Honitus extensions have d one well for us. Pudin Hara fizz has done

well for us. Shilajit extension that we did in the for m of a gel on e-commerce has pretty much done well for us. E-commerce - 7% of business is coming ou t of NPDs, which is doing well.

So, on Tea, we see a lot of green shoots. Wherever we've launch ed Tea, it's doing well, but I think we have to provide some advertising support to Tea and Vi ta. That is what we are in the process of doing. And then in HPC, we have NPDs in Amla that we did. I think our Sarson Amla has done exceedingly well. Our gel that we rolled out in Oral C are has already become Rs. 20 crores. We are taking it nationally now. And in Home Care, we l aunched aerosol extensions, which have done very well. I just told you our market share is 33% . W e ar e al r ead y #1 ai r freshener brand in the country. So, that's done well. And LV ex tension to Odomos is what we've done. It's increasing the addressable market for us while using the Odomos franchise, which is the same thing that we did in Real also.

So, I think across the board, we've got great examples of NPDs doing well. But some of them have not done well, like I've been telling you, sanitizers have not done well. Some Tulsi Drops and Haldi Drops have not done well. And we've culled it. So, ju st to tell you some numbers, we culled around 180 SKUs in the last 6 months. Already, the brand s that are not doing well will be culled. It will be a weed and fee d strategy. You keep weeding o ut SKUs which are not doing well, but you keep feeding within the guardrails of your core b usiness, which is it will be Real, it will be Amla, it will be Red. So, we will launch extensions which are only feeding into the equity of the existing core brands. I have been alluding in all my calls the same thing. So, this power brand strategy is working well for us, and that's what we 'll keep doing.

Shirish Pardeshi : Wonderful. This leads me to last one question on the Nepal in vestment. Maybe you can answer at a later time. What is this NPR 900 crores going to get us? I s it pure manufacturing? And what are the products we are going to manufacture there?

Ankush Jain : Shirish, this news about NPR 900 crores of Nepal investment f irst let's clarify that the approval for this was made through the Nepal government around 4 years a go as an enabling permission to go on investment over the nex t 5 to 6 years. Because as per law of Nepal, you need to get an in-principle approval beforehand, 5 to 6 years, as an enabling provision. However, having said that, in the current year, our pr oposal is to invest only Rs. 9 0-odd crores as the demand is increasing and in juices capacity there is a shortfall. But for that, this approval was only an enabling provision necessary.

Arnab Mitra from Goldman Sachs

Arnab Mitra : So, Mohit, you started by saying that there was a 5% gap betw een primary and secondary sales. So, wanted to understand what drove this? Why did you have to c orrect the pipeline here? And

also wanted to understand that from here on, do you expect seco ndary primary to track or there is some more pipeline correction that you need to affect, which is why primaries could be lower than secondaries even in the next couple of quarters?
Mohit Malhotra : Arnab, so slight correction. We did not do any pipeline corre ction, as there was no pipeline correction which was intended to be done. So, this pipeline cor rection or down-stocking or loading not happening, I think different semantics can be used here, but it is actually rains. There were unseasonal rains in the month of March and April, as you a re seeing, and in North of India, where Dabur is very salient, usually, in the end of the quarter , we do loading of the season. So, there's a Beverage loading. There is a Healthcare loading of Pu din Hara, which happens. There's a glucose loading which happens. There's a Hair Oil loading whi ch happens, which is the nature of the w

ay we do business. So, that loading, because of rains, could not happen this year. So, automatically the stock in primary with the distributors went d own, but the secondary growth is intact, this is around 10%.

So, in a way, I will say it's a 1 , 2 day of correction which is happening, which is like a blessing in disguise. But that said, we are not very happy for this beca use they could be in other regions where competitors have loaded and there could be a market share fall because of that which has happened and which we've seen in some categories in quarter 4 a lso. But this is just by default. Rains, I think, and season loading has not happened, basically that. It is not a pipeline issue.
Arnab Mitra : Okay, understood. Thanks for that clarification. And my secon d question is on margins. I mean even if I do adjust for that Rs . 20 crores, Rs. 25 crores one-o ff that you mentioned, possibly the other expenses, your margins a re still way below where they wer e in the first 9 months of the year. So, just wanted to understand, incrementally, what came s ignificantly in the fourth quarter versus the first 9 months? And do some of those factors reverse very quickly? Or it's going to be a slow recovery from this 16% to, let's say, the 19%, 19.5% tha t you mentioned you would possibly look for the next year.
Mohit Malhotra : Yes, Arnab, it is a one-off issue. One is the one-off expense s that I just explained. I think the big picture was that the mix of the products, like I told you, in H ealthcare business, we were cycling the Omicron variant base. And as I told you, Chyawanprash Rs. 9 0 crores versus Rs. 60 crores we missed out, so higher margin portfolio did not sell. Foods p ortfolio sold, which is actually low margin. So, the product mix and the portfolio mix that we s old was not very favorable. That was first. The volume of the business that grew, it actually gr ew by 11%, and 60% of our e x p e n s e s a r e v a r i a b l e . S o , t h e p r o c e s s i n g e x p e n s e s , f r e i g h t , t r avel, warehousing, all those increased by around 11% in line with my volume cases. But in te rms of the volume that you see, which is value weighted, is around 1%.
So, the expenses were disproportionately higher as compared to what the profitability came in.
So, I think this should get corrected going forward. Gross marg ins should increase, and all that.
Plus, there's some distribution changes that we have made in in ternational business. On account of that, there were some expenses that's come in, in the quarte r. And that has also hit the business.
We are doing a distribution rearrangement in our MENA market, w hich is a high-growth market and highly profitable market that impacted the margins. Plus, t here was a phasing or some expenses like CSR. Rs. 10 crores of CSR came in extraordinary i n the phasing in the last quarter, which I think will not happen henceforth.
So, I think we should be able to take it to the level what the other expenses used to be in line with business growth. But gross margin contraction, which is se quentially improving as we are going on, will take some time, to your point. So, therefore, 18 .8% will not immediately go up to around 20%. It will just take some time as media investments, s o there has to be recovery for that. So, our total media today is around 5%, 5.5%. We want to take it up to roughly around 7%, 8% and support our brands with that. So, we'll have to balance it. Ankush, you want to add.

Ankush Jain : Yes. Plus, Arnab, what happened, in the first 9 months, if yo u would have seen, our media investments were contracting almo st 18% to 20%. However, in Ind ia, we have increased it by 15%, point number one. And overall, also, it is flattish and no t contracting on a 9-month basis, as it was on 9-month basis. So, we have started reinv

esting beh ind our brands, yes.
Percy Panthaki from IIFL
Percy Panthaki : A couple of questions from my side. So, firstly, on this allo pathic doctor advocacy, this is not n e w . I h a v e b e e n h e a r i n g e v e n M r . D u g g a l s a y i n g t h i s 1 0 y e a r s a go. So, just wanted to

understand if there is anything really changing versus what att empts we have made in the past. That is one thing. Secondly, in terms of the volume growth, I b elieve it would be approximately flat for the quarter. Now if I look at other companies which ha ve reported or given their pre-quarterly results till now, most of them are showing some low t o mid-single digit kind of volume growth.

While it is true that we have grown faster than the industry, a s reported by Nielsen, that is a fact which almost every listed company can boast about. So, it reall y does not give too much information. I think we should compare ourselves with large, li sted peers rather than the entire industry. So, the question here is that do you see some kind of timing mismatch, and we should see that if basically other large, listed players are showing t his kind of growth, is it just a matter of 1 or 2 quarters? Or do you think that's not the right way to look at it? So, these two questions from my side.

Mohit Malhotra : Yes. Great, Percy. So, I'll take your second question first, which is a more tricky one. So, first thing, I must assure you the Dabur mix of the portfolio that we sell is very different from the other company mixes that you're comparing with. Some companies are secularly a single portfolio, and some are a mix, which mix is pretty different. D abur has got a Healthcare mix, it's got a food mix, and it's got an HPC mix.

Our Healthcare, it was cycling a very high base, unfortunately, because in COVID, it did very well. Like I explained to you, Rs. 90 crores vs Rs. 60 croresSo , it will normalize over a period of time. That is one area. Our Food business is a Beverage busi ness, which is a little dilutive to our portfolio, and this was season time, and Healthcare was cyc ling a high base. So, therefore, the Food became very pronounced, which is margin dilutive a lit tle bit, and a high-margin business got depressed quite a b it, which has declined by aroun d 6%, 7%.

Our HPC business categories per chance have not grown, and we h ave gained market share there, and which is being reflected in our secondary, which I was tell ing you. Ideally, secondary and primary should be moving in line. And if the unseasonal rains w ouldn't have happened, I would have seen a 10% growth in primary also. Had I seen a 10% growth in primary, in my overall business in HPC, while Healthcare was cycling base, and Foods, the margins would have

improved and you would have seen a high-volume growth also, bec ause volume growths are value-weighted for us. And if a high case rate sale, which is H PC - Toothpaste will sell higher, then obviously, my volumes will inch up and the volumes would h ave been mid-single digits. I hope I've been able to explain it to you.

Percy : Got it. And the second question?

Mohit Malhotra : So, it is I think one-off untimely impact which has happened. Now on the first piece, Allopathic Doctor Advocacy, I don't know what Mr. Duggal talked about 10 y ears back, I wasn't around. But I've been here for 5 years. One year overlapped with Mr. Du ggal also. So, here it was very clear that we will only go to ayurvedic doctors because ayurved ic doctor universe is 5 lakhs. And until and unless we cover 40%, 50% of the ayurvedic doctors , we can't spread out our resources too thin to ayurvedic and to allopathic. So, we decid ed that because our products are either Ethical, which are mentioned in the text of Charaka Samh ita, which an allopathic doctor doesn't believe in, it's no point barking up the wrong tree, an d don't go there. And therefo

re,

focus only on ayurvedic only. An d be core to your knitting. Tha t is the mantra that I learned from Mr. Duggal.

But when Haydon has come and he has said, while Himalaya is als o a company which is ayurvedic in nature, , but going forward in the country, for ay urveda to become mainstream, you have to take the allopathic doctor, who charges Rs. 100 to see a patient, he has to say that it's good to take Chyawanprash. It is not bad to take Chyawanprash. If you don't take him by your side, then you will not be able to grow this category. And that is what the Ministry of Ayush is also talking about, and that's why Ministry of Ayush is saying that it's a complementary system of medicine, not an alternative system of medicine.

So, therefore, now that's why we created a separate vertical. S o, earlier, an ayurvedic sales promoter was going to an ayurvedic. And maybe to your point, if you're saying 10 years back, Mr. Duggal used to say, maybe if he was making 10 calls to an a yurvedic vaid, one call would be to an allopathic doctor also. But now there is a focused tea m which would only cover allopathic doctors for us, like you have any other pharma compa nies. I hope I have been able to clarify the change.

Vivek Maheshwari from Jefferies

Vivek Maheshwari : A couple of questions. One is, as an outsider, my view is tha t there are like too many things happening at Dabur, whether it's your portfolio expansion or wh at you're trying to do with Healthcare or even in case of Foods, where you have given the g uidance of this 18%, 19% growth, and you have had like hectic launches in the last few y ears, particularly through the course of pandemic. While you have mentioned and always maintai ned that a lot of those are part of either narrow in terms of being only on e-commerce mode rn trend or part of power

brands. But this time around, we have not seen any new launches slide, which you typically have been putting every quarter. From a next 12- to 24-month perspec tive, do you think you will take a pause and basically consolidate and move forward after that, because as I said, as an outsider it looks like too many things happening at Dabur.

Mohit Malhotra : Yes, but that's an outside-in view. I think insider view know s how simple or complex it is, Vivek, if you ask me. So, it's not that difficult. And I think the sec ond part of the question is, while it may be simple or complex, I think the key is to drive growth an d volume tonnages and increase penetration in the country. We all drive businesses for the fut ure, and sustainably so. So, that's why we are trying to make bigger, larger, bolder bets within th e power brands and make them larger. So, to your point, will I give it a pause? The answer i s, not really, focus only on the core brands. So, I think that's a singular message that I want to dr ive to the analyst community that its core brands, which are 8 core brands, and we are doing thin gs only around those to make them larger. Like Real will, from Rs. 1,700 crores, move to Rs. 5,000 crores. Amla will become a Rs. 2,000 crores brand. Red will become a Rs. 2,000 - 3,000 c rores brand. Chyawanprash will become a Rs. 1,000 crores brand . Honey will become a Rs. 1,000 crores brand.

That's how the business of Dabur will go from Rs. 10,000 crores to Rs. 20,000 crores, by driving megapower brands with some extensions around those brands, whic h will strengthen the core of that brand. Like a Healthcare br and will only have a Healthcare extension. So, we've not launched a new brand with a new name, etc., that we are investi ng money behind, no. Ma'am, you want to add something?

Gagan Ahluwalia : And in addition, Vivek, we a re also doing a lot of culling, w here the smaller NPDs have not worked, we are culling them and r ationalizing scalable NPDs whi ch are going to be bigger bets for us and put investments behind them as we go forw

ard.

Vivek Maheshwari: Okay. Okay. Because again, just to, let's say, follow up or at least add my perception. Whether, let's say, it's a narrow one, but nonetheless, an edible oil, t o pickles, to now you're thinking about LVs. While some of this could be under the core brand, these ar e new formats altogether, right? And at the time when your distri bution is changing in a way, or the process is underway on the Healthcare side. But I think your point, maybe it's an outside view, and it's not as complicated from inside.

The second is, Mohit, you have very well-articulated the Food n umbers, and you also mentioned a bit about HPC in FY24. On the Healthcare side, if you have to , again, take that view from a next 2, 3-year perspective, what is your expectation of growth, like Food, 18% to 19%, let's say, HPC probably high single digit to double digit. What will be th e growth rate over here in your view?

Mohit Malhotra : Yes. So, we are cycling now on a low bases, Vivek. And we've lapped over the high bases in Healthcare. So, I think the trajectory will start, and we are d oing a little bit of reinvigoration also in our Healthcare portfolio. So, I think, again, a high-single to a low-double is what we are looking at at Healthcare portfolio. But Healthcare portfolio is a little slow burn portfolio. It's not as high burn as it because category penetration is an issue her e, and especially post-COVID. So, I will say high single-digit grow th is what is expected in Heal thcare for us. But I think the negative is out of the way. If you look at the CAGRs of the pas t 3 years, our healthcare portfolio is also 9-10%; HPC is also 9-10%. Food is actually 20% for us b ecause that market has intrinsically seen a tailwind of category growth. So, that is t he CAGR that we want to continue at, yes.

Vivek Maheshwari : So, in that context, basically, Food will grow the fastest, a nd Healthcare, HPC, give or take, should grow around the same rate, right, which means that the e xcitement is much more around Foods in a way?

Mohit Malhotra : I will not say excitement is ar ound Food. I think Food is a l arger total addressable market. If you look at the total FMCG market also, Vivek, Food is one which is 60%, 70% of the overall market. I think that's the way the nature of the business is. Food will be larger. But if you look at the contribution of the business, we want to keep Foods at around 2 0%, and Healthcare at around 30%, and HPC at around 50%. So, that is the salience of the who le Dabur mix to be. So, that's what we are planning. And that's why a new vertical and a focus and the thrust on Healthcare.

Vivek Maheshwari : No, but sorry, Mohit, mathematically that's not even possible , right? If Foods grew at about 18%, 19%, and other businesses, high single to nearly double, that's not mathematically possible,

right? On the Food side, you are already at 21%.
Mohit Malhotra : No, I told you, no, that Food has a tailwind. When a category is growing at around 15%, 16%, then if you want to increase share, then automatically you will grow, but this Food tailwind will not last for long. The Beverage has been growing at 15%. If you look at last 5 years, so 2 years, the Food was the one which was dragging our business. And now, Food is the one which is helping our business come in. I think that's the magic of havin g a diversified portfolio. That if one portfolio doesn't do well, the other comes up. In COVID, Fo ods was in the cast, and Healthcare did well during COVID. Now post-COVID, Food is perfo rming, Healthcare is in a cast. So, that's the diversified portfolio, and you need to hav e diversity. Had we been only a Healthcare company, during post-COVID, we would have been dead because of flat growth.
Vivek Maheshwari : Got it, Mohit. I'll separately reach out to you on this any w hich ways. Wishing you all the very best.

Avi Mehta from Macquarie
Avi Mehta : I just wanted to clarify at this point that the divergence be tween case growth and volume growth that we saw in 4Q, should reverse, I mean, they should be in a similar trajectory going forward because this was more one-off. Is that the right understanding? Or is it going to take some more time?
Mohit Malhotra : I think it should even out. Ideally, I think it should even o ut. But what's happening, Avi, I will tell you, because of the rural pressure, what happens, there is a down-trading happening by consumers. So, low unit price points, the one which actually se lls higher. So, as rural business recovers, I think this should even out. But if the rural is lag ging behind urban and if we sell in rural with the rural infrastructure growth of Dabur, then this may continue. Our case growth may be higher as compared to our actual volume growth because we va lue-weight it, and larger packs don't sell as much as the smaller pack sells.
While the flip side is the penetration goes up, Ghar-Ghar Dabur comes up and Dabur is available in 80% of the households in India, those things happen, and peo ple eventually upgrade from a low pack to a high pack as the penetrations move up. So, that's the silver lining to this whole thing. But till the time urban growth and rural growth parallel each other, this anomaly may continue for a while.
Avi Mehta : But Mohit, doesn't it also mean that other expense growth wil l be ahead of your sales growth? Because, obviously, when you have a scenario wherein case growt h is stronger, as you rightly alluded, costs will move at a starker pace. And what you also s aid is gross margin pressures will also continue. Is that the right framework that I should be loo king at? Or is there something that I'm missing from a margin story point of view?
Mohit Malhotra : Yes, you're right. That's why we are embarking on efficiencie s happening in manufacturing, warehousing, and indirect overheads. So, variable expenses are only around 50% to 60% of the total other expenses that you see. The rest is where the levera ge can definitely happen. And we generally embark on Samriddhi program and saving initiatives to manage that cost.
Prakash Kapadia from Anived Portfolio Managers
Prakash Kapadia : Mohit, to help us understand the gross margin impact, it woul d be helpful if you could break it up into down-trading, product mix change, and input cost inflat ion. And also, if we have to assume a scenario of gross margin improvement, will it be mix c hange, as you alluded Food will not grow as it was looking in terms of the pace of what we've s een. And are there any price increases or some cooling of inflation, which we would expect t o change the gross margin?

Mohit Malhotra : Right. First of all, I think let me talk about inflation. Inf lation is around 6% to 6.5%, and we've taken price increases also of 6%, 6.5%. So, I think gradually a nd slowly our gross margins here should improve on account of input costs. As far as down-tradin g is concerned, I told you, as the rural goes up, value piece will sell, and the penetration would go up. Eventually people upgrade. And so that is there, and also there's a mix change. Mix change is quite a bit dependent on the season. For example, if in summer season we sell juices more, i n winter season, we sell Healthcare more, so that evens out each other. So, that's when -- and specifics, I will request Ankush to answer.
Ankush Jain : Sure. Prakash, I think just on your specific question. If you see India, gross margin contraction is 75 bps. Our estimate is that around 35 to 40 bps is coming b ecause of mix change in the quarter. The rest 35 to 40 bps are coming because of, let's say , higher consumer promotions and certain trade interventions. But on a pure cost-to-cost basis, the good news is that at least in this

quarter, on a pure product-to-pr oduct basis, we have been able to mitigate all our inflation, as Mr. Mohit said, 6% inflation and 6% price increases. I hope I h ave been able to answer your question.

Prakash Kapadia : Sure. That is helpful. So, that would mean there is more pres sure on the international side. That is why the overall gross margins are lower?

Ankush Jain : Yes, because international gross margins declined at a higher rate. But the contraction in even international business has almos t halved. It used to be almost 500 bps. At this time, it is almost 250 bps only, the contraction.

Mohit Malhotra : Yes, because the inflation is cooling even in international, because the petroleum prices is impacting them, but also the cou ntry mix is impacting internati onal business, because the country mix in favor of MENA is reducing because we are doing s ome distribution changes in the MENA market. So, the MENA saliency has gone down in the las t quarter and that business went down and declined by around 10-odd percent. And other mark ets where the currency depreciations are impacting the India translation, those have a ctually shot up. So, that's the issue. So, you're absolutely right, inte rnational margins are under pr essure. While you see a constant currency growth of 11%, margins are under pressure because of c ountry mix being a little unfavorable.

Prakash Kapadia : Sure. So, going forward, mix change as well as this cooling i nflation will lead to gross margin improvement?

Mohit Malhotra : Yes.

Prakash Kapadia : And just one data keeping point. Honey, if you can give us th e value growth in FY23? And we launched various variants, Tulsi, Ashwagandha, Organic, Himalay a. So, any meaningful contribution from these launches in Honey?

Mohit Malhotra : Yes. So, the honey category, if you see, is actually declinin g, but we've grown honey by around 7%, and our market shares have actually gone up. We see a very high competitive intensity in modern trade. There are a lot of players wanting to get into th e honey market as the honey prices are cooling and the margins are going up. So, that is where the competitive intensity is. That said, our counter data is actually showing increases in our hon ey market shares in modern trade, and also in GT. And the new launches are more premium launches, so by virtue of those, our gross margins have inched up in honey. But that said, we are ex pecting a lot of private label play happening in honey also with Reliance getting into a lot of the ir own private label brands. So, I don't rule out the option that s pace will become very competiti ve, and we will have to have a solve for modern trade, Reliance also.

Sheela Rathi from Morgan Stanley

Sheela Rathi : So, my first question was, Mohit, in the last quarter, you ha d made a remark that the rural slowdown particularly for us is coming from Central India. Just wanted to get some sense from you how things are changing. You said that green shoots are eme rging, but if you could just elaborate a little bit more on how the trends have been? And ho w should we think of it in this quarter, that is the first quarter?

Mohit Malhotra : Right. So, Sheela, good question, actually. I think Central I ndia is where the reliance of Dabur is quite a bit. Actually, North, where the reliance of Dabur is quite high. We are a North salient organization. So, in Central India, what we've done is, North w e've broken up into 2 parts. One is called Central, and one is called North. Our Central busines s wasn't doing well, which is basically UP and Bihar. There was a lot of pressure, but we've seen a secondary growth of 7%, and we've seen a rev ival in Central.

Central means basically Bihar and UP revival. UP was also marke d by elections. But post the elections, I think there's a recovery which has happened in UP, and also there has been a change of manpower

which actually has happened, and we've changed our leadership in the Central region also. On the back of this , we see the Central doing far better as compared to the last quarter in the current one. And the South is where we see a lit tle bit of pressure. As far as the West is concerned, that's also doing very well for us, and the East is also doing pretty well for us. The South is seeing a bit of pressure, which also we are in the process of correcting.

Sheela Rathi : So, this would particularly benefit our HPC portfolio, right? And this is not optical, it is actually improvement in demand?

Mohit Malhotra : Yes, that is improvement in demand, and also execution. So, I think execution plays a big role. So, I think our execution has improved in Central India and als o the rural comeback, the green shoots that we are seeing, they are more visible in Bihar and U P for us, which was a very

pronounced decline in rural in UP and Bihar. So, that's showing definite green shoots.
Ajay Thakur from Anand Rathi Securities
Ajay Thakur : I had just one question on the Hair Oil segment. Just wanted to understand which category would be showing the most growth for us in terms of where we would be getting the most market share in Hair Oil category, which brand or which segment?
Mohit Malhotra : So, Ajay, basically perfumed o il segment is where we've gaine d major market shares. In coconut oil, we've also gained market share, but that market share is a little muted at single basis point, but 130 basis points is coming majority on back of perfumed oil s. And in Sarson Amla, we've gained market share. In all the flanker brands of Dabur Amla al so we've gained market share. So, perfumed oils to answer your question.
Ajay Thakur : And just one additional questi on. Can we get to know what wil l be the size of coconut hair oil now for us?
Mohit Malhotra : Rs. 300 crores, I think.
Tejash Shah from Spark Capital
Tejash Shah : Couple of questions. Sir, you spoke about that we culled out some 180 SKUs and some NPDs also. Sir just wanted to under stand the technicality of account ing here. So, how do we account for unsuccessful NPDs which are still in the pipeline and are u nsold at the channels?
Ankush Jain : Yes, so first of all, Tejash, yes, so as a process, we review our performance of the NPDs and whichever are below the performance standards which we have set in terms of either the saliency of sales or the growth parameters, we decide to cull it off. In terms of your specific question of accounting, when we have decided to cull off the SKU, we give i t a time. Till the time raw material and packing material is in the system, we allow it to be produced, but hold the procurement of fresh raw material and packing material, so that the losses in terms of inventory don't come, point number 1. Point number 2, also the finished g oods, which are lying in at our CFA or warehouses, are they allowed to be sold. It's only the f resh production is stopped or curtailed to minimize losses. So, then the sales happen only to the extent of stock which is there.
Mohit Malhotra : Yes, so I think to reiterate w hat Ankush was saying, it's bas ically a metric of topline and bottom line. If the topline is not happening, or the bottom line is al so not happening because of whatever reasons, then we cull out the SKU.

Tejash Shah : Sure. The second question is, Mohit, on rural distress that y ou spoke about, and most of the FMCG companies have also spoken about it in the last 4 quarters . But if I just see FY23 in review, something like tractor actually grew 15% this year. And even if we see commentary from microfinance companies or banks, there is no major distres s in rural portfolio. In fact, they are doing very well on the rural side as well. So, where is the disconnect between when we pick up evidence beyo

nd FMCG, then rural is not in as much distress as we are picking up in FMCG sector?
Mohit Malhotra : Yes. So, I think what we are seeing is actually recovery of p ayments is really not happening in terms of our servicing the rural. So, be it at a super-stockist level or at a sub-stockist level, at the retail level, I think that is where the problem was on payment recovery, and that's why the stockist is not selling out in rural areas while we try to faci litate funds also there. But that is the problem that we are seeing in our business in rural areas acros s the board actually. And I think it's more accentuated in FMCG because the allocation of funds b y rural household happens to a durable like for tractor, etc., and they cut back on expenses o n larger packs. So, down-trading is a big time. If somebody was buying a 100 mL, now he's buying a 50 mL SKU. So, the number of purchases maybe is going up, but the larger packs are down-t rading to the smaller packs there. Sachet sales are the ones which are actually picking up. So, th at's what I can say.
Exact answer, I really don't have, if other companies and other industries are doing well in rural and we are not. But that's not what we hear. I think rural stre ss has actually been echoed by most of the companies at our Board meetings also, where people are r epresenting different industries, be it Maruti or others. So, we hear that rural stress is pretty much there, and it's all on the back of inflation. Because inflation is there, there is pressure on the purse strings of the rural consumer and that is what is telling on discretionary products.
Manoj Menon from ICICI Securities
Manoj Menon : Mohit, just an academic/accounting question. I understood Ank ush, your response you gave about what you actually, let's say, which is futuristic thought process on what the culling, etc., means. But what exactly happens, let's say, if you have launche d a product which has got a 12- or 18-month shelf life. And what is the time frame in which you look at the secondaries and tertiaries, see if it is, and decide what you need to do, but t hat is futuristic. But what exactly happens to the stock already there in the pipeline, whether a d istributor, whether it is the retailer, etc., what exactly happens to those? And on a, let's say, logis tical basis, the second aspect is, how do you account for this?

Ankush Jain : Manoj, just to build on what I initially said, initially, wha t I said was for the stocks which is currently in our system, but now I think you are asking for wha t has already been sold. So, as a normal process, anything which the retailer is not able to sell , we take it back as goods received,

GRN, through our stockist, and they are accounted as sales writ e-off, or they are netted off from the sales as a sales return. So, we will compensate back our st ock and the retailer eventually for anything which has not been sold in the stipulated time.

Mohit Malhotra : Yes, but just to tell you, our stock returns are pretty much in line with our historical averages. So, that's the way to do it, and it's pretty much in line with our industry standards also, that we are benchmarked against the industry. So, it's not alarmingly h igh in terms of our stock takeback. So, that's generally, in the range of around Rs. 20 crores a qu arter is what is the historical average that we have, which is 1% of the business, so India turnover. I t's 1% of return sales and which is best-in-class. It changes from category-to-category, but the average for HPC, HC, and Foods is roughly around 1%. In Foods, it's generally higher because s helf life is lower, but on average, it is in the range of around 1%.

Gagan Ahluwalia : Ladies and gentlemen, thank you for your participation in thi s conference call. The webcast audio recording and transcript will be available on our website . If any questions are left ove

r,
please contact us offline. Thank you and have a nice evening ah ead.

Call: Aug 2023

Ref: SEC/SE/2023-24
Date: August 08, 2023
To,
Corporate Relation Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001^^A^<^^.
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India Ltd.
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/l, G Block, Bandra Kurla Complex
Bandra (E), Mumbai-400051
BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Ql FY 2023-24 Financial Results
DearSir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on August 3, 2023, post declaration of Financial Results for the quarter ended on June 30, 2023. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
Y
~\(A'^KTaji
EVP (Finance) and Company Secretary
End:as above^
DABUR INDIA LIMITED. Punjabi Bhawan, 10, Rouse Avenue, New Delhl-110 002. Tel.: +91 11 71206000 Fax: +91 11 23222051
Regd. Office: 8/3, AsafAli Road. New Delhi -110 002 (India)
PAN: AAACD0474C, CIN: L24230DL1975PLC007908, Email: corpcomm@dabur.com. Webslte: www.dabur.com

Dabur India Limited
Q1 FY24 Results
Investors Conference Call
August 03, 2023

MANAGEMENT : M R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MR. RAHUL AWASTHI - GLOBAL HEAD, OPERATIONS
MR. ASHOK JAIN - EVP (FINANCE) AND COMPANY
SECRETARY
MRS. GAGAN AHLUWALIA - VP, CORPORATE AFFAIRS

Gagan Ahluwalia: Good afternoon, ladies, and gentlemen. On behalf of the manage ment of Dabur India Limited, I welcome you to this conference call pertaining to results for t he quarter ended 30th June 2023.
Present here with me are Mr. Mohit Malhotra, Chief Executive Of ficer at Dabur India Limited,

Mr. Ankush Jain, Chief Financial Officer, Mr. Rahul Awasthi, Gl obal Head of Operations and Mr. Ashok Jain, EVP Finance and Company Secretary.

We will start with an overview of the company's performance by Mr. Mohit Malhotra, followed by a Q&A session. I now hand over to you, Mohit. Thank you.

Mohit Malhotra: Thank you, Gagan Madam. Good afternoon, everybody. Thank you f or joining us today for the results call of Quarter 1 Financial Year 24. During Quarter 1 F inancial Year ‘24, most of the economies witnessed a moderation in inflation. In India too, in flation showed signs of easing, as witnessed in both CPI and WPI data. With this moderation in inf lation, there has been an uptick in volumes in both urban and rural markets, indicating promisin g signs of recovery in demand.

In such an environment, I am pleased to share with you that Q1 Financial Year ’24 has been a quarter of strong growth across all geographies.

Dabur's consolidated revenue for the quarter crossed INR3,000 c rores mark to close at INR 3,130 crores and registered constant currency growth of 13.3% and INR growth of 11%. India business grew by 8% backed by robust double-digit growth of our healthca re and HPC portfolio. The beverage portfolio got impacted by unseasonal rains in the Nort h and West India. The 4-year CAGR for the India business is 10% with near double-digit CAGR in healthcare and HPC and strong double-digit growth in F&B business. International busin ess registered a growth of 20.6% in constant currency terms.

Talking about the categories, HPC portfolio recorded 11% growth during the quarter. Our Oral Care portfolio grew by 13% in the quarter leading to strong dou ble-digit 4-year CAGR. Dabur Red gained 50 basis points of market share in the category, con solidating our position as the number two player in the Oral Care segment with every second ho usehold being a Dabur Oral Care household. Hair Oils recorded a 10% growth and posted a st rong gain in market shares of 200 basis points to reach its highest ever level of 17.4. Shamp oos recorded a 9% growth in the quarter with 4-year CAGR at a robust 13% leading to market shar e gains. Homecare registered a 15% growth with all the brands witnessing strong performance. Odonil, which is the number one player in the air freshness category continued to witness g ain in market share. In mosquito repellent category we saw an upti ck of 340 bps in market share.

Healthcare portfolio recorded a 10.5% growth, posting a 4-year CAGR of 10%. We saw market share gains across health supplement portfolio. Digestive categ ory saw a growth of 15% on back of robust performance of Hajmula franchise. OTC portfolio grew by 24% during the quarter, driven by double digit growth in Lal, Tel and Honitus. Ethical registered a 7% growth in the quarter.

We have recently established a therapeutics division which incl udes a team of 400 product specialists for advocacy and sales of our healthcare portfolio to allopathic doctors. This division

is targeting an incremental business of around INR150 crores du ring the year with the portfolio of baby care, branded ethicals, pure herbs and dharma products. With this division, we are targeting to reach 70,000 allopathic doctors in addition to the current coverage of 70,000 ayurvedic practitioners. This should enable the company to brin g Ayurveda into mainstream allopathic healthcare and accelerate growth of our healthcare v erticals.

The beverage business saw muted growth during the quarter on ac count of unsea

sonal rains,
which particularly impacted North and West India. The foods bus iness under the homemade brand performed exceedingly well with growth of 35%. This has b een further bolstered by Badshah acquisition, which saw 23% growth in the quarter. We re main on track to exit the year with a run-rate of 500 crores fro m our Foods plus Badshah busin ess.

We continue to drive our distrib ution expansion initiatives. Ou r direct reach stands at 1.4 million outlets, and we should increase it to 1.5 million by the end of the fiscal year. Village coverage is at strong 1 lakh plus villages, being ably supported by more than 13,000 yoddhas. EDGE score, which is an efficiency marker of distribution, continues to see improvement and has seen an increase of close to 10% in the quarter.

Now coming to the inte rnational business, with moderation of in flation and distribution changes, the international business has seen a strong recovery and regis tered a 20.6% constant currency growth. This was driven by robust growth across our regions, wi th Middle East, North Africa (MENA) growing by 10%, Egypt growing at 45%, Turkey business gr owing at 52% and Sub Sahara business growing by 13%. Our focus on innovation and cus tomer centric strategies has enabled us to gain market shares across most geographies and co untries.

A litigation has been filed against one of our subsidiaries Nam aste LLC in USA along with other companies manufacturing hair relax er products like L'Oreal, God rej, Softsheen/Carson, Avalon, Revlon, etc., where it has been a lleged that usage of such hair relaxer products leads to harmful effects. Namaste disputes the same and stands for the safety of its products. Namaste along with other defendants have formed a defence consortium and appointed lawyers to take adequate steps to defend this lawsuit. The case has been filed on the ba sis of an incomplete and inconclusive study. Namaste along with other defendants maintai ns there is no legal merit to this suit. The portfolio in question is less than 1% of our consolid ated revenue and we have a product liability insurance in place. The matter is sub judice.

Coming to the quarter's profitability, our consolidated gross m argin expanded by 75 bps as material inflation reduced from high single digits to low singl e digits. During the quarter, we have increased our A&P investments by around 30%. We believe th ese media investments are essential to drive long-term sustainable growth and maintain ou r market leadership. This quarter, we recorded a market share gain in 90% of our portfolio. Our op erating profit saw a growth of 11.2%. PAT for the quarter touch ed INR 464 crores, growing by 5 .3% over previous year. This includes amortization related to Badshah acquisition. Excluding this amortization impact, the PAT growth was 8% on a like-to-like basis.

Overall, the improving demand scenario augurs well for the busi ness as we will continue to drive profitable growth across our business verticals backed by inves tments in our distribution network, brands, manufacturing, digital and organizational capa bilities.

With this I conclude my address and open the floor for Q&A. Tha nk you.

Abneesh Roy from Nuvama Institutional Equities

Abneesh Roy: Yes, my first question is, of course, in Q4, your numbers were weak and now you have seen good recovery on Y-o-Y basis and even on a four-year basis. So I want to understand on this recovery bit, is it because of the inventory levels changing fr om Q4 to Q1 in any meaningful manner? Second is, of course, a 30% increase in the advertising also. So is it across categories, because it seems slightly higher than what some of your other p eers are doing, on an absolute basis, the 30% increase? And when seen from a gross margin to E BITDA margin kind of a translation, it is much higher than the gross margin expansion versus the o

ther companies. So could you elaborate this recovery bit, is that sustainable for the coming quarters also across categories?

Mohit Malhotra: Hi, Abneesh, so I think the recovery is seen in the market per se, it is not just D abur recovery, if you have seen that, rural business across the board actually ha s recovered and there is a volume uptick, which is being seen in the rural business. So rural for the category itself or should I say for the FMCG market has actually grown by 4%. We are growing ah ead in rural at around 8% and urban growth for us is around 10%.

So, across all businesses we have seen the recovery happen as t he rural recovers and Dabur is more salient in rural. So backed by rural, we are seeing a reco very happening in our GT business. In MT, we had some issues in modern trade with Reliance. It was sorted out and modern trade is again back and growing at around 18% for us. E-commerce, the re are some teetering issues in the business that is again going to be back on track and e-comm erce should by the end of year, should be around 9% of our overall sales.

So broadly I am confident on the recovery of the business but f or beverages, which got impacted by the seasonal, unseasonal rains which happened and that dampe ned the beverage portfolio, but our food portfolio grew by around 34%. So, it's a secular kind of a growth that we've seen across the portfolio and not much pertaining to any inventory levels i n the market per se.

As far as the second part of your question is advertising., We had cut back last year because of the inflation issues, and we wanted to maintain the margins and that's why there was an advertising cut because huge inflation was there. Now inflation is kind of abated in our portfolio. In India, overall inflation was almost around 0.5%. Internation al business still witnessed some sort of inflation, but we had alluded to earlier also that, we will be investing money back into advertising for surging demand and that's what we've done and t hat's why 30% growth in advertising is what you are seeing. We've also invested some mo ney back from consumer promotion and trade promotions back into advertising. So gross margin improvements are being invested into advertising and some is flowing down into EBITDA.

Abneesh Roy: Sure, my second question is on the health portfolio with this l eadership change from Himalaya such a senior person. You have also shared the higher targets f or FY ‘24 with higher feet on street etc. My question here is, why now how easy is it to targ et the allopathic for Ayurvedic because both are very different. If it was so easy, why did you not try it earlier?

And any other learnings because Himalaya being unlisted, we don 't know much but it's very well run in the health and Ayurvedic segment. You are also very larg e. Any other learnings are there apart from what you are doing in terms of feet on street and ta rgeting allopathy, any other

changes needed in your own portfolio?
Mohit Malhotra: There are a couple of changes in the healthcare. One is the lea dership change that you know Philipe is coming and he is the one, who is driving the healthc are vertical for us. So, I think one major change is advocacy and advocacy not to, also we are doing it to Ayurvedic but also, we have started allopathic also because we feel that allopathic do ctors are the mainstream practitioners in the country and without your portfolio getting a yes or a tick from the allopathic, you really can't drive healthcare in a country like India.
So therefore, we are going to be doing positive advocacy with a llopathic doctors and also driving sales through them. 150 crores are incremental sales and we put around 500 people feet on street totally going to both allopathic and ayurvedic doctors. So this business should be incremental and moreover, if you remember, my previous speeches also I

talk ed about Baby care. We are
not taking mainstream and keeping it restricted to e-commerce t ill the time we establish a GTM for baby care.
So with this advocacy team coming in and going to gynaecologist s and paediatricians, Baby care will come into mainstream. Baby care which exited at around INR 20 crores last year should see a INR50 crores business in the current year. Baby care will be driven very hard through this vertical along with branded ethical and also some pharma led pr oducts.
So overall we should continue on a growth trajectory of 10% CAG R on healthcare going forward with Philipe coming in. Apart from setting up an advocacy verti cal and selling products through this advocacy vertical in allopathic channel which is not a ver y big challenge, it's not very difficult because Philipe has done it in the past, we are doing it except that training etc, has to go on a little slow burn but I think by the end of the year, we should see turnover growth coming from this vertical.
The second vector of growth in h ealthcare will be investing mon ey on power brands, which we will continue to do, backing up L al Tail, Honitus, Pudin Hara, all these brands and Chyawanprash and Honey, etc. That will go on the way the strate gy was. The third vector is new product introductions to increasing the addressable market in h ealthcare. That will go on as it is.
Abneesh Roy: Sure. My last question is on the M&A strategy, which Dabur has. So clearly when I see Marico, HUL, ITC, etc. They have been quite more aggressive on the D2C front in terms of acquisition last two three years in the foods and personal care portfolio. Dabur obviously has done a Badshah acquisition. So wanted to unders tand on D2C acquisition, what i s your thought process?

And second in terms of Badshah, what is the interplay between B adshah and Hommade? Hommade has done well. But are there any synergy benefits, whic h you are working on between both the portfolio in terms of either distribution team or in t erms of brand architecture etc. Because now both are fairly adja cent to each other or the custo mer.
Mohit Malhotra: Absolutely. So, Abnees h, what we are doing, we have got money s itting in a balance sheet for acquisition purposes, we are continually scouting on targets fo r D2C also. If we come across a company which is synergistic to us in the healthcare play or th e personal care play or the skin care ayurvedic play, we will eval uate them and if it seems fina ncially worthwhile, we will acquire the company.
The last thing we want to do is acquire a dilutive brand, which further takes down our EBITDA margin. That's why proper due d iligence has to happen before we actually acquire the brand. But money is there in the balance sheet to acquire a D2C brand also , which could be a premium play for strengthening our urban business. That's one.
The second part of your question on Badshaah and Hommade is con cerned. Both Hommade and Badshaah are doing well. Badshaah is growing by 23% also impact ed by a lot of inflation of spices, etcetera. Hommade brand is growing at around 33%- 34%. Hommade is restricted to the northern side of the country, where Dabur is very strong and Ba dshah is today restricted to the western side.
We are cross pollinating the portfolio from Badshah to Hommade, H o m m a d e t o B a d s h a h definitely. In terms of distribution, we are leveraging the Bad shah distribution in the west for Hommade and we are leveraging the Dabur distribution for Badsha h in the north. Still we have not started going forward. In the next quarters, we will start pollinating Badshah to our distributors in the Western region to start with, Western and S outhern region to start with before we move to North.
This is what the playbook was in the beginning, and we are stic king to our strategy, what we had planned out to be. But both of them

are running at a rate of IN R 500 crores going forward next
year. Next year we will be looking at a food portfolio totally INR 500 crores. So we will be exiting at around INR 450 crore and next year, the target will be INR500 crores for a food

portfolio.
Abneesh Roy: Okay, thanks. That's all from me, thank you.
Avi Mehta from Macquarie
Avi Mehta: Hi Mohit, thanks for this opportunity. I wanted to kind of just understand the oral care positioning a little better. Do you see the need to extend beyo nd the natural positioning to ensure that the growth divergence versus the industry sustained at the earlier highs? And if yes, what steps are we taking for the same?
Mohit Malhotra: Yes, Avi, not really. We want to stick to our core and our core capability as far as oral care is concerned. Natural is our core a nd we will stick to the Natural s portfolio, and we will not dither from the Natural portfolio. If you look at the current numbers, which have come from Kantar,

we see penetration of Natural cat egory has moved up from 30% to 31%. 200 basis point of improvement is there in the growth as far as the natural catego ry is concerned.
Within the Natural, overall we have been successful in taking b usiness from the non-naturals to the natural. The category has grown in volume by around 2.5%. W e have grown by around 9% as compared to our number one competitor, who has grown by 7%. we have taken share from them, and we are consistently taking share. 50 basis point gain has happened in Dabur Red. Even Lal Dant Manjan on back of rural recoveries also done very well . Dabur Herbal toothpaste had some teething problems in terms of stock out but that also we a re correcting going forward. But in south of India, it's doing well.
We've launched our Dabur Bae Fresh Gel, which you can say is a kind of a non-natural slash and natural gel entry which is t argeting youngsters and teenage rs and the positioning is more on fresh breath, which is really not on health, but it is an exten sion of our Red franchise into a gel. We have launched it; we have rop ed in Kartik Aryan as a celebri ty for that.
We have already got a turnover of around INR4 - 5 crores, we ha ve launched it in the end of June and for the full year, we will be targeting a number of ar ound INR15 16 crores coming out of our Bae Fresh gel. Our earlier gel franchise has also grown by more than around 25% in the last quarter. So Gel was an area, which was absent in our portf olio, which we have kind of plucked now.
Avi Mehta: Okay. Just a follow up. In your opinion, this 31% natural share in Oral Care, where do you see it trending probably two years or three years ahead?
Mohit Malhotra: I don't know two years, three years but definitely a little lon gish term. I think five years to six years. The whole category 50% should become natural, and Dabur will consistently keep taking share from the market leader. Because the price points are simi lar, there is no difference between the price points. This is basically a value-added toothpaste. L ike you have a value-added hair oil, this is a value-added toothpaste, calcium carbonate based, and we are giving more added ingredients and promising benefits like cavity protection, like sensitivity, etc. But more through natural means rather than through cosmetic and chemical means.
Avi Mehta: Fairly clear. Thanks, Mohit. Thanks a lot for that. The second bit was essentially on the margin. Now given the first quarter performance, where we've seen input cost kind of moderating demand strength and reflecting in this margin performance. Woul d you want to revisit your guidance for FY24 of 19% to 19.5% or how would you kind of, if you could share your comments on that please?
Mohit Malhotra: So as far as the inflation is concerned, we are witnessing infl ation moderating across all categories, but the mix of inflation is also changing

towards f ood. We have seen food basket
inflation around 11% while it is moderated in HPC and HC but fo od basket, we have seen inflation with spices inflation b eing around 19%. Fruit concent rate also have seen inflation. Now the monsoons are going to hit. I don't know how inflation will pan out in the immediate term. But consistently, overall, on the hydrocarbon link, which is ou r bigger basket of raw material and packaging material, there we have seen deflation. And that deflation should continue for

next quarters to come. And there will be a margin upside. We ha ve seen the 75-basis point of improvement in our gross margin, which we have invested into me dia. That will continue to do. As the gross margin upside is higher, then that will flow into our operating margin. But we keep a guidance of the same similar band.
Till the time, we cover up our media investments to a tune of a round 8%- 9% of the overall business should be media for us. Till the time, money will keep going into media because we feel long term we have to invest in media and not really look a t a very short-term approach of giving it to margins and less to media and starving the brands.

Avi Mehta: No, got it. Okay. Just the last bit, Mohit, was on this recent news that came in about the Honey. If there's anything that you would like to comment on that, whi ch is coming today? That's the last bit on mine. That's all from me.
Mohit Malhotra: Yes. So, I know that this news keeps coming in and we keep givi ng statements and one more statement I will give. We stand by the purity of Dabur Honey. O ur every single batch of Dabur Honey is dispatched from a factory, and it complies with all FS SAI parameters, which is the regulatory body in India. We export to many countries and every where, we follow the regulations of the regulatory body there.
Most of the factories where we produce our honey, they are all US FDA certified facilities and no question of any impurity. It's our foremost duty and Dabur b rand stands for quality and trust in the consumer's mind, and we don't want to breach that. That' s our foremost priority to do. So, no question of anything.
So, every batch is tested as it exits the factory, and that bat ch is tested for 65 parameters of FSSAI and also beyond that which includes HMF also which has be en questioned. Recently Dabur Honey has been granted AGMARK special certification post inspections and proper due diligence by authorities. This st udy which has actually happene d is evidently a couple of hours before our quarterly business result announcement and is defini tely motivated to malign the image of the market leader.
Last time also when the controversy happened with CSE report, w e emerged much stronger. We gained around 500 basis points of market share since then. And I am sure even after this controversy we will emerge out to be much more stronger. And as a business, we do not pay any hee to such studies which keep happening. And these are some ta ctics by some companies to malign our image and take shares through ulterior motives. But we do not want to pay any heed to that and continue with our business as usual.
Avi Mehta: Perfect, perfect. The 500, I mean the margin market share gain which we saw last time is a very clear kind of indication that should happen. Thank you very muc h. That's all from my side.
Arnab Mitra from Goldman Sachs
Arnab Mitra: Yes, hi, Mohit. My first question was on the gross margin. Whil e your consolidated gross margin has moved up, what I was noticing is that the India gross margi n has been kind of flattish for the last three quarters. While we have seen input cost deflation an d a lot of the other companies have

seen strong expansion, is it something that is going to come in with a lag or are there certain pockets where the inflation is ve

ry high for you, which is why the India GM is not moving up that much sequentially?
Ankush Jain: India's gross margins have also improved by 80 bps in the quart er year-on-year. And so therefore, the benefits of deflation in healthcare and HPC busi nesses are flowing on into business. So, that’s true. So, it’s actually improving.
Mohit Malhotra: Yes, so 80 basis points is an improvement. What Arnab maybe y ou are reflecting on, other companies maybe have shown 190 and we are actually 80. One of t he issues here is in food we have an inflation of around 11% which is hitting us in fruit co ncentrates and F&B as a segment is very salient in our summer months which is our first quarter .
So, 25% of our business is coming from summer centric food port folio where we have seen inflation. As we move into Q2 an d Q3, HPC and HC portfolio will become even more salient and therefore gross margin upside will be even better in those two quarters to your point also.
So, and then HPC portfolio where raw material is essentially SL ES and hydrocarbon linked, LLP linked. There we have not seen very high deflation yet, whi ch because of the strategic inventories that we will be carry ing as we exhaust the inventor y. And we move into the regular purchases, we will see gross marg in upsides happening there als o. So, definitely sequentially there has been a gross margin imp rovement quarter-on-quarter an d we will continue to see that for next two to three quarters. Yes.
Arnab Mitra: Okay, I understood that. Thanks for that. My second question is on beverages. So, clearly this quarter there was an impact of the summer season. Just wanted t o get your thoughts on how you see the full year now because you do have a very high base for 2Q also. I think there is a timing with the festive season. How do you see the full year growth fo r beverages overall and anything on the new initiatives on beverages, especially fruit drinks in terms of how you want to scale it up this year?
Mohit Malhotra: Yes, so beverages was muted on account of season and we could n ot help in the season. If you see most of the beverage companies as per the Bizom data which got released they are all down by around 25%. As compared to that, Dabur beverage portfolio is almost flat. We have declined by around 1.6% in beverages whereas in terms of transactions, w e have actually grown by around 4%-5%. Transactions is number of eaches that you are selling in the market on back of the drinks that we guys introduced.

So, that is just been introduced. So, overall beverages will be muted through the quarter because main season was damper. But I don't know how the season will pa n out to be next year going forward. But I think it will be muted for the full year beverag es, which will be in a way a positive as far as our margins are concerned in the current year. Becaus e the salience of beverages, if it's low, then the margins be come positive for us.
Arnab Mitra: Okay, understood. Thanks for that. And my last question was on international business. You had those distribution issues. I wanted to know, does this quarter fully reflect that the issues are

behind you or there is some restocking that you would expect go ing ahead as the distribution changes fully kind of kick- in, into those markets.
Mohit Malhotra: In international business, we have done the changes in distribu tion last year and therefore that got reflected in the first quarte r. In first quarter, we lost s ome sales on account of change of distributor. Next quarter should be a full-blown quarter with d istribution changes getting ironed out. For the full year, we can guide for a good double-digit gr owth in international business. Constant Currency, obviously, we have grown by 20% and will con tinue to grow like that in Constant Currency in international business. But currency depre ciation impacts us. But even

in
Indian currency, we will have a double-digit growth as far as i nternational business is concerned, the full year.
Arnab Mitra: Okay, thanks Mohit. That's it from my side. All the best.
Mohit Malhotra: Thank you.
Percy Panthaki from IIFL
Percy Panthaki: Just some comments from you on the hair oil segment, it has gr own at 10% this quarter. And your other large competitor basically has seen a flat kind of a number. So, just wanted to understand what has led to this difference in performance?
Mohit Malhotra: Yes, so, Percy, we guys have grown by around 200 basis points, ever highest market share of 17.4% we've registered in the hair oil. So, I think our Amla po rtfolio, which is following a strategy of the core brand strengthening and through flanker br ands, I think all our brands have done well, including Amla core. I think execution in the market has been absolutely great by the team and we have been gaining sha re in segment after segment. S o, pack price architecture and MSL which is must stock list adherence is reaping results in th e marketplace for us and shelf shares are going up, distribu tions are going up, all ends.
I think execution has been great. So, and our strategy is worki ng for us, which took us time because in the INR 10, INR 20, we were losing shares to our com petitor. But I think that we've come back and kind of anchored it well.
Percy Panthaki: Got it, got it. Secondly on margins, just continuing from Arna b's question, how do you see it playing out? You said basically you had some higher priced inve ntory, now that will get run through. Do you think that you will sort of end the year at the higher end of your guidance of 19 to 20?
Mohit Malhotra: So, I never give a guidance of 19 to 20. So, but Yes, higher e nd of the guidance, yes. So, definitely. So, I think it will take us another year. I don't k now how the inflation pans out to be. All depends upon inflation. But we have already taken price inc reases in last year to manage inflation. And all the follow thr ough impact of the price incre ases should happen in the current year. If inflation is really benign and it leads to deflation, which is not the case right now, it's 0.5% inflation still.

If inflation becomes deflation, Yes, we could positively surpri se you at the end of the year. But I can't give you that kind of a guidance at the moment. We shou ld remain the band that we talked about earlier.
Ankush Jain: Sure, sure. And also, in India, while in India we will see som e bit of deflation, but also in international markets, the curre ncy devaluations are still play ing a role. So, it's very difficult to say at this point of time, will we cross 20% or not? But yes, w e would definitely improve versus last year. That is the intent. But whatever is the upside in gr oss margin, we will want to plough it back to the media spend and ge nerate demand for the future.
Percy Panthaki: Okay, Yes, that's all from me. Thanks and all the best.
Shirish Pardeshi from Centrum
Shirish Pardeshi: Thanks for the opportunity. Just to start with, I think we ha ve seen a base effect now playing out in the healthcare. So, would you be able to help us to give som e thoughts how we should look at quarter two, quarter three onwards because I would assume no w inventory also would have been depleted very sharply.

Mohit Malhotra: Shirish, as far as inventory is concerned, I don't know if inve ntory is depleted or not, but I can tell you a couple of examples. We were carrying a lot of invent ory in e-commerce for healthcare and that inventory is getting depl eted as we speak and Chyawanp rash growth is still not back on track and Chyawanprash CAGR continues to be at 11% but still Ch yawanprash is not growing as we would expect. Although it is a lower base for Chyawanpras h, non-season for Chyawanprash but still the decline in Chyawanprash is to a tune of

around 9% or so but this is
not the season.
In the season we expect Chawanprash to actually grow. It's not a depleted inventory. That's the point I'm trying to illustrate. It's a normal course of invento ry in healthcare. But that said, healthcare should trend at a a high single to a double-digit gr owth. All verticals of healthcare should have a price increase element that we have taken last ye ar and backed by mid-single volume growth and we should see a double-digit growth in health care going forward.
With baby care actually leading the pack and honey has been doi ng well. I don't know but for the recent controversy, I don't think it should impact the busi ness much but honey continues to do very well for us. In the season, glucose was impacted becaus e it is summer centric portfolio. Next season going forward when we do the loading in quarter fou r for quarter one, I think that should be better. So, healthcare should give us a high single t o a low double-digit growth for the full year.
Ankush Jain: Yes, you are right, the abnormal bases has evened out. Business will now grow on a normal trajectory.
Shirish Pardeshi: That's what I was expecting. Okay, my second question is on t he hair oil. From the presentation I can make out that we have launched Dabur Cool King. I think t hat's gone into the market. Can you share some initial feedback, how this product has done well , which are the markets you are seeing the pickup or any color on that?

Mohit Malhotra: We launched it in the month of May, actually back end of the M ay, it's been two months of implementation in the marketplace, May and June. The initial re sponse of the product has been very positive. The advertising that we released has been receiv ed very well with the consumers and we have gained 15% relative market share to market competit or, a market lead player in whichever towns and markets that we have launched. We have laun ched it in UP, we have launched it in North and we have launched it in Bihar.
These are the parts that are most impacted by the summers and t hat's where the cooling oil grows. INR1000 crores category and dominated by a single monopoly play er. We have made multiple attempts in the past, all not very successful. Again, we tried to enter because we are trying to plug all the gaps of hair oil. Initial feedback is very positiv e but Shirish we will have to come back again next year and make a full hearted because the summer was muted this time. So, but that said the product response and the repeat purchase in the r ange of around 25% to 30% which is very encouraging.
Shirish Pardeshi: The reason why I am asking this question because similarly even Marico and Bajaj Consumer is also made inroads in the cooling segment. So, I was saying is t he growth rates are so impressive that that's why everybody is trying to get into the footing.
Mohit Malhotra: Not really, I think it's a plugging of gap of the portfolio an d each competitor, I don't know, I can't tell about themselves. As far as we are concerned, we see this is a defini te gap in our portfolio. So, we want to plug the gap wherever we have a right to win. And we have a proposition which is very unique , which has been introduced wit h a chill tube in it. First time there is a tube in a bottle which has got camphor crystals in i t which provides cooling and perpetual cooling. No other play er in the market has got this k ind of a proposition.
So, on back of this proposition and Dabur having a right to win in the hair oil market, we feel we have good chances of success here and that's why we are kind of pushing it. And this is in line with our Dabur Amla big strong brands and plugging the gap s in all the portfolios. So that's what we are trying to do.
Shirish Pardeshi: Okay, my next question is on the NPD funnel. I think last 15 mo nths we have tried various products starting from

the baby care range we have launched som e dry fruits, we have gone into the mustard oil, edible oil. And then now when we look back, wh at is the thing which is working or what is promising and maybe if you can guide over next one y ear, what is your NPD funnel, I mean not the product but what is your target in terms of cont ribution to sales?
Mohit Malhotra: See, we always maintain that our innovation as a percentage to overall business should be in the range of around 3-4% and that's what happened in the current qu arter also. Our total NPD to total revenue is around 3% of the business across all verticals a n d t h a t ' s w h a t w e w a n t t o maintain. So, but for emerging channels, the e-commerce where t he NPD to the business revenue

is in the range of around 10% or so because that's an incubatin g funnel for us. And as we keep incubating and doing proof of concept checks, once it's success ful then we roll it out to MT and GT, that's a playbook that's been established very well.

In terms of successes, Baby Care is a definite success. In heal thcare, I'll now talk about healthcare to you. Baby Care is a definite success. We hit a tu rnover of exit of around INR20 crores. Now we are making it mainstream. This year target is ar ound INR50 crores is what we are doing, Cool King, we've already introduced. We've done a IN R6 crores of revenue number. It's a seasonal brand. So, next we will follow. Bae Fresh Gel, we've already launched in the marketplace, entry into our gel category.

Odomos brand will increase the addressable market and we are la unching Odomos LVP going forward. And the edible oil portfolio, the entire edible oil, m ustard oil, sesame oil and heart oil that we have got, that will stay on e-commerce for us and it's doing very well. We are constraining supply of the edible oil portfolio in the marketpl ace deliberately because it's a contingency portfolio kept for us. So, that's there. Our coconu t water continues to do well.

Real Fizzin, as you know, has done very well. 200 crores of dri nks franchise we have already created. Our Dabur Ghee, as we speak, is INR10 crores in exit. It's again, we can open floodgates but we are deliberately keeping it restricted. Hajmola extensio ns of Limcola, Chatcola, now Fantola being launched are doing very well and they are contrib uting 10% of the overall Hajmola business. Hajmola has grown by around 15% and 10% of the turnov er is coming from innovations over there.

Our tea, our entry into chai was the attempt that we did and I think this year we have taken a turnover of INR10-11 crores comi ng from our Ayurvedic tea. Our health juices has grown by around 20% in the current year. So, overall, around 34% of our business should continue to come from our innovations which are f uture pillars of growth going f orward in the future for us. And it's lying with our increasing our addressable market under the guard rails of our power brands which we will keep strengthening which are the core of the busi ness contributing to around 70%-80%.

Shirish Pardeshi: That's helpful Mohit. Just one follow-up here. Though it is hea rtening to know that you have a very strong NPD funnel but how do you manage this complexity ru nning these all businesses right from supply chain to manufacturing to the front end and a t the distributor level?

Mohit Malhotra: Yes, so I think it's not very complex because I told you it's d one within the guardrails of the power brand architecture. Now to tell you a guardrail of a powe r brand, I'll illustrate you with an example. Hajmola is a brand which has got three variants. I am introducing two more variants. It runs on the same line, it runs on the same bottle, only the color of the cap is different and the laminate is different. And the same supply chain handles it, sa me distribution handles it, same distributor handling it. So, I think it doesn

't cost us much. T he new variants bring in more vibrancy and a better incremental business.

Similarly, real brand. A real b rand is now available in a pet b ottle. Earlier only a tetra pack was going. Now a pet bottl e is al so made available. Earlier five va riants were going, now seven variants are going. The batches become multiple but that comple xity we are geared to manage. And it is that we have learnt it through our international busi ness also where the population is lesser and the runs are smaller and changes in the line can fre quently happen with efficiency and economy.

So, that we have learnt over a period of time. So, I don't thin k there's too much of complexity as far as hair oil is concerned. Again, similar bottles, simila r economies which are there. It gives more news to the salesmen to sell and better throughput at the outlet is being promised. So, I don't think there's too much of complexity being added here. Ra hul, you want to add something? We happen to have the privilege of having Rahul along with us. Maybe if he wants to add something.

Rahul Awasthi: So, for many innovations we adopt the principle of open innovat ion wherein we are not only deploying our own capability but we are taking help of lot of t hird-party manufacturing already available which are having the same kind of format already bein g produced. So, many of these innovations are not creating complexity in our manufacturing se tup and they are very fast to do and that is the reason why we are able to roll out innovation i n such a faster way.

Shirish Pardeshi I g o t t h a t R a h u l , t h a t ' s r e a l l y h e l p f u l b u t j u s t w a n t e d t o c h e ck at the front end when your distribution is common length, so in that how the distributor i s doing justice selling all these

products unless it is channel specific?
Mohit Malhotra: So Shirish channel wise as far as I will give you a little mor e granular answer, so e-commerce is a common channel they are open to innovation so there is no pre ssure there so is the case with modern trade we furnish them directly distributor interface in 80% of our modern trade is not there. Now coming to GT, which is 70% of the business, complexi ty arises there. There we are planning to increase our feet on street. A, we are appointing m ore number of sub-stockists and more number of yoddhas that you know.
As far as, and in GT we have three separate verticals, healthca re distributor, HPC distributor, and foods distributor separate. And with the common distributor , we are trying to segregate lines also. And depending upon the threshold of turnover, we are sepa rating HPC into HPC1 and HPC2 also, and adding more feet on street to ensure that delive ry and execution happens of the NPDs that we introduce.
Prakash Kapadia from Anived Portfolio Managers
Prakash Kapadia: Hi, thanks for the opportunity. Two questions from my end. Wha t could be the current sales mix of OTC and Ethicals? You obvio usly talked about new initiatives in the Ethical piece. Going forward as we are trying to scale both, could you give us some sense on margins, are margins similar or higher between OTC and Ethicals?
And secondly on the beverage business, you know, what happens w hen there is unseasonal rains or delayed summer? Does growth happen in the balance of the yea r or on an exit full year basis, is it fair to say growth remains muted or flattish or festive s eason can drive growth for beverages?
Mohit Malhotra: Alright, so first part of your question, OTC and ethical almos t 50%-50% of the total turnover that we have, and margin profiles are also pretty similar becau se most of the ethical portfolio is the one, once it crosses a threshold level of turnover moves to OTC for us. So there is no margin profile difference between OTC and ethical and it's almost 50%- 50% of our portfolio.

Like Hajmola when it was a classical or ethical product it used to be called Shudhavardhan Churan and then we nomenclatured it as Hajmola and we are calli ng it OTC now. So that is how we change it. So ethical and OTC is a different l ife cycle stag e. In the previous cycle of the life cycle it is called ethical, then it becomes a branded ethical, then it becomes a OTC for us. So that's the life cycle stage depending upon the turnover.
So, yes, like Stresscom is the branded ethical which is called a Stresscom, but the active ingredient over there is Ashwaga ndha. So, when it is ethical it is called Ashwagandha, when it moves to branded ethical it is called Stresscom, when it reache s a INR 5 crores turnover it becomes an OTC for us. That is how we look at the life cycle st age management for our ethical to branded ethical to OTC to FMHG business also.
So that's the way our healthcare is again a playbook very well established in Dabur over the years and we stick to that, and margins are pretty similar whic h are overall margins of the company both from a gross margin perspective and from a net mar gin perspective. And the requirement of advertising is so much more lower. With establis hing this advocacy vertical we will be able to now do more adv ocacy and reduce more advertisin g which is where we have more attrition of the consumers a gain, we have to advertise aga in lapsing happens but the doctor, doctor remains the same along the life cycle of the product and therefore requiring that's why pharma margins are much higher as compared to OTC or FMHG margi ns for you.
Second part of your question is beverages. Now the season has i mpacted beverages on account of summers being lower and 30% of the consumption of beverages is out of home for us. Out of home consumption when the rains are there people don't move out and people don't move out, the eating and drinking outlets don't have that kind of a throu ghput and they are not able to sell that's why the portfolio gets impacted.
If rains are not there and the marriage season is great which i s what we think it should be or Diwali season is great, if the rain don't play a spoilsport, th en I think that season should not get impacted by beverages. But because the season is so heavy and i t contributes to around 30%-40% of the total consumption for the whole year, a little impac t for the full year business definitely happens.
Latika Chopra fr om JP Morgan
Latika Chopra: Hi, thanks for the opportunity. Mohit question was on your exp ectations on volume growth progression for the rest of the year. We start lapping even a l ower base as we come into the next few quarters. And depending on the rural recovery comments that I heard, do you anticipate volume growth tends to gradually move to mid to maybe even high single digit volume growth as we cross the year?
Mohit Malhotra: Yes, Latika. I think absolutely, I think rightly said. So if y ou look at now, giving a little better answer for you to understand it, if you look at the volume grow th across our verticals, our volume growth in beverage has been very muted because beverage season wasn't in favour. So volume

growth was negative which dragged the overall volume growth of the company down. If you look at the healthcare volume growth, our healthcare volume gro wth while there was a 6%-7%

of price increase impact, the ov erall business has grown by 12% . There is a 6%-7% of a volume growth in our healthcare business.
In HPC business, where the price increase wasn't very high, our volume growth has been in the range of around 7%-8%. And going forward, this should be the vo lume growth going forward. So mid-single to high-single volume growth going forward and a beverage portfolio a little bit negative but definitely mid-single volume growth should be ther e in the business. So, ex-

Foods
this time the volume growth is 6% for us in the first quarter a nd Yes, and we will have to do and with the rural recovery happening, as we see, the rural has gro wn by 4%, we have grown by 8%, volume growth in rural this time for the categories around 7.5% and back of all this, we should see a definite volume uptick happening in the business and we a re always monitoring our volume market shares.
So for us to grow ahead of the category, the volume growth shou ld be ahead of a mid-single also. For us to gain market shar es across 90% of the portfolio that we have.
Latika Chopra: Sure. And my second question was on beverages. Sorry to check on this again. Because you know your earlier comments during the call suggested that a ful l year for beverages, you expect a muted full year. I understand the first quarter was sluggish, which is about 30% to 40% of the business. But for the remaining quarters, are you okay if we bu ild in some growth or are you seeing any other challenges here? You know, of a high base or a nything like that?
Mohit Malhotra: See, we have taken a target of around 8% to 9% growth on a hig h base of 40% of last year. So, we are looking at that target for us. The season now played hav oc for us, but the targeted growth is definitely that. And we see the month of July, 22 days out o f total 30 days in July was impacted because of rains. So this is an extraordinary event that we are seeing which wasn't planned earlier.
So I can't tell you guidance going forward for beverages becaus e it is so much season driven for us. So that is what. But we have targeted a target of around 8% . And we want to inch up to that particular target. And all the incentives of the entire team, S alesforce and back end is linked to that particular target, Latika.
Latika Chopra: Yes, and the last one was just to get a sense of what is the t oothpaste revenue and volume growth for the quarter and also to comment on your capex in FY24, FY25 , that's all from me.
Mohit Malhotra: Yes, so easier question first. The total capex is in the range of INR450 crores for the current year and that's what in the current quarter we have done INR160 cror es of capex. So full year we should be doing around INR450 crores of capex. Now the second p art of your question in terms of oral care, oral, the volume growth of the category is 2.5%. We have done a volume growth of roughly around 8% in Oralcare with Dabur Red as a flagship gain ing 50 basis point market share. The category of natural which i s 30% was 30% now has become 31% . We've launched gel also in the market. So, I think we should definitely have a double-d igit growth as far as oral care driven by volume growth for us fo r the full year in oral care. I think we are doing well in oral care. I don't see a reason why we should not perform well here. The business is on track and doing well for us.

Latika Chopra: Sure, thank you so much.
Mohit Malhotra: And another point I just want to add, I missed out. Last year we had issues with Reliance because one of the SKUs that we had introduced in Reliance was undercut ting into the GT market which we cut back supplies, but now that also relationship has been b road, and the business is back on track as far as modern trade is also concerned with the Relianc e. So that's also worked in our Favor.
Latika Chopra: T h a t S K U s …
Mohit Malhotra: Yes toothpaste, I am talking. I am talking about toothpaste an d like you know we are already a number two toothpaste company in the country today and we've pl acated the number two player and we've become the number two player even in toothpaste now.
Latika Chopra: So Mohit, if my understanding is right, this issue was there i n Q4, right? So does it mean that Q1 was a bit of that issue resolution with Reliance, and do you think this 8% volume growth kind of moderates a bit in coming qua

rter?
Mohit Malhotra: Sorry, Latika I didn't quite get your question.

Latika Chopra: I am just trying to understand if this issue with Reliance res olved in Q1, and do you think this 8% volume growth kind of moderates a bit in the coming quarters ?
Mohit Malhotra: No, it's the other way round. It was an issue in the last quar ter. In the previous fiscal year, we have corrected that problem in the quarter 1 and going forward, the business should trend well even in Reliance, I'm saying. Because last year, while in GT, w e kept gaining share, but in Reliance, is a modern trade, in single account we lost some mar ket share. So, that relationship on Oral Care category manager is back on track and we should st art gaining shares back in Oral Care is what I am saying.
Latika Chopra: Okay, alright. I hear you. Thank you so much.
Mohit Malhotra: Thank you.
Sheela Rathi from Morgan Stanley
Sheela Rathi: Thanks for taking my question. Mohit, my first question was wi th respect to the rural recovery. You seem to be sounding much more confident on rural recovery, but we are getting very mixed signals from most other management on rural side. So, what has changed for us and how, and you talked about the big single digit growth at the aggregate l evel on the volume side, but what is it that has specifically changed for us on the rural side an d any specific markets which you would like to talk about?
Mohit Malhotra: The way rural was, I am looking at the market indicators in FM CG volume. Rural used to be minus 5 in quarter 4 of 2022. From minus 5 volume, it became mi nus 2, then to minus 3, minus 3, then plus 0.3 and now plus 4. So, definitely these are trend s of almost a recovery that one is actually seeing if one plots a graph. And the rains have been n ear normal and if you read the news articles etc you find that Rabi harvest was impacted by mo nsoon, but Kharif sowing has

been great I think this harvest would only happen in the winter season to come and there'll be more money in the hands of the consumers and a wage rate in MGN REGA has also been taken up to around 10%. MSP rates have also gone up.
This will increase the money in t he hands of the rural consumer . And while the category is growing at 4%, we have grown by 8% in rural. So, that is tellin g us that money is back in rural. And moreover, price increases have come down now and as we move into next quarter there the price increases will go down and volume growth will actually st art. When the inflation was high, price increases were high, it was pinching the rural consumer a nd therefore their propensity to spend was impacted.
But going forward I think thi ngs will only move back plus elect ion year is coming, so government will also invest more money in rural especially in t he Hindi heartland and business should be back. So, one of the anecdotal examples is North. Nor th is very high salient for us. It got impacted by monsoon heavily, but the FMCG market was down t here, but we have seen where we are very salient with UP, MP, Bihar, and Northern Belt also. We've seen our business growing by around 6%, 7% in the GT also, despite our beverages not firing.
So, which was sub-stockist network, is kind of yielded results for us in the North. And that is telling me, giving me confidence that rural should be doing wel l for us going forward. And I don't see a reason why rural should not because if you look at around -- if I look at quarter 4 of financial year 21, rural was always the one which was leading t he growth and urban was following. Now both urban and rural are kind of growing well.
So, I think rural we should keep inching up and the gap between urban and rural should keep narrowing and rural should fire, but how monsoon and the climat e change is impacting the world. I don't know how things will be. But I just hope that rural fir es and that aug

urs well for us. We
are highly salient in rural with 45%, 50% of our business comin g out of rural.
Sheela Rathi: And any early signs of up trading because last year we were see ing lot of down trading. So, in any categories where we have seen a switch?
Mohit Malhotra: Not really, we've not seen any signs of up trading, but that s aid the price increase impact has kind of moderated now. The shock of price increase is now in th e base and that is a kind of a up trade. So, consumer has gotten used to it and now they are buyi ng products. So up trading in the sense that 8 ml sachet has become a 6 ml sachet and that's now in the base. So, that is kind of an up trade in a sense that you may take it like that. A lot of br idge packs which have been launched in the market, they have already got structured or pencilled in the bases now. So, that is a par for the course going forward, yes.
Sheela Rathi: And just have one more question and I am not sure whether there will be an answer here. But from a portfolio perspective, what would be the share of brands which would be say less than INR50 crores for us? You talked about baby products where we ar e very excited about it's at INR20 crores. But do we have a number here that is what percent age of our portfolio would be less than INR50 crores overall portfolio?
Gagan Ahluwalia: I think we have the number, but we can get back to you offline .

Ankush Jain: We can get back to you with the exact details.
Mohit Malhotra: Yes, I will get back to you, but I think broadly to tell you 7 5% of the portfolio is power brand portfolio. And none of our power brand is below INR 50 crores. So, all are in the range with the exception of Pudin hara which is in the range of around INR60 c rores INR70 crores. Rest all are above INR100 crores portfolio. So, 75% so the rest is 25% of th e portfolio out of which there will be many of them which are more than INR 100 crores, but no t a part of power brand architecture. So, definitely it will be below around INR 20 cro res. If you ask me number of brands, so number of brands will be more than 20 because Dabur has so many brands, but in terms of percentage turnover coming from less than INR 50 crore s brands should be around 10-15%.
Sheela Rathi: This is very clear. Thank you so much.
Mohit Malhotra: Thank you.
Vishal Punmiya from Yes Securities
Vishal Punmiya: Yes, thank you. Just wanted to understand our OTC growth a lit tle better. So, we have impact in our base quarter because of the COVID-related portfolio. But wh en I look at the CAGR performance, it looks like the OTC portfolio has picked up quit e well and is reporting a strong growth even on a CAGR basis. So, what is helping this growth in OTC portfolio and also if you could help with the OTC revenue decline in the base quarter? Th at's all from my side.
Mohit Malhotra: Yes, so I think OTC has got sub parts to it. The first part is the digestive part of the portfolio which is Hajmola is a lead brand there. That has grown by aroun d 15% and that is growing on back of a lot of innovations that we have done in Hajmola. As I told you, Chatcola, LimCola and now Fantola are coming in. I think they should be the ones which should be driving the growth.
Our Pudin Hara portfolio has been a little muted in OTC because of the season. Pudin Hara is more summer-centric portfolio tha t got impacted, that's not don e well. Our Lal Tail, which is a baby care brand, that has done exceedingly well, growing by aro und 15%. 16%. And that is doing well on back of market share gains that we've gained mark et shares in the market from Johnson & Johnson, which is a market lead player.
The fourth power brand is Honitus which is cough and cold that on a higher base has still grown on by 30% odd and it is continuously taking share from other co mpetitors like Benadryl and Torex etc. Then the 4-year CAG

R is around 22% for our Honitus. So, it's year-on-year we are taking share from the market lead player and growing because th e size of the market is very big and we still in terms of market s hare are sub 10% in Honitus br ands. So, there's a huge headroom for growth here. The fifth bra nd is Shilajit. Shilajit is growi ng at 20% 4-year CAGR for us, that is men's wellness, that is a category he is actually growing ve ry well.
Vishal Punmiya: And what was the decline in the base quarter for OTC?

Mohit Malhotra: No, no. There was no decline in the base quarter. It's coming on a high base. In the base quarter, the growth was in the range of -- we can just check.
Vishal Punmiya: Because OTC and Ethicals together regrew by 15%?
Gagan Ahluwalia: No, it might be because of COVID.
Mohit Malhotra: We can come back to you Vishal. We don't have the data readily available, but one can come back to you on the base numbers.
Vishal Punmiya: Sure, sure. No issues. Thank you.
Mohit Malhotra: Thank you very much.
Gagan Ahluwalia: Thank you, Aman. Thank you for everyone for your participation in this conference call. The webcast, audio recording and transcripts of this call will be a vailable on our website. Thank you and have a nice evening ahead.

Call: Nov 2023

Ref: SEC/SE/2023-24
Date: November 06, 2023
To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001^^AAi.^i^Wtfi^^v^&^^r^^f
Tla^r
India Ltd.
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/l, G Block, Bandra Kurla Complex
Bandra (E), Mumbai-400051
BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q2^Y 2023-24 Financial Results
DearSir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on November 02, 2023, post declaration of Financial Results for the quarter ended on September 30, 2023. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
-A^--
EVP (Finance) and Company Secretary
End:as above^
DABUR INDIA LIMITED, Punjabi Bhawan, 10, Rouse Avenue, New Delhi-110 002, Tel.: +91 11 71206000 Fax: +91 11 23222051
Regd. Office: 8/3, Asaf Ali Road, New Delhi -110 002 (India)
PAN: AAACD0474C. CIN: L24230DL1975PLC007908, Email: corpcomm@dabur.com, Webstte: www.dabur.com

Dabur India Limited
Q2 FY24 Results
Investors Conference Call
November 02, 2023

MANAGEMENT : M R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MR. ASHOK JAIN - EVP(F INANCE) AND COMPANY SECRETARY
MRS. GAGAN AHLUWALIA - VP, CORPORATE AFFAIRS
MR. N. KRISHNAN - DEPUTY GENERAL MANAGER , FINANCE

Gagan Ahluwalia: Good afternoon, ladies, and gentlemen. On behalf of the managem ent of Dabur India Limited, I welcome you to this conference call pertaining to results for t he quarter ended 30th September 2023. Present here with me are Mr. Mohit Malhotra, Chief Execut ive Officer, Dabur India Limited; Mr. Ankush Jain, Chief Financial Officer; Mr. Ashok Ja in, EVP, Finance and Company Secretary; and Mr. N. Krishnan, DGM Finance. At the outset, we will have an overview of the

company's performance by Mr. Mohit Malhotra, and this will be f ollowed by the Q&A session.
I now hand over to Mr. Mohit Malhotra.
Mohit Malhotra: Thank you very much. Good afternoon, ladies, and gentlemen. Tha nk you for joining us today for the results call of Q2 financial year '24. While the macroe conomic indicators were showing an improving trend during the quarter, uneven distribution of r ainfall and a deficient monsoon impacted rural consumption in quarter two.
However, we expect the uptrend in FMCG consumption to continue driven by new way channels, MSP increases, sustained infrastructure investments, robust crop sowing and onset of the festive season. Dabur's consolidated revenue grew by 10.4% in constant currency terms and 7.3% in INR terms to reach INR3,204 crores. Our international b usiness grew by 23.6% in constant currency terms and 10.4% in INR terms.
The beverage portfolio in the India business was impacted by un even distribution of rainfalls, especially in North India, which was significant salience in ou r business. Ex-beverages, India business saw a growth of 6%, backed by volume growth of 5%.
Talking about the categories. HPC portfolio recorded a growth o f 5.8% during the quarter. Our Home Care portfolio grew by 15%, led by a strong double-digit g rowth in our Odonil and Odomos brands.
In the mosquito repellent category, we saw a strong uptick of 5 56 basis points in market share, taking our share of Odomos to 65%, and our air freshener portfo lio also saw a gain of 164 basis points. Dabur Red franchise grew at a high single digit and the recent introduction of Dabur Red Bae Fresh gel is showing good traction in the marketplace. Our market share in the toothpaste category saw a gain of 20 basis points. Hair Care recorded a hi gh single-digit growth in secondary terms, and our share in Hair Oils improved by 143 bas is points to reach a level of 17%.
The Healthcare portfolio recorded a growth of 5.4%. We gained m arket share across the Health Supplements portfolio with Chyawanprash seeing a 45-bps gain an d Dabur Honey gaining 64 bps improvement during the quarter. The Digestives category saw a growth of 18.1% on back of robust performance of Hajmola franchise. OTC portfolio witne ssed 8.4% growth during the quarter, driven by Lal Tail, Honitus and Dabur Health juices.
E t hi cal p ort f ol i o r ecor d ed an 8 % g r owt h i n t h e q uar t er . Ou r r ec ent initiative of setting up a Therapeutics division is doing well, and we saw baby care sales double and the Therapeutics division recording a double-digit growth. While beverage busine ss saw a 10% decline during the quarter, food business under the homemade brand performed v ery well with a growth of 40%.

This was further bolstered by Badshah acquisition, which saw hi gh-teens growth during the quarter. Despite the high inflation in spices, we remain commit ted to exiting the year with a run rate of INR500 crores coming from our foods portfolio. We conti nue to drive our distribution initiatives. Our direct reach stands at 1.4 million outlets and should increase to 1.5 million by the end of the fiscal year. Village coverage is at a strong 1.0 7 lakh villages being ably supported by more than 13,000 Yodhas.
The Edge score, which is a marker of the efficiency of the dist ribution, continues to see improvement

and has seen further improvement by 12% in the quar ter.
Now coming to our International Business. With moderation and i nflation and distribution changes in the international business, the business has seen a strong recovery and registered a 23.6% constant currency growth.
This was driven by a notable increase across regions with MENA region growing at 18.4%; Egypt business growing at 35%; Turkey at 78%; and Bangladesh re cording an 11% growth. Our focus on innovation and customer-centric strategies has enabled us to gain market share across categories and countries.
Recently, we made a disclosure regarding litigation against our U.S. based step-down subsidiary, Namaste LLC. Let me assure you that this does not concern any o f our Dabur brands or products. This litigation is against the entire hair relaxer industry pla yers, including L'Oréal, Godrej, SoftSheen Carson Namaste Labs, Av alon, Revlon and so many more.
Where it has been alleged that the use of these products leads to harmful effects to health. Namaste disputes the same and stands by the safety of its produ cts. The case has been filed based on an incomplete and an inconclusive study and has absolutely n o legal merit. The portfolio in question is less than 1% of our consolidated revenue and we hav e a product liability insurance in place. The matter is subjudice.
Coming to the consolidated profitability during the quarter. Ou r gross margin saw a healthy expansion of around 300 bps as we saw material deflation during the quarter. In line with our stated strategy, we have increased our A&P investments by aroun d 43%. We believe that media

investments are essential to drive long-term sustainable growth and maintain our market leadership.
The consolidated operating profit recorded a growth of 10%. Exc luding the one-off exceptional legal costs, our operating profit grew by 16% and consolidated PAT increased by 14.1%.
Overall, the demand scenario is improving. The onset of festive season augurs well for our business, and we will continue to drive profitable growth acros s our business verticals backed by investments in our distributi on network, brands, manufacturi ng, digital organizational capabilities.
With that, I conclude my address and open the floor for more Q& A. Thank you.

Abneesh Roy from Nuvama Institutional Equities .
Abneesh Roy: My first question is on Home Care. So clearly, you start this q uarter with double-digit Y-o-Y growth and four years CAGR. My question here is not on Odonil. My question is on Odomos. So other HI players have pointed towards in-home consumption be ing weak, which I think in your case is more of out-of-home , but still wanted to understan d, are there any learnings from this part of the business, which is growing double-digit Y-o-Y and on four years to some of the laggards of your business? And second, this 560-bps gain in mar ket share for Odomos, on what number is such a sharp gain, what is driving this? And your rec ent foray in terms of the in-home mosquito essentially LVPs, any initial success if you can share ?
Mohit Malhotra: Right. So firstly, I think Home Care is a category which is und erpenetrated in the country. And I think because the category which is underpenetrated, there is a tailwind of growth which is happening as the country is urbanizing and from metros to mini metros to Class one, Class two towns, the penetration is moving up. And post-COVID, there's op ening up of the market, that's why, rightly pointed like you did, that Odomos is more out-of-h ome consumption as kids move out and there is a learning.
So what is the learning across the category in our juice busine ss. Our Real Juice business was in-house consumption. As we got into PET bottle with out-of-hom e consumption, it's catching up. So cross-category learning i s there, but that's sort of a l aggard. Out-of-home consumption i

s
really actually catching up well. So is there a learning in Ski n Care also, which is a laggard at the moment. As far as our extension of Odomos into LVP is conce rned, early days yet. Most of our distributors have already taken insecticide licenses, and w e are rolling out LVP across the board all India.
As of now, we've garnered a turnover, we've just been two month s since we've actually rolled out and a turnover of roughly around INR4 crores to INR5 crores , but the category size is around INR2,500 crores as compared to a very small size in which perso nal application creams operate.
We expect good acceptance of this brand extension into LVP beca use the awareness of the brand is very high. So that's where we are on Odomos and the insectic ide category.
Abneesh Roy: Mohit, my second question is on the beverage business. So in Q1 , the performance of the cola companies and your performance was in a very tight band, both w ere weak. But this time, I see a very big disparity where both the pan-India national cola com panies are double-digit kind of growth and you are at a double-digit decline. I understand it i s not a like-for-like portfolio, but for the customer, it is broader form of a bit similar consumpti on.
So here, is it a one-off? Is it because of festival impact? I k now you alluded towards the North India on an overall company basis, but is North India impacting this part of the business more? But can any proactive steps be taken so that we can close the g ap in terms of performance with the overall beverage in terms of the cola companies what they a re seeing from a medium, long term, can you close the gap in terms of performance?
Mohit Malhotra: Right. Abneesh, I think festive season impacted us. The festiv e season has shifted by around 20 days. So a lot of loading, which happens during the festive sea son, did not happen as far as the

beverage business is concerned. And North India got impacted by incessant rainfall, which happened in the month of July. So the business got impacted in the month of July, and we could not cover that up in the month of August where rainfall was low er. But in September, again, the rains kind of caught up and therefore, the loading and the supp ly chain got impacted.
And north so much because north contribution to the business is more than around 50% for us.
That was one factor, festive season, north rainfall. And the th ird factor was that there is a new player called Storia, which has entered the market which is in coconut water. Our coconut water business got impacted because of that one player.Storia impacte d our market share in the modern

trade as far as the coconut water is concerned. So we are rampi ng it up.
We are putting in a capex worth around INR30 crores toINR40 cro res. So that the next season, we are able to catch up with the PET bottles in the real wherei n coconut water can be launched. While we launched a Tetra Pak, but Tetra Pak in coconut water h as not shown us as great a response as may be a transparent aseptic PET bottle. So we are putting up a Capex for aseptic PET bottle to try to cover up the lacuna that we faced in the f irst and the second quarter.
Abneesh Roy: Sure. And last question will be on the legal thing which you me ntioned on Namaste. You mentioned product liability insur ance is there. So two sub ques tions there. In terms of the legal cost, I think, which is fairly large, fairly substantial, any p art of the insurance claims can cover that also. And second is, I understand it's an industry-wide im pact. So is the collective action also being thought about because a lot of these are company-spe cific, but then it's a larger industry-wide also. So any industry-wide action, which can lowe r the legal costs, which can lead to faster solution? Anything of that sort can happen?
Mohit Malhotra: You're right. We have a product liability insuran

ce in place. T hat insurance actually covers any
claims or damages arising out of the legal speed, the estimate of which is not known as yet because we are still in the discovery phase and the final scien tific phase and the legal proceedings, court proceeding will determine all that, which is still little time away. It may take another four to six months for that to happen, but we've starte d incurring the legal costs.
While the insurance is covering a part of the legal cost and so me part, we will have to bear. There is a ceiling and the cap on the legal costs there. That's why you see an expense which we have incurred. We've incurred an expense of around INR36 crores in the quarter. But initially, in the discovery phase, expense was higher. Going forward, we e xpect the expense to be lower in the range of around INR20-odd crores per quarter is the expe nse that we estimate going forward, but this is our estimation of the expense.
As far as the joint legal pursuit is concerned against the lega l case, we have our lawyers and other company lawyers in the industry have got together and cre ated a forum called the joint defence group and they are all working together towards fightin g this case. There doesn't seem to be any legal merit to the cas e because it's based on an inco mplete and an inconclusive study, which has got published in a journal, and that is becoming the basis of the legal suit. In the past also, a couple of cases like this have happened and we have a p recedence, which works in the favour of the defence, which is us, and we are very confident o f winning this case.

As far as Namaste is concerned, we have safety studies in place , which are material in this case, and our products are safe. We and Namaste LLC maintain that our products are absolutely safe and do not harm the consumer health. And this kind of a product has been sold for people of African origins for generations together. And we don't see any legal merit, but the cost will have to be incurred for a time. That's how the legal landscape is ac tually set up in America. We have to defend it. And that's why we are trying to defend it with ca pping of the cost as I just alluded to. If I missed a point, Mr. Jain, you could add on. Yes. So th at's pretty much from our side, yes.
Abneesh Roy: One last question on the India business. So essentially, India' s largest biscuit company today said that even demand situation is challenging. So in that cont ext, spending too much on advertising or say, promotion, doesn't make sense. In your case , 40% plus advertising spends are happening. I understand many other HPC companies are also s harply ramping up and foods is different.
But what would be your thought process given your volume growth , 3% or ex of beverage, say, around 5%, 6% is not something very high. So is -- are we now a t the peak of the advertising spend? So if you could comment on that. And which categories ar e seeing more in terms of the ramp-up on a Y-o-Y basis?
Mohit Malhotra: Yes. So I think overall situation, you're absolutely right. As far as food is concerned, it's more impulse purchase. So they don’t spend too much on advertising and building a consideration for your brand and saliency for the brand does not make a ton o f sense because more impulse purchase decision is taken on point of sale. Therefore, food co mpanies don't spend. And we also don't spend as much of money in our beverage and our food portf olio. It's more point-of-sale investment.
As far as considered purchases of HPC and HC are concerned, I t hink their advertising becomes very, very important to build the equity and build the brand in to the consideration set. And moreover, bring the brands to the core for the decision-making. T h e r e , w e f e e l i t ' s v e r y important. And in the last one, two years, when the inflation w as very high, we cut bac

k
expenditures. So we are still at around 7.5%to 8%.
We think the band of advertising to sales ratio in this categor y should be around 8% to 10%. So

we will continue to ramp up advertising investments in that cat egory. And in specific, we are talking about more of Oral Care, where we will ramp up, Home Ca re where we will ramp up. HPC categories is where we will look at more growth. And also i n category like Chyawanprash, for which we are having a season.

Because what happens in health care is that attrition happens o nce the season is out and you have to enrol consumers. For enrolling consumers, some top-of-mind a dvertising has to be there. So our power brands will see a ramp-up of advertising and not so m uch in the beverage and the food portfolio, to your point.

Aditya Soman from CLSA

Aditya Soman: So first question on the season. I think you indicated that the season was weaker for juices and Chyawanprash. So are we seeing any sort of pickup in October as we enter the festive season?

And secondly, I think you just mentioned on advertising support for Chyawanprash, so I'm assuming that this will be largely in 3Q and then in 4Q, the su pport goes back to normal levels. Would that be right?

Mohit Malhotra: Yes, Aditya. So absolutely right. So I think season for beverag es was impacted in the second quarter wherein invariably we do loading for beverages for the season to come in the quarter three. This time, because Diwali has got shifted by 20 days, th e loading got shifted to quarter three and whatever we lost in quarter two should ideally get co mpensated in quarter three. I think it's just a shift of season. It is not that season was damp or something. It was just shifting of festivity, which has happened and therefore, loading suffered i n Chyawanprash and some amount of Amla and some amount of beverages, which should get c ompensated in quarter three, I'm pretty positive about that.

And if you look at the quarter three number, October has just g one past, and we've seen our beverage growth at around 10% -odd levels in the quarter alread y started, wherein it declined at around 9% to 10% in quarter two.. So, as far as advertising is concerned, yes, Chyawanprash advertising should and has already started as the winter has st arted in the north. We have started our advertising in Chyawanprash and Honey, and it will continue through the quarter three. And in quarter four, it will again abate a little bit.

Aditya Soman: Very clear. And in terms of Ho me Care, we've seen very strong numbers, in particular, Odonil. Anything to call out what's really driven this -- driven the ma rket share gain?

Mohit Malhotra: So Odonil is in the Home Care category. The penetration of Home Care category is low in the country, as I alluded to before also. And there is a tailwind o f a category growth of around 20%. So it's a great category to be in, and we feel as per Nielsen s yndicated data, also the category is growing by 20%. Our secondary sale is in the range of around 23 %, and its margin-accretive category to us with low competitive intensity. And we have a hi gh capability and a good brand in Odonil.

So we are extending the Odonil brand. So we were present in the PDCB block, from PDCB block, we've extended ourselves into gels. So we launched a gel pocket and the initial feelers from the market, the gel pocket has been received very well. It 's a modern upmarket format, uplifting from PDCB blocks to the gel pocket that is doing cons iderable well in the marketplace. So it's on back of that. In addition, our aerosol format is als o doing well. We've introduced a signature variant of aerosols al so in the marketplace. So room freshener category is also picking up there. So that's wh ere we are as far as Odonil is concerned.

Arnab Mitra from Goldman Sachs

Arnab Mitra: My first question was on margins. So in most of the com

modity b enefit of lower commodity costs already in the quarter. And in the context of you having already done a 20.5% margin this quarter, you're obviously seasonally strong in the Q2. Would yo u now be a lot more confident of holding above a 20% margin for the rest of the year?

Mohit Malhotra: Yes. As far as margin is concerned, we've seen a bit of deflati on, Arnab, in most of our categories. But that said, we have not seen too much of deflati on in petroleum-linked products.

While there is a deflation in packaging, there is a deflation h appening in edible oils. But as you know, the petroleum prices haven't softened to what they were w hen the inflation cycle had not begun. So LLP prices are still not where they were earlier duri ng the COVID or pre-COVID time. So we are waiting for that to actually soften. And we exp ect the margin upside to continue to happen for us going forward in the quarter. I did not unders tand your question very correctly Ankush would you like to add to this?

Ankush Jain: Arnab, what I understood you are saying that 20% will hold in t he rest of year. Is it?

Arnab Mitra: Pretty much.
Ankush Jain: Our business is seasonal. Now our operating margin is based on seasonality also. So Q3, it peaks, but Q4 doesn't really touch 20% or thereabout. H2, we'll have t o see a blend of both the seasons put together, yes.
Mohit Malhotra: Yes. But that said, we have already given a yearly guidance, an d we'll maintain by around 19.5% annual operating margin, and we are committed to this despite t he legal cost, which has actually hit by around INR63 crores in the first half.. Despite the recu rring legal cost that we will have in the subsequent quarters also, we are pretty confident to wha t guidance we have given to the market of 19.5%. We'll be either at that or even better than th at also. We will try as the commodity cycle is on a deflation sort of trajectory...
Arnab Mitra: Got it. Secondly, Mohit, on Health Supplements. That was one ki nd of soft aspect in this quarter where you had a flat versus last quarter being like a 5% growth . So anything to call out for why this quarter was softer than last quarter given that the base w ould be now correcting post-COVID, the impact had started going away. So anything to call o ut why it was weaker? And any specific factors which you think would drive the growth in the second half?
Mohit Malhotra: Yes. So I think on Health Supplements very clearly, I think the default came in from Chyawanprash. Because of the season shifting by 20 days, Chyawa nprash loading could not happen as it happens in the previous years also. So that has go t shifted. So as that gets shifted and the winters have also got shifted, I think it should get co vered up. As far as Honey is concerned, the second big brand in our supplement portfolio, th at continues to gain share and do well. We grew by around 6%-7% in our Honey brand, whereas Chyaw anprash actually declined at around minus 7% only because of the season issue, so which I think in the second half should get covered up.
Arnab Mitra: Got it. And just one follow-up q uestion on the legal issue in t he U.S. So this 1% of the sales that you have, does that sales get impacted in any way because of th e legal challenge or because consumers may be concerned on this product given the case? And secondly, this INR20 crores cost that you said, how many quarters do you think this continu es? I'm just trying to understand the period of time in which the legal expenses have to be borne .
Mohit Malhotra: Yes. So there is a little bit sha dow cast on the business. If y ou look at the overall Namaste business, which is roughly around $45 million to $50 million bu siness. Out of that, around 25% of the business is relaxer business. Only the relaxer business is impacted by this and that is

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inuously getting impacted and there is a delisting, which i s happening of relaxers because of the sentiment being negative in the U.S. market. So that bus iness is impacted.
But over the period of past four-five years, we have created a non-relaxer portfolio, which is now almost 75% to 80% of the portfolio and growing at a faster clip as compared to the relaxer portfolio. So we will expedite t o build and bolster that non-re laxer portfolio. That said, U.S. contributes to around 60% of the business, 40% comes from outsi de of the U.S. That relaxer is not impacted. Even in U.K., it is not impacted. There, we'll co ntinue to compensate the same.
As far as legal cost is concerned, we had incurred a cost of ar ound INR30 crores-INR35 crores per quarter in the first half. But going forward, we are cappin g it. We are trying to cap it at the range of around INR20 crores to INR22 crores per quarter. That is what we've done. We've done some changes as far as our legal attorneys are concerned and al so taking up with the insurance companies, etc.
All that is happening and also working in joint defence group t o cap the legal costs. So that said, invariably such multi-district litigations in the U.S. take inv ariably two years if not more, but two years is what we are trying to see that it should take, and this kind of a cost should continue till the time.
Shirish Pardeshi from Centrum
Shirish Pardeshi: Two questions in the beginning. You mentioned during the CNBC i nterview that there is a rural uptick you are seeing. So specifically, there are two parts of question. One, you alluded saying that the winter has started settin g in. So is the north winter or north rural has seen these green shoots? And the second part is that where the rural problems is still not recovered or below expectation?
Mohit Malhotra: Right. So Shirish, overall, I was commenting upon the overall r ural sentiment. If you look at the syndicated data also and the same thing we are seeing in our bu siness, rural, if you look at past three quarters, we saw rural in the negative territory. From ne gative, it moved to positive at around 0.4 in last-to-last quarter, then it moved to 4%. From 4 %, it's moved to 6.7% in terms of volume. So the trajectory of rural is only getting positive as you are lapping over the lower basis and those lower basis will continue for some time.
And I think rural will continue to gain traction, albeit it's h appening slowly, but it will happen surely. With MSP increases that the government is announcing, w ith the election season coming

up, some softs will happen. Infrastructure investment is sustai ning by the government, direct benefit transfers are in place.

So I think on back of all this and rainfall in the crop proceed ing has also been good for the winter crop. So on back of all this, I think rural will grow. And we h ave seen our trajectory also in rural kind of sustaining. But that said, rural is lagging urban, and we have seen in our business also the new way channels like modern trade, e-commerce are growing at a much faster clip and GT business is not doing so well. If you look at the distribution of how rural is faring, I think rural -
- the worst is in south of India.

In south, rural is getting impacted the most because that is wh ere the monsoon also got impacted if you look at distribution. So south is lagging in rural. Foll owed by south, it is, I think, west and then it is north and east. So that is where we are seeing a lit tle shoe pinching in south for us, at least for Dabur. I can't comment upon the other companies. But South India, for us, is lagging quite a bit. But I think north -- with winter coming in, north should pick up.

And UP, Bihar and central region, Madhya Pradesh, they should t end doing better as compared to the South India. Because in s outh, we are also impacted by a little bit of credit in th

e market
because the money is not there in the hands of the consumer. An d because the money is not there, the credit extensions are also picking up, the payment i s not coming back. So a little bit inventory issues are also happening in our South India.

Shirish Pardeshi: Okay. One follow-up here in the rural part, but you mentioned t hat when the winter is setting in, you mean to say that the winter loading for our products -- our kind of business has now started with the ease in the north.

Mohit Malhotra: Yes, absolutely. Chyawanprash where north is very salient, I th ink, which got impacted in the last quarter, should pick up now.

Shirish Pardeshi: Okay. So now the question on health care is that though second half last year was weaker and base is now becoming normalized. So can we expect against 5% gr owth what we have seen in quarter two in health care should be double or high double digi t?

Mohit Malhotra: I can't say high double digit, but maybe high single definitely as the season is approaching. So high single is what we expect because it all depends upon the p ower brands. Because while the rest of the portfolio is there, that is trending up at around h igh double digit, whether it's ethical portfolio or it's a branded ethical portfolio or OTC portfolio that will continue to grow. But till the time, the power brands like Chyawanprash and Honey fire, I don’t think it's going to get to a high double-digit growth in health care. So Chyawanprash is w here I think the bus actually stops for us. So we just hope that Chyawanprash business trends up well in the quarter 3.

Shirish Pardeshi: Okay. My last question is on the International Business. You've fantastically delivered a very strong growth despite the challenges in the Middle East. I mean , most of the companies are highlighting there is a crisis. But just if I extend your thoug ht, how we should look at second half? If the momentum remains there, the inflation is subsiding , the margin trajectory is also there. So maybe a quick comment on how we should look at the ov erall revenue growth and margin trajectory in the second half for the International Busi ness?

Mohit Malhotra: Yes. So, I think in the topline, we will expect a double-digit growth and a high double-digit growth in constant currency. Currencies that we don't know what kind of depreciation that they will go through. But high double-digit growth is what we are ex pecting in International Business going forward in the second half also. But I will give a caveat here. With the situation developing in Middle East, which is although Palestine is immaterial for u s, we don't have too much of business coming from Palestine, it's a INR3 crores per quarter. That's a very sma ll, negligible business, and that doesn't impact our business. But as the situ ation develops, it's a wait-and-watch situation for us.

As of now, we are not impacted. But if the war spreads to the w hole region, then the business can come into a little bit of frenzy and we will have to wait a nd watch. But at the moment, I think the way things are, I think we are very comfortable to sa y that double-digit constant currency growth will continue. And what we've delivered in the first half, we will deliver in the second half also despite the legal cost, which is hitting Inter national Business only. So this entire INR63 crores hit International Business. And yet, it has delive red the business despite a little bit of cloud on the Namaste business also because of relaxers.

Shirish Pardeshi: Any word on margin?

Mohit Malhotra: So margin, there's a deflationary trend there in International Business. We have seen our gross margins improve by around 600 basis points. There was a 300-bas is point in consol that you've seen in GP going up, but in International it has gone up by 600 basis points because it's entirely HPC business and the entir

e basket of commodities of HPC busine ss are kind of deflationary whether it's petroleum-linked, specialty chemicals or it is a l ittle bit of edible oils that the guys use. So that entire thing is deflationary. This deflation trend will continue and margin upside on gross margin will, again, keep tre nding up in the second half a lso.

Amit Rustagi from UBS

Amit Rustagi: Just on the legal cost, when you mentioned that the legal costs are insured or the impact of outcome is insured, can you elaborate on that? Like whatever co st you will be incurring, will there be any recovery in some of these costs or these are like the legal expenses that cannot be recovered from anyway?

Mohit Malhotra: So there are two elements of legal cost, Amit. One is the legal cost, which will happen, which are the damages, which the plaintiffs will kind of put on to th e company. The estimation for that i s n o t k n o w n , a n d t h a t w i l l h a p p e n a t a l a t e r s t a g e o f t h e c a s e when there will be court proceedings. As of now, the cost that we've incurred is the cos t of hiring a defence counsel and this is a legal cost. And that a part is recoverable, a part is not recoverable out of this. But the majority part of what we've alr eady incurred is something which is really not recoverable.

Amit Rustagi: Okay. And when you mentioned like from the next quarter, it wil l come down to INR23INR24 crores. So will that have some component of recoverable part? O r is it still a non recoverable part going forward?

Ashok Kumar Jain: I have to clarify what happens when the insurance company take up the defence on your behalf. When they take up the defence, they engage the lawyer, kind of an average lawyer or it caps the fee. If somebody wants to defend its position in a better way, they want to engage the best of the layer in the class. So then there will be a certain higher cost than what insurance company reimbursed.

So this is that cost which we are going to incur. Why the cost will be lower going forward is that in the initial phase, there is a discovery phase. A lot of docu ments of the company are studied and the lawyers gain the information and then they submit in th e court. So during that phase, the costs are high. Now that first phase is almost going to be over . So slowly, these costs will come down over the subsequent quarters. Then it will be more of a li tigation cost.

Amit Rustagi: Okay. Okay. Got it.

Mohit Malhotra: Yes. But Amit, just to tell you, for example, an insurance comp any will cover a cost of around $300 per hour for a legal counsel, if we incur a cost of more t han that, that balance has to be borne by the company themselves. And this is that kind of a cos t. And to Mr. Jain's point, I think the discovery phase expense is more and post-discovery fee expe nse will be limited. That's why from INR36-odd crores, it will go down to around INR20 crores.

Amit Rustagi: Okay. Got it. And among the new and like new product launches, NPDs, do you think any material NPD where you think that brand extension is working qu ite well and can be a sizable opportunity for us in the near term? Any new products where you think that we should be very, very -- there is a lot of positivity around that new product la unch.

Mohit Malhotra: Yes. So I think we - in HPC, we rolled out Cool King as a brand . I think first year itself; it will be doing around an exit of around INR20 crores. We launched a B ae Fresh gel as an extension of Dabur Red, that's got great reception in the marketplace aro und INR25 crores turnover that we will do there. LVP extension of Odomos is early days yet, bu t we've launched it on INR10 crores. In health care, we've don e baby care. Baby care on back of setting up an advocacy team, we have already done a turnover around INR20 crores-INR25 crore s. We'll exit the year at around INR50 c

rores turnover.

So I think that's a big call out and is doing exceedingly well. Tea is getting good traction of around INR15 crores we've already done. Hajmola variants that w e rolled out Chatcola, Limcola, etc, have done INR50 crores sales. In food business, our coconu t water introduction in the Tetra Pak has already gone at INR20 crores in the season.

And I think full year, we've also ordered a capex for the PET b ottles that I alluded to earlier, wherein a new private equity players has done well. So I think that as and when we catch the next season, hopefully, in the coming summer, if we are able to catch it, then we should be able to ramp that up. Fizz is doing we ll for us. We've got a turnove r of around INR20 crores in Fizz and PET bottles around INR25 cr ores. These are the call outs fo r the NPDs doing well for us.

Amit Rustagi: Okay. Great. Great to know this. Thanks, Mohit, and wish you an d entire team a Happy Diwali.

Mohit Malhotra: Thank you, Amit. Happy Diwali to you, too. Thank you.

Gagan Ahluwalia: Thank you for your participation in this conference call. The w ebcast audio recording and transcript of this call will be available on our website. Thank you and have a great evening ahead and wish you a very Happy Diwali. Thank you.

Call: Feb 2024

Ref: SEC/SE/2023-24
Date:February 5, 2024
To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001^?AA^-
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India Ltd.
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/l, G Block, Bandra Kurla Complex
Bandra(E),Mumbai-400051
BSE Scrip Code: 500096 NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q3 FY 2023-24 Financial Results
DearSir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on January 31, 2024 post declaration of Financial Results for the quarter and nine months ended 31st December 2023. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
-^^<-, -
EVP (Finance) and Company Secretary
End:as above^
DABUR INDIA LIMITED, Punjabi Bhawan, 10. Rouse Avenue, New Delhi-110 002, Tel.: +91 11 71206000 Fax:+91 11 23222051
Regd. Office: 8/3. AsafAli Road, New Delhi -110 002 (India)
PAN: AAACD0474C, CIN: L24230DL1975PLC007908, Email: corpcomm@dabur.com, Website: www.dabur.com

“Dabur India Limited Q3 FY24 Investors Conference Call ”

January 31, 202 4

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ANAGEMENT :
M
R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MR. ASHOK JAIN - EVP (FINANCE) & COMPANY SECRETARY
MRS. GAGAN AHLUWALIA - VP (CORPORATE AFFAIRS)
MR. N. KRISHNAN - DGM (FINANCE)

Gagan Ahluwalia: Thank you. Good afternoon, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to the Earnings C onference Call pertaining to Results for the Quarter Ended 31st December 2023.
Present here with me are Mr. Mohit Malhotra - Chief Executive Officer, Dabur India Limited; Mr. Ankush Jain - Chief Financial Officer ; Mr. Ashok Jain - EVP (Finance) and Company Secretary, and Mr. N. Krishnan – DGM (Finance).
At the outset, we will have an overview of the company's performance by Mr. Mohit Malhotra and that will be followed by a Q&A session. I now hand it over to Mr. Mohit.
Mohit Malhotra: Thank you, ma'am . Good afternoon ladies and gentlemen. Thank you for joining us today for the results call of Quarter 3 Financial Year '24 .
FMCG sector continued to witness year -on-year improvement in volume growth, a lthough there were pockets of stress du e to liquidity issues and late winters . In fact, the pricing decelerated, as price increases started to come into the base and growth was largely led by volumes.
Dabur's consolidated revenue grew by 9.6% in constant currency terms and 7% in INR terms to reach INR 3 ,255 crores. This was driven by 6% volume growth in India FMCG business including Badshah. International business grew by 11.7% in constant currency terms.
Talking about the categories :
HPC portfolio recorded a 7% growth during the quarter . Oral Care portfolio grew by 8% led by volume growth of 5%. The herbal segment in the toothpaste category outpaced the non- herbal segment by almost 200 b ps, now reaching 31%. The Home Care category grew by around 7%, which was led by double -digit growth, Odomos with a gain of 1067 bps in MRC category, taking our market share up to 65.2%. Odonil brand continued to outperform the category with an increase in market share of 180 bps. Hair Care r ecord ed mid-single digit growth and our market share in Hair Oil improved by 140 bps to reach 17.1%.
The Healthcare portfolio recorded 3% growth for the full year CAGR, YTD of 8.3% . We gained market share across t he health supplement portfolio with Chyawanprash gaining 151 bps and Dabur Honey recording a 33-bps improvement during the quarter. The Digestives category saw 15% growth on the back of strong performance of Ha jmola franchise.
With in the O TC portfolio, La l Tail, Health juices and Shilajit performed very well, while Honitus had a muted performance in the quarter due to delayed winters. Our therapeutic portfolio is performing well and is on track.
In F&B portfolio , beverage business saw growth of around 7% during the quarter. The newly acquired Badshah business saw a growth of 33% driven by focused marketing efforts and a

rejuvenated brand portfolio. We remain committed to exiting the year with the run rate of Rs. 500 crores from our foods portfolio including Ba dshah.
We continue to drive our distribution expansion initiatives. Our direct reach stands at 1.42 million outlets and should increase to 1.5 million outlets by the end of the fiscal year. Village coverage is at strong 1.17 lakh villages, being heavily supported by more than 18,700 Y odhas across the country. Edge Score, which is the marker of the efficiency of the distribution continues to see improvement and has been further improved by around 15% in the quarter.
I am pleased to inform you that the Board of Directors have approved capital expenditure of Rs. 135 crores for setting up a Greenfield plant in South India for capacity expansion of Toothpaste, Odonil, and H oney. This will enable us to enhance our presence in the South and add to our growth in this region.
Now, coming to our I nternational Business:
With moderation in inflation and distribution changes , the international business registered a CC g

rowth of 11.7% during the quarter. This was driven by MENA r egion growing at 14.3% , Egypt business growing at 43% and Turkey business growing at 43.8% . Our focus on innovation and consumer centric strategies has enabled us to gain market shares across categories and countr ies.
Coming to the consolidated profit during the quarter :
Our gross margin saw a healthy expansion of 310 bps as we saw material deflation during the quarter . In line with our stated strategy, we have increased our A &P investments by around 36% in the quarter. We believe these media investments are essential to drive long-term sustainable growth and maintain our market leadership.
The consolidated operating profit recorded a growth of 9.5% with 50 bps improvement in the operating margins and Consolidated PAT g rew by 8%. Excluding the exceptional legal costs, our operating profit grew by 13% with 120 bps expansion in the operating margins. On a li ke-to-like basis, our consolidated PAT increased by 15%. Overall, while the demand scenario is still challenging, we are cautiously optimistic about the future. We will continue to drive profitable growth across our business verticals backed by investments in our distribution network, brands, manufacturing, digital and organizational capabilities.

With this, I will conclude by address and open the floor for the Q&A. Thank you.
Mihir Shah from Nomura
Mihir Shah : Sir, firstly on the H air Oil and O ral Care portfolio , in Hair O ils, Dabur's performance seems to be better while in O ral Care, the value growth now is in line with the market leader, can you share what is working for us in the Hair Oi l portfolio and can this outperformance continue while

in Oral, what steps can be taken to get growth back to a higher trajectory? Is pricing growth under consideration?
Mohit Malhotra: We have a strong performance in the Hair Oil. We have gained market share of 140 bps, and this is a secular growth in all the sub-segments for Hair Oils, I think whether it is coconut oils, perfume oils, cooling oil across the board we gained the market shares leading to substantial improvement in our market perform ance. So, if you look at the Amla portfolio, even perfumed oils have also grow n, we have gained market share. Sarson Amla has also done well . Coconut oils have also registered 50 bps gain in the market shares for us. So, overall, while the primary sales growth is at 4.5 %, our secondary business actually i mprove d further on, and we think the traction will continue . At the end of the day, we have only around 16 %-17% market share. We see headroom of roughly around 80% -85% of the business there for us . Dabur is doing great in Hair Oils and we are pivoting one thing that we are slow in Hair Oils in terms of premium ization. We are stepping the pedal on the premi umization in Hair Oils also and trying to plug the gaps wherever we ar e not present. In the last year, we closed the gap with cooling oil with launch of Cool King and Cool King has attained the relative market share of around 3 to 4% . If the coming summer is great , I think we will again ramp up our cooling portfolio. Ayurvedic Hair Oil which we launched in South India i s also showing t raction and we are launching pre mium variants on e-commerce and on modern trade . That is as far as Hair Oil is concerned . As far as S hampoo is concerned in Hair Care, category is growing by 3%, we are growing by around 11 %, thereby substantial market share gains there. Our sachet portfolio has gained substantial ground in rural driven by distribution and in moder n trade and e -commerce our large packs are continuing to do well. As far as Oral Care is concerned, our growth is 8% backed by volume growth of 5% as compared to the competitor where it is only 2%. So, therefore we are substantially increasing our penetrati

on. We are the number 2 brand in the country now after the market leader and we placated the #2 player who happens to be a very big player. We plug ged the gap in Oral Care also in terms of Gel. Bae Fresh gel is what we launched in a couple of months back and that has notched up turnover around Rs. 17 crores and gained the market share of about 1% to 1.5% in the Gel category. So, we are also looking at plugging the gaps through the other parts of our portfolio, such as Dabur Herbal which c ontinues to do well, growing ahead of the curve. So, we have grown around 8.8% as far as the toothpaste is concerned and Meswak we have registered a double -digit growth on the back of market share gains . So, our herbal portfolio still a lot of work needs to be done there. There we test market ed ourselves in the South of India and we will be sending our Herbal toothpaste portfolio across India also. T hat is as far as the O ral Care portfolio is concerned. The penetration of the Herbal category has actually gone up in the market and I think on the back of that tailwind , we will continue to ramp up our Herbal Care franchise as well.
Mihir Shah : Sir, my second question is on the H ealthcare portfolio, c an one expect the late onset of winter benefit 4Q sales or will the inventory in the channel be sufficed to take care of the demand? And can you also talk about the progress in the therapeutic initiatives that we had called out earlier ? What kind of incremental sales can be expected and from when can we expect that, s ir?

Mohit Malhotra: Yes, there is not much implication on the weather as well as the Hair Care portfolio is concerned. So, I think Hair Care winter is muted, s o we feel that Hair Car e trajectory of double digit secondary growth for us will actually continue going forward and we will continue to surge ahead of the category growth rate and gain market share as far as Hair C are is concerned and focus on the potential there, l ike I told yo u, 80% market is still there. In Shampoos, o ur market share is only 7% and around 93% of the market is there for us to take and the herbal categories or tailwind on back of that we continue gain shares in Shampoos and also Hair Oils . So, if the summer is good and Hair Care for skewed for us since the summer is good, I think the business will turn up well , but our strategy doesn't change . I think as far as Amla is concern ed our strategy is to have flanker brands but our core brand is Dabur Amla and create moats around that and be present in terms of pack price architecture on all price points of Hair Oils. As far as therapeutic portfolio is concerned , we created this division f or the advocacy , which is also selling the

products and it has grown by around 14.8%, around 15% growth of therapeutic portfolio which is driven by Baby Care, our branded ethical division and also our pharmaceutical division by which we go to the dermatologist. So, that is trending well and doing well.
Mihir Shah : Sir, I was asking for health supplement, the H ealthcare, not the H air Care, sir, the late onset of winter on H ealth supplement healthcare portfolio ?
Mohit Malhotra: No, my mistake, so yes, health supplement business definitely got impacted because the winters have been little muted, contracted and also delayed , so all the three factors in the winter impacted our Health Supplement portfoli o. Basically , Chyawanprash and Honey as we categorize in it . Chyawanprash did get impacted and therefore the growth was very muted. We had a flat growth as well as Chy awanprash is concerned. So, that we put in the store , but one good thing what is happening is that the winter is getting delayed. So, whatever stocks that we put out there to the stock is going to get now lifted in the marketplace and the STRs will get liquidated . The winter is getting delayed, and offtakes

will happen , while the trade will not take more stock. So, the growth will be what the g rowth is in Quarter 3 , but the offtakes will happen going forward in the quarter 4 for us. So, I think flushing out of inventory will happen there . As far as Honey is concern ed, we have seen 11% growth. As far as H oney is concerned, in terms of penetration of the category, Honey category is doing well and we are ahead of the pre-COVID category growth levels also and it has stabilize d. We ha ve gained market shares in Honey by around 33 basis points, and it is doing extremely well for us . So, all the new players who made an entry in the Honey category have been placated by Dabur Honey, and we continue to make good progress on H oney and t he category is also growing well as far as Honey is concerned. We are looking at modernizing Honey. We have launched premium variants in Honey called Organic Honey, Forest Honey, Sundarbans Honey, etc., they are all getting good traction in the marketplace. They is also squeezy brand with multiple SKUs around the marketplace which is facilitating the breakfast usage from medicinal usage to breakfast usage . Our glucose portfolio is also fi ne. Glucose has also increased market share although winter not being the right season for glucose consumption for us . So, that is the health supplement portfolio for you.

Mihir Shah : Sir, one last bookkeeping question, a djusting for the Rs. 22 crores of one off of legal cost and other expenses, the cost has still gone up, i s there any additional cost or will this be the new normal going forward?
Ankush Jain: Just to clarify excluding th e legal expenses , increase in other cost is 10% . But if you see at times phasing of certain expenses can happen , but if you see YTD excluding legal costs our other expenses has grown by only 4%.
Abnee sh Roy from N uvama Institutional Equities
Abneesh Roy : My question is on Shampoo business , it is your star category within your mix, so 11% Y -o-Y growth and 15% CAGR o ver 4 years . I wanted to understand is pricing a big component of this both on Y-o-Y and 4 -year CAGR basis and in terms of the naturals within S hampoo, how would that move within the last four years because the growth seems much stronger than the industry growth rate of 15% CAGR over the last four years ?
Mohit Malhotra: So, I think we have been sustainably growing s o I am commenting upon the recovery. I think it is sustainable enduring growth that we ha ve shown quarter -on-quarter . The re is no recovery here as such. Just commenting on your choice of words ., As far as Shampoo is concerned all the Shampoo business, yes , our growth has been industry beating growth of around 11% and the growth coming on back of both rural and also urban . In rural, o ur sachet distribution has actually gone up and because of sachet distribution, I think this growth has come because we put ahead of the curve rural distribution network and inf rastructure . We are actually riding the infrastructure and that is where the growth is coming. So, sachets are quite sensitive to your point and we are maintaining the pricing . There is no price growth here. It is m ore volume growth, the entire growth is volume growth as far as sachet is concerned . Now coming to bottle , bottle is more modern trade and e -commerce phenomena. We are introducing premium ingredients in our shampoo which we think will… it is early days for us to comment , but I think premium portfolio in bottles should be driving pricing growth. As far as our regular bottle is concerned, we are driving bottle s which is very low , 20% of our overall portfolio and which is continuously growing and gaining market share in modern trade and e -commerce. So, that is as far as and there is a huge headroom in Shampoos to your point because our market share is only 7% here.
G

agan Ahluwalia: And herbal category is still very small.
Mohit Malhotra: And herbal category is strong with the higher gr owth rate as compared to the non-herbal category here also which is basically mirroring the O ral Care. Oral Care, the herbal categor y is around

30% and we feel in shampoo also it has potential to go up to around 30-31% the way it is as far as Oral Care business in shampoo.

Abneesh Roy : My second question is on O ral Care. So, when I compare market leaders performance in Q3, they claim to have grown double digits in toothpaste with the low single digit volume growth,

which implies almost high single digit price plus mix growth, s o if you could tell us what kind of price plus mix growth you would have seen in toothpaste? And second, when I compare your portfolio and toothpaste versus the market leader , clearly, in Premiumization you would need much more products. I do understand the gel , red toothpaste etc. , but if you see consumer in terms of the market leader, the options in terms of sensitive whitening and so many products, would you also now need to think beyond the normal way w hich you are thinking say nat urals being extended to gel etc., t hat is good, b ut is that enough from a 3 -5 years perspective from a premium kind of a market share?

Mohit Malhotra: So, I think very well articulated , Abneesh you are absolutely right. As far as the first part of your question is concerned, volume and value, we have grown 8% in terms of value, which seems equivalent to the market leader , but our volume growth has been 5% implying that we have a 3% advantage as far as O ral Care is concerned. And going forward, we would want to drive our volume and increase our penetration levels, which is the strategy for the core that we do. B ut premiu mizat ion and trying to plug the gaps w here market leader is paving the way, I think t hat is the way and also identifying more gaps in the premiumization is what we would follow. You will see that change as far as Dabur's portfolio is concerned. So, we are working on the same and trying to capture those premiumi zation in the segments, which includes widening, which includes 21.20, which includes g um, which includes sensitive etc. , so our four -year CAGR is around 11% in Or al Care, and we have been growing ahead of the category and we feel natural as a sub segment is growing 200 basis points a head of the non-natural . That tailwind is there and natural plus identified benefit is the way to go in the market. T hat is what …you will see those changes in the next 2 to 5 years . Five year s is a long period. I think in the next year, you will see a couple of initiatives from our side.

Abneesh Roy : Sir, last question is on Badshah, s o Q2 Y-o -Y growth was 16%, which has jumped now to 33% that is a sharp acceleration, but there is a sharp inflation also in spices, s o this good recovery in terms of growth number, how much is because of pricing and in terms of exports and going beyond the two states, what is the status on that ?

Ankush Jain: In terms of volume, volume is close to 20 -22% and balance is pricing, 9 to 10% and currently it is primarily in two states, a bit of export we have started. Th ere is still alignment going on with certain countries, but most of this growth, I would say 90% of this growth is coming from organic sales states only, as of now .There are plans to expand it to other geographies and we are aligning our route to market with the current setup.

Mohit Malhotra: So, just to add to what Ankush has just said, I think huge vectors of growth possible in Badshah, and first of all, as you know, spice is very customized to different region. So, today we are only relegated to the western region and there is a potential of enhancing the portfolio from the western region relevant product portfolio to more N orth driven to

S outh driven which is what we guys are working in terms of portfolio expansion. Then distribution expansion - we are only limited to Gujarat and Maharashtra. I think going forward we will extend ourselves to a djoining

states which is what the plan is to extend it to Madhya Pradesh and Rajasthan also. We will extend distribution there and leverage the Dabur distribution and expand our distribution reach . The third vector is international business. International business to your question has a good potential. Currently it is 5-6% of Badshah sales and going forward it can go up to almost 30%. So, the potential is there. T herefore gradually, slowly, we will be inching up our international business. We are in the process of regulatorily confirming our portfolio to go to markets like US and UK as a regulatory conformance is in place and we have GMP practices. We will start exporting and the demand is there, but we are not able to export there. Then , the fourth vector is our gaps in our pack price architecture. We have gaps in our portfolio in terms of Rs. 5, Rs. 10 packs . I think that has to be plugged also. And then the fifth vector is advertising and demand generation. We have barely done advertising on the western and regional channels. National we have not even started advertising the brand . So, huge growth potential and we see in the category is very big. Our market shares are in the range of around 2 -3%. So, I think there is huge headroom to grow there.

Arnab Mitra from Goldman Sachs

Arnab Mitra : I read the comment on your release which talks about rural growing ahead of urban by 200 bps, this is kind of obviously a bit contrary to what we have heard from other companies. If you could just help us understand, is it specific to you because of initiatives or there are certain categories where you are seeing rural grow ahead of urban and how do you see this pan out?
Mohit Malhotra: So, I think Arnab that is specific to us, so our rural growth is in the range of around 6- 6.5% as compared to urban which is around 3.8% which co nsolidates to around 5% growth.it is growing on back of our initiatives are being taken on back of building infrastructure and our reach in terms of distribution points have moved up from 100,000 to 1,17,000 villages. We have added around 7,000 Yoddhas in past quarter and overall , our Yoddha network has gone up to around 18,700 Yoddhas now. So, I think the playbook for seeding or infrastructure investment in the rural is well on way . As far as direct reach is also concerned, our direct reach has moved up by 2 lakhs , the highest in the FMC G sector and direct plus indirect as far as the reach is concerned. So, around 2 lakh outlet reach has increased. So, that is tremendous. I think a lot of execution has been done and the n to leverage this i nfrastructure that we built, we hav e also curated a rural portfolio, which is accessible price points in all our power brands , so which creates , which is like a portfolio for people to carry in the rural and that has also helped the rural growth to surpass the urban growth for our case. But it may sound that urban growth is muted, but both are urban and rural growth is ahead of the category growth. Even in urban areas we have actually increased market share and our growths are higher than the FMCG growth in urban in our respective category. There it is up by 100 basis point s and rural it is up by 400 basis point s from our subscribed category growth rates. So, that is where we are.

Arnab Mitra : And just a follow up on that sir, this rural expansion that you have done , do you see this as a continuum where you continue to expand over the next few years or with this expansion, you now take a pause and try to get more throughput and use this infrastructure better?

Mohit Malhotra: So, not really, I think we are on a path to only expand the distribution, there is a huge headroom and a lot of FMCG big boys are actually paving the way and showing us, the best-in-class examples and we have to just follow those examples and not much brain work happens here. So, there are 6 lakh villages, we are barely reaching out to 1.10 lakh villages , we have targeted ourselves to go up for 1.2 lakh villages going forward. Next year it will be 1.3. So, we will keep adding the number of villages here and the Y odha network and the playbook like I was saying is already in place for us. Portfolio has been curated, so we will be addin g the price points in the portfolio to leverage because Rs . 5 is now Rs. 10, Rs. 10 is now Rs. 20, so the pricing ladder has to be created for the rural and that is what we are looking at which helps us increase the penetration. So, this journey will continue in the rural growth . And there is no question of taking a pause and consolidating the rural . I think expansion will be the name of the game in India and across geographies whether, even for South and I think there is a huge pote ntial to grow.
Arnab Mitra : And my last question is on margins. So, in the last two years, we have seen the fourth quarter margins suddenly to be much lower than the first 9 months because of probably some phasing in other expense s, so just wanted to understand, like your first 9 months EBITDA m argin has been 20% despite the legal cost being there , is there any reason to believe this margin would be much lower in the fourth quarter because of phasing or the last two years for aberrations? Because this change wasn't there in the previo us pre -COVID period as we have seen ?
Ankush Jain: Yes, so I think first of all, y ou can't see sequentially our margins. The margins are in our business pretty seasonal. The last quarter is heavier on certain product mix and hence it is lower. So, it can't be 20% even in Q4 and if you see our 3- 4 years trajectory that has been the case. Q4 margins are the least while Q3 are the highest because we have Healthcare portfolio and so on and also some bit of expense phasing might happen, but I would summarize by saying that the expansion in margins w ill continue albeit at a slightly faster pace in Q4.
Mohit Malhotra: Yes, and one of the reasons what Ankush alluded to is because of the seasonality, I think our food business becomes more salient because summer loading happens, so the consumption of food beverages happens there. T hat is why there is a little bit of lower margi ns, b ut upside on margins will continue the way you have seen in Quarter 3 because the raw material prices continue to be benign . We have already given you guidance of around 19.5 margin and any upside in gross margin will be deployed into media . We continue to do the same and make all of the efforts to reach to 1 9.5% mar gin despite the legal cost hitting up of around $10 million which is what the legal cost in YTD. I t might go up to around 10 -12 million actually. So, despite the legal cost, we are making all our efforts to reach around 19.5.

Harit Kapoor from Investec
Harit Kapoor: I just have two questions. I just wanted to get your sense on what is your prognosis and we were given almost 46% of the India portfolio is there , yourself are doing well , but the market as a whole has continued to be challenging. In the last one year most of the comments of F MCG companies have suggested that recovery is likely, maybe near to medium term, but it hasn't really come about , where do you think are the top two or three key indicators there that can turn to make this slightly more f ull-fledged recovery in the rural market, just wanted to get your thought on that ?
Mohit Malhotra: So, I will try to answer the question. So, please interrupt me in case I don't a

nswer your question.
I think the rural if you look at the rural , it got impacted and if you look at the FMCG, growth in urban and rural, rural actually has gone down in the past two quarters now. And I think my hypothesis or my prognosis is that it has gone down because food inflation has started once again or has not abated. So, if you get fruits, vegetables, spices, cereals, etc. we have seen inflation pick up in the range of around double digits now and when it is rural, per capita incomes are lower, the incomes are skewed t owards consumption of essentials a nd therefore discretionar ies gets impacted and that is why there is a slowdown . We have given a very contrarian sort of results because of the initiatives that are spoken to Abneesh’s question because of village expa nsion, our outlet expansion, our portfolio creation, that is why we could beat to what the market is saying. But that said, there is a year -on-year growth as far as the rural is concerned. That, I think, is a positive sign. If you look at the sentiment, consumer sentiment in the market where rural plays a very big part, that is improving, that is in the region of around 90% and elections are approaching . I think there will be a lot of government investment which will happen on infrastructure which will help rural and also some dole outs should be given by the government to the rural which will only increase the disposable income for the rural pick- up to happen . But the gap, one very positive sign that I have seen once again is and the prognosis is that the gap between the urban and rural is reducing for last three quarters. We saw a gap between urban and rural of 800 basis points, it got reduced to 600, to 400. N ow it is only 200 basis points, if you see. That is the difference. So, as the gap narrows between urban and rural with price going up, I think rural recovery is imminent to happen in the country but for one or two quarters . We will see the rural recovery is on way and election I think will only help the rural recovery and also will help the urban.
Harit Kapoor: And one short question, you ha ve dealt with this legal issue for the last two quarters, at least a few months now , just wanted to get your sense on where we are here and any visibility on how long we may have to kind of deal with these three quarters , six quarters, eight quarters, any sense on that?
Ankush Jain: So, Harit, I think it has been now two -three quarters, while our teams have been in engagement with the lawyers. They have been in the middle of discovery phases, discussions with the lawyers , etc. , but one or two positive news I can share. The courts have decided on corporate

separateness, which means that the case is now restricted only to product s sold in US by Namaste Legal Entity. So, any of the Dabur affiliate or Dabur products are out of the scope of this case, which mean s it impacts way less than 1% of our turnover any which way, and it is only restricted to US as of now, and not for products sold anywhere else in the world. And even Namaste products sold outside of US are outside the purview of the legal entity. That is a positive development while we are still in discus sion and some bit of relief we have.
Sheela Rathi from Morgan Stanley
Sheela Rathi : Just extending to the previous question on the litigation related issue, just want to be sure that with respect to the legal cost, is there any change in terms of how we should see the impact on the P&L, at least for the next 3 -4 quarters?
Ashok Jain: We have in the recent past changed our lawyers. Earlier we had one of the lawyers whose fees were much higher than the present lawyers whereas in the effectiveness of the two lawyers, they are as competitive as the earlier ones and the cost with effect from say October onwards has already reduced. And we do not see that th

e same cost will be there in the financial year 24 -25.
It will be lower than what has been in this current financial year, 2023- 2024.
Sheela Rathi : If you could just give us some idea as to how much that would be?
Mohit Malhotra: As you see, roughly we are spending roughly around Rs. 20 crores is the cost that we people are incurring, so that cost will remain for the time till the case actually is lasting , but we already have product liability insurance in place. This cost is pertaining that we are incurring is pertaining to the lawyer fees, which is what we are incurring from our pocket , but any cost that comes in as outcome of the final judgment of the case, just in case, it comes will be covered by

the insurance and we have a product liability insurance in place for that.
Ashok Ja in: And even on that I will add to what Mr. Malhotra said, the legal costs are also covered under the insurance policy. Currently to be on the conservative side, we have provided the full legal cost and whatever recovery we will have from the insurance company that will be as a profit to the company.
Sheela Rathi : My second question again is a repeat on rural trends. Mohit, I just want to understand, are there specific markets for us, I believe particularly North India, which have been doing well for us? Is there any particular insight you could give us for us to be lieve that this trend will continue even going ahead? I understand the distribution expansion which we are talking about and a rural portfolio which we have created , but is there anything more detailed which you can help us to understand that this quarter we have seen 6% growth, and this is the gap we should continue to believe that it will continue even going into the ongoing quarter as well as the next?
Mohit Malhotra: Yes, as far as the geographical mix, Shee la is concerned, I think our stronghold remains North India and East India. So, in East India and North India, which is also a rural salient kind of

geography, there we have made substantial progress in terms of our tentacles expanded and our footprint expanding here in the rural and that has actually given us the good growth. That said, even on back of Badshah distribution and now Ba dshah and Dabur is going into rural W est, I think on back of that, we are saying the rural actually reached the people in W est. South was a little not so great for Dabur because we don't have that kind of a brand to begin a strength in South. So, that apart, but the major p art of the business, South only contribute s to approximately 20% of our business, 80% of the business comes from the other pa rts of India, where our rural distribution coupled with our brand equity and coupled with our portfolio creation has really worked well for us. And also advertising that we have increased by around 30% in India, helped offtakes to happen in the pan India Hindi belt so we say. So, I think it is more UP, MP, Bihar,
Rajasthan, Maharashtra, I think that entire belt is pretty salient for u s now there. I hope I have been able to address this .
Sheela Rathi : And just the third question and the final one is with respect to us g aining a very strong market share with respect to the Odo mos and Odonil portfolio and if we could also touch upon LVP (liquid vaporizer) , it would be very helpful.
Mohit Malhotra: Sorry, Odomos, Odomos is the last ha lf of the question I couldn’t gather?
Sheela Rathi : I saw that brand name on the presentation. I think that's your liquid vaporizer.
Mohit Malhotra: LVP, I get you. So, the earlier strategy for the business was to keep us as restricted to Odomos personal application product cream, which was the product application, dermatology application and we have changed our strategy from not just restricting to a small market of personal application creams, to increasing the addressable market to

the larger market. That is where we
have extended Odo mos from a personal application cream to oils now, to gels now, to also now LVPs now. So, as far as Odo mos is concerned, i t is a mosquito repellent for us and that is the market that we are addressing. So, it is like a HI market for us that we are expanding itself to. On the back of that strategy, I think premiumization is working on Odomos for us and also format extension. On back of that, there has been a huge growth and thousand b ps gained in the personal application category be cause all these extensions are added back to the mother brand and the mother brand is adding back to the extensions also. So, it is working very vi rtuously for us. As far as Odonil is concerned, we are again doing the same thing in the air freshener category . We are extending ourselves to all the formats. Earlier, Dab ur was only restricte d to Odonil blocks , which are basically toilet air fresheners. Now we have extended ourselves to air fresheners for rooms. We have extended ourselves to gels. We very recen tly added a gel pocket in it, which has done exceedingly well. Zipper pouches have done well , so all our innovations are actually firing. We are looking at driving solutions also here. So, all back of all that, I think the business is really trending well. Our NPD in overall home care would be in the range of around 3 to 4 %, but under the power brand architecture, we don’t require additional investment. So, when we advertise a new variant like an LVP, we have just taken Kajol on the brand, and I would request the investor team to share the creatives of Kajol with you on LVP also to the

entire community. That is really adding back to our Odomos . We have generated, it has just been around the three months that we launched it and we have generated a business of around Rs. 7.5 to Rs. 8 crores on LVP and that is our strategy which is firing in the home care for us here. And in Odo nil there is a pathway for premiumization to happen , we hav e also introduced diffusers. So, if you can go to Amazon, you will find Odonil diffusers now. They ha ve got listed on

Amazon, and that is the news that we got today. So, that will be very premium in adding to g ross margin. Likewise, all our key power brands will have premiumization as we speak by value - added products being introduced in them.

Shirish Pardes hi from Centrum Broking

Shirish Pardeshi : On slide 9, your comment is newly set up therapeutic division has reported double digit growth, so I think last time when we met it was a lot of excitement we have seen around , so maybe if you can give more color what is the depth, what is the distribution, what are the products which are firing and maybe more color on that what is more needed to do in that newly carved out divisions ?

Mohit Malhotra: So, Shirish, there is still a lot of excitement around it. As you know, Philippe has joined us, who has been appointed as the Chief Executive of Himalaya. I think the news becomes old, but the excitement still remains. So, I think there is no lack of excitement here. Philippe is driving the business very well. W e have created this advocacy vertical in which we are actually creating a bridge from Dabur to the allopathic doctor. Till now our connect used to be the Ayurvedic doctor. The change of strategy is that we will now do advocacy to allopathic doctor. It is going to be a slow burn, but surely a good return business in the long term. In one or two, three years, we will be able to bridge the gap that we had between the doctor and Dabur and Dabur ought to be considered only as Ayurvedic, but as a scientific Ayurvedic organization selling and doing advocacy and providing science of efficacy to the allopathic doctors, which is one of the reasons why they don't subscribe to complementary or supplementary medications to al

lopathic medicines. So, that was the whole logic of the strategy of building this advocacy vertical. We merged our Pharma division with our branded ethical business and also our Baby Care business , so all the three have been clubbed together. W e are selling therapeutic dermatology products here and we are selling Baby Care products, and we are selling our branded eth ical products in addition to single herbs and nutraceuticals through this portfolio. This portfolio is doing very well. We ha ve got growth of around 40 -50% on us, whereas the division has just come in place and we are looking at incremental turnover coming from the two.

Ankush Jain: So, I think, Shi rish, almost Rs. 95 crores we have done so far in 9 months, 30-35 cr average per quarter . And YTD growth is almost 21% of the whole portfolio while Q3 is 14%, the YTD growth is 21%.

Shirish Pardeshi : Ankush, on the margin front though Mohit has said that we will maintain between 19 .5-20%, but at this point of time if I nee d to check which are the raw material s looking inflationary or maybe if you can say that how much is the deflation which you are seeing?

Ankush Jain: So, in the current quarter in India we have almost 4% odd of deflation while global level we had 2% deflation. Going forward, while the mix of inflation is changing , it is moving . The inflationary trend is more towards food and imported concentrates etc. and spices. While we see that this should remain broadly this way at least in this quarter and the gross margin expansion, which was around 400 bp s in India, consequently, should also remain slightly in this range, though it may moderate given that price increases overlap have broadly happened.

Ankush Jain: And deflation will start coming into the base a nd most of the HPC categories, like mustard oil, oils, etc., LLP, most of the deflationary benefits have been come so far and some bit of it will remain in Q4 as well. N ext year's budget we are still in the process of making, so it will be too early to say .

Shirish Pardeshi : That is helpful, Ankush, but I was just trying to understand if this is the stability which we are seeing, is there any room for price inflation next year we have budgeted?

Ankush Jain: Price increase. Again, I think it is too early to comment on this point. Price increases, definitely will come. We continuously benchmarkour products with competition also. Wherever we are market leaders, we increase our prices plus as Mr. Mohit said, there will be a lot of premium ization opportunities as well. So, a combination of that will lead to some price increases , but ye s, it will moderate. We have also taken roughly in this quarter, including the overlap, around 2.5% of MRP -led price in creases. Part of it will also flow in the next quarter.

Mohit Malhotra: What Ankur mentioned in addition to that, w e have just taken a price increase on our foods portfolio, which is inflationary. So, in juice portfolio we have just taken a price increase, a fresh price increase. So, I think price increases going forward in the year will depend upon how the inflation is actually trending. If the inflation goes up in the food business then that portfolio will have a price increase. But as of now, for foods portfolio and spices portfolio, the rest of the raw material and the packaging material is benign for us. So, we will see expansion of gross margins on the back of the benign material cost .

Vishal Punmiya from Yes Securities

Vishal Punmiya: Just two small questions , firstly, o n the e -commerce business, what has been the growth in 1 H for the business and what is the contribution?

Mohit Malhotra: Yes, e-commerce business in the current quarter, the contribution was around 8.5% and the growth is around 20% in e -commerce. This was a muted quarter as far as the quarter is concerned, but otherwise YT

D you see contribution of around 9% to 9.5% coming from e -
commerce for us and the growth will be higher in the range of around 30%.

Vishal Punmiya: And secondly, there have been a lot of media news regarding FMCG companies becoming slightly aggressive in terms of activations in the region of Ayodhya, and we have also launched spatial identification packs , but apart from 4Q benefit, do you se e a sustainable benefit in FY25 in this region?

Mohit Malhotra: Yes, Hindi Heartland is the core for Dabur, and this is like we invest behind power brands. These are our power markets. So, we will continue to invest behind our power markets, and they give us the maximum bank for the buck in these markets. And the entire UP belt, the East UP and West UP and East UP more, East UP and Bihar more have a very high salience of Dabur. So, we will continue to invest in our core markets. They are absolutely core for us and we feel that these activations will only give us a long-term enduring gain going forward.

Vishal Punmiya: And this would be across the portfolio or is there any particular portfolio which is slightly more biased in this region?

Mohit Malhotra: So, we are basically taking the power brands only. Within power brands, Our Red Tooth paste and Dabur Amla are the most salient because Ch yawanprash and H oney becomes seasonal for us. In the power brand, this is more salient and juice saliency is also low in this region. So, it is basically the HPC portfolio which is more salient here.

Vishal Punmiya: And lastly, just one clarification on the margins comment that you made earlier . so last year base obviously was a very low base quarter in terms of EBITDA margin in the region of around 15%. So, while I do understand that seasonally it is a lower margin quarter, but there would be a sharp increase in margin even if you build 19.5% margin in FY24?

Ankush Jain: Vishal , it is the question of Q4. As I said earlier, you c an see some margin expansion . Q4 obviously is a different product profile and hence it is slightly lower than the overall first nine months margins. Having said that, our assessment at this point of time is that the expansion in margins would definitely be higher than what it has bee n in past nine months. So, if our expansion in margins, including the legal cost is 50 bp s as of now. In quarter 4 it will be higher than that.

Priyank Chheda from Val lum Capital

Priyank Chheda : Sir, my question is on the Ayurvedic or the therapeutic strategy that we had discussed while we met in the investor annual meet and I just want you to touch base upon the incremental sales that we were targeting , so from Rs. 2,500 crores to Rs. 5,000 crores, this is the incremental sales of Rs. 2,500 crores over 5 years, how will this be divided across the existing categories and also the new categories like Baby Care, Tea and the therapeutic, allopathic side? If you can help me on that, wha t has been the progress in terms of any numeric da ta that you would like to share that you would want us to track?

Ankush Jain: Right, so I think NPD contribution is innovation contribution, the growth will actually from the power brands because there you are already listing out the 4 -5 power brands that you already have in t he healthcare portfolio Like Honitus will drive the cough and cold, Hajmola will drive the digestive s, Hajm ola is there, Chyawanprash is there, Honey is there, these are the power brands and most of the growth will be centered around these power brands. NPD contribution will be in the range of around 3-5% is coming in, which will be driven by more Baby Care. Baby Care, we have already notched up a turnover of Rs. 27 odd crores, which is almost double of what we have done last year this time. So, that ha s done well for us. Then branded ethical di

vision, which should contribute to the growth . We have introduced Chai Tea. Dabur Vedic tea has introduced a turnover of around Rs. 10 odd crores and that is doing well and showing good traction in the marketplace. MFD is what we have introduced that should also come in and help us in the growth. The N utraceutical verticals that we are adding to the therapeutic divisions is selling that and that should notch up in terms of sales and pretty much, so I think around 3.5 % to 4% should come in from the NPD and rest will be the power brands in the healthcare portfolio should contribut e to that growth in healthcare .

Priyank Chheda : And if I heard it correctly, the therapeutic division is right now contributing Rs. 95 crores over the last 9 months, which means that we are at a run rate of Rs. 25-Rs. 30 crores per quarter , am I correct?

Mohit Malhotra: Rs. 35 crores per quarter, correct .
Priyank Chheda : And we had a team which was working with Philip e Hayd on and the team, which was going to target the doctors , what is the count if you can help me with that? We had 500 people recruited for that and what has been the increase in doctor coverage? I mean numbers on that if you want to highlight .
Gagan Ahluwalia: I think that the numbers have not changed significantly right now, but we are on the track of slowly increasing our coverage. We are right now consolidating the processes and the system.
And by the end of the year, we will be able to give you a better upda te on where we stand on the coverage.
Priyank Chheda : Does this mean that FY25 will have significant developments done on this whole of the therapeutic segment linked to the power brands? Should we see more developments happening and more action happening in FY25?
Gagan Ahluwalia: Yes, certainly there will be new product launches, there will be ramp -ups of therapeutic division and of course a lot of investment behind power brands which will help us move towards our objectives for the next year.
Priyank Chheda : And just a clarification again , on the Rs. 35 crores per quarter run rate or Rs. 100 crore sales via therapeutic segment are something which was not there in the previous years before we activated this new category or new segment , correct?

Ankush Jain: No, Priyank, it was in the base as well, but because of the enhanced focus, the growth has been around 20-21%.
Gagan Ahluwalia: Accelerated.
Ankush Jain: Yes, it has accelerated our growth . So, it was in the base, and the growth has accelerated.
Priyank Chheda : The sales were there in the base, but because it is going at 30%, so we should consider that it was earlier Rs. 70, Rs. 80 crores, which is now Rs. 100 crores ?
Ankush Jain: Yes, correct.
Mohit Malhotra: We are reaching out to pediatricians, GPs, dermatologists and gynecologists. So, in the quarter, the number, if you want to know, 22,000 is the number of pediatricians we reach to and around 12,000 are the derma ts and around 22,000 are the gynecologists that we reach out to and that i s what , so around 70,000 -75,000 doctors broadly totaled is what we are reaching out to. And the universe is obviously very huge, so we are just scratching the surface and this we are reaching out with some addit ional recruitment and with the existing team. We will be adding personnel as the portfolio keeps expanding and recently we have added more people . So, that is broadly .
Exact numbers I think as we are preparing the budget, we can s hare with you in the next concall.
Gagan Ahluwalia: Thank you everyone for your participation in today's learning call. The webcast, audio recording and transcript of this call will be available soon on our website. Thank you and have a nice evening.

Call: May 2024

Ref: SEC/SE/2024-25
Date: May 8, 2024
To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001
BSE Scrip Code: 500096y^^r^
T^Sur
Mndla Ltd.
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/l, G Block, Bandra Kurla Complex
Bandra (E), Mumbai-400051
NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q4 FY 2023-24 Financial Results
DearSir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 2, 2024 post declaration of Financial Results for the quarter and year ended 31st March 2024. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
-(-^4^
(A' K Jairt)
EVP (FMance) and Company Secretary
End:as above

Dabur India Limited
Q4 FY ’24 Results Investors Conference Call
May 02, 2024

MANAGEMENT : M R. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MS. GAGAN AHLUWALIA - VICE PRESIDENT
CORPORATE AFFAIRS
MS. ISHA LAMBA - HEAD, IR AND M&A
MR. N. KRISHNAN - DEPUTY GENERAL MANAGER ,
FINANCE

Gagan Ahluwalia: Thank you. Good afternoon, ladies, and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to this earning conference call pertaini ng to results for the quarter and year-end of March 2024. Present here with me are Mr. Mohit Malh otra, Chief Executive Officer,

Mr. Ankush Jain, Chief Financial Officer and Mr. N. Krishnan, D GM-Finance, along with Ms. Isha Lamba, as Head, IR and M&A. We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.
I'll now hand over to you, Mohit. Thank you.
Mohit Malhotra: Thank you very much. Good evening, ladies, and gentlemen. Welc ome you to Dabur India Limited's conference call pertaining to the results for the qua rter in the year-ended 31st of March 2024. During the quarter, the operating environment was largely in line with what has been in the preceding quarters, with some uptick in rural consumption, which grew ahead of urban for the first time in the last three years. The input cost environm ent has been largely benign, as deflationary trends continue in Q4. The currency devaluation co ntinued across emerging markets, impacting translated growth in INR.
Climate changes marked by uneven weather patterns, such as unse asonal rainfall, delayed and contracted winters, impacted our seasonal portfolio. We remain optimistic of the gradual uptickin consumption trends over the course of next fiscal year , considering normal monsoon, improving macros, continued government spending and lower infla tion.
In this volatile environment, Da bur delivered a resilient perfo rmance. Our consolidated revenue grew by 10.1% in constant currency terms and 7.6% in INR terms during financial year 2024. Indian business, including Badshah, grew by 7.7%, backed by vol ume growth of 5.5%, and international business registere d a growth of 16.4% in constant currency terms. Our operating margin for the full year reached 19.4%, which is in line with o ur guidance. On a like-to-like basis, the operating margin was 20.2%, an increase of 130 basis points. We continue to see the market share gains in 95% of our portfolio for the full year an d also in the quarter.
During quarter 4, the company recorded consolidated revenue gro w t h o f 7 . 3 % i n c o n s t a n t currency terms and 5.1% in INR terms. Our India business, inclu ding Badshah, reported 5.6% growth, backed by volume growth of 4.2%. Consolidated gross mar gins expanded by 280 bps and operating margins were up 14% YoY. Profit after tax recorde d a growth of 16.2% during the quarter.
In terms of categories, HPC portfolio recorded 8.1% growth duri ng FY24. I will now cover each of the sub-segments in detail. Our Oral Care penetration has re ached 52%. With every second household consuming the other oral care product, we are nationa lly the number 2 player in the oral care category and gradually becoming number 1 in many of o ur geographies. In Orissa, Karnataka, and AP, we are already number 1.. Our strategy of dr iving the herbal category with Dabur Red being the core is working well for us.
Home Care continued a strong double-digit growth trajectory for FY24 led by Odomos and Odonil. We saw our market share in mosquito repellent cream cat egory expanding by 600 bps and in air freshener category it expanded by 260 bps. In line w ith our strategy to increase total

addressable market for Odomos and Odonil, we have forayed into liquid vaporizers and Odonil gel formats.
In the Hair Care category, Hair oil gained 115 bps market share during the year. Our strategy of building Dabur Amla and flanker brands is yielding good results . Our Shampoo Portfolio is continuing its growth momentum and this year we registered a gr owth of 8% led by the Vatika franchise. In skin care, Gulabari grew by aro

und 18% in the yea r led by premiumization
initiatives and extend ing the franchise into adjacent categorie s like body wash.
The Healthcare Portfolio grew by 4.2% in FY24 led by Digestive category which witnessed a strong growth of around 16% led by Hajmola and consequently our market share in the Digestive category increased by 210 bps. I n OTC and Ethical vertical, mar ket share in Honitus and Lal Tail increased by 114 and 70 bps, respectively. Due to delayed and contracted winters, our Health Supplement Portfolio got impacted and was flattish. Howe ver, we have continued to consolidate and gain market share in Chyawanprash and Honey. We are undertaking multiple initiatives like newer formats, doctor advocacy, all weather co mmunication to enhance consumption, relevance, and penetration of health supplements.
Our Beverage portfolio was flat during the year on account of u nseasonal rains during the peak summer season. However, the foods business which includes culin ary products under the H o m e m a d e b r a n d r e c o r d e d a s t e l l a r g r o w t h o f 2 3 . 2 % . B a d s h a h b u s i ness reported a 23.3% growth during the year with gain in market share.
Emerging channels like e-commerce and Modern Trade are the fast est growing channels driving urban growth and contributed to 19% to 20% of the India busines s. Our digital spends have gone up to 30% of our total media spends.
Distribution expansion is a key growth lever. We have expanded our reach to 1.22 lakh villages through 22,000 Yodha's. Direct reach for the company has gone u p to 1.42 million outlets and total reach is at an all-time high of 79 lakh outlets. We have added 2 lakh outlets during the year,

the highest addition among all FMCG peers.
Therapeutic division which is our doctor advocacy vertical is s caling up well and we now cover around 1.1 lakh ayurvedic and allopathic doctors with turnover of more than INR120 crores.
International business grew by 16.4% in constant currency in FY 24 led by strong growth in Turkey which grew by 52.3%, Egypt that grew by 46.6%, MENA mark ets that grew by 12% and Sub-Sahara Africa that grew by 15%. However, we lost 2.5% o f our top line due to currency devaluations.
Let me now talk about profitability. Our gross margins expanded by 240 basis points during the year and 280 basis points during the quarter 4 on account of de flation and cost savings initiatives under project Samriddhi. We remain steadfast in investing behin d our brands and as a result of this, we have increased our spending in A&P by 33%. Our consoli dated operating profit grew by 14% during the quarter and 11% in FY24.

Adjusted for legal costs, our operating profit grew by 16% in Q 4 and 15.2% in FY24 touching 20.2% almost near to pre-COVID levels. Our PAT grew by 16.2% in Q4 and 7.9% in FY24.
Adjusted for legal costs and Badshah amortisation, PAT saw a gr owth of 22.7% in the quarter and 16.8% in FY24.
We are optimistic that with the expected normal monsoons and im proving macroeconomic indicators government spending, lower inflation, FMCG demand wi ll see a gradual uptick primarily driven by rural that augurs well for Dabur. We will c ontinue to drive profitable growth across our business verticals backed by investments in our dist ribution network, brand, manufacturing, digital and organizational capabilities.
With that, I conclude my address and open the floor for any Q&A . Thank you.
Abneesh Roy from Nuvama
Abneesh Roy: Yes, congrats on the good set of numbers. My first question is on beverages. I understand there was a high base and unseasonal rains in the month of March. My question is, if I see even full year, your dip is in fact around 2% and dip is there even in th is quarter. So, wanted to understand in Q1, very harsh summer is projected. So, would you see strong double-digit growth here coming back?
And wha

t would be your target for the full year also? Because the base year is minus two. And what could have gone here better? Because there are other bever age players who are growing much faster. They may not be competing head-on, but they are br oadly in the same segment on the overall level. Yes.
Mohit Malhotra: Thanks, Abneesh Yes, overall, I think beverage was a kind of a muted performance last year. Coming on a high base, like you rightly said, but it could hav e been better. But during the peak of summer, we saw unseasonal rains. Therefore, out-of-home cons umption got impacted. And therefore, juice consumption also got impacted. So, that was a first-quarter issue. And subsequently, also we had some supply chain problems also. We w ere gearing up our manufacturing in the new plant in Indore etc. So, there were so me hiccups in supply chain.
Going forward in next year, I th ink if the summer is what it is now, what do you see? Summer is in Delhi and Bombay. But we see in some northern parts that rainfall is still persisting, and some snowfall is still happening in Kashmir area. So, it's a ve ry high per capita consumption market. But if weather remains, our beverage business should fi re. And we have taken a target of double-digit growth for the f ull year going forward for the beverage business.
And we've seen in the past also. So, as we go through a number of years, if there is a one year down, next year, the beverage business kind of bounces back for us. So, we are hopeful that if the weather supports us, then beverages as a portfolio should d o well for us.
And we've also already made an entry into drinks and aloe vera. So, we are very well prepared in terms of augmenting our capacity also to feed the marketplac es.

Abneesh Roy: Sure. Thanks. My second question is on Badshah. So, one is on the industry leaders like the top two players, they are facing ethylene oxide issue in SGHK. So, does that open opportunity for you? And second, if industry leaders are facing this kind of an issue, is there a risk that given raw material sourcing could be fairly common in terms of the ch annel?
Would you also face that kind of a risk? And second is for Bads hah, how do you see growth in FY'25? I understand a lot of pricing growth has happened in the second half of the year. How do you see margins? Have you passed on fully? And how do you se e overall sales growth in FY'25?
Mohit Malhotra: Right. So, first is this burning issue of ethylene oxide. Now, there are two regulatory bodies as

we see. There is a domestic regulatory body and there is an int ernational regulatory body. The domestic regulatory body being FSSAI. So, whatever mandated reg ulatory norms of FSSAI are there, we are following those norms. And ethylene oxide is not a part of their norms. So, we don't give any radiation to our product when we are servicing t he domestic market with this at all. So, as far as domestic is concerned, we are conforming wit h the regulatory norms of the law of the land, FSSAI. As far as international business is concern ed, there is an Indian spice board. And all our batches go through proper screening in the Indian s pice board before we send it to any one of the export markets. Ethylene oxide is generally radi ated to prevent any microbial growth and this has certain limits. And we are within those pre scribed limits of the spice board. EU very recently has reduced the limits drastically. And that's why the problem happened with the market leaders like it happened. But we guys are within the prescribed limits.
So, we think that we are on the safer side. Whether it opens th e opportunity or not, as of now, nothing from our portfolio has been caught or highlighted. So, to that extent, there could be a limited, I think, upside which could happen if the competitor i s under attack. But I wish them well also. And I hope this issue is behi

nd the entire industry. And that the whole market should
grow because the market is fairly unbranded and there is a huge opportunity to brand the market. And the opportunity is both in international and also in the do mestic.
As far as Badshah growth is concerned we grew by 20% plus last year partially came from price and partially came from volume. Going forward as the inflation, not inflation, but a muted inflation sets in we are single- digit sort of inflation, last y ear to double-digit as inflation, so some price increase happens, some roll back of prices is what we hav e initiated also to spur the volume growth.
And but overall we've taken a value growth of more than 20% in Badshah because a huge upside which is there in geographical expansion and international expa nsion and our portfolio growth in terms of entire arena is happening. And just to allay your f ear on the quality we have also constructed a micro lab which was earlier missing when we acqui red the company. It's now in action.
And we are sterilizing all our export batches. Sterilization is a preferred method of sanitizing your entire produce. So we are in steam sterilization unlike ot her competitors radiating it with lead oxide. I hope I answered your question. Then as far as mar gins are concerned, we think the

margins in Badshah will expand next year because of a little le sser inflation and we have taken price increase although a little roll back will happen, but pre tty much I think margin expansion will happen. So we've taken a higher growth in bottom line as c ompared to top line in terms of targets that we are able to see.
Abneesh Roy: Sure. My last question will be on Oral Care. All the three lis ted players seem to be doing well at least this quarter, you grew 22% on a soft base of minus 3, acu tance of good double-digit growth and market leader also is likely to report strong double-digit growth in this part of the business. So I wanted to understand is the number four player losing mark et share?
Second is South India leading the charge here or is it broad-ba sed growth which is delivering this kind of a double-digit growth? Third is could this be a pr ecursor to revival in other FMCG categories because this kind of a growth for the full year also double digit for this quarter also strong double digits, why other categories are not showing for you and for the other companies also? So could this be a precurs or for revival in other categor ies?
Mohit Malhotra: So first thing, I think the ent ire category Oral Care is showi ng an uptaick if you look at the Oral Care category which is 90% penetration in the country is growin g at around 7.5% which is a very good growth as compared to the FMCG market which is growin g at around 6%-odd. So it actually growing ahead of the FMCG market. So, Oral Care is doi ng well.
Now all the players I think clear ly are doing well. I would not say the we are getting market share at the cost of the fourth player. While we see what is un der the radar I think we're on the same page on referring to the fourth player as you are seeing, but he is also gaining market share in the Oral Care category is what we have seen This is in line with GSK, Colgate and so are we. We have gained our 20 basis points in Oral Care and all the th ree brands are doing well.
Our herbal toothpaste which is a new foray we have already cloc ked the turnover of more than INR11-12 crores in that also. A lthough, it's just a modern trad e and selected geography norm that is doing well. Our share that we introduced last year is a lready clocked a turnover of about INR40-odd crores and that's towards good success in the Oral Ca re category. Our Dabur Red has grown by around 25%- 26% is beaten on a rural base that's a lso has done well and market share kind of inched up.
And this growth is happening secularly across more geographies and mor

e in South India too,
because for us, at least Dabur Red is more skewed towards South India and it's doing well there. Our South India market is also doing well. Per capita income is going higher. People preferring more functional products in South of India. So that's doing wel l.
Now is it a precursor to other categories also showing green sh oots and therefore growing. To me, I can't answer with the great conviction, but in terms of o ur categories I think it is because in the Hair Oil category in the last quarter has grown by 8%. I f you have syndicated data to go by, hair oil as a category has grown by 8% in value. Dabur has grown by around 12% in value and which is very unlike a Hair Oil business going up.
And that actually is an illustration of the fact that rural gro wth is kind of coming back because it is rural and in Eastern also we've seen 120-150 basis points improvement in rural India. While

urban growth is kind of almost remain same or a little bit come down, but rural growth is kind of picking up and that's happening sequentially in 2-3 months t hat we have seen.
But if you actually traded back rural growth, we have seen rura l growth from minus 5 gradually and slowly now it has become plus 6 almost now over 120 basis p oints, 130 basis points ahead of urban. So rural took time to come back after COVID. So after almost 3 years of time we are seeing that rural ahead of urban and I hope it is more structur al in nature and not one off that we see.
With the infrastructure spending of the government and all the initiatives is happening and monsoon also seem to be normal going forward. I think this shou ld auger well for all of us and the overall FMCG space.
Abneesh Roy: One small follow-up on the market share which you mentioned. S o the top four or five players in toothpaste will be around 90% market share. So if all are do ing well the tail of 10% is too small for others to report a doub le-digit number or market shar e gain. So if you could clarify in the last 6 months out of the top 3 listed players and maybe eve n number 4 who has grown faster in terms of market share? Who has a lost market share if that's available?
Mohit Malhotra: So I don't remember the number off hand, but I think Patanjali would have gained market share and they have been gaining market share consistently. Colgate i n my mind has lost market share. I'm talking volumetric market shares now. So Dabur has gained m arket share. Himalaya has lost a bit it in terms of market share and GSK has gained value mark et share and they have gained volume market share on back of Sensodyne.
The smaller players would have gone down and there would have b een consolidation because there is lot of ATL spending also by the organized players whic h is kind of spurred up the growth of the category and also will l ead to shrinkage in other player s going down because distribution ramp-up has also happened by the organized players. And that's my sense.
Abneesh Roy: Thanks a lot Mohit. Very useful. Thank you.
Mohit Malhotra: Thank you.
Mihir from Nomura
Mihir: Hi, sir. Good evening. Congrats on good set of numbers. Thank you for taking my question. So my first question is actually on the macro front. You did menti on rural is showing signs of recovery and it has been growing at about 6%-odd you mentioned.
However, when we see your volume growth and the volume growth f or other organized players is lower than the industry volume growth indicating that the un organized guys are clawing back share that they lost i n the past few years.
How should one think about this trend going forward? Should one expect rural recovery to continue and organized players also to get benefit or there wil l be a phase where our organized

players -- where rural will improve, but organized players will not be a key bene

ficiary of this
rural recovery. So that's question one, sir.
Mohit Malhotra: Yes. So I think overall -- now this is a very short time frame . As I was telling you in 3 years' time rural will just come back in like 2 months, 3 months regul arly one after the other. And if these numbers are anything to go by, I think rural recovery sho uld continue because there is such a long hiatus of rural lagging urban.
So it should continue and that sh ould be well for the entire in dustry. I think it's a wave and this wave will continue for some time, and it will take all boats up . So one thing is organized player generally get better dividends when this happens because we hav e better infrastructure investments in place.
If I talk about Dabur here now, we ahead of the curve have put in lot of infrastructure investments, our villages have g one up from 1 lakh villages to 120,000 villages now. So

significant improvement in our village coverage. Our Yodha have gone up to around 21,500 which is again substantial improvement.
Our overall direct coverage has moved up substantially. So all of these are moats in a way to protect the organized players wit h unorganized players generall y go through wholesale and wholesale is not easy to come by because advertising expenses a s that's going up. So on price how much they can do and so during a deflationary environment a lot of unorganized players come into play and super normal profits come in.
Consumer promotions and other tactical measures and price roll back helps plugging in gaps by organized players, prevent with the unorganized players will re ally make a headway. To me, the dividends will be more in organized going forward. But it's dif ferent categories and different margin profiles organized, unorganized very slow category so I can't comment upon detergents. That's not where we play.
As far as hair oil is concerned, I think unorganized players ar e very limited. Oral Care unorganized players are fairly limited. Home Care unorganized p layers is fairly limited, it has been a more urban category and therefore difficult-more entry b arriers, unorganized. Skin care, gulabari and all, we see some unorganized players, but then we get value offerings wherever the margins float and we edge out unorganized players.
In health care, in any case, unorganized doesn't play much. In beverages, yes, a lot of unorganized players come in it is easy to raise the portfolio. About that we are very competitive and therefore in the marketplace. So that's the flavor, Yes, on big picture. I hope I answered your question.
Mihir Shah: Yes, I get a flavour of what yo u're trying to highlight. Sir, on volume growth how should one think about Dabur's volume growth going forward. Over the past four quarters 3% to 4% volume growth was on a low base or a fl attish base. Now we will be sta rting to cycle 3% to 4% volume growth. So while you indicated t hat rural recovery is happening and you're growing ahead of peers, can we see more constructive volume growth to sustain, o r do you think there will be a softness in volume growth going forward?

Mohit Malhotra: I think the question of softnes s in volume growth doesn't aris e . I f w e h a v e t o g r o w v o l u m e growth is mandatory to have and as far as the annual operating plans are concerned, we've taken a target of a mid-volume growth, mid- to high volume growth. If taken we have to grow at a high single to a low dou ble-digit growth rate.
So it's not something which we can decide I think we have to gr ow volume growth and it's in line with our vision of Ghar Ghar Dabur and Ghar Ghar Ayurveda. So we need to increase our penetration. We are already there 8 out of 10 household, 80% pe netration. If we want our entire portfolio to go to every house volume growth is something that we have to do.
It's no question asked, there are no compromises here. S

o I thi nk volume growth will be the way
forward. Till last year, we were at least having some price inc reases anyway and now going forward it's going to be mostly driven by volume across categor ies while we budget a 3% price increase, but price increase they'll be fairly limited in some part of the portfolio while the rest will all be driven by volume only for us. So we feel it will be mid- to high single digit volume growth, top it up with around 3% value high single to low doubl e kind of a business that we will want to achieve and that's the number that we've taken.
Mihir Shah: Got it, sir. Sir, and lastly on margins what can be possible t ailwinds for gross margin given pricing will be limited going forward, mix improvement will be one, but do you see potential higher gross margins going forward? So that's my last question.
Mohit Malhotra: Yes. In terms of gross margin we've seen 280 basis points of g ross margin inching up on back of deflation. So we've taken price increases. So we will see so m e a m o u n t o f g r o s s m a r g i n expansion, but it will not be in line with what we've seen in p ast 1 years, 1.5 years because we've taken drastic price increases and the rate of price increases c ome down. So it will not be as high as that.
And whatever gross margin improvements happen, we invested part ly in media and partly flow down to operating margins. Going forward, gross margin in mid-t erm to long-term will grow, but not to the extent that we've grown in last year. And we als o want to take up the media percentage, which is now 6% and has become 7%.
Now we want to inch it up from 7% to 7.5% to 8% even in terms o f media. So with that, I think mid to long-term, our margins should improve. We've also embark ed on the second leg of the Samriddhi project, which is a c ost-saving initiative with the help of a consultant. And also our intervention is required for optimization of our spend and expe nditures across the value chain in the company. They're working with us. So on the back of that, w e should see around INR100 odd crores benefit again coming in this year on the back of cos t-saving.
That should yield some gross margin expansion and therefore inv estment in media and operating

margins. So we ended up with an operating margin of around 19.4 . But this inclu des the legal cost, like I mentioned. So on a like-to-like basis, it was arou nd 20% or so. We want to take it up to around 20%. So I think that's what I can guide you with all these initiatives put together. Yes.

Arnab Mitra from Goldman Sachs
Arnab Mitra: Yes. Hi, Mohit. My first question was on health supplements th at you've seen a big decline this quarter and also the full year h as been relatively soft. So if you could help us understand, is the problem limited to Chyawanprash and how the other parts of heal th supplements are doing? And what's your own analysis of what is the issue with Chyawanprash ? Is the product losing appeal? What are the steps you are likely to take to get the growth bac k in the segment?
Mohit Malhotra: Yes. So, Arnab, hi. So there are three parts of our healthcare portfolio. The first part of our healthcare is the largest, which is the health supplement busin ess. Health supplement business, Chyawanprash, is a relative prob lem. A, I think the weather did not support us. Chyawanprash generally skews towards winter and winters have been delayed an d contracted. And the way wholesale or the trade behaves is typically, you know, in the b eginning of the season, pull up a lot of stock and the liquidity of stock as the season progresse s.
So this time, because of delayed winters, the up-stocking was l imited. And whatever up-stocking happened due to contracted winters, that remained on the shelve s. And because of delayed winters, the down-stocking happened. So the better thing is tha t we don't have inventories, too

much inventories for next year. But Chyawanprash, we are modify ing the format. We have C h y a w a n p r a s h i n c a p s u l e f o r m . A s y o u k n o w a l r e a d y , w e ar e i n t r o ducing Chyawanprash in gummy form, in powder form, trying to improve or modernize our format in Chyawanprash so that we can extend the usage and increase the relevance of the category and thereby increase the penetration. But penetrations have definitely kind of gone down .
So there is an endeavour by the company to have all-season comm unication, not keep it restricted to only winter, have a communication for monsoon, extend the TG to women, extend the TG to kids, and also do advocacy on Chyawanprash through the doctor c hannel and make it secularly, both ayurvedic and allopathic, both use it for immunity buildin g.
That's what we are trying to do. Honey, was impacted by season. I don't think there's any problem with the honey. Honey will be consumed, and honey is doing well for us. We are gaining market shares consistently. There was a little stock issue on the hone y and some Crystallization problems which we have corrected going forward and it was in wi nter and because of the spike of winter it actually happened. So that was the reason why the honey has been softer. Glucose has done well for us.
Summers are approaching, acute summers. So we had a 14% growth in the last quarter as far as glucose is concerned and increasing market shares. And globally , we are gaining market shares.
As far as our digestive portfolio is concerned, Hajmola is perf orming well. Our new version of Mr. Aam variant launched in Hajmola is doing exceedingly well. Our Chatcola, Limcola and all other variants have done well.
Variants are contributing to about 22%, 20% of the overall fran chise. The bottles are doing well and so are sachets for us. And we are looking at the extension of this brand to the unbranded digestive category. So that's doing well. Our Isabgol, we revam ped last year. It has grown 112%.

Pudinhara has shown a 14% growth. Honitus and Lal Tail, cough a nd cold is again a big problem. Now because we were circling a high base, Honitus showed a litt le decline and so did Lal Tail But both the baby care category and the cough and cold category are resilient in India, and we will come back after we navigate the high bases. Our baby care portfolio is already around INR40 crores-45 crores. It was last year around INR20 crores. S o we have almost grown by 60%-70% of baby care. Our Super Pants and baby care is doing ex ceedingly well, both on e-commerce and also on the advocacy channel. The third part of th e portfolio is OTC and Ethical. Our Ethical business has grown by 8%, which is the classical an d that's doing well. And Shilajit has grown by 21% and the market is really blossoming on Shilaji t. So I think over all healthcare is doing well, but with the exception of Chyawanprash and we ha ve initiatives lined up to take it to a new level. And so that's where we are. So it's a small part of our business. So I think we should be able to come around. We are introducing gummies and n ew age formats also in it like I alluded to. Yes.
Arnab Mitra: Understood. Thanks for that, Mohit. Any update on the legal ca se in the US and do we expect the same level of legal costs in FY25 as we reported in FY24 or there's any change in that

expectation? That will be my last question.
Mohit Malhotra: Yes. As far as legal is concerned, it is pretty much status qu o. The last update that I've given you on legal is that depositions hav e already happened. Fact sheets have been received from the plaintiff's lawyer. Discovery phase is still continuing. We've been able to achieve corporate separateness of Dabur International and Dermoviva from Namaste. So no Dabur entity is involved in it, including Dabur International and Dermoviva. On ly Namaste is

involved, which
i s l es s th an 1 % of o ur t ur n ov er in ter ms of top l in e and pr o f it ability. So we've been able to reinfence Namaste and limit our risk to a very great level.
So I think that's on the update. This will continue for another , I think, 1 year and a half years. We are trying to expedite the sc ientific discove ry, scientific phase in which we are requesting the plaintiff to give us fact sh eets on how this allegation or accusation has been made that this is injurious, where this has been used for generations, etcetera, in the African American population. So the moment it comes to the scientific phase, I think the cas e will get really diluted and it will come in our favour. As you know, this is based on unsubstantiat ed incomplete study, which has been held redundant by Cosmetic Society, Perfumery Association, etcetera.
So we are pretty confident and Dermoviva is confident that we w ill win this case. It comes to the end of the case, but we are trying to expedite as much as p ossible. A lot of our peers who have been involved in it have not even cited this case and not even kept a provision. So we are also trying to see that our insurance gives us a claim of the l egal cost that we have actually incurred, in which case we could definitely surprise you going forward. But that is another litigation which is happening as we speak with the insurance co mpanies to reimburse the cost that we are incurring on this because of the stipulated number of how much they give you, double the number of hours.

We can have a separate call where we can go on. But I think we only had good news as an update and which we have given you last time. Subsequently, we are inc urring a cost. This year we have incurred a cost of 105 crores and next year, we will continue n ext year also. We have taken a budget of roughly around INR80 crores-INR90 crores, similar cos t for next year also, but it is left over. So there is no incrementality in terms of the legal cost that we will incur next year on account of the case.
Arnab Mitra: Okay. Thanks so much. All the best.
Harit Kapoor from Investec
Harit Kapoor: Hi. Good evening. My first question was on the distribution si de. So you mentioned that the pace of distribution expansion for you has been higher than historic ally. As well as higher than what peers have done. I just wanted to get a sense about, say, the n ext year or two. Do we see now us consolidating, especially on the rural and direct side, and foc us more on throughput? Or do you see this to be a continued, fairly sharp expansion? Especially because at 1.2 odd million outlets, as well as on the rural side, we have done a fairly strong job already. So I just wanted your sense on how do you see this going forward? Is the next phase, like, starts about now? Or will you see a focus on throughput?
Mohit Malhotra: Yes, Harit. So distribution expansion is a very key strategy g rowth pillar that we see. So there are two legs to distribution. One is the expansion leg, and one is the efficiency leg. Expansion leg is rural expansion and also urban expansion. Rural expansio n is more village expansion. I told you the villages went up by 20% from 1 lakh to 1.20 lakh. But the headroom for increasing the number of villages is huge. We've got about 6 lakh villages .
And as government is investing in infrastructure, roads and hig hways and railroads, et cetera, most of the rural India is actually becoming urban India. And t herefore, the headroom only remains for us to convert the rural into urban. And therefore, our Yodha playbook and our sub-stockist playbook rural expan sion is working well for us.
And that's what is giving us higher than peer dividends as far as the rural is concerned. So that's the kind of expansion. In urban, we are expanding our direct re ach. As you know, we are reaching out directly to around 14 lakh

outlets as compared to almost 79 lakh outlets that we
have present. As compared to peer, this should be around 20%-30 % of our direct to indirect reach. So again, huge headroom available to take up 14 lakhs to something like around 20 lakhs. That's our direct reach expansion of outlets in urban. As far a s urban-urban is concerned, I think e-commerce is already 10%, 9-10% of our overall business. We co ntinue to engage with e-commerce and get deeper into e-commerce. With quick commerce co ntinuing, which is already contributing around 30% of the e-commerce business, that presen ts a big opportunity to us. And we want to get in with Swiggy, Zomato, Zepto, all those coming and opening up the towns one after the other in urban India. So that presents a big opportun ity.

And modern trade also. Last quarter, modern trade has only grow n by 7%. But if you look at the tertiary data modern trade, tertiaries have grown by around 22- 23% for us. Because Reliance kind of cleaned up their inventories, I think prior to listing or whatever the case may be. But they

held back on primary sales, whereas tertiary sales was very goo d for reliance. A nd reliance is big for us, around 30% contributing to modern trade.

So I think as they've cleared their inventories, next year agai n that should show up. That's the third leg of our distribution expansion. The second piece is ef ficiency. Efficiency, we have a metric called Edge-score, everyday trade Edge-score. In that Ed ge-score, we mon itor the number of outlets we visit, the number of lines we've sold, and what i s the premiumization that we do in every outlet. That is happening as we speak. And there's a lot of churn of the Edge-score that happens there. People who are not performing below the ROI, we churn.

So pretty much similar strategy. Staying the course on our stra tegy and not anything very different than what we've been talking about in the future. Thi s is giving us results, so we will continue. But continue with the discipline. I think we were a l ittle lackadaisical about monitoring them. I think the moment we put more discipline into it and mon itor it more steadfastly, this will only become better.

Harit Kapoor: Just my last question was on the pricing side. Your long-term model is medium to high single-digit volume growth and mid- to high volume growth and some pri cing, probably 3% odd. So I was just wondering is at a time where pricing is not so easy to come forth, would FY25 also have a similar kind of 3-odd percent pricing you think at an av erage of -- that will only happen through the year. So we shouldn't assume an average for the yea r at 3%.

Mohit Malhotra: That's the average for the year, but it's different for differ ent verticals. You're looking at our juice portfolio, which is very price-sensitive, only a 1% price increase there. In healthcare, which is more resilient, we're looking at a 4% price increase. In HPC , we're looking at about 2% or a price increase. In line with all the competitor data, we have f ollowers there. So the weighted average of that will b e around 3% for the full year through the year.

So we're not looking at any immediate price increases. I think honey will have a little bit of a price increase because the table of the quality honey price is actually inching up. So that's where we are on the pricing here.

Harit Kapoor: Great, sir. Thanks and wish you all the best.

Mohit Malhotra: Thank you.

Vivek Maheshwari. from Jeffries

Vivek Maheshwari: Hi, Mohit and team. Two questions. First is, you know, again, something that has been asked for F25 and even the earlier participant asked about medium-ter m. But let's say if you have to grow your earnings, let's say, a double digit over the next, le t's say, three, five years, and at some point, of time, margin upside will be limited. That will imply that, you know, maybe volume growth has to be

about seven, seven and a half and, you know, t wo, two and a half, two and a half, maybe, pricing to get to, let's say, 10, 11% kind of reve nue growth. Which essentially means after a point, once margins, you know, let's say, start to plat eau, the entire bottom-line growth will be led by top line.

Do you think over a three, five-year perspective, from a three, five year or longer-term perspective now, you know, not just you, but, you know, a lot o f your peers will have to settle for growth, which is more like nine to 11, 11-ish from an earni ng perspective. Is that a fair, you know, model?

Mohit Malhotra: Yes, I think your numbers stack up well. So we also feel that the volume should be around mid to high, and seven and a half should be the volume. But as of n ow, the way FMCG market is actually behaving, it's, I think, mid-single is what one is loo king at. And therefore, a high single-digit growth is what one looks a t. And price increase in our po rtfolio, where we are market leaders in a lot of categories, where we are existing, pricing could be a little better. But because the rural favour is double, and if rural comes back, I think vo lume growth will also be driven by rural for us. That 's what I think.

But I think long-term, that's wh at it will be. So if the commod ity remains benign, which is not the case internationally, internationally, the inflation is muc h more severe as compared to India's inflation. If India also follows international, I think more pr ice increases will come to India also, like we've seen in the past one year. India has been insulated by that kind of inflation, which is what we are seeing in the US. That's why the rate cuts have hap pened in the US as of today also. So I think because of elections, t hey are also keeping a lot of inflation down.

So I don't know what the next will be. So as far as now is conc erned, we are looking at a mid-single kind of volume. It's looking more plausible. If monsoon is there, everything goes well. Stability of government happens. Everything is consistent. Then it can be 7.5%. Otherwise, 7.5% volume growth is a little on the higher end. I would say a bett er mix would be a 5.5% and a 5-4%. And that's what is the right sustainable sort of volume gro wth. But if you look at Dabur, Dabur's portfolio is pretty widespread and diversified.

We are better off than our peers. So like we have seen in the l ast quarter also, that our beverage business and our healthcare business, both were impacted by uns easonal rains and climate changes, etc. But our HPC portfolio, which also has a fair dive rsity, it came and bailed us out. And international business, also HPC driven, came and bailed us out. So I think we should be in a better position than our peers. That's what my take would be.

Vivek Maheshwari: Got it. And if I actually add to that, Mohit, I would imagine in some ways, let's say what you have done in the toothpaste, and there have been communications from the past to, let's say, mainstream Ayurveda, natural herbal. So arguably, you can still grow faster, gain shares, let's say health supplements.

It all depends on what you keep in the denominator or even on s ome of your healthcare products or even the mainstream FMCG business also, given the herbal ori entation. So if you have to move, let's say, volume growth to a higher level, which arguabl y could be easier in your case versus your peers, given that you have share gain opportunity j ust sheerly because you have this architecture. How would you do that?

Otherwise, for the industry, as in your peers as well as you, if we assume margins at some point, the best case is like 8-9% earnings growth, right?

Mohit Malhotra: Absolutely right. I think we are in a better position. So no, one good thing for us is, besides the rural leg, then I explained the

expansion, that is definitely f or a portfolio which is more accessible price points of INR10, INR20, INR50, INR100. But bey ond that, you suddenly find modern trade in e-commerce where Dabur is the only differentiat ed player in natural and owning natural and driving the growth to your point of where we've don e Oral Care. We can do it in shampoos. We can do it in hair oil. We can do it in hair supple ments, and we can do it in food also and on all natural and that's how we can grow.

So two pivots of growth. One is more rural driven growth, whic h is expansion driven growth. And one is more modern trade and e-commerce driven growth for u s. So two legs. One is premiumization led and another is penetration led. So that can come in and that's what we've been attempting to do. So to harness or leverage our rural infr astructure, we've created bundles of products which are all accessible price points which the tea ms are driving there. And in terms of verticals of distribution, we are creating separate food and beverage, separate food, separate beverage, separate HPC and SC, distribution verticals also. So opportunity is there, but we are limited by bandwidth and time and resources. So that's where -- but attentive to what you're saying is right to grow at double digits, yes, driven volume, yes.

Vivek Maheshwari: Got it. And the second question is if I look at your fourth qu arter numbers for -- so post pandemic once things started to normalize, every year, you are seeing in the fourth quarter margins are significantly lower than the first nine months whether it's FY '24, FY '23 or I think FY '22 also. And if you go back to FY '19, the margin delta between fourth q uarter and the rest of the year or the previous quarter was never that high.

Now part of the reason that I see your revenues actually declin ed quite a bit in fourth quarter versus, let's say, third quarter , your other expenses, even if you adjust for the legal cost, that also moves up quite a bit on a sequential basis. So what has changed so much after pandemic that fourth quarter revenues go down quite a bit. Other expenses jum ped up quite a bit and your margins actually down fa irly significantly?

Mohit Malhotra: So we are actually prepared with an answer. I will ask Ankush t o give that answer. So I will over to Ankush.

Ankush Jain: Thanks, Vivek. So Vivek, just to broadly answer this, five yea rs ago and over the last two years, structurally the saliency of business has changed. So if you lo ok at exact numbers of four or five years ago, which is pre-COVID, our business saliency used to be 25% in Q4. Today, as we speak, it is 22.7%. So just to give a broad number, every first nine months we have done INR3,200 crores average per quarter, first three quarters. In t his quarter, it is INR2,800 crores, which means, the last quarter is slightly lower. And because of that, the leverage in overhead, is slightly lower. And hence, so th erefore, in our business model, we have to probably see at both yearly numbers, and that would probably be the right way.

Mohit Malhotra: Yes, thanks, Ankush. So that's the diagnostic of the issue and why it has happened post-pandemic. It's a very intelligent question, and therefore, nice ly answered by Ankush. But how do we course correct? I think we have to increase the relevance of our summer portfolio and

therefore, in charge to leverage all the expenses. So what we'r e doing is we're launching a lot of summer portfolio products.
As you know, Cool King came in last year, so which is a Thanda Tel, which sells in summer.
We are putting a lot of pressure on Pudin Hara. A lot of pressu re is happening on juices, portfolio, glucose as a portfolio. So we are trying to summer-skew a lot o f our products so that that actually comes up. So as we speak, we are launching talcum powders also under the Cool King brand and trying to bui

ld that brand so that we are able to increase the salience of summer-driven portfolio for us in Q4.
Ankush Jain: And just to add one more general point Vivek. Also with four, f ive years ago, our expense in Q4 used to be the least. But now, even in this quarter, it is plus 6%. So it used to be 5%. So that structuring is also impacting. So therefore, you have to actual ly see more YTD and their portfolio.
Vivek Maheshwari: Sorry if I'm stretching this a bit longer, but my point is two things. Absolute revenue. Why is it lower now versus pre-pandemic? What has changed, number one? Nu mber two, even if you look at other expenses, forget about the denominator, but even if yo u look at it on an absolute basis, your fourth quarter, other expenses, rupees crores also jumps u p quite a bit. So why is revenue base lower? What has changed since pandemic? And why absolute o ther expenses also higher?
Ankush Jain: No, so absolute revenue is not lower. What we said, the salienc y of the revenue in quarter four is lower than what it was pre-COVID. So absolute revenue is sti ll higher. It used to be around INR2,200 crores in Q4. Now we ar e still INR2,800 crores. So if absolute is higher, the saliency of the quarter four has gone down.
Vivek Maheshwari: Okay. Got it. Thank you.
Mohit Malhotra: So I think there is some more color which has to be given. So V ivek, we can send across, or we can have a discussion post this meeting with you to explain you . So the way I want to summarize it, he's saying the saliency has come down in quarter four, but absolutely our turnover has gone up.
So it's 23% as compared to 25% what used to be happening durin g COVID or immediately post-COVID. And post-COVID, Chyawanprash was selling all through the year because COVID continued. And after that, Chyawanprash saliency went down, pro fitability went down. It's only juice salient and summer brand, whereas overheads remain the sa me.
Prakash Kapadia from Spark Private Wealth
Prakash Kapadia: Yes, thanks for the opportunity. Most of the questions are ans wered. I just had one question, Mohit. You mentioned monsoons are expected to be good. The pace is fairly low in rural. So what kind of momentum would we expect in the near term and what categories will drive this growth for us on the overall domestic business? And if you give some color on rural and urban, that would be helpful.

Mohit Malhotra: Yes, so therefore, if you look at the previous quarter, our rur al has grown by 8%. Our urban has grown by 4%. So there are 400 basis points different between ur ban and rural. And that is an indicator of what things will be going forward. If the rural gr owth is ahead of the urban growth, so rural for us. So we are, kind of, a barometer of how the per formance in the market will be. So our rural has done a long way.
On back of a portfolio, which is more summer-centric portfolio, we as a brand are also pretty rural-centric and Ayurvedic products do well in rural India as compared to urban India. In urban, we have a premiumization strategy. This is different from too m uch Ayurveda, but contemporary scientific Ayurveda compared to rural is more traditional produ ct for us.
So it will be OTC-driven, healthcare-driven, oral care-driven, which is also fairly 90% penetration, hair oil-driven, shampoo-driven, so it goes. And i n beverages also, we've entered into drinks, which is at a price point of INR10, INR20, and INR 60, which also trends well in rural. Earlier juices was only IN R160, INR150, more urban pheno mena. So we are getting more into rural and leveraging our rural infrastructure. So I don't think I can say that any particular part of the portfolio should do well in rural. I think it's acr oss the board. If we are able to bring our brands to accessible price points, and leverage our rural v illage infrastructure for our portfolio, I think the potential is

huge as we increase our Yod has and make inroads into more hinterland.
Prakash Kapadia: Okay. And at least what we are reading and hearing, monsoon see ms to be on the right trajectory.

So will that also add to the momentum, especially in rural?
Mohit Malhotra: Yes, I think so, because rural is an agrarian economy. And if t he monsoon is good, agricultural crop will be good, more money in the hands of the farmers. And therefore, more shampoo sachets and more toothpaste and more hair oil consumption should happen which is more traditionally in nature.
Prakash Kapadia: Yes. And for the legal cost, you mentioned around INR85 crores would come in this year also. It will be apportioned throughout the year, or it will be acros s quarters? Or how will that pan out?
Mohit Malhotra: It's broadly around INR20 crores - INR25 crores per quarter. Be cause this is pertaining to the legal fees of the lawyers, and it's generally spread out throug h the year.
Prakash Kapadia: Okay. Understood. That's helpful. Thank you.
Mohit Malhotra: Thank you.
Aditya Soman from CLSA
Aditya Soman: Yes, hi. Good evening. I mean, just following up on the questi on earlier in terms of seasonality for revenues, I think, can you explain why the salience in 4Q h as come off? I mean, you mentioned that the 4Q salience is lower than earlier. Can you j ust talk through why that has happened? And then, yes. And then the second question is just o n EBITDA margin guidance excluding this legal cost of INR 20 crores - INR25 crores per qu arter.

Mohit Malhotra: Right. Quarter 3 is actually higher because of Chyawanprash an d honey and high-value items selling. And because the value is higher, therefore the salienc e is higher typically in the third quarter. In the fourth quarter, juices, the case rate of juices is much lower. Therefore, the value saliency goes down, albeit in volume. The number of cases that we sell is almost the same as the quarter 3, but value actually is lower in the quarter 4 because it's a seasonal business. So, you sell more of juices, and you sell more of pudina and other thin gs as compared to Chyawanprash and honey, which typically goes in the winter.
And that's why the saliency is lower in the quarter 4. During COVID, it became also because pandemic was there also, and we were selling Chyawanprash and h oney also in the summer season. So, that has actually reversed since COVID. As far as t he mid-term margins are concerned, we want to go back to 20%. And if you look at withou t legal cost, our operating margin is already in the range of 20.2%. So, we should go back to 20%. Ankush, the challenge for our CFO here. To reach our operating margin to 20%. So, Ank ush, you want to add a line also?
Ankush Jain: Yes, definitely. I think I just want to add. Pre-COVID, our op erating margin was 20.4%. And today, as we speak, adjusted for legal cost, it's almost there, 20.2%. And it's also because we have acquired Badshah. Adjusted for that, it's almost there at 20.4%. So, I think any upside now, we'll also be partly redeployed back in advertisement and gener ating demand. So, I think what we saw this year, the expansion of 150 bps adjusted for legal c ost, obviously, will not be there. But our endeavour would be to gradually increase it in mid to l ong term.
Aditya Soman: I understand very clearly. Thank you for that. Just on the fir st question, I mean, in terms of the salience coming down, I understand during COVID, health supplem ents did very well through the year. But even prior to that, I mean, the gap between 4Q an d 3Q wasn't as sharp. So, why are we seeing such a big drop?
Ankush Jain: Drop in salience.
Ankush Jain: Yes, even pre-COVID saliency of Chyawanprash was slightly high er even in Q4. But now we've seen that even in this quarter, at least this quarter, saliency of Chyawanprash and health supplement actually went down.
An

kush Jain: And therefore, overall saliency was lower.
Aditya Soman: Okay. I understand. That's very clear.
Tejash Shah from Avendus Spark
Tejash Shah: Hi. Thanks for the opportunity. Mohit, last annual presentatio n which we did somewhere beginning of the year, this fiscal year, a key focus for this w as supposed to be transforming our power brands to power platforms. Now, when I see our final pres entation for this year, there's no mention of platform. So, I was just wondering, where are we on that journey? And is it, like, much longer term which should not be monitored on a quarterly b asis?

Mohit Malhotra: Tejas, absolutely. So, our strategy doesn't change. I think it remains the same. In the presentation, it doesn't mention because it was more based on the quarterly r esults and not on the strategy. But as far as the budget presentation was concerned, it was pretty much based on that. That's why you look at, in category after category, we are plugging the ga ps and spaces where we are not present. And wherever the power brands can extend, we are exten ding them. Like, Dabur Red has got extended to Bae Fresh. And that's what we've done in Or al Care. Dabur Amla is getting extended to value-added hair oils. And that's what we're doing. Home Care. Odomos has got extended to LVP. It was just a personal application. Now we are extending it to LVP, which is a much larger addressable market and therefore a platform. Odon il was more of a solid block for us. We've extended it to Gel platform. And Gel has already got a INR50 crores turnover coming in now.

G u l a b a r i , w h i c h i s o n l y a r o s e w a t e r , g o t e x t e n d e d t o b o d y w a s hes. So, therefore, power platforms from power brands. And in Chyawanprash in powder form is what we're introducing. Chyawanprash in gummy form we're introducing. Honey is also get ting extended into breakfast cereals that we talked about. And therefore a platform there to take honey from the medicine chest to maybe bring it to the breakfast table. And therefore, contiguous categories like breakfast cereals, which will be honey-bas ed, will also come into the pic ture. And in the beverage segment, we've extended juices to nectars to drink. So that's also a pla tform extension. And now we're going to carbonated also. So it's across the board. Homemade fr om culinary is moving into the food category. So we are very consistent with the strategy that we laid out in front of you on the capital markets day. And that's why. The numbers may vary, but the strategy remains on course.

Tejash Shah: Great. Second question, if I look at our annual growth from th e lens of power brands and non-power brands, except Oral Care, I believe the other six power b rands would not have contributed above our company's average growth rate for this year. So it al so means that the last part of heavy lifting for growth was done with the long tail of other b rands, which are emerging brands, which would have done so. First of all, is the math correct on this? And if you can share some insight on the same.

Mohit Malhotra: What you're saying is right now because power brands contribute to 75%-80% of the business, if season doesn't favour you, so real as a power brand will get impacted and that will impact. So juices got impacted, it was flat, so it didn't fire.

Mohit Malhotra: Chyawanprash, which is a power brand, did not fire, so that too k down the business. And other brands, saliency looks up. But that said, the power brand contr ibution to the bus iness remains as it is. The growth may not come because of some season issue or other, because it is a power brand at the end of the day that could positively or negatively impact the business. But the strategy on power brand remains. That doesn't change from quart er to quarter.

You have to look at it from a 4-year period or a 5-year perio

d . It's the strategy of the company.

So therefore, if you look at the CAGR period, you will find pow er brand CAGR, like real CAGR is 15%, over the past 2-3 years. Last year it was 30% growth, t his year it's flat. So average growth is around 15%, so higher than the company average. So that's th e way to look at the business.

Mohit Malhotra: And also, I think in every power brand, we continue to gain ma rket share, both in the quarter and in previous years. We have actually also seen a relative pe rformance when there is some bit of stress and growth.

Mohit Malhotra: And distribution initiatives also. In power brands, we'll go up and by virtue of that, our distribution expansion has been 200,000 outlets in the current year because you can't distribute a smaller brand because that doesn't have the strength to get d istributed and neither does the advertising spend on it. So, yes.

Tejash Shah: Thank you. And so last one, if I may. So given the surge in th is consumer and judicial activism that we are seeing globally and in India, and now there are inc reasing frequency of these accidents which are happening on brands now. So as a very respo nsible company, do you think that industry at large will be kind of investing more on produc t quality and safeguards so that we are not attacked very so frequently? And we also will have t o time and again reinvest in branding equity. So at a very long-term or medium to long-term level, do you think that margin expansion will take a backseat versus protecting product and br and equity going forward, at least in the near term?

Mohit Malhotra: Yes, that's a very good point. I think consumer activism and co nsumerism and placing the consumer interest first is a priority of the brand as the brand s become more responsible because if you look at social media growth and digital growth, this is what has come in. And consumers in the metros and consumers in t he millennials and the Gen X ar e all embracing brands which are talking about environmentally friendly products which are e co-friendly, which are more sustainability driven, which do not contain nasties, which do n ot contain plastic. So therefore, this consumer first approach with environment, climate and heal th will take a front seat. But I think I don't agree with the second point that you've made that will the margin take a backseat? The moment a brand becomes environmentally conscious, sustaina ble, consumers are ready to pay a price premium for that. So the moment they pay a price pr emium, as you become environmentally friendly, it becomes a virtuous loop. Premiumiz ation grows, the brands become quality conscious, environmentally friendly and the premiumizat ion happens and therefore profitability also inches up. So I think consumer rewards you w ith the profitability and the value that the consumer gets.

Now this is relevant for urban India today. Rural India for th e per capita income of India being so low, I think still it's a little time away for the rural Ind ia and at least 65% of the population of this country is still fighting hunger and poverty and therefore sustainability and eco-friendliness and climate care is an urban phenomenon. But it's catching up, the consciousness is catching up. So that is where we are. So you look at the example of plastic straws and paper straws. Paper straws are still more expensive a s compared to plastic straws, but the prices of paper straws have almost become 40% more premium to plastic straws, which used to be 200% premium. So I think the whole price table comes down but everybody's making m ore money because the capacity has gone up and scale improves the profitability. So y es.

Tejash Shah: Got it. Thanks and all the best.

Mohit Malhotra: Thank you.

Nillai Shah from Moon Capital

Nillai Shah: Yes. Mohit, there are a few que

stions on margins. I just had a question on margins from a longer-
term perspective. I had this discussion, I think, on the call w ith you earlier, but since you've just finished your annual review, maybe you can shed some more light on it. Your margin aspiration near term of 20%, when I take it line by line and compare your businesses with your competition, let's say in the case of Oral care with Colgate, in the case of healthcare with Rx company, etc., your margins seem very low. Most of these companies in India ar e now trading at, are now reporting margins which are in the mid-20s.

And I think you've got a beverage portfolio, but you also have a very large healthcare portfolio which would offset those margins. What are your thoughts on mar gin expansion from a long-term perspective in the next three to five years?

Mohit Malhotra: Yes, Nillai. That's a very valid question and I think it's good that you keep reiterating this. It actually makes us think more to inch up the margins. So long-te rm, we know that there is a pharmaceutical business that we take business from. That's our source of business. And there the margin profiles are much hi gher as compared to what margins we have. And that's why we build the advocacy vertical of going to the doctors and therefo re advocating our brand. But it's a little slower. It's going to take time. So to your point, the more long-term margin improvement that we're doing, we have driven the business of baby care, ski n care, and also in our general in the doctors.

So it's only around INR120 cror es for us. So gradually, slowly , as we put more products there, we'll be able to get better margins out of that. So if I compar e my pharma business, which is going to doctors, I make a 70% margin as compared to the health care where I make 50% margin, to your point. The more products I put on that bridge of advoca cy, the more margins I will make. But the scale of the business ta kes time to build. So long-term , we are on the same path and on the same thought process of building margins on back of OTC, Rx , et cetera.

But the time-taking business, like before I came on board, two , three years back, we only used to go to Ayurvedic doctors. And Ayurvedic doctors, again, commo ditized a play of children. And therefore, you've got to command a premium. Since we're now going to allopathic doctors, there is a huge upside on the margins that one can get. And in mass categories like oral care and hair care, we were busy fighting with our competitors and gaini ng shares on back of pricing. There's a huge opportunity to preimmunize that.

In Dabur rate, for example, sensitive is at a much higher marg in. Can we launch a Dabur Red sensitive? Answer is absolutely there. This category is doing w ell on back of GSK. There is an answer. There's no natural play there. Dabur has a right to win . In that market segment, we can do that. In Ayurvedic hair Oil like Indulekha, where again, Dab ur has a right to win, has got a higher margin profile in mass categories also. So there also, t here's a vertical. So we are thinking on those lines and working on it there.

Nillai Shah: Just to be clear, Mohit, when you benchmark your different cat egories with the competition, in some cases, you're the number one player, but elsewhere, when y ou benchmark, are you saying that the margins that those categories make for Dabur are broad ly similar to what competition is able to deliver and report? And the only difference at this poi n t i n t i m e i s t h e f a c t t h a t t h e healthcare business is probably making a 50% margin, which can be higher from a long-term

perspective. Is that the synopsis of your answer?
Mohit Malhotra: Yes, the synopsis is whichever categories we are operating in, our gross margin profile is pretty similar to our competitors. So it is similar. We've done the be nchmarking. And we

've not done
the benchmarking. We've taken the big four consultants to help us do benchmarking, like BCG, McKinsey, have done that benchmarking for us and assured us our gross margin profile remains the same. But sometimes what hap pens is we are only 15%-16% mar ket share.
As we scale up the business, we'll be able to leverage the ove rheads and therefore it will flow down to the operating margins. Because overheads are higher, th at 's wh y o per at in g mar g in s would be lower, but the gross margin profile is very similar. I n Oral Care, if you see our gross margin profile, it wi ll be very similar.
If there are areas in which gross margin is lower, we are cont inuously working on optimizing our formulation and packaging to ensure that our gross margins are there because we are not compromising on price. Our price is actually higher on the back of our differentiation of natural. And our cost is also benc hmarked to competition.
But the only area where we suffer is because of the lower scal e, we are not able to leverage our overheads. But with scale, it wi ll come. And because of the div ersified and varied portfolio that Aval has.
Nillai Shah: I understand Mohit. This is very clear. Thank you very much.
Mohit Malhotra: Yes, thanks. Thanks so much.
Priyank Chheda from Vallum Capital
Priyank Chheda: Hi Mohit. Sir, my question is on the progress if you can share on the three new categories within healthcare that we had shared while we met last year in your an nual meet and greet which is baby care, tea market within basic and herbal and then the larg e segment of therapeutic. So a broader progress within these three categories would be helpful .
Mohit Malhotra: Great. As on baby care, last year we did a turnover of INR20 cr ores. I told you this year we are talking a turnover of almost INR 40 crores, INR45 crores of baby care turnover. That's the update as far as baby care is being sold through both e-commerce for u s and also through therapeutic portfolio. The second category we talked about was health juice s.
Health juices, we did a turnover of about INR20 crores. We've done INR26 crores in the current year. On tea, which we have test marketed i t because it's a ver y competitive category. While we had a right to win, but the proposition was not very differenti ated. We've improved our

population and we've got INR12.6 crores turnover as far as tea is concerned. That's on the health care category.
We had also done Ghee where the margins were lower. So therefo re, we were not too much pushing it. But we have improved our margins now on back of sca le and we have delivered a INR24 crores sale on back of Ghee also. So these are the four u pdates on the health care portfolio.
As far as HPC is concerned, we have built Bae Fresh. As I told you, has done around INR40 crores for us. Gel pocket, extending Odonil into Gel pocket has done INR25 crores. And LVP is around INR12 crores for us. So Odomos was getting extended t o LVP.
Extending our power plants to power platforms and increasing o ur total addressable market.
That's where our drinks portfolio is INR200 crores if we mentio ned. This year, we've not grown on drinks because of the season i ssue. But I hope next year, th is will really inch up for us.
Priyank Chheda: Right. And how are we tracking the therapeutics proposition th at we were supposed to take from Ayurvedic doctors to allopathic doctors? That whole of the port folio which is ready at Dabur.
How do we track that progress?
Mohit Malhotra: So we have an advocacy vertical. And Philippe is the one who's driving it. We've done a turnover of INR120 odd crores on the therapeutic vertical. It's more adv ocacy with the doc tors. And after advocacy, we go to the chemist outlets in the vicinity. And tha t's how we sell.
We've got a turnover of INR120 crores. But more importantly, i t's more qualitative that

we are
reaching out to 1.1 lakh doctors as compared to 20,000 test poi nts that we had earlier. So this has moved up to 1.1. And it's paediatricians, its dermatologist s, it's gynaecologists. So it's women, baby, and paediatrics. So we are focusing on these three , and paediatrics. Right.
Priyank Chheda: And in baby care, we had targeted a sub-segment for hygiene, w herein diapers and wipes were one of the products to be launched. Any progress or update on t hat?
Mohit Malhotra: Yes. So we have launched Dabur Super Pants, which is a baby dia per sort of. And that's done very well. We almost, last year it wasn't there much. How much is it? We've got a turnover, I think around INR10 crores, INR11 crores on baby pants alone, wh ich is doing very well on e-commerce. And the category is ver y lowly penetrated, and it's i ncreasing.
Priyank Chheda: And just a last question on the overall premiumization portfol io. What would be the

premiumization portfolio as a sales? And how are we tracking th at and the growth that we saw in FY’24?

Mohit Malhotra: Yes. So the way we loo k at premiumization is, we look at the av erage pricing of the category at 20% premium. Then the average category price, 5ml price, is wha t we categorize as the premium brand. 18% of our portfolio is premiumization portfolio. We are tracking it on a yearly basis.

And we see premium, and we are tracking it on all of our brands and giving targets to the team to increase premiumization year-on-year.

So it's a very objective exercise of tracking and increasing t he premium portfolio, which is more driven from modern trade in e-commerce, which contribute to 20% of the business. Besides

doing premiumization internally of our brands, we are also doin g joint business planning with Reliance and Depto and e-commerce players also, and planning pr emiumization wherever gaps are there, as per their demand. Just to give you some examples of that, we are building Apple Cider Vinegar with one platform.

So now this is all premiumization, but we've got a GDP with Re liance, and Reliance wanted to build the Roles brand on their own. So Reliance and Dabur have collaborated together, and we've introduced Gulabari Soaps. Only in Reliance, that itself has pl otted turnover of INR12 crores only on the back of Reliance alone. So that is another innovati on stream that we have started with them. Yes, but this is not really premiumization, just to give you an example.

Priyank Chheda: And what would be the new product contribution, new product NP D sales and contribution in FY’24?

Mohit Malhotra: Around 3.5%. But it varies diffe rently vertical-wise. For food business, this is 4.6%, 2% for HPC, and around 4% fo r healthcare also.

Priyank Chheda: All right. Thank you for all your answers.

Gagan Ahluwalia: Thank you. I thank all the participants for joining today's ca ll. The webcast and recording and transcript will be available on our website. Tha nk you and have a great evening ahead.

Call: Aug 2024

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Ref: SEC/SE/2024-25
Date: August 7, 2024
To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai-400001
BSE Scrip Code: 500096x^^^^^ ••»•^^^ys-^»^
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India Ltd.
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai - 400051
NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q1 FY 2024-25 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on August 1, 2024 post declaration of Financial Results for the quarter ended June 30, 2024. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(Saket Gupta)
Company Secretary and Compliance Officer
End: as above

"Dabur India Limited
Q1 FY'25 Results Investors Conference Call"
August 01, 2024

MANAGEMENT :

MR. MOHIT MALHOTRA – CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN – CHIEF FINANCIAL OFFICER
MR. ASHOK JAIN – EVP(FINANCE) & COMPANY SECRETARY
MS. GAGAN AHLUWALIA – VP (CORPORATE AFFAIRS)
MS. ISHA LAMBA – HEAD-INVESTOR RELATIONS AND M&A
MR. KRISHNAN – ASSISTANT GENERAL MANAGER (FINANCE)

Isha Lamba: Good afternoon, ladies and gentlemen. We apologize for the delay in starting this call. On behalf of the management of Dabur India Limited, I welcome you to the earnings conference call pertaining to the results for Q1 FY '25. Present here with me are Mr. Mohit Malhotra, Chief Executive Officer, Mr. Ankush Jain, Chief Financial Officer, Mr. Ashok Jain, EVP-Finance and Group Company Secretary, Ms. Gagan Ahluwalia-VP, Corporate Affairs; and Mr. Krishnan,

AGM Finance.
We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I'll now hand over to Mr. Mohit Malhotra. Thank you.
Mohit Malhotra: Thank you, Isha. First of all, let me apologize for the technical glitch, which was there at our end, apologies for that. So good evening, ladies and gentlemen, we welcome you to Dabur India Limited conference call pertaining to the results for the quarter ended 30th June '24.
The FMCG sector has demonstrated a gradual pickup in rural markets in the past 2 quarters, despite countering challenges such as unprecedented heat wave and high food inflation. However, the timely arrival of monsoon, coupled with rural-centric budget with a focus on rural infrastructure, agriculture and employment is a key positive for the sector.
Dabur continued to perform well in quarter 1. Consolidated revenue grew by 9.8% in constant currency and 7% in INR terms. India business, including Badshah, grew by 7.3%, underpinned by volume growth of 5.2%. Our diversified portfolio continued to thrive achieving market share gains in 95% of the portfolio. The International business exhibited a strong growth of 18.4% in constant currency terms backed by market share gains in most of the categories.
Within the domestic business, the Health Care portfolio grew by 7%, driven by performance in Digestives which grew by 11%, Health supplements registered 7% Y-o-Y growth, recently launched Hajmola Mr. Aam garnered positive feedback from the consumers. Dabur Glucose, a key brand in our health supplements portfolio, surged by over 30% amidst harsh summer conditions, gaining 70 bps of market share gains.
Within OTC and Ethical category Health Juices, Baby Care and branded Ethical grew in double digits. However, there was some impact of harsh summers on brands like Shilajit and Honitus. Going forward, we will continue to focus on consumer-centric engagement initiatives, strengthening the doctor advocacy channel and launching innovative campaigns aimed at reinforcing relevance and expanding market penetration in the health care business.
Coming to the HPC business. This portfolio achieved an 8.1% growth; Shampoo and Post-Wash segments grew by 14%, driven by strong performance of the Vatika franchise; hair oil franchise grew by 3.3%, with coconut oil posting a robust 20% growth. Both coconut and perfumed hair oils grew ahead of the category, gaining 25 and 100 basis points, respectively. Additionally, we added Cool King franchise with the launch of Toofani Thanda cooling oil and Cool Talc during the quarter, which has been well received by the consumers.
Oral Care portfolio recorded a growth of 11.4% with Red franchise growing at 12% and Meswak growing by 18%. Our core offering of Red Toothpaste continued to gain market shares in the

quarter with Dabur oral care products reaching 1 out of every 2 households in the country. Our strategy of focusing on herbal category, driven by Dabur Red Toothpaste has proven to be highly successful.
Home Care sustained its robust growth trajectory with 8% growth during the quarter. Odonil registered a high single-digit growth with particularly strong performance in aerosol and gel formats. In line with our strategy to increase our TAM, we have recently introduced Odomos liquid vapourizer, which has performed well. S

anifresh posted a double-digit growth, driven by strong on-ground execution.
Skin Care registered a growth of 6% led by Gulabari, which grew in double digits. The newly launched body washes under the Gulabari brand name received a good response from the consumers.
Food and Beverage segment grew by 4%. Within the segment, the Foods business demonstrated exceptional performance with 21% growth. Badshah also posted a robust growth of 15% year-on year. The J&N segment got impacted during this quarter due to exceptionally harsh summers due to which consumer preference shifted to thirst quenching products such as carbonated beverages.
Our drink portfolio grew in double digits. In the J&N segment, Dabur exceeded category growth, expanding our market share by 330 basis points.
Emerging channels like e-commerce and modern trade posted a robust double-digit growth and now contribute to around 20% of our India business.
Coming to our international business. We recorded a strong growth of 18.4% in constant currency terms. This was on back of good performance in Turkey business with 19% growth. Egypt, which grew by 64% growth; MENA13% year-on-year growth; SSA business21% growth; Bangladesh business posted25% growth. We witnessed currency devaluations across emerging markets like Egypt, Nigeria and Turkey, which impacted our INR performance.
Talking about our profitability, during the quarter 1, our gross margins expanded by 120 basis points, driven by moderation in inflation and cost-saving initiatives. We remain committed to investing behind our brands and our A&P expenditure increased by around 16% in the quarter,

with digital spends now more than 30% of overall media spends.
Our consolidated operating profit increased by 8.3% higher than the top line of 7%, with margin expanding by 30 bps during the quarter. And PAT grew by 7.8%.
We are optimistic that with a good monsoon, improving macroeconomic indicators and rural-centric government spending, FMCG demand will see a gradual uptick.
We remain committed to delivering profitable growth across all our business segments. This is underpinned by strategic investments behind our brands and distribution expansion, enhanced manufacturing capabilities, enhancing digital advancements and fortifying our organizational

strength. These endeavors are pivotal in our commitment to driving sustainable value creation and reinforcing our strong position in the FMCG landscape.
With this, I conclude my address and open the floor to Q&A. Thank you. And apologies once again for the late start. Thank you.
Abneesh Roy from Nuvama
Abneesh Roy: My first question is on Badshah. Would you be a bit disappointed with the 15% growth even you could have gained from the distribution expansion? Plus in the international market, some of the market leaders had a quality issue. So can you gain in the international markets because of this from a medium-term perspective?
Mohit Malhotra: Abneesh, apologies again for the delayed start. Yes, in Badshah, I think the performance has been reasonably good. We've been sustaining a good performance for over a couple of quarters now. If you look at the volume growth in Badshah, it's around 16%, which is very high.
In the previous quarter, because of the inflation in spices, there was some amount of price increase. Now that price increase amount is not there. So volume growth is 16%, and the value growth is 15%. In a couple of SKUs, we've actually taken a price dip in Badshah because of softening of the commodity prices. Our gross margins have improved by 500 basis points in Badshah. Overall, I think the business is doing reasonably well, and we are very confident of doing well.
As far as the international bit of Badshah is concerned, we also faced a pushback from international regulators, especially in the U.K., there's been very tight screening and scrutiny of

all the dispatches which are happening from India to international driven by the controversy which has happened.
So while our products have not got picked up, but because of a very high scrutiny, there's a long queue and backup of the suppliers, which is lining up and leading to delays in the supply chain. Actually, our international business declined in Badshah on account of supply chain constraints in the international business, which I think we will correct going forward in next quarter and growth should pick up.
Abneesh Roy: Sure. My second question is on Oral Care. You have done well double-digit growth. Market leader has also seen very good growth, 13%. So here specific question, is this a signal that other categories for FMCG could also revive because clearly in Q1, this is one category which did not suffer because of the heatwave. So this was more a normal quarter for the Oral Care and good double-digit growth with high single-digit growth for both, number one and you also. And second is Meswak, last few years, I think, has been lower growth clearly than Red Toothpaste. But this quarter, it's much higher. So is this a base effect catch-up in Meswak? Or is it that some proactive steps is really helping here?
Mohit Malhotra: Yes. The overall, I think strategy is playing out well. The strategy of building our power brand, which is Dabur Red and also bringing in economy which is Babool and also strengthening our Red franchise in tooth powder and Meswak being the premium brand.

Even in Dabur Red, as the quarters go by, we'll be introducing premium offerings in this because we are a little bit weaker as far as the premium portfolio in Oral Care is concerned. So that pack price architecture we are correcting, and we recently conducted a RGM study, which is revenue growth management on Oral Care, and there are now action points which have actually come out of that, which we will be implementing.
So still, I think a lot of opportunity in the Oral Care segment as the Natural segment which is 30%, has now become 31%, and the growth in the Natural segment is higher than the non-natural segment. So we are pretty hopeful on how we've gained around 15 bps of market share in Dabur Red also.
And as you know, we are the number 2 players now in the market, vacated the earlier number 2 player now and the penetration is also significantly higher , between every 2 household, every 1

household is the Dabur Red household and our penetration is in the range of around 51% in Oral Care. So a huge opportunity in Oral Care. We are revamping our entire Dabur Red portfolio also. You will see that, I think, in the second quarter, if we don't get delayed to a third quarter. So as far as the Oral Care example panning out to other parts of the portfolio, I think, yes, opportunities are there. Rural is rebounding and our shampoo portfolio, which is also very highly penetrated has also done very well in this quarter with 14% growth. So that is a telltale sign of the fact that rural recovery is in place and sequentially, things should only get better for the overall FMCG sector.

Abneesh Roy: One follow-up on the Oral Care. So the market leader under the new MD is also seeing Beauty Care strategy within toothpaste. So clearly Visible White is something which they have done, and it's doing well also. So my specific question is in Ayurveda, do you have that technology or the brand proposition, which can be extended? And when you say you will be coming out with premium products, will it specifically target this kind of a gap when I see your portfolio versus market leader, specific whitening toothpaste you don't have. So would you need that? And would you have the capability to do that?

Mohit Malhotra: Right. So, Abneesh, Ayurveda has the capability and I think the technical know-how, which the market leader may not have, which is where our unique selling prop

osition cut ice with the consumer. That's why you see the Natural segment doing better, whether it is for the problem of sensitivity or for removing stains on the toothpaste or for better sensorial for germ kill, etc, Ayurveda has got very potent recipes and they are all there with us.

And we are planning to roll that out. But the first one is the sensitive one, which is what we are working. Charcoal Toothpaste, which is what we have positioned it on Whitening. Again, that's there, but I think that is not cutting ice because the SOVs are pretty low on the amount of money that we have invested behind it. So to your point, again, yes, there is potential, there is capability and only limited by a little bit of execution, and that will ramp up going forward.

Abneesh Roy: Sir, last quick question. So in hair oil, clearly, very strong growth you have seen in the coconut part. So here, I wanted to understand, is there a big down trading happening here to the lower end of the portfolio across the industry?

Because the other listed player which came with results today, they saw 15% dip in their premium hair oil, but good growth in their base oil. So what will be your take on this? And could this reverse because this is more of rural indexation in the hair oil. So would you expect that hair oil, which has been a big challenge for all companies last few years could see a more moderate growth coming back in the coming quarters?

Mohit Malhotra: Yes. So I think the competitive intensity has really picked up in hair oil business. And earlier, it was only between a tug-off between the number 1 and the number 2, we being the number 2. But now there's a number 3 player also who's come, who has deeply discounted the number 1 player, and they see the revenue growth coming in there. So a lot of focus on coconut oil by not the new player, but the old player for whom this category is actually new. So that has come in. And that is leading to a little bit of margin squeeze.

Abneesh Roy: Who is that player, Mohit? Who is that player?

Mohit Malhotra: We are talking about Bajaj. Bajaj has become very, very aggressive in the coconut oil category now. And as you are aware, besides Bajaj Almond, they have become very aggressive in coconut. And for them, a new growth pillar is coconut and we've seen a lot of prices getting dropped by them and because of which the margin squeeze happening across the entire category. But our strategy has played out well for us, and we are doing well in coconut oil. As you know, we are trying to plug all the sub segments wherein we are not represented in hair oil because we have a right to win in hair oil. One was value added and you will see a lot of action in the value-added perfumed light segment from Dabur.

The second one is Cool King which is what we have added. We plugged the gap of cooling hair oil. Coconut, we are just trying to ramp up our ante and in perfumed hair oil, our entire playbook is working well for us with Amla and the flanker brands. Now what's happened in the flanker brands. There's not all good news and rosy picture.

Our Sarson Amla has not done very well in the previous quarter because the Sarson prices have actually inched down. So there's a softening of Sarson prices from INR120 per liter, has dropped down to INR110 per liter, whereas the price premium has increased from unbranded to branded and our strategy is to take shares from unbranded to branded.

So there is some sort of price correction, which one will have to do going forward there also. And we've seen competitors already doing their price correction and gaining share from us. So competitive intensity in nutshell has picked up. Dabur strategy of representing ourselves in all subsegments of hair oil stays and premiumization will also happen. There are some subsegments where we are not present, which we may want to get presence by way of, if not o

rganic through
inorganic route also.
Percy from IIFL
Percy: So I'm saying in terms of the demand trends, what is it that you are seeing in the last 3 to 4 months, is there an accelerating trend? If not, is it something category specific, etc? Can you give some idea on that?

Mohit Malhotra: Yes. Percy, so as far as demand trends are concerned, I will not be very specific to month-on-month, but I think quarter-on-quarter, since last 3 quarters, we've seen volume growth from 3% to 4% to now 5%, and I'm talking about volume growth sequentially for Dabur. It has been inching up and you've seen 5.2% volume growth in the current quarter.
And in the month of July also, we've not seen any flattening of volume growth. Volume growth is picking up. But the only little not so nice part is that there's no price component now, which is building on the volume increase while volumes are inching up, and that's what we expected. So volumes are going up and sequentially in the quarter, volumes will pick up, but the price increases and the ability to pick up price increase is going down. We only had 2% price increase there and that's why you see a growth of 5.2% plus 2% is equal to 7% overall growth. So going forward, volume will increase on back of rural inching up for us. So I expect the subsequent quarters to be better than our existing quarters, but definitely not worse.
Percy: Right. And I know it's a little difficult to answer the following question, but to the best of your judgment, do you think that this increasing trend from 3% to 4% to 5% has got to do more with the macro demand recovery? Or is it more to do with your own sort of initiatives that you might have taken?
Mohit Malhotra: No, you're right. That's a very difficult thing to say. I think I would not take the entire credit away from the team. I think Dabur team has done a substantially good job on ground and in execution. So a lot is driven by our own efforts, hard work and perseverance of the team, both at the ends of demand building and also at the end of distribution increase and also on cost cutting. So all the three, whether it's gross margin inch up of 120 bps that was driven by more Samriddhi and pack price architecture in RGM study, where the finance team actually worked. Distribution initiatives also worked. Outlets reach have actually gone up by 50,000. Our villages have gone up by around 21,000. Yoddhas have gone up by 3,300. Our price bundles to leverage the distribution on ground has also improved. We've created bundles of INR10 and accessible price points across different portfolios, and that's done well.
As far as emerging channels are concerned, our innovation rate in e-commerce is roughly around 10% to 15%. We've seen innovation is firing as far as e-commerce is concerned.
Our modern trade margins are also now in line, if not better than our GP margins now. So the more we grow in the emerging channels, which are growing by around 15% and 30% the better we get in terms of our margin delivery also. So all these efforts taken by the teams internally and obviously, externally, there has been some tailwind on the rural recovery. Because all those efforts don't get catalyzed until and unless you have a positive market environment and the winds of change working in your direction. And it is just a multiplier effect. And I think that's what is playing out, yes.
Ankush Jain: Maybe just to add also, I think this also emanates from the fact that almost in 90% to 95% of the categories we have gained market share. So that means the efforts of the team both in terms of driving availability and building awareness and driving affordable SKUs, which we call 3As, is actually working really fine in the organization, just to add.

Percy: Got it. Got it. Since you mentioned innovation, just a question on your innovation rate, w

hich is
3% this quarter. So see, innovation is any new product, right? Now there are two types of innovations. One is which opens up new consumption and one is which drives excitement in the category but might cannibalize.
So for example, if you have, let's say, you don't deal in soaps, but just an example, if you have a soap and you come out with a new variant of a soap, it's not going to add to your consumptions, right? I mean it will just be a substitution. So I just wanted to understand from you this 3%, how much is actually incrementally adding to your top line?
And how much is basically driving excitement and what sort of cannibalizing? So if basically, I look at just 3% on the face of it, is it fair to say that rest of the portfolio has grown only at 2% or maybe you can say it's half and half in terms of some part of it being incremental completely and some part of it cannibalizing?
Mohit Malhotra: So I think as far as Dabur is concerned, if you look at the overall construct, our addressable

market, total addressable market is only in the range of around 2% to 3% of the overall FMCG. So there are a lot of white spaces which are there in the portfolio, which is what we are trying to plug with innovation.

So it is more increasing trials, getting more consumers in the ambit of the Dabur brand by introducing new categories. Just to tell you, for example, Odomos getting extended into LVP. It is to get the LVP consumer into Odomos rather than the personal application cream moving into LVP because we were addressing a very, very small market. Dabur brand moving to health juices, we were never addressing that particular consumption or the occasion. So that is what we are addressing and people don't switch from a tablet to a juice ever.

So if we are getting into drinks, drinks market is to a tune of around INR8,000 crores, we are only reaching to INR2,000 crores of nectars and juices. Now that is additional TAM added. When we are launching Fizz that's a carbonated market that we are addressing. So we are trying to increase our TAM and therefore, increasing our consumption and not really doing something for excitement. Excitement comes in some categories. But again, in Gulabari, we have rosewater. Rosewater has got extended for us into body bath. But body bath was not present and Gulabari wasn't used for a body bath. So that has kind of picked up for us. So it's more of addressing new categories for us. And so I think this will be 3%, , but I don't think there's any cannibalization per se.

Ankush Jain: Significant part of it would be new categories as Mr. Mohit said, Odomos LVP or Cool King franchise completely something which we are even not targeting initially or maybe Vedic Tea. So we have entered completely new categories, which are different here.

Percy: Got it. Got it. Last question on Oral Care. See, your growth is very similar to the market leaders, but the market leader has a higher element of pricing, I would guess, than you. So generally, don't we see that when basically there is a brand which extends its premium beyond a point, then it starts to lose market share, but that has not happened.

And I mean on the other hand, I mean, if your discount or your relative price premium, let's not say discount has changed because of the actions of the market leader, would you not treat this as an opportunity to sort of be opportunistic or rather take advantage of this changed market relative price and gain market share? And why is that not happening?

Mohit Malhotra: No. So therefore as far as market share is concerned, you are absolutely right, too much of premiumization, you end up losing actually market share, and that is exactly what is happening with market leader. While you see premiumization and the growth happening, but the Nielsen and the syndicated data is showing that the market leader is losing market share in the non-

herbal

segment and all the herbal players, be it Patanjali or us or other herbal players are actually inching up their volume market share. So there's attrition happening from the non-herbal to the herbals and that's why herbal penetration is actually moving up, absolutely, to your point.

As far as our business is concerned, 8% is our volume growth and 3% is our price growth, leading to our 11% growth. But our secondary growth is in the range of around 12.2%, which is in line, and we've done some sort of inventory correction also here. So that's what we've done. But you're absolutely right, market leader is actually paving way for us to follow and therefore, increasing premiumization in our portfolio so that we can play catch up too. But it's not just about gaining market share and keep at a lower price, because they've got a Visible White and they've got Total , which are different segments altogether rather than only the main categories.

Percy: I agree. I'm just saying in the Colgate Strong Teeth also, they had couple of quarters ago, taken a fairly big price increase, which I think was not mirrored in your portfolio. And I'm just saying from that point of view, with that price differential widening, shouldn’t this doesn't matter to the consumer in any way? And should that result in a market share gain for you?

Mohit Malhotra: So there is an opportunity. As I just told you, we just finished RGM activity with a very big consultant in India, and we have compared and contrasted our prices of all SKUs across the board with competitor and any opportunity in that we will not lose especially in oral care. So that we have already plugged the gap.

Mihir Shah from Nomura

Mihir Shah: Sir, I wanted to check on the juices portfolio. last year, it had a low base and start of the year also has been subdued because of the weather conditions. Ex of seasonality going forward, how should one think about the growth in juices? Do you think it can come back to early to mid-teens growth? Or do you think there is some other issue that is hampering its growth profile?

Mohit Malhotra: Yes. So let me not restrict myself to juice portfolio, let me talk about the beverage portfolio. There are some parts. But for beverage, our food portfolio is doing well. I already explained to you in my call that our foods is growing by 20%, Badshah is growing by 15%. So we are well as far as food is concerned. In beverage, there are three parts of the portfolio.

One is a 100% juices. Our 100% juices under Active is growing by around 21%. So that's taken care with very healthy growth. Now we come to the nectar part of the portfolio. Our nectar part of the portfolio is the one which is a little bit flagging. I'll come to the reason in a bit. The drink

part of the portfolio is growing at 19% or 20% for us and the Fizz part of the portfolio is growing by 100% for us. As far as carbonated is concerned, that's 100% growth. Drink is a 19% growth. 100% Juices is a 21% growth.

Now coming to the Nectar part. What's happened is, that there are cola wars which are happening in India, in which there's a third entrant, which has entered into the cola business. And because of which and for him to take market share, it has dropped the prices and made 250 ml available at INR10 due to which the market leader has also dropped the prices, due to which the number 2 player has also dropped the prices.

So the price index between a nectar and cola has significantly increased. Our relative price index used to be 2.2x. This 2.2x has gone up to around 3.2 to 3.25x. So that is just to give you an example. The INR10 pack, which is available at INR10 for cola or a drink, our 200 ml, which is a portion pack available at INR 20, 2x the price point.

So that's the problem, which is happening. And because these drinks and nectars or these colas have become so cheap, consumers are trading out of nectar

into cola and the summer season has accentuated this problem, because of this acute summer of 40-degree, 50 degrees outside, the consumer wants more hydration and more refreshment rather than nourishment and health.

So it's a dual impact, which is what we are facing. One at the price end because the price premium of nectars have gone up as compared to cola, which is the market of INR50,000 crores as compared to drink market, which is INR12,000 cores to INR15,000 crores. And number two, consumers were seeking out more thirst quenching products. And if you taste this, this is more thirst quenching as compared to a juice or a nectar.

So that is why there has been a muted growth as far as J&N is concerned. If you look at other competitors' data also, whether it's Varun or others, the nectar market is only growing at a very muted growth. Our market share in the nectar market has gone up by 332 basis points. All other, whether it's ITC, and all other players, market shares have actually gone down. So the team has done a very good execution on ground, gained market share, but yet the growth has been muted there.

Mihir Shah: Understood. Sir, can you share the saliency of nectar within all of these 4 subsegments? Or maybe if you can talk about how you're going to address the issue because it doesn't seem to be an issue that is going away soon. So maybe the saliency of the other 3 segments can go up. Anything that you can shed light on that one.

Mohit Malhotra: Yes. So what we are doing is we are ramping up capacities for Fizz in Jammu and that is getting ramped up. Our capacity for drinks is also getting ramped up. Coconut water also we are ramping up, but that takes time. But Nectar represents more than 70% of our total saliency. And we are the number 1 player with a market share of more than about 56% there in the Nectar segment.

Mihir Shah: Understood. Got it, sir. Sir, second question is on the OTC and Ethicals portfolio. There were quite a few new initiatives and launches that were planned including the Doctor Advocacy etc, steps that were taken. Can you share any update on those initiatives? Are you revisiting any of them? And when should one expect growth to pick up in this category?

Mohit Malhotra: So Doctor Advocacy is progressing well, and Philipe Haydon is actually leading the charge here and it's doing well. We are reaching out to more than 30,000 Ayurvedic practitioners. 30,000 another general practitioners,12,000 dermatologists, 22,000 gynec and pediacs each. So that's well on way. We've got around 400 feet on street on ground. So we are trying to advocate that allopathy's alternative system of medicine as good as allopathic which is there.

So I think that whole playbook is working well for us, but it's a slow progress. As far as growth is concerned, we've got a growth of almost around 9% to 10% in therapeutics vertical. So there are new people, getting trained, etc, so it's taking time to really get into a flywheel growth. But overall, I think it's long term to build health care. That is what we are doing on the Advocacy. Overall doing well.

As far as Ethical is concerned, we've seen a good growth in the Ethical business and Ethical business has grown by around 7% to 8% for us, and it's doing well. OTC saw muted performance in the OTC mainly driven by the base effect of Honitus, which grew by around 30% plus and one or two other brands also grew by 30% last year. That's why the growth is actually muted. Plus severe winter's incidence of cough and cold was limited in the summer because of the acute summers. So that's why.

But our Pudin Hara liquid has done very well, grown by around 20%. Our Hajmola has got extended into Hajmola Zeera. That has done very well and the response from the market is exceedingly well. Imagine Hajmola as a brand getting now pivoted to drink segment which is so big in size.
And we've se

en the other Zeera players also doing very well. I think that's a very big news that Hajmola as a brand is now pivoting into the very large TAM, which is the drink segment, so we were limited by the kind of capacities that we people had.
Our Baby Care business has also grown by around 45%, and that's also trending well, driven by both e-commerce and also now by the therapeutic business. So overall, OTC and Ethicals have done well. Health juices are going to be around INR50 crores for the whole year, and we are striking at the rate of around INR10 crores plus in the quarter.
So I think juices are doing well for us, yes. So overall, OTC Ethical had par performance. Some part like Lal Tail and Honitus, we had to do some media work to grow the market as a leader, which we are up to doing.
Mihir Shah: Perfect, sir. Great to hear that. Sir I have one macro question. If you can talk a bit more on the rural growth. What changes are you seeing there? Is the group looking better because of a low base? Or are you seeing some consumption improving post the Rabi harvest? Or are you seeing changes from the unorganized sector or players to the organized players that change is coming back, which you were seeing a few quarters back. And in a sub part to it is, what do you think is the issue with urban? Why is it tailing? Why is it going down, sir?
Mohit Malhotra: No, I think overall, the rural is coming back if you ask me. It's a large long-term impact happening inflation going down, elasticity of demand working very well as inflation goes down,

price premium goes down, more traction happens in discretionary and staple. That is what is panning out. There's a deflation of around 2% that we've seen in the quarter.
And that's why rural consumer is kind of coming back into the fold of consumption. I think that's getting built up by good harvest, normal monsoon, government initiatives of putting in a lot of infrastructure, more employment opportunities, MGNREGA outlay going up from 60,000 to 84,000 crores. New schemes being announced by the government.
So I think all that is leading to a better sentiment and this better sentiment generally leads to better consumption. I can't tell you a very hard fact of correlating with the money in the hands of the consumers. But I think sentiment euphoria leads to better consumption, and that is what is, I think, happening in rural and the government has also come back in the third term.
So there is a fair amount of stability as far as the economy is concerned. And that is all going up in the overall consumption. But we would have expected even better sops by the government, which has not come through. But I think everything is not hunky dory. Because overall FMCG market continues to go down.
So we have seen a sequential decline from 12% to 9% to 6% to 4%, while rural is showing some sort of recovery. But Dabur is the bellwether for the rural performance, which we think we are.
For past 3 quarters, we have seen our rural recovery happen whereas the FMCG market is showing rural recovery for the past 2 quarters.
So we are the lead indicators. I would imagine that we would be for the rural consumption. And our sub stockist channel is doing well. Money is coming back. Earlier, the credit terms were higher. Now the money is coming back. Our inventory levels also gradually slowly are coming down, which had piled up. So all in all, I think we are in a good space, and I think the subsequent quarter should be better than the previous quarters in the FMCG sector.
Mihir Shah: Yes, I get it. And absolutely, we believe that you will be the key beneficiary of rural recovery. So one is keeping the fingers crossed.
Lokesh from BOB Capital Markets
Lokesh Gusain The first one is if you could discuss some trends in urban markets, like how they performed in the June quarter relative to the March quarter? And then secondly, I know

Chyawanprash is a
low saliency in the June quarter, but I just want to understand how the trends were on a year-over-year basis when you look at the March quarter performance and when you look at the June quarter performance. Did the heatwave have any kind of impact on that product?
Mohit Malhotra: Lokesh, as far as urban markets are concerned, urban markets, again, got part, I'll answer your question in the part. E-commerce is flying for us. So it's a growth of around 30% in e-commerce and driven by quick commerce. Quick commerce growth around 70% for us, driven by Zepto, Blinkit, Swiggy, Instamart.
All they are doing very well, and we've got a structure and a playbook in place, which has kind of put this business on a good high growth track and we are working along with all the major

players in the quick commerce and devising mixes and portfolio so that our growth is driven along with their growth and it's a very high-growth channel for us. Today, quick commerce is almost 30% to 35% of our overall e-commerce and doing exceedingly well. Our modern trade, the second part of the urban is growing at around 15% thereabout.
Reliance and D Mart which are more than 65% of the total MT, is also doing well for us. So that's, again, a good thing and margins for both modern trade and e-commerce are in line with the GT margins. So the more they grow, the better we get, except for the fact that credit is a little higher in these two channels, which also in due course of time, we should correct.
GT is a big elephant that is a drag on the business, which is also urban one, and in which wholesale is where the shoe pinches. So we are trying to convert our indirect to direct and therefore, trying to reach maximum number of outlets. 50,000 outlets is what we've added in the overall direct reach in the quarter. So that's our endeavor for this to go out. So that the productivity of people also moves up. So that is what one is trying to do here.
As far as Chyawanprash is concerned, this is a very low salient quarter for Chyawanprash and the heatwave was severe. Amid the heatwave, Chyawanprash to consumers is not making sense. We ushered in a campaign called a monsoon campaign to capitalize on the monsoon. And immediately after the monsoon, we've seen around 8% to 9% growth happening in July. And in the current month also, we are seeing some good growth on the lower base, of course, it's not a consequential quarter for us again. So I think with the La Nina impact coming in, we are expecting the winters to be a little bit more severe as compared to usual and which should be a very favorable indication for Chyawanprash season to go by. So we are keeping our fingers crossed this year for Chyawanprash to do well..
Lokesh Gusain And then just you mentioned something about inventory correction in the Oral Care segment. Could you just talk a bit more about like where was that exactly & in which channel?
Mohit Malhotra: No, see inventory correction I was telling a difference between primary & secondary. We've not consciously corrected any inventory. So let me put the facts in place. We've not corrected inventory, hasn't corrected or taken a beating on the sales to correct the inventory. We are trying to drive secondary to correct the inventory.
So our secondary sales has been higher than our primary sales. To that extent, the inventory levels of the stock actually depletes down. In Oral Care, I was telling you our growth is around 13% in secondary as compared to 11%. So 2% of our overall Oral Care volume should be roughly around INR 10 Crores. So around INR10-11 crores of inventory correction in Oral Care would have happened and mostly in the GT channel. Ankush, do you want to talk to...
Ankush Jain: Just to give a bit of fact. In fact, our secondary revenue is slightly higher by INR1 or 2 crores in this quarter. So it's marginally high. It's just

that in the base, the primary was higher.
Mohit Malhotra: But I think overall in the business only, I think secondaries have been higher as compared to our primary. So overall, there should be a stock correction to an extent of around INR10-odd crores, which would have happened in any case overall, yes.

Jay Doshi from Kotak
Jay Doshi: First question is on juices and nectars category. Now as per Nielsen, you've gained share by 330 basis points. But when we look at the reported numbers of Varun Beverages that for them, the segment grew 40% this quarter. And from whatever we understand, even Tropicana has grown at 20% odd plus. And this year, they have trebled the capacity for Tropicana. So I was just wondering that are you losing market share? Is it real in the nectars segment losing market share to Tropicana? Maybe it's not reflecting in Nielsen as yet. And if you could share some thoughts here.
Mohit Malhotra: We've sliced and diced the numbers, actually, you're talking specific. Tropicana used to be 19.3%, now it's 17.3%, 200 basis points lower. Minute Maid is down by 100 basis points, and the Real is up by around 330 and B-Natural is down by 280 basis points. It's all syndicated data. So I think we were very careful to analyze and understand this. I think our business has done significantly better as compared to all competitors, and Real has been the only exception which has grown in consolidated market shares. I can't talk about Varun Beverages results because it contains export market, drinks & this that. So there are too many moving parts there.
As far as Real is concerned, I don't think we are losing. We are not at all losing market share here. We were losing market share in the coconut water segment. That is what we are still losing market share that we are plugging. So we've already ordered for a aseptic line because you require an investment in capex there that we have invested.

So I think with next season on, even coconut water for Real will be available in the pet bottle, which is where we were losing. We were available in Tetra Pack and they were available in pet with the new player Storia coming in, it had taken market share from us, but that we will be plugging in the coming season. That much of time we took, but that's the learning, yes.
Jay Doshi: One more question. Earlier, you mentioned on the call that modern trade and e-commerce margins are similar to general trade margins. So is this an apple-to-apple comparison in terms of category comparison or your portfolio in MT and e-commerce is far superior in terms of product mix and category mix. And hence, when you look at the margins of GT versus MT e-commerce, you probably see similar because what we hear from most other companies is modern trade and e-commerce are actually margin dilutive.
Mohit Malhotra: No. So I think over the past 2 years, we have very consciously worked on this to inch up the margins and inching up the margins has happened with negotiations with the trade and in the channels earlier, we were doing modern trade through our distributors. Now we are moving directly. So we saved the distributor margin of around 5%. Now that's coming in handy. We are selling larger packs. We are doing more premiumization there.
So I think it's a very conscious attempt of taking up margins because we realize these are the emerging channels growing at a faster pace. If margin dilutive, this will lead to overall decline in the operating margins and things will become worse. So we worked on it, I think, very consciously. Earlier, we used to offer a lot schemes, now schemes are getting net off from the

top line, therefore some GST savings happening there. And then overall, I think it's proving out to be a very positive sort of look for us.
Jay Doshi: This margin, when you talk about margins between chann

els, is it EBITDA level or gross contribution level?
Ankush Jain: It is net margin, net of all direct expenses with the media including visibility spends.
Jay Doshi: okay, understood.
Sheela Rathi from Morgan Stanley
Sheela Rathi: I must admit this time's annual report completely resonates with the company's positioning. So my first question was with respect to the market share gains, which we have been seeing in Odomos and Odonil. I understand that Odomos is much smaller than Odonil, but what is working out in favor for us? And where do we see the scale-up in this category at the overall level in the next couple of years?
Mohit Malhotra: Yes. So Sheela, so I think Home Care is a great opportunity for us and very high margin accretive category. We make margins in tune of around 60% broadly in Home as compared to other places. So we are very well placed. Odomos is an underleveraged brand for us because the total top-of-mind recall for Odomos will be very high, and Odonil also will be very high as to the amount of turnover. That's why we are now pivoting Odomos towards mosquito repellency and insecticide, so to say. Therefore, we had introduced Odomos Racquets first, then we introduced LVP that is also coming in. So we are trying to expand the total addressable market for Odomos. And so is the case with Odonil getting extended to different formats. Odonil just not being PDCB block, but also being air fresheners, also being gels, also being powder, also now getting into air fresheners, etc.
So the entire gamut of freshener category will be captured by Odonil and insecticide with the Odomos. That is the overall attempt, and we want to take our Home Care to INR1,000 crores. And still, it is not INR1,000 crores. Odomos totally for us should be around INR800-odd crores. So total Home Care will be around INR800 crores. So we should be able to take this up to INR1,000 crores by increasing the TAM. That's a big picture.
Sheela Rathi: Understood. Second was just a follow-up to the previous participant's question. With respect to the margins. But again, more importantly, we have called out that quick commerce is doing very well for us, up 70%. Which brands from our portfolio fitting to the quick commerce related demand and are the margins similar for quick commerce similar to e-commerce?
Mohit Malhotra: Yes. So I think juices are doing well. Juices are doing well for us than quick commerce also now toothpaste is doing exceedingly well. So quick commerce players, besides just carrying grocery. Now they started carrying the personal care also and the new product bundles are going on personal care and doing well. Even our Badshah Masala has now been geared to our quick commerce business. And I think it will do well. Odomos also is doing exceedingly well in quick commerce for us, yes.

Sheela Rathi: Would the margin be similar to e-commerce when you say for quick commerce? Or Will it be

better?
Mohit Malhotra: Quick commerce margins are better than e-commerce. Amazon's rate and all is higher as compared to Zepto and Blinkit and Instamart, etc. So quick commerce margins are better than e-commerce.
Sheela Rathi: Understood. One final question was on the rural bit, while responding to the earlier question. You mentioned that your channel is doing well and money is coming back. Is this the first quarter when we are seeing this money coming back from the channel much faster. Is it fair to say? Or has it been something we have been seeing as a trend improving for the last few quarters?
Mohit Malhotra: So I think I'm talking about the current quarter. So I don't know if it is a trend we have to wait and watch that's what I said. The sentiment seems to be improving. So it's a little wait and watch. And geographically, the mix is very different. If you ask me, South India is still reeling under pressure. And where the little ease is happening is in

UP, Bihar for us, that is easing out, that's getting better. Central is getting better. But I think South India is still reeling under deep pressure.
Avi Mehta from Macquarie
Avi Mehta: I just wanted to better understand your comment on pricing that you had indicated during the start of the call. Is this in any way you worry in suggesting that the 3% pricing growth that we were aspiring in FY '25, that could be at risk because the price hikes in health care are getting harder or if you could kind of help us better understand that comment.
Mohit Malhotra: No, I did not say that we aspire to have a 3% of a price increase. I did not say. I only mentioned the deflation in the current quarter is to the tune of around 2%.
Avi Mehta: I misunderstood that comment. I'm sorry then.
Mohit Malhotra: Yes. So I said that there is a deflation of 2% and there's a 2% of carry forward price increase that we are seeing in the current business. And this is a price increase that we've taken in the previous quarter, which is getting rolled over to the current quarter. So that is overall sort of 2% plus volume growth of 5% and 7%. So I anticipate volume growth going up and price growth to be muted in the tune of around 2% only. As far as health care is concerned, our price increase in the current quarter, a 6% price increase in the health care business.
Our HPC business has a price element of around 1.4% to 1.5%. And food is actually all volume driven. So that is the way it will be going forward in the quarter because if there is inflation, which there is, as I see the inflation in food is very high today, so we might have to take some price increases in food, but it depends upon how the situation is. Our margins are holding up, and that's where we are, yes.
Avi Mehta: Got it. Perfectly clear. And yes, I misunderstood your earlier comment. And the other just wanted to understand what's on the Namaste, any update over there?

Avi Mehta: I just wanted to get an update on the Namaste case. Is there any update over there? Or it's status quo? Any news over there, if there is?
Mohit Malhotra: Yes. In Namaste last update when we gave you and an update now, we've been able to achieve the corporate separateness in Namaste. So Dabur International & Dermoviva are not a part of the litigation now anymore. So only Namaste, which is less than 1% of our profit and turnover is in the ambit of the legal case. So that's a very good development happening in our favor.
Number two, we've been negotiating the legal cost and the legal cost as compared to last year to the current year is substantially lower. So this quarter, we've only incurred INR18 crore of legal cost. In Q1 FY24, it was in the range of around INR25 crores, so substantially lower for the full year. We should be incurring a cost of around INR80 crores as compared to INR100 crores last year.
So, I think overall, still the case is in the discovery stage, and we are also talking to our insurance companies to see if we are able to get 50% of the amount that we are paying to the lawyers for fighting the litigation. If that happens, then we will be able to reverse the provision that we've kept for the cost that we've incurred right now.
Amit Purohit from Elara Capital
Amit Purohit: Sir, just on the Health Supplement segment, you grew by 7.8% this quarter. And if I look at historically, since FY '21, this segment has faced challenges post the COVID benefits that we had. How do we think I mean, for this year, since the base is favorable for Q3, would the slower growth you would attribute largely to the unfavorable seasonality or is there any structural change which is happening because we have taken price increase as well in this segment.
Mohit Malhotra: Yes. So there are three elements of health supplements for us: Glucose, Chyawanprash and Honey. If you see our Glucose has done very well. I think the entir

e heatwave actually provided a tailwind and a favorable environment for Glucose to do well. Our Glucose business grew by around 30% and a market share gain of around 70 bps in the overall segment. So that's done well. We also introduced Glucose in our drink segment, which also has done well for us. Our value-added Glucose is doing better. Vitamin C and other flavors are doing better than our regular glucose, which is also margin accretive. Our margins have substantially improved in the Glucose segment also.

As far as Honey is concerned, we faced some concern on last winter. The winters were very acute and some part of Honey had actually crystallized in the marketplace. So we've taken back some stock. So therefore, the growth on honey wasn't there in our health supplement piece and even Chyawanprash due to the high heatwave it's not done so well in the current quarter but post our monsoon campaign in the month of June and July, we've seen good growth happening in Chyawanprash. And going forward, as I was telling you before in my previous remarks, that with La Nina impact, we anticipate winters to be severe. So Chyawanprash should do well going forward in the season.

Amit Purohit: Sure. And lastly, on the margin guidance for FY '25, should we assume to be similar to FY '24?

Mohit Malhotra: Yes. See, we've got 120 bps of gross margin improvement. Part of that around 80% of that will be plowed back into media and balance will flow through to the operating margin. So there will be some amount of improvement in operating margin. If the deflationary environment continues and we anticipate in the second quarter, the deflationary environment will be there, we'll have a flat sort of inflation that's the prediction that we got from our procurement function.

So that should remain. But in quarter 3 and quarter 4, there's some anticipation of inflation coming in. And if that inflation comes in, we'll have to watch the gross margins and our media but we are committed to investing behind our brands and therefore, doing higher media. In India, the media percentage to top line was 8%. We want to inch it further through Samriddhi benefit, some part of gross margin flow-through and balance will get into operating margin. So I can't really comment with certainty. Margins will grow beyond 19.6% that you see, but how much? I really can't say.

Nihal Mahesh Jham from Ambit

Nihal Mahesh Jham: Sir, one question would be that in the Oral Care segment where you're seeing strong growth. Is there an element of distribution improvement also considering, I think we reached 3 million outlets in the segment versus the 8 million in total that we have and could that be a sustaining factor of growth going forward?

Mohit Malhotra: Yes. So I don't know. I think the distribution initiatives actually incrementally add to the entire portfolio or not really to oral care per se. But I think our visibility, our activations in modern trade and e-commerce have really ramped up as compared to last year. So we changed manning in modern trade. There's a different head who has come in.

I think we've got higher shelf shares in modern trade for Dabur Red and for others. I think our share of shelf in modern trade would have significantly improved. And also in e-commerce, our business would have ramped up. As far as GT is concerned, I don't think distribution has incrementally added to the growth which is happening. We are investing ahead of the curve as far as media is concerned. So South business has done well. Our market shares have improved over there.

But in North India, there's a huge scope and Patanjali in particular State of UP, etc, has gained market share from us. So there's a lot of hard work which has to happen there on a INR10 price point and a INR20 price point to gain shares there, but we are investing. I think it will be more demand generation activity there becau

se its more wholesale driven rather than distribution. So yes, modern trade e-commerce, definitely. The activation would have played a role.

Nihal Mahesh Jham: That's clear. Just one clarification in juices if you would give the split between in-home and out-of-home in the Nectar's business only.

Mohit Malhotra: Our in-home business would have stayed put while in Nectar, both have gone down, but out-of-home has significantly improved because of our drink portfolio and Fizz portfolio. And the 200 mL part of our juices and nectars portfolio suffered because it is Tetra Pak and a lot of Fizz and drinks not just us, but also the other players would have taken share from us in out-of-home. But in-home, we are staying put as far as our 1 Liter is concerned.

Vishal Punmiya from Yes Securities

Vishal Punmiya: Just one question on the international growth. The Y-o-Y CC growth looks to be quite strong. but a sharper impact from the currency devaluation compared to even the previous quarter is kind of restricting our INR growth. How is the situation as of today in terms of currency devaluation across your international markets?

Mohit Malhotra: Ankush, you want to answer?
Ankush Jain: Yes. So I think the currency that has been hovering around 3% or so or thereabouts in last 2, 3 quarters. I think we will take 1 or 2 quarters more to overlap. And then by Q3, we will start reducing, though not completely eliminated.
Isha Lamba: I would like to thank all the participants for joining today's call. Our sincere apologies once again for the delay in starting the call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

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To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai-400001
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India Ltd.
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai - 400051
NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q2 FY 2024-25 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on October 30, 2024, post declaration of Financial Results for the quarter and half year ended on September 30, 2024. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
rw^/'
(Saket Gupta)
Company Secretary and Compliance Officer
End: as above

"Dabur India Limited
Q2 FY '25 Results Investors Conference Call"
October 30, 2024

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ANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MR. REHAN HASAN - HEAD, SALES
MS. GAGAN AHLUWALIA – VP, CORPORATE AFFAIRS
MR. N. KRISHNAN - GENERAL MANAGER , FINANCE
MS. ISHA LAMBA - HEAD, INVESTOR RELATIONS AND M&A

Isha Lamba: Good evening, ladies, and gentlemen. On behalf of the managemen t of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the r esults for Q2 FY '25. Present here with me are Mr. Mohit Malhot ra, Chief Executive Officer, M r. Ankush Jain, Chief Financial Officer; Mr. Rehan Hasan, Head of Sales; Mrs. Gagan Ahluwalia, VP-Corporate Affairs; and Mr. N. Krishnan, General Manager-Finance. We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.
I'll now hand over to Mr. Mohit. Thank you.
Mohit Malhotra: Thank you, Isha. Good evening, ladies, and gentlemen. We welcom e you to Dabur India Limited's conference call pertaining to results for the quarter ended 30th September 2024. This quarter, the sector faced challenges from heavy monsoons, flood s, and high food inflation, which slowed down urban consumption, especially in the beverage categ ory for us. However, rural continues to be resilient and has outpaced urban growth for las t 3 quarters. We believe urban consumption has bottomed out and should see an improvement goin g forward.
As new channels have been growing ahead of general trade, this has put some pressure on profitability of our GT channel partners. We recognize the chal lenging times faced by our GT channel partners who are integral to Dabur and have significant ly contributed to building our esteemed business. As part of our commitment to good governance and in solidarity with them, we have undertaken one-time strategic initiative to rationalize inventories and enhance their profitability. As a result, our consolidated revenue declined b y 5.5%. While this one-off proactive measure resulted in a temporary dip in sales, this wa s necessary step to enhance the profitability of our GT distribu tors and ensure long-term healt h and hygiene of our business.
Our business fundamentals remain strong with all underlining ke y consumer metrices of market share, household penetration, secondary sales and compounded an n u a l g r o w t h o n a p o s i t i v e trajectory. Our secondary sales during the quarter grew by 2.3% year-on-year with Home and Personal Care growing at 6%, Hea lth Care growing by 4%. In addi tion, we gained market share across 95% of our portfolio.
The international business exhibited resilience and registered a strong growth of 13% in constant currency terms. Within the domestic business, Home and Personal Care secondary sales grew by around 6%. Hair Oils grew ahead of the category and gained 4 0 bps market share. We are market leaders in hair oils with representation in both coconut and perfumed hair oils. A key white space has been premium Ayurvedic hair oil segment that we have been calling out for a long time.
I'm happy to announce that Dabur has entered into an agreement to merge Sesa Care Private Limited, which has a consolidated turnover of INR133 crores. Th is proposed merger brings to Dabur the premium Sesa brand with strong credentials around Ayu rveda that will complement our existing portfolio and strengthen our presence in the INR14 ,000 crores hair oil category. Given Dabur's extensive distribution network and category leade rship, this transaction will bring in substantial revenue and cost synergies. Sesa brand will also enable us to premiumize our hair

oil portfolio as it is gross margin accretive. International bu sinesses contribute to 19% of overall Sesa’s sales with Sesa being number 1 Ayurvedic therapeutic hai r oil in Bangladesh market.
Home Care portfolio continued on a strong growth trajectory wit h 9% year-on-year secondary sales growth and market share gains of 220 bps in air freshener s and 510 bps in mosquito repellent cream category. We continue to premiumize and expand our product range in Odonil

with gel pockets, diffusers, and premium air fresheners. We hav e extended Odomos brand into liquid vaporizer format, which is seeing an encouraging respons e from the market. We intend to scale up this during upcoming months.
This initiative will enable the Home Care portfolio to grow in double digits going forward in the future, taking up the portfolio from INR700 crores to around IN R1,000 crores in 2 to 3 years' timeframe. In oral care category, our flagship brand, Dabur Red recorded secondary sales of around 5%. We have a strong number 2 position in the category w ith 1 out of every 2 households using Dabur Oral Care products.
Dabur Red toothpaste has a number 1 position in states like Ori ssa, Andhra Pradesh, and Tamil Nadu. I'm happy to inform you that Dabur Red has become India's first Ayurvedic toothpaste to get accreditation and recognitio n from Indian Dental Associatio n, a consortium of allopathic dental practitioners. Going forw ard, we will ramp up our engage ment with dentist community to cover around 1 lakh dentists.
Our Health Care segment posted a secondary sales growth of 4%. To promote all-weather consumption of Chyawanprash, we rolled out a special monsoon ca mpaign during the quarter, which has resulted in secondary growth of 12.6% in Chyawanprash . The brand gained 20 bps market share to reach 61%. The Chyawanprash category penetratio n has improved by 10 lakh households from pre-COVID levels.

To drive premiumization, we recently launched the Khajurprash v ariant, which was very well received by the consumers. Digestives portfolio recorded a seco ndary growth of 6% year-on-year, led by good growth in Hajmola and market share gains of 1 60 bps. Dabur Honey also grew ahead of the category and gained market share of 60 bps. Health Juices and Shilajit recorded a year-on-year growth of 20% each and Baby Care portfolio grew by 30%.

In Foods category, the business performed well with 20.6% growt h in secondary sales. Badshah continued on a strong footing and grew by 15%, both primary and secondary terms, driven by 15% volume growth. Food business, including Badshah, will cross INR500 crores this year, as alluded earlier. We intend to continue to grow Foods vertical a ggressively going forward as well.

Due to aggressive monsoons leadin g to floods and landslides in some parts of the country, the Juices and Nectar category declined in high single digits. Desp ite the slowdown, we grew ahead of the category and gained volume market shares of 240 bps. We have put in place a multipronged strategy of ramping up our drinks portfolio, impro ving affordability through pack price architecture, revenue growth management and drive premium ization in emerging channels and expanding the distribution footprint to put Juices and Nect ars back on the growth trajectory.

Coming to profitability, the cons olidated gross margins expande d by 102 basis points. The company increased its investment in advertising and promotion a nd went up from 6.8% of net sales in quarter 2 to 7.4%. However, deleverage on account of d ecline in revenue impacted the operating profit, which declined by 16.4%.

I am pleased to announce that our company's Dow Jones Sustainab ility Index score has reported 170% improvement from 30 to 81 in last 2 years, reflecting our unwavering commitment to sustainability and responsible governance.

I would like to once again reassure you that the underlying bus iness fundamentals remain strong and overall health of the business continues to be robust. With rural growth continuing to be resilient, urban slowdown expected to have bottomed out and rid ing on the strategic initiatives, we are confident of our performance in the upcoming quarters to be back on track. We remain dedicated to investing behind our brands, expanding our distrib ution reach, and building our back-end capabilities to continue to d

eliver superior value cre ation.

With this, I conclude my address and open the floor to Q&A. Tha nk you.

Abneesh Roy from Nuvama

Abneesh Roy: My first question is on toothpaste. So we have seen 3 results t ill now in that sp ace. You have grown by 5% and the market leader has grown in double digits wi th around 8% volume growth. And the number 3 player has also seen high single-digit growth. So one, how do you see your growth versus the other 2 players? Second, have you seen a shar p ramp-up in the competitive intensity in Q2 and do you see this as a structural developmen t or that was a one-off given the margin pressure which market leader saw?

Mohit Malhotra: Right. So Abneesh, overall, Oral Care category is growing quite well. We have grown ahead of the category at around 5% value, and we've gained market shares also in Dabur Red. Besides Dabur Red, even Meswak has performed very well in the quarter. Dabur Herbal toothpaste for us has also been doing very well. Lal Dant Manjan, which is our tooth powder brand, has also grown by 7% in terms of secondary.

So all the vectors of oral care for us have done well in the ma rket and market shares have gone well. I can't comment so much on the competitor. But as far as we are there, I think Oral Care is one of the very aggressive vectors, which we will keep pushing to drive our growth.

On Oral Care, I would want to mention one thing that we are rea lly seeing huge tailwinds on our product portfolio and international business. Oral Care will be one of the second vectors of our growth besides Hair Care in the international business. We have completely saturated our installed capacity in markets like Egypt, MENA etc. on Oral Car e, and we are augmenting capacity there. So there is a real heavy tailwind towards herba l, natural and Ayurvedic products in oral care.

In many countries, in MENA and in Egypt, we have already become number 2 and number 3 brands placating large global com petitors that we have there. A s a matter of fact, in Egypt, we've become the number 2 brand in Oral Care, and we are putting up s pecial installed capacities and

the business is surging at the rate of around 70% to 80% on vol ume terms. Even in MENA, we are seeing a huge growth happening in Oral Care. As far as comp etitive intensity in India is concerned, yes, from the competitor and the market leader, we'v e seen competitive intensity gone up, but we are matching up their prowess in trade and in v isibility in the marketplace.

Abneesh Roy: Understood. My second question is on the fruit juice and Campa Cola impact. You were the first company to really highlight the risk well before other companie s. You said on the impact of Campa Cola in Q1. So I wanted to understand now Coca-Cola is al so looking to cut prices from INR25 to INR20 in the 400 ml. So if you could talk about that, how does that impact your price architecture?

Second is, if you could discuss on how much is the presence of Campa Cola in your market,? Because what we understand is that it is still in few markets. So if it is in a few markets, how come the impact is there on pan-India business for you?

Mohit Malhotra: Yes. So as far as beverage is concerned, firstly, the season di d not favor us. I think without the season, which is more monsoon and flood led. Secondly there was high competitive intensity. What has happened is that, it didn't directly impact our busine ss, but the pack price architecture and the pricing index has actually become worse.

So for us, the 1-litre pack happens to be INR130. And for Colas , the 1-liter pack happens to be around INR50. So the price index has gone up to 2.7 from someth ing around 2.1. So going forward, we'll be increasing ou r value propositio n to the consu mers by introducing INR100 price points in the 1-litre category. This is on the 1 litre.

As far as out-of-home consumption is con

cerned, which is INR10 price point, Campa Cola is at INR10 now. And even the big players like Varun and HCCB are als o looking to cut the prices and will be available at INR15 price point. We have a Tetra Pak , which is available at INR20. So we've introduced INR10 bottle. We've introduced INR20 bottle . We've introduced INR65 bottle and also now 1 litre. is also available, and 2 litre. wi ll also be available. So we are trying to plug all price points with juice-based drinks across.

As far as the impact is concerned, I cannot directly correlate the impact, but we can feel a little bit of shift in this coming season from juice-based beverages t o fizz-based drinks. Firstly, the summer was a little bit acute and therefore, people preferred r efreshment-based drinks rather than health based. But I think that was more momentary and tran sitory because of the price. So there is an impact, but it's an indirect impact of carbonated d rinks on the juices.

Abneesh Roy: Mohit, two quick follow-ups here. One, in terms of the shift fr om the juice towards the fizz, would that be structural in nature? I know you are taking multi ple steps to overcome it. One is if you could comment on margins, how it impacts because if you are becoming more sharper in terms of pricing, provided nothing changes, say, in raw materia l. What happens on margins?

Second, the awareness quotient clearly is increasing for custom ers. So the perception is though its fruit juice, but it is sweet. And the fruit content, obviou sly, people can easily read on the pack. And you also said that in the fizzy drink clearly, because it i s so hot and so warm, there is a requirement.

So even if that is also sweet and maybe the non-sugar-wise anyw ay, that issue is not there. So I'm asking, is this a structural issue of more focus on health, so awareness is there. So do you need much more in terms of the R&D aspect to overcome it rather than just pricing? And what happens on the margins given the sharper pricing, which you hav e taken?

Mohit Malhotra: As far as margins are concerned, the margins in the total juice portfolio have actually moved up. And that has happened because of the premiumisation at one end and also introducing the price points, which are more value offering to consumers on the other end. So both are kind of going hand-in-hand for us. So we've introduced coconut water also, so which are margin accretive to us. We've introduced value-added juices also, which are accreti ve to us, etc. So that is like kind of balancing our margin.

And overall, our margins have actually moved up. As far as our representation in drinks, fizz and carbonated is concerned, we are also pivoting ourselves to have representation in carbonated and in drinks. So that has given us good benefit. As you know, we've got a INR200 crores business, which is a drinks portfolio and our fizz-based busine ss, fruit-based fizz drinks for us has also done very well.

We've also introduced cans in Jammu, test marketed it and this has also done exceedingly well in the marketplace. So I think, A) pivoting the business toward s refreshment besides health is there, B) Fruit plus fizz which is the second vector of growth.

Coming to if there is a structural change? I don't think there is a structural change. If you look at overall big picture, a 50,000 ft -level view, you would find that the penetration of juices or fruit-based beverages in India is still 8% as compared to 25% i n China. And that is the example that I can give you from our neighbouring markets.

So I don't think there's a structural shift because the penetra tion of juices is still so low in the country and fruit is definitely considered more nourishing than only flavoured waters. So that's what my take would be.

Abneesh Roy: Sir, last quick question. So this inventory correction you have done, I wanted to ask on that. So clearly, FMCG companies keep doing it. The issue was that the q uantum was extremely high. And we have not seen any other consumer company even talking ab out it currently. So what is different about your business since you are also very diversifi ed. I understand in juice business there was a clear 2 quarters of issue. But how come it impacts overall business and the quantum if you can discuss that?

Second, you mentioned in the com ing quarters, the growth will c ome back to normal. You also said that urban slowdown has bottomed out. Now other companies are not saying that. They are saying this is start and so we n eed to watch out. So what is yo ur confidence of saying urban has bottomed out? Is it because you have taken the correction or it 's more of a company-specific thing you are highlighting?

Mohit Malhotra: So first, let me answer your second question first. I think as far as urban is concerned, why I say it has bottomed out is because if you look at the base effect, base quarter of urban was very high.

It's already gone down to around 2.8% kind of a growth in FMCG urban that we are seeing. I don't think so it's going to go beyond bottoming out from here.

And if you really look at the intrinsic urban consumption, whic h is also driven by e-commerce, quick commerce, modern trade, etc, these channels are definitel y showing a high growth, and they now contribute around 24% o f the overall salience of our b usiness. That is growing at a very high double digit, and that is 50% of the urban consumptio n as far as we are concerned. So that is showing no tell-tale signs of diminishing. So that is w here I'm coming fro m. It's already bottomed out even in GT.

So whether the consumption is happening through GT or through t hese emerging channels, something. So that's what my take would be that it has bottomed out. And as f ar as rural is concerned, rural remains resilient, and we see secondary growth in rural higher than urban by around 130 bps for us. But if I look at the Nielsen data, our g rowth in rural is 600 basis points higher as compared to urban. So rural remains resilient and urb an, in my view, should start recovering with the festive season.

And we've seen the kharif acreage is also high. So that augurs well for rural, and there has been MSP increases on the Rabi crop also, which should give more dis posable income in the hands of the consumer. But food inflation is something which is worry ing me, which is in the range of around 9% and which is shifting the monies from discretionary t o more essential items. So that was the first part of your question.

As far as the extent of inventory correction is concerned, now extent of inventory correction was high, yes. We were deciding to take this inventory correction. But when we press the pedal on the 25th till that time, our busin ess was doing ve ry well. Our HPC business till the 25th of September, HPC was growing at 9%; Health Care was growing at 8% ; overall business was growing at 6% and beverage business was declining in secondary by 11%. So beverage business is the one which exacerbated the whole issue of inventory for u s. And generally, beverage which is low shelf life product is high, as compared to HPC and HC bu sinesses which have the 3-years of shelf life whereas beverage has only 6-month shelf life. It occupies a lot of space at the distributor end as well.

So, the inventory piles up and the pressure is then felt on HC and HPC business because the entire ecosystem revolves around targets. So people have to do their numbers. So if one vertical doesn't fire, they try to push in the other vertical and theref ore, inventory piles up. So when we took correction, the correction happened across the board for t he entire portfolio, but more so in the beverage business. That's why optically the quantum is look ing high for you.

Mihir Shah from Nomura

Mihir Shah: So I wanted to check, would it be fair to assume that the GT in ventory correction is now behind completely and 3Q will be a normal growth quarter? And what acc ording to you is normal growth in volume and value terms in the second half? So that's my first question.

Mohit Malhotra: Yes. So I think inventory correction is behind us. Whatever inv entory correction we had to do, we quickly did it in 1 month only rather than prolonging this p ain for a long time. It's like a

disease is better to cure and co rrect it in one go. That we hav e done. So we've done corrections, but for health care business, which was preseason, and therefor e, we loaded Chyawanprash, so that is not compromised at all. In second half, we expect to gr ow back in mid- to high single-digits.. This is subject to good winters and FMCG also doing we ll.

We will continu e to grow ahead of the category and gain market share. So on th e the overall strategy and big picture, I think matrices are fine. Our market shares are going up, household penetrations are moving up our distribution is expanding. This is one-off correction, spring cleaning that we have done, and that too only on behest of our distributors, so that our ROI of the distributors improves. And that's the feedback that we got. So very strong fundamentals of the business, which do not change at all.

Mihir Shah: Got it. I see the market shares are going up and maybe the infl ationary environment is also kind of helping that from the unorganized players. But is it fair to assume that given Dabur's rural saliency and winter saliency is high and La Nina here, you shou ld be geared to be a key beneficiary, and grow ahead of the markets and peers? I just wa nted to get a confirmation on that.

Mohit Malhotra: Yes, absolutely. I have no doubts about it. I think we should b e going ahead of the market with La Nina here. I hope the winter is strong, more severe and more protracted so that Chyawanprash business does well for us. We also have plans to recover our be verage business, which is a little pain point at the moment.

Mihir Shah: Understood. Secondly, Mohit, if you can just deep dive a little bit on the hair care portfolio, the hair oils, particularly. If you can give any qualification or q uantification on how your Dabur Amla has done? And how do you see that portfolio shaping up?

Mohit Malhotra: Yes. So in hair oils, we are market leaders in the perfume cate gory. As you know, we've got representation in perfumed oils where we have Dabur Amla and Da bur Amla has got this ring-fenced by the flanker brands, which is Sarson Amla, Badam Amla, etc. So the ring-fence brands promise economy to the consumer and therefore unbranded shift t o those branded oils. Dabur Amla is our cash cow and that we are protecting from competitor , which is half the price here. And therefore, the flanker brands come in. We've done well in h air oils and perfumed hair oils, wherein we've gained around 120 bps in perfumed hair oil. So th ere is Amla, there's Sarson Amla, then there is almond oil wh ere also we have gained market shares from a single largest player in the market. Plus, we launched cooling oils in the mar ket, Cool King. Cool King this year will be around INR25 crores, and it's actually doing very well and the reception from the market is fantastic.

So what we are doing is that we have a right to win in hair oil s, and we are trying to plug. We are trying to have representations in different subsegments of hair oils. So C ool King, we plugged organically. And with Sesa coming in, we'll be plugging the Ayurvedic segment. On hair oils, we make a gross margin of around 44%.

With Sesa coming in, it comes at around 57% gross margins. And those gross margins are coming without the scale of procurement of Sesa Private Care as a company.

With the scale of

Dabur, we feel that we'll be able to take up the gross margins even further. If you look at the price points in the market, if Amla is at INR0.45 per mL, this is at INR1.7 per ml. And so is Kesh King at INR1.7 per ml. Indulekha sits at around INR4.7 per ml..

So getting the leverage from our scale of procurement, I think this gross margins of 57% is also under-pitched. So this is plugging our premiumization strategy. This is plugging our white space strategy and solidifying and consolidating our core business of hair oils. Plus it also has opportunity in international business, which contributes to 25% of our hair oils.

For Sesa brand, international business is only 11%. So that wil l critically go up to around 25%. But I think that's huge. Like if we do around INR1,600 crores i n India, we do overall around INR2,000 crores portfolio of hair oils we have in the overall k itty and Sesa will only add on to that.

Yes. Coconut oils, which is another subsegment for us, grew by around 14%, and we've gained market share. The market leader took price increases in coconut oil due to the inflation and so did we. The gross margins also inched up there in the coconut o ils. So Sesa can play in two categories for us. One is coconut-based ayurvedic oils.

Other is perfume-based ayurvedic oils. So we would want to comp ete in both the subcategories wherever the consumer need is, somewhere the consumer need is p re-bath, somewhere the consumer need is post bath. Different markets have different co nsumer behaviours, and we would want to plug that gap here. So overall, in both the subse gments of coconut and perfume, we've gained market shares. So, on back of market shares, we fe el the growth in this category for us will be higher as compared to the market growth rate.

So this acquisition should not be seen from point of view of t hat the hair oil category. It's a low-growth category. It's been stagnant for the past 3-4 years, and therefore, why th is acquisition. The real rationale for acquisition is we are a INR2,000 crores business, and we want to solidify this business as it's a core business, we have market shares of 16%, and we have huge headroom for growth in terms of market share gain. That is the way we se e it, and that's the lens with which we want you to have a look at this.

Such distribution, if you look at Dabur's distribution is 45 l akh outlets where hair oil goes to, the Sesa brand only reaches out to around 6 to 6.5 lakhs thereabout . In terms of direct distribution also, they are available in 1.2 to 1.3 lakh outlets. We are ava ilable in around 3.5 to 4 lakh outlets. So, I think each of the places, we have miles to go. Plus the penetration of ayurvedic hair oils, which are therapeutic hair oils, is only around 6% to 7%. And i f you look at the overall market, the instance of perception of a hair problem or a hair fall is 60% and the penetration is only 6% with a huge headroom to grow here. Plus, there is an extendibil ity of the brand. If you look at most of the market players like Indulekha and Kesh King, 20% of their business comes from shampoo business.

And shampoo is a huge market, again with a high growth rate th ere of around 6% to 7%. 20% of the market is shampoo market, which is extended from ayurved ic. So this theoretically can

also be extended there. Around 8% of Sesa's business is coming from shampoo. That also has huge legs to grow and hair fall, shampoo can be a very big oppo rtunity.

Mihir Shah: Mohit. Great to know it is quite ring-fenced and seems to be li ke a good acquisition. My last question is actually on the health supplement business. You did mention Chyawanprash grew by 12%, and that was a bit of a relief as well. Do you expect t his continue? Because if you see over the past 3 years, on an absolute basis, the

Chyawanprash o r health supplement absolute numbers has stagnated. Do you expect growth to finally pick up in the second half in the winter in the health supplements business? And which ones did not do w ell, which led to overall growth to be lower at 2% for health supplements in Q2 if Chyawanprash grew by 12%?

Mohit Malhotra: Yes. So there is a no stop strategy here. So we are having no h old on to anything, whether it's advertising or it's activation or it's trade lubrication. I thi nk we are working on all levers to ensure that Chyawanprash comes back on track and back on the growth pa th. And hopefully, with La Nina, I think Chyawanprash should continue to grow. We've done the loading in the marketplace.

Now we are looking at secondaries to actually pick up in Chyawa nprash. We have introduced a format called Khajurprash, which is basically meant for women a nd handles the iron deficiency in women also. Its a very tasty variant as well. I will nudge y ou all to have it. If we are able to send across the sample to the investor community, we will defin itely do the same. So, we've done innovation.

We've also introduced small pack of Chyawanprash for trials to be generated at around INR65 pack for increasing the penetration. In Q2, we did a monsoon ca mpaign to promote Chyawanprash's all-weather consumption. Chyawanprash has a perc eption that it's good only in winters. So, to kind of demystify that Chyawanprash is an all-w eather friend for building immunity, we did the monsoon campaign and monsoon campaign gave us great dividends in terms of this 12% growth that you see. So yes, we're keeping ou r fingers crossed that

Avi Mehta from Macquarie

Avi Mehta: Just first bit was on the margi n side. With inventory correctio n largely driving almost 100 basis points contraction in reported margins at the operating level a nd a move towards giving higher value, could you help us understand how should we look at FY '2 5 margins?

Ankush Jain: Yes. I think widely at an H1 level, it is almost 100 bps correc tion. And now at least with some top line improvement foreseen in H2 with hopefully good winters and if the top line happens to the level of mid- to high single digits, then I think we should be able to leverage cost and protect margins for H2, So almost flattish margins at this level in H2. That will be our intent at least.

Avi Mehta: Fairly clear, fairly clear on th at. And the second bit is on th e Sesa acquisition. Now while I understand the strategic rationale, could you help me understan d the EPS impact over the next few years? Because it seems at least on year 1, there is diluti on, but you did point towards synergies. Could you give us a sense on what are the synergies quantum that you're looking over here?

Ankush Jain: I think what will happen is, the process will go into some bit of merger and regulatory approval. It will take at least 1.5 to 2 years. The next 1.5 years, there will be no impact on Dabur EPS to start with. Post that, we feel t hat once most of the synergies start coming in, the operating margin should inch up to 18% to 19%, which is similar to Dabur once th e complete synergies get in.

Avi Mehta: Okay. Perfectly clear. And sorry , with your permission just a c larification. The mid- to high single-digit growth comment in the second half is on volume bas is and the pricing growth of 2% odd expectation should sustain. That is correct, right?

Mohit Malhotra: Yes. We have a price increase of around 1.5% that we've done in H1, but the price increase impact got diluted by the trade and the extra value that we giv e on the top line. So that has kind of got nullified. So, it's a mid- to high single-digit kind of a growth rate that we are looking.

It all depends upon how the market kind of behaves and grows. To the previous question, Avi, want to mention that Sesa business is really gross margin accre

tive, operating margin accretive and will provide leverage on all the cost heads to our hair oil portfolio, which is today giving me an operating margin of low double digit, which will end up givi ng me a high double-digit operating margin. So it will be a positive leverage on the oper ating margin for us.

Avi Mehta: Okay, that's very clear, Mohit. Perfect. Thanks a lot for this and wish you all a very happy festive season. Thank you very much.

Harit Kapoor from Investec

Harit Kapoor: I just had two questions. One is on the improving the ROI for t he distributor part. So there are other ways as well in terms of credit periods etc, or probably at a numerator level, even taking the margin. Just wanted to know, have any of those other pieces also been moved or it's only been reducing the inventory pipeline? And if it's only inventor y days reduction at the distributor level, what's the quantum of tha t? And is it fair to assume tha t since you started this on 25th September, it was 6 days reduction?

Mohit Malhotra: So the ROI of distributor will be improved on back of the numbe r of days of inventory that he's carrying. He was carrying inventory of 30 days. And as we speak after the correction, it will be around 21 days of inventory.

So, ROI substantially i mproves for him. The turnover remaining the same and the inventory correction will reduce the amount of investment that he has in the business. And therefore, there will be an improvement in the ROI. That is what I think the que stion was. I hope I've been able to answer.

Harit Kapoor: Yes. Just the question was really apart from this 9-day reducti on, has there anything else been done, whether it's credit periods or overall percentage margin, etc?

Mohit Malhotra: Yes. For the past couple of mont hs, we've been g iving a little extra credit to the distributors also. So that has also gone up. Because the inventory was high, there was inability on part of the distributor to extend that extra credit in the marketplace also because he watches his ROI etc. So

I think that trade extensions will also go down, which we were offering earlier. The number three lever is that a lot of stockists used to have stockist sa lesmen on their payroll.

We shifted them from their payrol l to a third-party payroll, wh ich is a team lease payroll, and some part of the margin was given back to them to improve their ROI also. So all that is also happening alongside. Plus this phenomena of ROI reduction is mo re in urban India rather than rural India. So in urban, we are also providing some sort of su bsidy to our distributors to ensure their ROIs come in.

As far as rural is concerned, there's not too much of pain bec ause the cost of doing business is much lower in rural as compared to urban. And urban also the sh oe is pinching of the distributors because of the quick commerce and the e-commerce surge, which i s happening. And some part is the price conflict, and some part is also offtake from the r etail outlets in urban India going down and therefore, the inventory piling up, which will get cor rected as we have reduced the inventory.

And going forward, we are also looking at a way to do some sor t of consolidation of distributors in urban India and not so much in rural. In rural, we will look at expansion of distribution, get into more number of villages and small towns and expand our dis tribution, divide our distribution into HPC, HC and foods and for urban looking at mo re consolidation.

Harit Kapoor: Got it. But any of these incremental initiatives over the next 3 months, 6 months, 9 months, in your view, should not have a material impact on the business fr om a disruption standpoint?

Mohit Malhotra: No, I don't think there's any disruption in business. No, not a t all. I don't think so. This was one-off. And this one-off also we've done in almost 20 years. Dabur has never do

ne it. And this is like a spring cleaning of the house, which was warranted once i n a decade at least. So yes, maybe after a decade or so, you might expect it, I might not be there . So I don't think we foresee this happening again.

Harit Kapoor: Sure, sure. I'm not so sure if I' ll be on a call after a decade as well, so. The second thing was on Sesa. So you've very clearly mapped out the rationale. I just w anted to get your sense on how are you thinking of kind of category growth because certain int eractions that we have for the top two players in this space also sug gest that their growths have not been so flattering. So I'm sure you've kind of seen that when you evaluated this.

I also see basis your numbers that there was a slightly lower rate of growth last year for this entity. So that's my first question on Sesa. And the second one really is on the geographic mix, which part of the market doe s it have a higher salience?

Mohit Malhotra: Yes. So as far as Sesa is concerned, I told you there are a cou ple of levers that make us so confident that we will continue to grow and grow at a higher pa ce, higher growth than what our hair oils is actually growing. It's a national brand, unlike Ba dshah that we acquired, which is more of a Western brand, and their contribution is very complem entary to us. Their contribution comes from Central, which is the mainstay of Dabur, which is UP , Bihar, etc, at 30% contribution.

West, which is low for Dabur, they are high, which is 27% contr ibution coming from there. They are over-skewed on chemist channel and less skewed on grocery c hannel where Dabur is high skewed on grocery and less skewed on chemist. So that provides opportunity as far as we are concerned. North for them is 11%, for Dabur is skewed at around 25%, which is double. There, there is upside from our distribution is concerned.

East, they are around 20% contribution and for Dabur is about the same. And South, they are higher skewed, 11% contribution in South and Dabur hair oil has low contribution coming from South and ayurvedic hair oils tend to be more salient in South. In Bangladesh, where Dabur is low, they have a higher presence. They are market leaders with 90% market share in the ayurvedic segment in Banglades h. So they will help, and it's a coconut market.

So there, they help us to premiumize our entire portfolio in B angladesh. Middle East, which is a huge 25% contributor to our overall global hair oil business, they are not present in Middle East. So that entire place is up for taking. We have the RTM an d the GTM established in around 20 countries in Middle East, where they have zero presence what soever. So that's the upside that we have. In terms of sheer numbers, we have a direct reach of a round 3 lakh to 4 lakh outlets. They have a direct reach of 1.2 lakh. So this direct reach imme diately in our control.

The moment we bolt on the distribution to our distribution. An d the indirect distribution is around 6 lakhs as compared to us being around 45 lakhs. And thi s category will have to be advertised, and the high gross margins allow that kind of adver tising to be done there. They've got 300-odd distributors. We have got around 3,000 distributors . So their presence in rural is low. Our presence in rural with sub-stockist and Yodha network is extremely high. So I think all these are very synergistic sort of opportunities, which we saw.

And it's a premium hair oil and the extension possibilities ar e many, can be extended into shampoo, into serums, etc. And hair care, I told you an instanc e of 60% of problem solution, and they solve the problem solution space in the benefit segmentati on in the consumer's mind. So all these things work in our favor. Did I miss out any point of you r question? I don't know.

Harit Kapoor: No, fair point. If I have anything, I'll come back.

Prakash Kapadia f

rom Spark PMS

Prakash Kapadia: Two questions from my end. Mohit, you alluded to food inflation being a big concern in urban demand. So any sense you could give us on down trading by consu mers? Is LUP increasing? And you obviously mentioned you feel that from here on, growth should come back. So what's the outlook on urban demand coming back? That's the first quest ion.

And secondly, earlier for us and for most of the players in the FMCG business, GT was the real moat, direct and indirect partially, then came modern trade and then e-commerce and now it's quick commerce. So what does the future lie in terms of distrib ution and sustainable moat for us and your thoughts?

Mohit Malhotra: Right. So I'll answer your first question, Prakash. So as far a s urban is concerned, why I'm saying is urban has bottomed out because urban at the same time last y ear was growing at 11%. Now

it's come down to 2.8%. I don't think urban demand will go down . The last urban demand went down was during the COVID time to around minus 2%, 3%. And that was under the COVID time.

After that, I think 2.8% is the most bottom kind of demand that I've seen. And if you look at sequentially, I think the volumes in urban have grown sequentia lly from 2.1% in Quarter 1 is now to 2.8%. If you look at the same period last year in quarte r 3, the urban demand was 7.7%; from 7.7% on that base, I think it will be somewhere in the ran ge of around 3%, 3.5%. And so I think rural and urban both will inch up like they've inched up. So it's a base effect also, which is kind of kicking in here, and we see urban demand picking up fro m here. And so the rural resilience is going to be picking up.

Now coming to food inflation, f ood inflation is definitely hig h. If you look at all the subsegments of FMCG growth, we find food is the one which is growing on bac k of value, on back of price increases, whether it's food, non-staples, or food staples. The rest, Home Care, OTC, and Personal Care by far have remained flat. So I think with urban bottoming out, I see some amount

of growth coming in even in the discretionary categories also.
And as I told you, the acreage is higher, MSPs have gone up, s o hopefully, food inflation should also tame going forward. And government has also called out on the food inflation. So there will be steps that the government will also take to tame the food in flation.
The second part is modern trade, e-commerce, and quick commerc e. I think one fundamental thing which is happening in India is that GT as a percentage sa lient will go down and e-commerce driven by quick commerce will only grow in the country . So what we are doing is that we are strengthening our relationship and bondages with e- commerce and quick commerce players and doing joint business planning with them, creating n ew products for them, connecting with them on a monthly, quarterly basis and seeing that we cont inuously grow shares in quick commerce and e-commerce portals, be it marketplaces like Amazon , Flipkart or be it quick commerce channel like Swiggy, Instamart, Blinkit and Zepto. Our growth there is higher than their FMCG growth. So if they have grown by 50%, we've grown by 70% with them on their verticals.
So we are ensuring that we grow market shares, and we continuo usly launch innovations which are very customized to these customers. As far as modern trade is concerned, our visibility is still little muted in modern trade and therefore on back of inv estment in modern trade and on back of gaining market shares from other players, I think moder n trade for us should also continuously grow.
But the quick commerce players are putting pressure on modern trade also besides GT. So if you l ook at th e r es ul ts of DM ar t and R eli ance R et ail , t hey ar e al s o a little under pressure tod

ay
because the quick commerce and e-commerce is actually putting p ressure on them also, and they would also be pivoting on multi-ways of distribution, whether i t's electronically or through offline, etc.

So going forward, this gradual change from GT to MT to e-comme rce is something which will endure. I don't think this is a flash in the pan and will disap pear. I think this is enduring here, and this change will come. And how fast, we will have to watch. But GT is a very integral part today and will continue to be in tegral part because rural is a huge part of India. So at one end, we would be wanting to consolidate in urban India and other end , we would want to extend our distribution in rural.
So keep expanding rural with sub-stockist and Yodha channel wh ich provide visibility to our business there so that assortmen t would go up, increase our dir ect reach in urban smaller cities, increase our direct reach in rural to have visibility and bette r assortment, reduce our reliance on wholesale and increase our direct reach. That is the fundamenta l strategy for rural and semi-urban markets. For metro markets, 8, 10 cities, I think, will k eep expanding along with the quick commerce portals as they expand from 10 cities to 20 cities to maybe 100 cities going forward.
Sorry for a long answer, but yes.
Prakash Kapadia: No, that's helpful. So what essentially you are alluding to is work with them and try and be part of that and do customization and see what sells and how much we can participate in that growth to adapt to this, right?
Mohit Malhotra: Absolutely. Yes.
Prakash Kapadia: Fine. At least on the urban side. And rural still, I think the GT would continue to play a larger role.
Mohit Malhotra: In terms of villages, we reach out to 1,20,000 villages. Headro om is to go up to 6 lakh villages in the country. So huge headroom there. And in direct reach als o, overall, Dabur's direct plus indirect is 84 lakh outlets. We only go to something around 15 lakh outlets. So where is 15 lakh, and we should be minimum around 30% of 84 lakhs, so around 25 l akhs, and we are only in around 15 lakhs. So we can double our direct reach also.
Percy Panthaki from IIFL Securities
Percy Panthaki: I just wanted to know after this pipeline correction, what is t he distributor days now?
Mohit Malhotra: Around 21 days, and we want to bring it down to around 19 days by end of December.
Ankush Jain: And maybe just to add on even with 21 days, it's slightly on th e higher side because we have loaded bit of Chyawanprash to take care of season.
Percy Panthaki: Okay. So even in Q3, basically, the primary will be lower than secondary by 2% approximately?
Mohit Malhotra: No, no.
Percy Panthaki: So then how will 21 come down to 19 then Mohit?
Ankush Jain: These inventory days are based on forward cover. Hence, even in December end, we expect it to bring it to 19 to 20 days, maybe around 20 days.

Percy Panthaki: Okay. On beverages, I just wanted to understand where the large st impact is. So you have the fruit drinks portfolio, then you have the nectars and then you have the juices. So where is the impact the most? I would assume it is in the fruit drinks, but just correct me if I'm wrong there. And secondly, the drinks that we had ventured into in a materia l way some 3 or 4 years ago, I believe in the first year, we had crossed INR100 crores, etc. S o versus what was the peak turnover that we did in juices? And versus that, what is the so rt of number that we are likely to do in FY '25?

Mohit Malhotra: Okay. Let me answer this question. Our complete beverage portfo lio is divided into 4 parts. Now first part is coconut water. Our coconut water, we were struck by Storia last year, who came out with a PET bottle. So just to te ll you, it's a good news that w e've bounced back by giving a

lot of value in coconut water and the market shares have gone up by 200 basis points. The overall Activ Coconut portfolio has increased by 16% in terms of second ary.

So that's one part of the portfolio. The active 100% juices for us has not got impacted by the season. I think this is premium portfolio for us, which is 7.3% growth, which quarter to August was also growing by around 18%, 19% for us, and it's the most m argin-accretive portfolio. So that is the second part of the portfolio.

The third part of the portfolio is a drinks portfolio. which r egistered a turnover of around INR200 crores. In the current year, we've got a growth of around 16% i n this portfolio. But the 16% growth is excluding East, where we were the hardest hit because of the Northeast. Our per capita consumption of juices is the highest in Northeast in India, hig hest. And Northeast was reeling under floods in the quarter 2, and that was a wettest monsoon t hat we could see in the Northeast, and that was hit. Minus Northeast, our growth was 16%, 17%. Nor theast impacted and the growth became negative to around 8%.

But drinks is not what has got impacted so much. The real impac t which has happened in the Nectar business. Our Nectar business has declined by minus 12%. So drinks, Activ Coconut and Real Fizz which is the carbonated portfolio. Carbonated portfol io grown by 100% for us. So therefore, there's a tailwind towards carbonate, albeit very sm all for us, but around 70%, 80% of the portfolio is Real Nectar, which is where we got impacted th e most, which declined by around 12%.

Percy Panthaki: And that decline is basically cus tomers' preferences towards mo re cheaper alternatives? Or is there anything else towards that decline?

Mohit Malhotra: I think the entire category declined by around 8.6% in terms of volume. We gained a market share of 230 bps. So, if you compare to relative performance vi s-a-vis Tropicana or Slice or B-Natural, Real is surely a preferred choice among the consumer i n the juices and nectars' market. So market shares have gone up. So it's a very good sign. So in Nielsen data, we've grown higher than the category. That's one. But category itself is declining .

So I think Tetra pack is moving to bottles. The consumer prefer ence is they want to see what they are having. So in Tetra p ack, we've launched a 1-litre bot tle. We have launched a 2-litre bottle. We've launched a 500 mL bottle and there is a 200 mL bo ttle also at all price points of

INR10, INR20, INR100. That is the price point that we have plug ged with nectars as well. So that should take care of the problem.

Percy Panthaki: Is the problem in Nectar is that the average price per litre. o r per 100 or 200 mL, whatever you count it, that is much more expensive versus some of the cheape r options like colas, etc, as you called out that Campa is sort of giving a lot more value, altho ugh it's not a comparable product, but it's like an imperfect substitute. And therefore, people ar e saying that this is not something that is affordable in light of the other options available in t he market, and that's why this category is declining. Is that understanding, correct?

Mohit Malhotra: Yes, that is a correct understanding. There is a price differen ce because Campa for 1 litre., which is a party pack and in-home consumption is available at a INR45 –and forget Campa, even Pepsi or Coke is available at around INR50 for a 1-litre price point. And as compared to Real, which is 70% market share player, it's available at INR130. So there is a definite difference between the 2 things, yes.

Percy Panthaki: But Mohit, if this is the reason , then what is the solution? Be cause then we don't see an end in sight, and this can keep declining for many more quarters. So i s there an end in sight? And is there a solution if th is is the root cause?

Mohit Malhotra: So theref

ore, the solution to this is we have pivoted into drin ks. Drinks are pegged at a similar price point as soft drinks. That's exactly what I explained to you, INR10, INR20, INR50 and INR100 price point, drink is pegged at par with the carbonated and fruit-based fizz drinks are also at par. That said, it is a small base. So therefore, it ca nnot compensate for the 80% of the Nectar business. We have to provide value in the Nectar busines s also. Therefore, we are introducing a INR100 tropical juices in nectars.

And also, we are planning to give a value on Nectar by giving a tangible goody there. So that is what we are trying to do. But I think it's a matter of time bef ore the pricing will get normalized and this cola war should end, a nd we have been a little collate ral damage in this cola war for past 6 months or so. But I don't think that is the only problem . I think it's more monsoon and season, which created havoc for beverage.

Percy Panthaki: Got it, Mohit. That's all from me. Thanks and all the best.

Kunal Vora from BNP Paribas

Kunal Vora: First question on Namaste litigation, how much did you spend in first half? And what's the status now? How much longer do you expect to continue spending on it?

Ankush Jain: Yes. So in fact, in first half, we have spent around INR40 cror es to INR45 crores, and we expect around INR85 crores to INR90 cro res in full year. Last year, it was INR110-odd crores on a yearly basis. So there is a reduction in cost because there has been some optimization, not only in terms of lawyers, but also in terms of their management and more optimization of the lawyers.

Mohit Malhotra: So therefore, we've got a INR20- 30 crores of saving from last y ear's base on the litigation cost on Namaste. That said, this is all a provision that we are keep ing in our books. As the insurance

company gives us a guarantee to pay, this part of this provisio n can be reversed depending upon the case that we are fighting.

Kunal Vora: Understood. And is there a visibility on when does this end?

Ankush Jain: We think around 1.5 years from now is the best estimate which w e have got from various lawyers interaction. But knowing U.S., it can do plus/minus 6 months or thereabouts.

Kunal Vora: Understood. Second is, how do you supply to quick commerce? How does it work? Are you supplying directly or through distributors? And how are the mar gins offered to quick commerce companies versus like overall portfolio? And as the distributio n, which was like fragmented earlier through GT, now like there is a consolidation happening with modern trade and e-commerce, especially in cities. I s there a risk which you see t o the margins?

Mohit Malhotra: Yes. So we guys used to supply to quick commerce and modern tra de through our GT stockist. But I think around 1.5 years back, we've started direct supplie s to the quick commerce players. Let's take an example of Blinkit, so we supply from our side to the Blinkit warehouses. There are roughly around 20 to 30 warehouses they have. From those 20 warehouses, they supply to 500 to 600 dark stores. From the dark stores, it goes to the co nsumer.

So that's the supply chain which is there, from us to the quick commerce players, all of them, whether it's Zepto or a Blinkit or it is Swiggy. As far as marg ins are concerned, our margins are around 100 to 200 basis points higher in quick commerce as comp ared to e-commerce marketplaces. And moreover, compared to GT also, our margins ar e higher because we sell larger packs to them and TOTs are better as compared to modern trade.

Kunal Vora: Understood. But how do you see this consolidation happening on the other side, modern trade, e-commerce, they become larger, they will have like higher barg aining power. Do you think this can be a longer-term risk to the margin?

Mohit Malhotra: Yes, we used to think that there could be a consoli

dation. But knowing India, I think question of consolidation doesn't arise. Now everybody is pivoting towards being a quick commerce player. So if you look at big basket is also a quick commerce, and Amaz on is also wanting to become a big quick commerce. Tata is becoming a quick commerce. You hear d the news today. So I think one after the other, there will be many players. Flipkart has i ntroduced ‘Minutes’ as a quick commerce player.

So therefore, there will be multiple quick commerce players and the bargaining power shifting in their hands is very difficult when there are many players. S o I think it will remain in our hands only, and there are so many manufacturers. So as the market dem ocratizes and more and more quick commerce players come in, I think because of the competit ive intensity, margins will be where they are. So I don't think margins will go up.

Kunal Vora: How are the distributors reacti ng to you supplying directly to various large players like quick commerce and modern trade versus through distributors earlier?

Mohit Malhotra: As far as distributor is concerned, there is a distributor cons ortium of All India Consumer Product Distributors Federation. They are up in arms against al l these quick and e-comm players, and they have made representations to the Commerce Ministry aga inst the predatory pricing

because so many of these quick commerce players are private equ ity funded and they subsidize products, come out with events li ke Big Billion Day etc and the y deep discount the products which become loss leaders and hence attract footfalls for them. And then that disrupts the GT market.
And as far as the general trade is concerned, they are also the vote bank of the government. So government can't afford not to appease them. And that's why you 've heard so many articles of government against the predatory pricing of these quick commerc e players. So I think it's a larger question there.
So obviously, stockists have not taken it in good taste of wha t's happening on quick commerce. But you can't help it. So you have to bypass the stockist and g o to them because their terms of trade and their want of products is such which only company the mselves can fulfil. Dark store keeps an inventory of 3 days, not more than 3 days, which distr ibutors can't fill in, which only a company EDI Direct connect with the Blinkit EDI can fulfil on a replenishment basis in their warehouse. It's not possible for them to supply the entire asso rtment, which may be required by quick commerce players.
Kunal Vora: Understood, very helpful. Thank you, that was from my side.
Shirish Pardeshi from Centrum Stock Broking
Shirish Pardeshi: It was a bit excited to not get into the much deeper on the inv entory and other thing. But you mentioned in the opening slide, quick commerce growing at a rap i d p a c e . A n d y o u j u s t mentioned that the dark store inventory is sub minimal at 3, 4 days. So rather than looking at the front end and the distributor connect, do we need to have a bre akthrough innovation in the supply chain at the back end so that the distributor inventory correct ion issue will not come in future?
Mohit Malhotra: So I think the back end is supply chain. So on supply chain, we are actually trying to do an experiment with the Blinkit etc, to have a direct connect with them, connecting our internal supply chain of our warehouse to their dark store, but seems ve ry difficult because they keep a very low inventory, and they don't have a backup there. And as far as distributors are concerned, we are trying a model, something like where an app can be given to a distributor or retailer so that direct orders can be sent to us and the delivery and the c ash management can happen from the distributor.
So we are trying and experiment ing multiple model s on digital t o see how to navigate this problem. B

ut the short-term solve for us was inventory correcti on and also moving the salesmen on a third-party payroll and refunding and a little bit of subs idy to be given to them to improve their profitability. I don't know if I answered your question c orrectly.
Shirish Pardeshi: Yes. So, having spent time in FMCG at the front end, I was more curious because have you done any studies, say, for example, Bombay, Delhi or for example, Bo mbay, if we would have been doing on an average, about INR25 crores, INR30 crores on a mont h basis. And there is a quick

commerce, e-commerce, and modern trade, which is flourishing. I s there an actual demand which has been getting crushed because I still don't understand people are pointing out the urban demand is coming down. Is there any study or is there any depth you can give me?
Mohit Malhotra: So as far as urban demand is concerned, I don't think urban dem and is really coming down. Overall, FMCG urban is under pressure because of food inflation that is underst ood. But this urban demand is getting catered through e-commerce and quick co mmerce because the consumer behaviour is changing to wanting to shop digitally and online and not go to a nearby Kirana Store.
And what Nielsen does is, which is a syndicated data that the e ntire industry refers to looking at the consumer demand in urban, they generally track the GT and t he pop and mom stores and not so much the quick commerce or the e-commerce players. They trac k MT and they track GT. So a lot of demand, which is there on e-commerce and quick commerc e is perhaps not getting captured by the data which is there in urban today. So that is also an issue.
Ankush Jain: Yes. Maybe just to add on, while there's no study on this, but the impulsive purchase because of quick commerce probably the demand is actually getting generate d, but it's not getting captured. That may be a hypothesis.
Shirish Pardeshi: No, I'm more curious, sorry, I'm hopping on this. Though we hav e a product portfolio, maybe because of that, we need to keep o ur inventory at the higher le vel. But then if I look back, there are so much variation. Certain companies, I don't want to name, they keep an inventory of maybe about 5, 6 days, and there are certain companies who keep the i nventory more than a month. So that's what my question was, that at the back-end innovation be cause we have digital and AI, which is coming up, so what is the issue to reinvent? Anyway, I 'll take it offline.
My second question is on the skin care and the health care por tfolio, in healthcare specifically OTC and Ethical, we are doing better. But in this quarter, the growth rate, which was mentioned in the presentation, is flat. So is there a sharper inventory c orrection, and has it been done

consciously?, Is the inventory u nder control now or we will ha ve further impact on this?
Mohit Malhotra: Okay. Skin care, as far as skin care is concerned, I think the real growth will happen in winter. Skin care consumption for us is more winter skewed. So I think we have a winter portfolio, and we expect skin care to actually pick up. As far as market share s are concerned, we've gained market shares in Fem also, which is more bleaches. So overall, I think skin care is doing okay. The secondaries being down in skin care, I think, was more of a collateral damage because of the inventory correction that we've done. It's a small percenta ge of our portfoli o. And therefore, secondary may have suffered because of that.
As far as Health Care is concerned, I think all verticals of H ealth Care continue to do well for us. So I told you Chyawanprash is 12% growth. Even in honey we gained market share, a little bit of crystallization problem is behind us. Glucose wasn't sal ient. Our Baby Care portfolio grew by around 30%.. Our Lal Tail con tinued to grow. Shilajit had a very high double-digit growth.

Hajmola did well under the digestive portfolio.

So I think OTC, digestives, all portfolios did well for us. No w I think if you're talking about Honitus, which would have declin ed a little bit, I think that i s on account of the high bases that we have in Honitus. That's why decline was there in Honitus. Ot herwise, I think all verticals of health care did reasonably well.
Shirish Pardeshi: Okay. My last question on the international business, though we have done a very good job there. But is there any further room in terms of margin improve ment? Because last time when we had a physical meeting, we were banking on the international business will show some good profitability path.
Mohit Malhotra: Yes. So international business is doing well. And I think one g ood thing on the margins is that our Middle East, North Africa, which is the most margin-accreti ve geography in the entire region is doing well. And we have a lot of innovations, as I was telli ng you, that Oral Care is something t h a t w e a r e d o u b l i n g d o w n , a n d O r a l C a r e p r o f i t a b i l i t y i s a l s o pretty high in international business, that we are doubling down in. Dabur Red is one of the high-priced toothpastes. So I think on back of that, we will e xpect the margin improvement to happen.
So, currency depreciation is something which arises in interna tional. But as we lap over the currencies, now it's been happening over a year. And if you loo k at the first half also, we are down by INR181 crores on the currency depreciation. And this cu rrency depreciation is a translation loss. There is also a transaction loss that happens because a lot of the products in international are imported by us, and they have to pay a dollar currency for the import of that, especially in Turkey market. So therefore, as we lap over the c urrencies, I think our margins will only improve in Egypt and in Turkey, which are very high salien t markets for us.
Shirish Pardeshi: Okay thank you Mohit and Ankush happy Diwali to you.
Vishal Punmiya from Yes Securities
Vishal Punmiya: Just one question from my side. So historically, we have been a key participator in the Maha Kumbh Melas. What are your plans for this year? And if you can also talk about the benefits as well as the cost that go behind this event?
Mohit Malhotra: Yes. So I think for us, we are a rural salient company. 50% of the business comes from rural. And in rural, activations is a very big avenue to touch, feel a nd experience the product by the consumer. And we are very aggressive in terms of taking hoardin gs and doing experiential marketing. Last time when Kumbh was there, we did a special RTP campaign in Kumbh and had RTP taps that consumer could come to and take a toothbrush and take RTP on that and use it. And the more they try, the more conviction they build in th e product and the more they buy. So this year also, we'll be participating in Maha Kumbh. And we also participated in other melas like Pandharpur Mela, Nauchandi Mela etc., which is a very huge congregation of consumers, to provide them experience with our product. Now we have Cool K ing, so we do special chumpies in these melas also, do auto branding, van branding, r etail branding, stall branding etc.
Vishal Punmiya: Sir, is there any major benefit that comes in? Or is it more la g in terms of demand improvement from all these events?

Mohit Malhotra: So it's a demand improvement that we get and which results in a better offtake and also sampling. So the more people sample, the more sampling happens, the more cascade effective trials and therefore, repeat purchase and ma rket share moves up. So it's v ery tangible actually.
Vishal Punmiya: Understood. Just quickly on the high interest cost and other in come for the quarter, quickly you can comm

ent on that? That was from my side.
Ankush Jain: Yes. So first of all, you see ot her income and interest cost jo intly. And if you see it jointly, it is almost 18%. In India, it grew by 7%, but in international, it g rew by almost 18% or thereabouts. And this is primarily because in international geographies, we had some benefit, especially in Dubai, where some of the yields almost got doubled in certain i nternational markets because of inflation and therefore, the interest rates going up. So that w as the main reason for other income net increasing by 18%.
Vishal Punmiya: Thank you and happy Diwali to team.
Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and wish you all a Very Happy Diwali.

Call: Feb 2025

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Ref: SEC/SE/2024-25
Date: February 4, 2025
To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai- 400001
BSE Scrip Code: 500096'^
India Ltd.
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai - 400051
NSE Scrip Symbol: DABUR
Sub: Transcript of Investors' Conference Call for Dabur India Limited -
Q3^FY 2024-25 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on January 30, 2025, post declaration of Financial Results for the quarter and nine months ended on December 31, 2024. The said transcript is also available on the website of the Company at www.dabur.com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(Ashok Kumar Jain)
Group Company Secretary and Chief Compliance Officer
End: as above
DABUR INDIA LIMITED, Punjabi Bhawan, 10, Rouse Avenue. New Delhi-110 002, Tel.: +91 11 71206000 Fax: +91 11 23222051
Regd. Office: 8/3, Asaf All Road, New Delhi -110 002 (India)
. CIN: L24230DL1975PLC007908, Email: corpcomm@dabur.com, Website: www.dabur.com

Q3 FY25 Investors' Conference Call
January 30, 2025
MANAGEMENT :
MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MS. GAGAN AHLUWALIA - VP-C ORPORATE AFFAIRS
MS. ISHA LAMBA - HEAD-INVESTOR RELATIONS AND M&A
MR. N. KRISHNAN - GENERAL MANAGER -FINANCE

Isha Lamba : Good evening, ladies and gentlemen. On behalf of the Managemen t of Dabur India Limited, I welcome you to the Earnings Conf erence Call pertaining to the R esults for Q3 FY '25.
Present here with me are Mr. Mohit Malhotra - Chief Executive O fficer; Mr. Ankush Jain - Chief Financial Officer, Ms. Gagan Ahluwalia – VP-Corporate Affairs a nd Mr. N. Krishnan - General Manager-Finance.
We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I now hand over to Mr. Mohit .
Mohit Malhotra : Thank you, Isha. Good evening, ladies and gentlemen. We welcom e you to Dabur India Limited Conference call pertaining to the Results for the Quarter Ended 31st December 24.
The quarter presented a challenging operating environment marke d by unfavorable weather conditions and a slowdown in consumption. India experienced del ayed and contracted winters with October and November being the warmest in many years.
While urban demand showed signs of moderation, the rural market remained resilient. The rural has outperformed urban for the fourth consecutive quarter. Orga nized trade channels such as e-commerce, quick commerce and modern trades continue to deliver robust growth for us.

Cons olidated revenue for Dabu r grew by 3.1% in INR terms an d 5. 6% in constant currency terms. India business including Badshah grew by 1.7% underpinne d by volume growth of around 1.5%. The international business exhibited strong growth of 18. 9% in constant currency terms. Within the domestic business, HPC portfolio performed well with 5.7% growth.
The Oral Care portfolio recorded a growth of 9.1% driven by str ong double-digit growth in the Red franchise and Meswak. The Gels toothpaste portfolio has rec eived a good response in the market, recording a 50% year-on-year growth in this quarter. Da bur Oral Care is now the number two brand in the modern trade pan India.
The Hair Oil portfolio grew by 3.1% year-on-year. Within Hair O ils, both coconut and perfumed oils grew ahead of the category, gaining market share of 125 an d 236 bps respectively, taking our overall Hair Oil shares to around 18%, the highest ever. We remain focused on premiumization and portfolio expansion in this segment.
Home Care grew by 5% year-on-year. Odonil grew in double digits in volume terms with Aerosol and Gel pockets performing very well.
In the Air Freshener category, we gained market shares of 101 b asis points. Odonil Aerosol is #1 brand in the liquid sub-segment of the category with market share gain of 630 bps.

Odomos portfolio was under pressure due to cyclones in South In dia and delayed winters, but performed better than the category and gained 574 bps market sh are.
Sanifresh in Homecare continued its strong performance achievin g double-digit growth during the quarter.
The Skincare portfolio registered a growth of 5.6% driven by st rong performance in the Gulabari franchise which recorded 9% growth. This was led by robust dema nd for our flagship product Gulabari Rose Water with new formats such as body washes, body lotions, creams, contributing more than 20% to the Gulabari portfolio.
Our Healthcare portfolio was fla t, impacted by delayed and cont racted winters. Health Supplements comprising of Chyawanprash and honey reported soft performance because of unfavorable weather conditions. However, in Chyawanprash, we ha v e g r o w n a h e a d o f t h e category and gained market share of 140 bps. Honey continues it s leadership position with 54% exit market share.
Digestives grew by 4% driven by Hajmola portfolio. Extension an d variants of Hajmola now contribute more than 15% to Hajmola franchise.
Within OTC and Ethicals, Honitus, Shilajit and Health juices re ported a high double-digit growth.
The Foods bu

siness demonstrated strong performance with the Cul inary and Badshah domestic portfolio growing at 30% and 15% respectively.
Juices and Nectar category was impacted in the quarter due to m uted festive season demand and price driven competitive intensity. However, we performed bette r than the category and gained market share by 320 bps. The Activ range of 100% juices and coc onut water posted high single-digit volume growth.
We are undertaking several initiatives internally in our Bevera ge portfolio to bring real back to the growth path in the upcoming season.
Emerging channels like e-commerce and modern trade posted a rob ust double-digit growth and now accounts for more than 20% of the India business.
Coming to our international business:
We recorded a strong growth of 18.9% in constant currency terms . This was on the back of double-digit growth i n Middle East, North Africa, Egypt, UK, US and Bangladesh. We

witnessed currency devaluations across emerging markets like Eg ypt, Nigeria, Bangladesh which impacted the translated growth.
Talking about profitability, we faced inflationary pressures th is quarter and took judicious price increases in our portfolio. Operating profit increased by 2.1% and PAT grew by 1.8% year-on-year.
In light of the volatile geopol itical landscape and uncertain m acroeconomic indicators, we have revised our strategic vision cycle from 4 years to 3 years. We have partnered with leading consultancy firm McKinsey & Company to refine and align our str ategy for the next three years in line with the evolving dynamics. This exercise has already b egun, and we plan to conclude the same by end of the fiscal year. This will enable us to capt ure emerging opportunities and navigate the future with sharper and more focused vision.

We expect sequential improvement in demand over the next few mo nths on the back of increase in infrastructure investments, good harvest and government init iatives to spur growth in the upcoming budget. We are committed to driving profitable growth through strategic investments in brands, innovations and operating efficiencies aimed at deli vering sustainable value and strengthening our leadership in the FMCG sector.
With this, I will conclude my ad dress and open the floor to any Q&A. Thank you.
Mihir P. Shah from Nomura
Mihir P. Shah : Hi, sir, thank you for taking my question, and congrats on a decent volume growth in BPC. Sir, if I can ask on health supplemen ts, post the high sales during COVID, the segment seems to have stagnated over the past few years in absolute sales. I understa nd there is some impact this quarter due to delayed winter, but is there anything else that you can share which is ailing this category? And also any update on the Ayurvedic doctor advocacy initiative and the expansion around the new subcategories that were planned in Healthcare overall?
Mohit Malhotra : Yes. So, Mihir, what happens in Healthcare, I think the answer can be divided into four sub-parts. The first sub-part of the business is the Ethical portfo lio, which I call the backbone of the whole business. That is doing well for us.
This time we faced a lot of inflation because of gold prices a ctually moving up and because of that, while there was a price increase, the volume growth was l ittle muted, but otherwise, that business grows at a high single digit for us, which is the Ethi cal and the branded Ethical business and also supported by doctor advocacy. That is moving okay. We will continue on the trajectory of doctor advocacy, and that is one piece of the business which is roughly around INR 500 crores for us.

Then the second part of the business is OTC business. Within t h e OTC business, most of our star brands are doing exceedingly well. Let us take an example of cough and col

d Honitus.
Honitus this quarter actually grew by 12%. Then we have health juices, which grew by around 44% broadly.
Then there is Baby Care. There is a new range of Baby Care, an d there is an old Lal Tail of baby care. The new range of baby care which we seeded, which is goin g to be exiting at around INR 50 crores this year, has seen a growth of around 25-26%, which is also very healthy.
Lal Tail, which is a seasonal product, got impacted due to del ayed and contracted winters and that sales was really muted because of some self-inflicted issu es as well. I think there was a rate disturbance. We had given a consumer offer on the last day whic h got rammed in the marketplace because of which there was a rate disturbance. But I think goin g forward in the quarter, that should get completely ironed out and we will be back on the gro wth path.
As far as Lal Tail is concerned, our market share in the Baby Care segment remains flat and we have not lost any market shares, and we feel there is a lot of headroom to take shares from an LLP driven market lead where we can take the lot of share and i n the upcoming season we will be launching another variant which will take care of the issues which we faced in the Lal Tail.
Our Pudin Hara, during the summers, I think will continue to do well, and it's not a season for that. And our Women Care business, which is about Ashokarishta, Dashmularishta and all women products, that has grown by around 8% in this quarter. Ou r Asavs business, which is also women centric business, also did well with around 5% growt h.
That gives you a flavor on the OTC bucket. This OTC bucket is in the range of, turnover-wise, around INR 800 to INR 900 crores business. So, I have covered I NR 800 crores plus INR 500 crores, around INR 1300 crores.
Now then comes the Health Supplement business for us, in which t h e k e y b r a n d s a r e Chyawanprash, Honey and Glucose. In Honey, we had some issues w hich we face in the marketplace on crystallization. That has completely behind us n ow and it's back on market share gains. Our exit market shares in Honey are 54% market share, hi ghest ever. So, all the competitive intensity of competition launching Honey, etc., all that is already behind us, and I think the brand basis exit wise sales growth is perfectly on tr ack.
Now comes to Chyawanprash. That is the only brand. The turnove r of Chyawanprash is around INR 500 crores for us. In this 500 crore portfolio, which did s o well during COVID, post COVID we had little headwind because Chyawanprash penetration really went up in the country to settle that problem, which is a big problem for us as we see. So, we a re trying to come out with modern

formats of Chyawanprash. like tablets, liquid, powder Chyawanpr ash, capsules of Chyawanprash, whole format extension. That is underway and that is doing well.

Then we came out with target group expansion. So, Chyawanprash for women in terms of Khajurprash handling iron deficiency, Chyawanprash for geriatric population which is Kesarprash and Ratnaprash. That's also doing well. These all variants including Chyawanprash for sugar-free cohort contribute around 20% of the overall Chyawanprash portfolio, which is high margin and high growth as compared to a mainstay Chyawanprash.

So, unfortunately, the weather conditions marred the season. Otherwise, market share wise we are right there. The market declined by around 6% and Chyawanprash decline was around 3%, thereby we gained shares because there is a decline. So, I think it's a matter of time. Also, we are trying to position Chyawanprash as an all-weather product. So, we are coming out with a monsoon campaign. We are coming out with a memory enhancing campaign for Chyawanprash. So, all those actions are on way. We will also validate all these efforts with McKinsey when they are working with us on category-wise growth and make all efforts to bring back Chyawanprash back on track. So, that's on the Healthcare portfolio on how we are trying to handle our Healthcare piece.

All the new initiatives in Healthcare are doing very well, whether it is the tea initiative or it is health juices that I talked about, or it is food supplements that we introduced. So, all the new initiatives, which are 2.5% of the Healthcare portfolio are doing well for us. This is about Healthcare piece. Sorry for the long answer, but I think it was necessary.

Mihir P. Shah : No, thank you for the detailed answer for that. That was very helpful actually. Secondly, if I can check on the Oral Care category, there seems to be a divergent trend across players, with one growing in low single digits, other in mid, while Dabur has grown in high single digits. Is this very divergent trend due to various exposure or different exposure across subcategories or is there something else that one should read into?

Mohit Malhotra : So, the Oral Care category itself is doing very well, if I ask you. So, there are different vectors of growth in the Oral Care category. A, the category is doing well. And our Dabur Red is doing well on back of a lot of tailwind coming from the herbal category. Herbal category saliency, which is 30%, has improved to around almost 32% now. The herbal category has grown by 7% as compared to the growth of 5% in overall Oral Care non-herbal category.

There are gaps in our portfolio which we are in the process of plugging. Last year we plugged the gap of Gel, which is doing well for us as I alluded to. It should be around INR 44 to INR 50 crore brand exit this year. So, that's growing by around 50% for our Gel portfolio.

There is another gap in terms of sensitive and bleeding gums and whitening that we have. We are in the process of plugging that also and hopefully in the next season, we shall plug that. We have gained market shares because we have grown ahead of the category in Nielsen terms, and we have gained roughly around 5 to 6 basis points market share, and in most of the country now, we are the number two player, and we feel there is a huge headroom which is available in terms of us taking shares from the market leader who is still in 40s in terms of market shares. So, therefore, there is huge potential.

Even in modern trade, where the competitor is very strong with premium variants etc., there also we have become a number two brand now in modern trade. So, this is very encouraging for us.

So, besides Dabur Red, which is a flagship brand, our Dabur Lal Dant Manjan is also doing well. We are talking about a complementary usage of Dabur Red with toothpaste to give power to the white through red. That campaign is doing excellent for us.

Meswak, which is a premium variant in the toothpaste category, has also grown by around 16%. We have engaged with a celebrity called Nagarjuna in South. On the back of that celebrity, we have got great actions happening in South on Meswak also.

We have got some work to be done on Babool yet. We have not been able to take up the performance of Babool and Babool has declined in this quarter.

One good news I want to share with you guys is Dabur Red toothpaste is the first Ayurvedic toothpaste to have been accredited by IDA, which is Indian Dental Association, which only used to have accredited fluoride-based toothpaste. For the first time they have given accreditation to a non-fluoride-based toothpaste. So, now we can get into dentist endorsements also and as we continue the efforts of doctor advocacy, this will also get leveraged, and we will reach out to more number of dentists and try to spread this across.

So, I think overall, Oral Care, we are in a good space. So, you will see in coming fiscal year, we are in the process of revamping the entire face of Dabur Red also. The packaging revamp is going to happen to make it more modernized and make it more modern trade centric for our Oral Care.

So, Dabur Herbal toothpaste, which was a new entrant which we introduced last year, has also grown in high double digit. So, that was the gap in the marketp lace. Ingredient-based toothpaste also is doing well for us.

So, overall we are very excited with the Oral Care category. I n terms of manning also, we have done some changes in our manpower in Oral Care category, and we have given it to our best performer, and we have been increasing our share of voice also, which has been lower as

compared to our market share. So, that also will be heightened going forward in next year. So, extremely excited about the Oral Care opportunity. Thank you.

Mihir P. Shah : Got it, Mohit. Thank you for that. Subpart to that question is , will this category or any other category see any one-off benefits in the coming quarter due to Maha Kumbh activations or anything?

Mohit Malhotra : In Maha Kumbh we are doing very exciting and if one of you is travelling to Maha Kumbh, it was a little activation which we should dial up with social med ia and which we are planning to. This is somethi ng which is called a Dant Snan that we are introd ucing before anybody goes to the Triveni Sangam which after the accident may not be possible .

But if at all somebody is taking a bath, so we put up around 1 0 to 15 stall counters basically wherein we are dispensing toothpa ste from water taps and giving toothbrushes so consumer will take toothbrushes, take the toothpaste from the tap, dispense i t, do the DantSnan before he goes for the TriveniSnan, GangaSnan. So, those kind of activations w hat we are trying to do. So, that's active. If you go and if you see, please send us pictures of th at. So, a lot of activations in Haats, melas and all that.

Besides that, in Kumbh we are doing LED screens around 38 of t hem. We have branded all police barricades, police booths. We had 13 billboards. We are branding all changing rooms. Ladies changing rooms have been branded by Dabur and these Dant Snan stations. So, all that is happening. So, rural India, which is highly salient for Dabur, we will continue to do a lot of activations here.

Mihir P. Shah : Got it. Mohit. Thank you very much. I have one on beverages, b ut I will come back in the queue for that. Thank you very much and wishing you all the best.

Mohit Malhotra : Thank you very much.

Abneesh Roy from Nuvama

Abneesh Roy : Yes, thanks. My first question is on McKinsey. So, if you coul d tell us if this is across categories, across brands, or some specific categories have been given?

Second is, your payout to McKinsey, will it be linked to targe ts being achieved?

Third is, in some of your issues, for example, last two years, many quarters, you have faced a lot of challenges. Some are still going to continue. For exampl e, Campa Cola will continue to remain a challenge for the entire beverage industry and now the y will ramp up. So, that issue continues to remain and Chyawanprash, you did discuss that post COVID, there is a challenge. So, how does McKinsey help you meet these challenges in which y ou may or may not be able

to do much? Because those are either competition or they are ba sically category linked. If you could discuss this entire thing?

Mohit Malhotra : Right. So, Abneesh, what we do in Dabur is, we have a four-yea r vision plans and as we speak, we are in the seventh vision cycle of all the vision exercises. Earlier we used to have a four-year vision cycle. So, we feel that in this volatile and heavy headw ind macro-economic environment and FMCG not doing so well as a sector, I think we require a va lidation of our strategie

s through external consultant.

That is why we kind of got external consultant on board like M cKinsey, and we are truncating a vision period from 4 years to 3 years so that we are able to ta pe up, fine tune, align and quickly recalibrate our strategies. Four years becomes the longish peri od and therefore we have truncated to 3 years, and it's also in lin e with the best practice in the industry which is also around 3 years that we have done.

So, we have tied up with McKinse y at the moment for this visio n exercise to do all the numbers, to do the category reviews and validate all our strategies whic h we have been following, and which includes Chyawanprash, which will include beverages, etc. , with a special double down on the beverage and the DCPs because that is where shoe is pin ching on the business. So, they will focus on that along with def ining the numbers in the miles tones for the next three years, and this vision exercise will doveta il into the next year budgeting cycle also for us.

At the moment, we have not linked them to our target achieveme nt. But that is something that we will contemplate after this exercise is over. So, then we ha ve a truncated approach, first approach for they having a big picture view on the business and defining the vision exercise for next three years. And from the vision exercise, there will be a lot of offshoots that will emerge in terms of category, GTM, pain points in the business besides big ones like beverage or this thing. And then we will get into long-term specific arrangement with them, if at all.

That we will review once the exercise is over and we have alre ady begun the exercise. So, this is supposed to be ending by the end of this fiscal year or Marc h end. At that time, we will see whether to extend or not to extend, or to do specific projects as we deem fit.

Abneesh Roy : Sir, my second and last question is on two specific categories . So, in toothpaste, you have done well. In fruit juice, you have seen a big dip in terms of sales . So, in these two segments, if you could discuss it in FY '26, from a pricing perspective, would y ou expect some pricing growth in each of these segments?

Because clearly in toothpaste, market leader is delaying price hike, is happy to sacrifice growth and EBITDA margins and operate at a slightly lower band. And th at does mean that pricing

growth rate in toothpaste in the near term, medium term looks d ifficult if category leader is not taking. And the trade incentives, the trade intensity is also h igh in toothpaste.

And similarly in the fruit juice business, clearly Campa Cola is operating at a very high trade margin and Rs. 10 pricing is also there. So, there if you could discuss it, would you need to increase the trade spend here to match up with Campa Cola becau se they are operating at a much, much higher level in spite of, s ay, Rs. 10 pricing parity, thei r trade incentives are much higher.

So, would you need to match up? And how do you see FY '26 in te rms of pricing and trade incentives for the fruit juice business?

Mohit Malhotra : I get you. So, overall, I think the inflation is picking up in the country. Last full year, the inflation was 3%. We passed on the entire inflation to the consumer. Beca use the inflation was too high, we had to give trade and consumer inputs to buffer it up, and I think going forward the inflation is inching up across the markets of business. We expect a 5% in flation to actually hit us.

So, whether it is SLEs, SLAs, Oral Care, so inflation will hit us and fruit concentrates also that we are purchasing because Indian currency will depreciate. Some of the imported food concentrates will also become expensive for us. So, A-price inc reases will happe n in toothpaste also and in juices also, but we will have to take very calibrat ed price increases observing the competiti

ve intensity in the market place so that not to become uncompetitive in the market.

As far as Oral Care is concerned, there is still a headroom of taking a price increase growth in Oral Care, especially in the avenues of premium Oral Care where there is a huge delta which is available between what the market leader is having and between what we are having. So, there is a huge delta margin available.

So, I don't think in Oral Care taking price increase will ever be an issue for us while growing volume. So, there will be a part volume and part price increase in Oral Care that will be easy for us to handle there in Oral Care. And also we are coming out wit h premium variants. So, in terms of mix, that premiumization should take care of the inflation w hich might hit us and we expect the best growth to come in from Oral Care only going forward ne xt year.

As far as juice portfolio is concerned, yes, there are headwin ds in juices which is basically price driven. To reduce the relative price differential between the C olas and us, what we are doing is we have already planned it for the next season, we are planning to give consumer value. Now again the beverage business is not very simple. It has to be di vided into again 3-4 parts for us versus Activ juices.

Activ is pure 100% juice. There is no problem in terms of busi ness growth. We are having a 110% growth on the business, but this business contributes to a round 10% of the overall beverage portfolio. So, there we have resilience of taking pric ing increases and we will continue

to take pricing increases. And we will be introducing health-ba sed juices also in which we will have the ability to take the price increases.

The second part of the portfolio is drinks. Drinks have done w ell on the back of distribution expansion. We are very small players in the drinks space. We ar e continuously taking inflationary price increases wha tever inflation warrants and on the back of distribution, we will be growing that portfolio also.

As far as Coconut Water is concerned under Activ, there also w e have invested in an aseptic pet line and coming out in a pet bottle besides tetra pack which wi ll give us huge growth in the beverage.

Now the big part is the nectar business. Nectar business, yes, there is a pressure in terms of RPI.

So, there we are proposing, or we have already designed to do a consumer offer to reduce the prices from Rs. 130 to around Rs. 100, but this will happen by way of consumer offer, not by reducing prices. Also, we are coming out with a range which wil l be a relatively economical range with a relative price index of around 2 to the Colas and that will also hit the marketplace in the season very soon. So, that is our game plan for the juic e business and to fight the Colas etc.
Abneesh Roy : Mohit, one last follow-up and I will end there. So, essentiall y on toothpaste, you said you expect that to be fastest growth. Now, rural is recovering for every C ompany and every category. For toothpaste, for you, how much is rural? So, if rural does well, is that a benefit for you?
And second, the market leader is doing all these AI programs, wherein they are connecting customer to the dentist. Would you also need to look at this or it doesn't really matter too much?
Mohit Malhotra : See, as far as we are concerned with AI, rural contribution to us in oral is in line with the overall Company contribution which will be around in the range of 45 to 50% for us.. As far as the AI intervention in the business is c oncerned, also it's a great th ing for us to do and if there is the best practice in the industry, we will absolutely follow the be st practice the way we have done the advocacy now on Oral Care. So, we will do that, but I don't think it will make any material difference to the business volume of AI-based connectivity to t he dentists.

I told you that we have just got an endorsement of IDA, Indian Dental Association. I think that introduction and doctor endorsement for us will go a long way i n building our overall Oral Care business. Yes.
Abneesh Roy : Sure, I am done. Thanks a lot.
Mohit Malhotra: Thank you, Abneesh.

Percy Panthaki from IIFL Securities
Percy Panthaki : Hi, again a question on beverages. So, I just wanted to unders tand why we are getting affected so much by the Cola wars. I mean, our product is very, very dif ferent in terms of its proposition, taste, composition, etc. And in fact, if I look at the second l argest player in this business which is a listed Company and they report, in fact, despite having an exact like-for-like product versus Campa, they are not getting affected much. So, why is this happ ening?
Mohit Malhotra : Yes, so Percy, couple of issues. I am not attributing this exa ct performance on the price index or the Cola war. There are a couple of more reasons. I think the f irst reason is the season, last summer did not favor us. In the peak of summers, there was unse asonal rain and because of unseasonal rain and we doing a little bit of season loading, I think that impacted and secondly the festive season also not been very conducive to I think all the categories and because of urban contractions.
The third is, it's a very urban centric consumption of juices and urban India has been reeling under pressure and the growth rates are actually muted. That is the third reason. First is season, second is urban not performing an d third is this a little bit o f RPI getting worse. We used to operate at a relative price index of around 2. If Coke and Peps i 1 liter is 50 bucks, we guys are 130 bucks for a liter. So, that RPI has actually gone worse fro m 2 to around 2.7. So, that is impacting.
And in the out-of-home consumption which is good around 30-40% of the business, it's more impulse purchase. So, anything which is cold, whether it's frui t juice or it's refreshment drink, that gets taken. And there has be en a slew of new brands also w hich has actually made an entry whether energy drinks or these Co la. So, that has impacted the business.
So, I think it's again a three-pronged attack that we are doin g. First is communication revamp. We are wanting to educate the consumers that Colas which are no thing but sugared flavored waters are not great and they are more sin products compared to juices which, Activ especially, which doesn't have any added sugar content in it. It's only nat ural sugar content. That's one.
Second is offering value for money to the consumers by reducin g the price of 130 to around 100, introducing a new range thereof, and also offering a little bit of extra margin to the distributor, so that distributor ROI improves when they have to distribute a beverage where the case value is lower as compared to our HPC case value.
So, all these three efforts are ongoing for us to capture the s e a s o n b e t t e r . S o , t h o s e a r e t h e attempts to revive the beverage business for us.
Percy Panthaki : Got it. So, just a question since you mentioned out-of-home is a major component. Would it be right to assume that your 200 to 300 ml packs are like 30 to 40 % of your total beverage sales?

Mohit Malhotra : Yes, broadly around 40% of the total business will be Tetra Pa ck 200ml which is an out-of-home consumption pack. And to your point, that is the most impacted. One liter is not as much as it is used in the home. It is the out-of-home which is most impacted.

Percy Panthaki : Understood. And so you have of course the 100% juice which is not impacted, but you have the nectar and you have the fruit drinks. So, between the nectar an d the fruit drinks, which is the more impacted one?

Mohit Malhotra : It is the N

ectar which is the m ost impacted. Fruit drinks are not impacted. Fruit drinks is giving me double-digit growth. Even my coconut water is giving me doub l e - d i g i t g r o w t h . A c t i v i s giving me double-digit growth. It is only the Nectar portfolio wherein our market leader with 70% market share is where I am getting most impacted and that t oo in a 200 ml pack and that too in metro cities, which is wh ere the major impact is coming to us.

As far as the market leader is concerned, you talked about the second largest player. In the category of Nectar, J&N, which we call Juices and Nectar catego ry, the category is declined by around 16% and our decline is around 8 to 9% in the Nielsen ter ms. We have gained market shares of around 320 basis points in Juices and Nectar category . All other players, the players that you named it and like-to-like product like ours has declin ed by 400 bps there. And they have declined.

So, we have consolidated our position as well as their 80-90% of the portfolio is Cola's and therefore they are not impacted. Plus they are not impacted bec ause of the geography growth that they are getting which is more inorganic and not really or ganic. If my guess is right, you would know better.

Percy Panthaki : Understood. Also wanted to understand on the rest of the consu mer care or rather the consumer care portfolio if I leave the Foods and Beverages aside. There also the growth has been a little lackluster. So, what is really needed for growth to improve? Is it just consumer sentiment or is it something else that can be influenced at your end even if th e consumer sentiment remains poor?

Mohit Malhotra : So, we have to bifurcate the portfolio and see. I just talked about the Healthcare business. Healthcare business was impacted by only the winters being cont racted and Chyawanprash is only suffering. The rest of the business verticals we are compl etely on track and we feel the growth will come in. Our CAGR for the past 5 years in this busi ness is around 6% to 7%. So, I don't think the issue there except for this time winter was ver y short and delayed winter. So, this is Chyawanprash which got impacted. There also we are having pl ans of making Chyawanprash all season etc. Rest of the broad categories we are really not concerned.

If you look at HPC, HPC is grown by 5.7%. Then category after category whether it's hair oils or it's shampoo or it's Oral Care, everywhere we have gained ma rket share And we have gained market share by a mile.

In Oral Care, we have gained market share. In hair oil, for ex ample, overall hair oil we have gained 150 basis points. In coconut oil, we have gained 120 bas is points. In perfumed oil, we have gained 236 basis points. Homecare, we have gained 110 basi s points. In all subcategories and air fresheners, we are now the number one brand in the coun try, 600 basis points is where we have gained. In Gels, which is a new entry for us, there also we have grown by 88% in that new format.

So, I think format after format, Gulabari has done very well for us. Bleaches, we have gained market shares by around 55 basis points. So, I think everywhere we are doing well. So, I don't think there is any problem as far as home and personal care is concerned. And Healthcare, you know, this quarter is impacted by the season. I think that shou ld get corrected. Beverages, I talked about to you.

Percy Panthaki : So, then would it be fair for us to assume that, I mean, if no one-off events, then Q4 at the overall Company level or at least excluding beverages, your growth shou ld be in the region of about 6 to 7% if basically the Healthcare is the only thing pulling it down and that was seasonal and if let's say that normalizes in Q4? Do you see any other moving part where something which did well in Q3 could sort of come down in Q4 because of any specific reaso

n that you can foresee as of now?

Mohit Malhotra : I don't think so there is any specific issue that I want to hi ghlight or anything that comes to my mind. Not really. I think overall, you are right. The growth wi ll be in line with that. So, we expect a mid-single kind of growth coming up, except for inflation is picking up now. So, I think that's a little concern, but I think th at inflation should be mitigate d by pricing increases and cost saving initiatives that we are embarking on. So, we expect a mid-singl e, if not, high growth to come in and there will be a sequential improvement. Definitely the busi ness will be much better than quarter 3 for what we have done.

Percy Panthaki : Got it. Thanks a lot, Mohit. That's all from me. All the best.
Mohit Malhotra : Thank you, Percy. Thank you.
Avi Mehta from Macquarie
Avi Mehta : Yes, hi, team. Hi, Mohit. Thanks a lot for this. Mohit, I just wanted to kind of pick up from the last participant. You know, you did allude to a pickup in the s ales growth trajectory. That's appreciated. But would it also be fair that the margin profile also should logically be relatively

buoyant and the flattish expectation that we were hoping to ach ieve in the second half is something that we can still gun for?
Mohit Malhotra : Yes, so I told you that inflation is actually picking up. We h ad an inflation of around 3% in YTD and we mitigated through price increases etc. And going forward , the inflation will be in the range of around 5%, so inflation mitigation should happen by wa y of price increases. That's what the attempt of the business will be. And we should be in a posi tion to maintain margins going forward. Whatever margins that we have, we will maintain our ma rgins. And next year going forward margin should only impro ve from here by way of price in creases and cost saving. That identification is an ongoing process as we are making the budge ts and working with McKinsey on how to improve our operating margin going forward next year.
Avi Mehta : And Mohit, just the last bit, you know, which is the next part on when you look at FY '26, you have historically been able to achieve 20-21% margin levels. Gi ven that you are focusing on providing value, reducing RPIs in beverages, what are the poten tial offsetting factors that could help us achieve that in FY '26 or is that really something that you would target more? Beyond t h a t , h o w s h o u l d I l o o k a t t h e m a r g i n p r o f i l e f o r t h e b u s i n e s s from a more medium-term perspective?
Mohit Malhotra : Yes, so I think our attempt will be to go to around 20-21% lev els. That's what we were aiming at. I think the levers to achieve that would be changing the mi x of the product portfolio that we sell. So, I think selling a prem ium mix is what we want to targ et, and that's how we will be incentivizing the team moving forward.
Oral Care is one initiative in the mix that we will try to dou ble down on and invest the money to gain market shares and therefore volume tonnage on Oral Care, w hich is quite profitable for us. Besides hair oil, other areas which are more margin-accretive-H ealthcare is what we will target. So, mix is one definite area is what we look at.
The second space will be premiumization across different categ ories, wherein we would want to innovate. Like I was telling you in Hair Care, we always focus on stabilizing our Amla because the competitor has taken away all the market share from us, and I think it's taken us four, five, six years to consolidate all that and now we have got an all-ti me high market share of around 18%. So, now we will embark on premiumization as far as this is concerned. And so, premiumization, mix and some cos t-saving initiati ves is what we will take in Samriddhi. That's third initiative and price increases.
Wherever we have a price in

crease, I think these four levers s hould help us inch up our gross margins in the current year. And what happened in the current y ear, we have also taken a correction of INR 200 crores in quarter 2 as you are aware of. So, a lot of percentage gross

margin went down because of that. That deleverage happened from scale. Hopefully, that will not happen in the next year and margins will inch up because of that also.
Avi Mehta : I just wanted to just understand Namaste a bit. I am sorry, I thought that was also a headwind. And if you could quantify how much that would be, that's all fo r my side.
Mohit Malhotra : Yes, I think I got you. So, therefore, Namaste rightly said. L ast year we spent roughly INR 100 crores on the litigation costs in Namaste given t o advocates an d attorneys. As we speak, we have changed our agencies in Namaste and therefore the cost has come down by 25% point. So, INR 100 crores to INR 75 crores in the current year going forward a lso and there is some bit which we have got back from insurance agencies. So, there will be a d efinite leverage on cost which will happen in international business, and we expect profitabil ity to be better.
So, in international business one lever is obviously legal cos t going down for us which is overlapped. The second will be t he dollar denominated currencie s are doing better for us. Namaste business is doing better. Middle East and North Africa is doing well. All the pegged currencies are performing well, a nd we expect them to perform w ell and depreciating currencies will also overlap the currency depreciation next year. So, as w e speak, we have INR 81 crores of translation loss which I think will go down going forward. S o, that should be another lever which will add to our internati onal business profitability.

Avi Mehta : Perfect, Mohit. That's all from my side and I look forward to hearing back from you on how you look at the strategic vision going forward. Thank you very much .
Mohit Malhotra : Thank you, yes.
Disha Giria from Ashik a Institutional Desk
Disha Giria : Hi, team. Thank you for giving me the opportunity. I just want ed to understand that in your presentation that you have mentioned that the rural has outperf ormed urban by 140 basis point, but you mentioned in your opening commentaries as well as over the discussions that the urban has kind of slowed down. So, if you could give some number to b e able to better understand the rural and urban bifurcation because in hindsight, the rural out performance looks like the gap might have increased because of the urban slowdown as well.
Mohit Malhotra : Yes, so let me give you more detail on the data, syndicated da ta. Syndicated data overall FMCG market is growing at the rate of around 7%. That's what they in dicate, in which rural is trending at 10% and urban is at around 5%. There is almost a difference. So, urban has corrected by 40% going forward, used to be 10% and now it is in the range of aro und 5% odd, and rural is actually doubled in terms of what the Nielsen growth rate was, which was the rate of 5% and now become 10%.

The difference between urban and rural in terms of retail itse lf is around 490 bps. So, that's the retail, what retail stocks and Dabur is growing ahead of the ca t eg or y f or u r b an and r ur a l . I f Nielsen is talking about 7% FMGC, Dabur is trending up and that 's why the gain in market share is happening across our categories for us. So, that's as far as the retail audit is concerned. So, there is a trend in the market that the rural is moving ahead o f urban, by around 490 bps.
The same thing is getting reflected in our business also, but albeit with a lower 140 bps. So, if the overall India business is grown by 1.7%, urban business has grown by 0.6% and rural business has grown by

2%. So, the difference between the two is 140 bps for us. And that's why the rural's performance is better than urban performance. Going forward we think this will also inch up as the rural's saliency really picks up and this thing.
So, it will only go up from here. And this is happening on bac k of real wage growth which is higher in rural India. This is g rowing. Real wage growth in rur al is moving up by 5%. As far as urban, it is coming down by (-7%). So, there is more money toda y in the hands of the consumers in rural as compared to urban.
But this thing might change because food inflation is very hig h. It's at around 8%. So, if rural also starts prioritizing food as compared to discretionary, thi s thing could change. But the situation is pretty dynamic in the marketplace, and we need to watch that out as we go on.
Disha Giria : Thank you. That was a very nice answer. Thank you.
Harit Kapoor from Investec
Harit Kapoor : Yes, good evening. Just on the advertising expense, Mohit, jus t wanted to get your sense on, you know, how do you see that trend moving? Because you know, you h ave mentioned in the past that that's something that you want to ramp up year over year t o get in line with, you know, the double digit levels at some point. Last two quarters, you have seen it come off. This quarter, the India for the standalone piece looks like a sharper decline Y-o -Y? So, is it that in the current context of the market below the line is a higher share for you right now? If you just can you break that up and give an outlook on how you are thinking about it?
Mohit Malhotra : Yes, absolutely, Harit. I think again I keep saying horses for courses, different time, different strategies. One strategy doesn't become the same through the ye ar. So, I think as the consumption story is not great at the time, I think there is pressure on th e category growth rate. At this time, if the pie is not expanding, I t hink it's a futile effort to sp end so much money on advertising. It's important to consolidate your position.
When the pie remains the same, the growth is hard to get. That 's what one is trying to do. We are trying to prioritize more BTL spends to increase our market shares and to get more trials

generation and getting more consumers in the room. When market growth happens, that's when we double down on advertising and doing so.
Advertising has come down. Our overall advertising and promoti on expenditure has increased by around 10%, but advertising expenditure has gone down. That said, that is still more than 7% of the overall consumer care business that we have in India, wh ich I think is the optimal level given our diversified portfolio and too many pockets of spend.
But the endeavor is always whenever luxury is available in ter ms of margins, at that time you want to invest money behind advertising to grow your brand. But when luxury of spend is not

there, then you have to have a balanced approach between margin s. and because top line is not coming, your overheads are growing by mid-single digit, top lin e is growing by low single digit, so you have to conserve money to maintain your margins. So, tha t is the mindset that one has, and that's how we are calibrating. So, yes.

Ankush Jain : And then you have to also see your India business because some of the businesses like smaller businesses like Fem , Guar, exports etc., they don't have any business spend. So, if I were to, or even some of the Ethicals, if I were to gross it up, then it wo uld be around 7.5 to 8%, you know, which is, which currently is reflected around 6.7%-odd. So, it gets jacked up by 10% points.

Mohit Malhotra : There are lots of pockets of businesses which don't have adver tising for us. For example, advocacy marketing doesn't have advertising to Ankush's point. Export doesn't have advertising, Guar does not have adverti

sing. So, a lot of commodity business es, so if you apportion advertising on your core consumer business which has advertisin g, that is in the range of around 7-8%. But that said, I think we have to prioritize advertising expense. There is no shying away from that fact.

Harit Kapoor : Got it. And the second question was on pricing. So, you have m entioned a few times on the inflation inching up. When do we see this start to kind of go i nto the market? Could there be a little bit of lag effect because, you know, market competitive intensity is high in some of the categories? So, because this, if you look at Q3, the difference between volume growth and revenue growth is 50 basis points. So, I just wanted to get you r sense of when do we start to see incremental pricing kind of going into the market from here on?

Ankush Jain : there is an incremental pricing, but there is also, to your po int, there is some time there is some time lag effect. But our procurement strategy is also to take c ertain long positions, you know, when we anticipate certain inflationary trends. And that helps us hedge a bit of inflation and then we can plan our pricing accordingly. So, while you see, you kno w, over the last five, six quarters, our trends have been that by and large pricing has been in sync with the inflation and the guardrail is very clearly that at least either at a Healthcare level or at an HPC level or beverage level we try to compensate. Even, you know, if in one of the su bcategories, there is some time

lag, then the other category helps mitigate that. That is by an d large our endeavor, you know, the procurement strategy combi ned with market intelligence and taking those calibrated price increases.

Harit Kapoor : Okay, got it. Thanks, that's all from me. Thank you.

Tejas Shah from Avendus Spark Institutional Equities

Tejash Shah : Hi, Mohit, thanks for the opportunity. Mohit, just on the cons ultant part, so over the past five to six years, especially after COVID, we have seen FMCG companies have repeatedly turned to consultants for growth solutions. Yet we have seen no sustained or standout success. So, what drives the reliance on this external validation despite no, I w ould say, big success or results that we have seen from that approach?

Mohit Malhotra : No, I think you got the answer in your question only. So, I th ink because what happens is despite our strategy, the best attempt, hard work, if the results do no t reflect our ambition and aspiration, then you start sometimes questioning your strategy. Are you on the right path or not? That is where you require to do that introspection, you require some va lidation from outside expert. And these consultants have got varied experience of working in many FMCG companies and got best-in-class practices exposur e, which we may not have, becaus e we have got one Company, two Company exposures etc.

So, while what we think is right for business is what we do, a nd sometimes this validation really helps, and it's a global benchmark. They don't operate only in India. They operate in America, Europe, across continents. So, sometimes some practice of overs eas market can be very relevant for an India market and every market has a different level of m aturity. What happens in China might come to India very soon. What happens in U.S. comes to In dia.

I have worked in overseas market and a lot of formulas for int ernational business have been very successful in India from my point of view like winning in many India. It is basically an international concept that we sa w working very well in India be cause there are smaller countries with populations of 1 crore, 2 c rore. Here you got states which are 20 crores etc. So, therefore, those things work.

So, these best-in-class benchmarks help and that's why you do a dipstick with a consultant and not really ask them to r

un the business. You ask them to valida te your strategy once in 3-4 years, and that at least gives you that confidence that yes, you are o n the right path and this validation works. And sometimes its for stakeholders also.

So, one is for ourselves that we do the strategy. Sometimes th e stakeholders also get a better validation that, you know, that the management who is making th e strategy is a maker and not a checker. Checker is somebody else, so that the making and check ing validation actually happens

from the stakeholders perspective who are looking at the Compan y management to deliver the results also. So, it's outside external management or also inte rnal validation is where the consultants really help.

Tejash Shah : So, is it more of a process validation or is it more of like s olving the growth problem and delivering on numbers there?

Mohit Malhotra : No, it is not process. Process already entrenched and processe s don't change except if there is some gross error happening in the process. It's more strategy a nd which they will validate in execution. Because the market is so dynamic, you have to tailor make your strategy through the dynamic environment which is perpetually in flux. So, as the fl ux happens, you have to keep tailor-making your strategy, and these guys come and help you t o customize your strategy through the environment which is changing.

Beverages was fantastic. Suddenly there is a Cola war happenin g and the Reliance has disrupted. So, a validation of our beverage strategy by a guy like McKinse y who got exposure, who has worked on food with Coke and Pepsi and everybody globally, will only help us to fine tune the strategy.

Tejash Shah : Okay. Second, Mohit, for the last two, three years, we have se e n t h a t F M C G c o m p a n i e s , including us also, are pivoting towards science and efficacy-ba sed innovations to tap urban consumers. Our IDA recognition of toothpaste is also kind of va lidation of that. So, last time, you spoke about in detail that how we are also going in the dir ection where the focus will be on efficacy and science-based launches. So, any update on that and any, let's say, clinically trial or clinically tested product that you would have launched?

Mohit Malhotra : Yes, I will give an example of Khajurprash. I will just give y ou there are many examples, but I will only talk about Khajurprash, Shilajit, that we guys have r olled out, Honitus variants that have come in. Khajurprash, we have commissioned a clinical tria l, which is promising 30% RDA of iron, which is required by a woman. If you have two tablespo ons of Khajurprash every day, 30% of the RDA is fulfilled by K hajurprash. So, that's a clinic al trial that we have done.

We have done another clinical trial for Pudin Hara and Honitus . It says that Honitus starts acting in 15 minutes. In Pudin Hara Fiz z also, it starts acting in 30 seconds once you are able to consume it. We have very recently rolled o ut a range called Siens only for e-commerce, only exclusively for Amazon, which is all science backed in which you got the co llagen powders, and you got the foods of multivitamins for women, multivitamins for men, collag en powder and Gummies.

So, these range of four products we rolled out. It's called th e Siens. I think the samples will be sent out to you very soon, but it's available on Amazon as we s peak. So, that's all backed by scientific claims and scientific claims are not analytical but more clinical.

Tejash Shah : So, this is OZiva well-being nut rition kind of portfolio that we are developing.

Mohit Malhotra : Not as vast as that. We just got four SKUs. We are doing a pro of of concept check on e-commerce and we will scale it up a little bit later. Yes.

Tejash Shah : Very, very clear. Thanks and all the best for comi

ng quarters.

Mohit Malhotra : Thank you.

Aditya Soman from CLSA

Aditya Soman : Hi, good evening. Just one question from me. So, this work tha t you are doing with McKinsey, will it involve any sort of strategic decisions on any category or sector, or it's more of sort of a tactical review on how to, as you mentioned before, where you a re shortening the review period and just thinking on strategy?

Mohit Malhotra : So, I think the strategy exercise or the long-term exercise, t hree-year vision is being planned. So, they will debate and question all businesses which are non- performing or even performing which have got a right to win for Dabur. Anything which doesn't have a right to win they will be questioning and there will be a debate happening between man agement and them to retain or to size down or to reduce investments or what to do. So, it wil l be very strategic exercise that we are doing. It is not very tactical exercise at all.

For tactical exercise, we had done a similar exercise with McK insey on RGM, which is revenue growth management of Oral Care and Hair Care. That is done and dusted, which was around 6 months back. But now this is more of a strategic exercise and q uestioning various businesses, prioritizing ROI and investments in different buckets of the bu siness, what we should double down, what we should not focus on. Since COVID, we have done a lot of initiatives, like you

remember we had done sanitizers. We hived it off. We had done h ome care range and we hived
it off, but there are a lot of portfolios which we had launched at the time which are still there in
the business. Tulsi Drops has fallen off, but health juices is doing well, which is growing by
44%, has become a very big bucket.
So, they will question and from a right to win standpoint, fro m is it a sizable category? Is it a
profitable category? Is it where we have a capability and a com petency to exist? So, they have
multiple models and different prongs on which they evaluate the business.
Ankush Jain : Maybe just to add on, you know, while it's a very strategic ex ercise, but what might happen is
that at the end of the exercise, some offshoots will come out, out of which some will probably
be tactical.

Aditya Soman : Understand, very clear. So, if the outcome is that, let's say, one of the categories does not fit in
with the overall strategy, then you would even go up to the ext ent that if it doesn't work out and
that you get rid of a category or even that can be an outcome h owever whatever the probability
of that one.
Mohit Malhotra : Yes, absolutely. So, you know, M&A could be one of an outcome of it of a strategic category
when Dabur is not present, there could be divestment, there cou ld be not investment. So, you
know, all those kind of decisions which will happen, and this w ill be at the top level.
Aditya Soman : Very clear. Thank you very much.
Latika Chopra from J.P. Morgan
Latika Chopra : Hi, thank you. Hi, Mohit.
Mohit Malhotra : Hi, Latika.
Latika Chopra : So, my first question was on the domestic volume growth of 1.2 %. Did it have any negative
impact or follow-on impact of the channel correction that we di d in the prior quarter, or this was
the underlying proper volume growth that you saw in the market?
Mohit Malhotra : Yes, there was no one-off impact of any stock coming back, etc . No, that wasn't the case in this.
This was the growth that we have seen in the marketplace, yes. So, that is one. There was some
element of honey stock which we cleaned up. I think there is a minor return of sales was there.
Barring that, I think nothing major, nothing consequential. The pipelines have been maintained.
We reduced the pipeline to 21 days and 21 days is the pipeline now also. So, that was not the
case at all.
Latika Chopra : And the second bit was on your volume growth expectations goin

g ahead. Assuming, you know,
macro remains where it is because most companies are sounding c autious in urban. There is a
rural recovery which is there. So, do you think this is going t o go to mid-single digit volume
levels or what you were earlier alluding was mid-single digit v alue levels?
Mohit Malhotra : No, we were alluding the mid-sin gle-digit value level. It will be a part price and a part volume
because what happened in the current quarter also while we had taken a price increase of 3% or
so, that got nullified by giving extra scheme, trade scheme, wh ich got netted from gross and
therefore net remained where it was. So, while the price increa se was there but that did not accrue
in terms of the net sales because of netting out of the consume r promotion, which he had to give
because the consumer demand was low and you have to fight the c ompetitive intensity in the
marketplace.

So, I will give you an example in home care which I was just a nalyzing. My volume growth of
home care comes out to be around 15-16% and my value growth of home care comes out to be
around 5%So, between 5% and 15%, there is a 10% delta which got consumed in fighting
competitive intensity with the market leader.
So, when the pie is not growing, I think it's a fight and comp etitive intensity which moves up.
Except for Oral Care, in the hair oils also, we saw the same th ing. Hair oil secondary grew by
around 6% for us, and what we realized is only around 3% kind o f growth rate in hair oils also.
So, therefore, going forward, I think I am alluding to around a value growth of around mid single,
looking at where the market is.
Latika Chopra : Understood. No, this is clear. And the last one was probably I missed hearing your, did you give
any guidance or margin? Did I hear 20% plus? FY '26, there was a question, but I couldn't hear
you clearly. If you could just clarify, how are you thinking ab out margins for the consolidated
business in FY '26? Any range that you would like to share? Tha nk you.
Ankush Jain : Before I get to full year next year, at least for quarter 4, o ur intent is at a mid-single digit top-
line growth, we will try to maintain our margins for quarter 4. For next year, we are still in the
approach of making our annual budget.

However, having said that, we foresee a bit of inflation. We w ill try to mitigate those. Intent is again to maintain it, but we will take appropriate price increa ses, cost saving i nitiative. Some leverage will also come. So, the intent is to maintain but slig htly improve, and if there is a significant improvement, then we will also try to reinvest it b ack into advertisement.

Latika Chopra : Very clear. Thank you so much.

Mohit Malhotra : Thank you, Latika.

Isha Lamba : Thank you everyone for joining today's call. Thank you and hav e a good evening ahead.

Call: May 2025

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Date: May 13, 2025
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Sub: Transcri t of Investors' Conference Call for Dabur India Limited -
Q4 FY 2024-25 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 07, 2025, post declaration of Financial Results for the quarter and year ended on March 31,2025. The said transcript is also available on the website of the Company at www. dabur. com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(A hok umarJain)
Group Company Secretary and Chief Compliance Officer
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End: as above

MANAGEMENT:

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MR. ASHOK JAIN - EXECUTIVE VICE PRESIDENT (FINANCE) & GROUP COMPANY SECRETARY AND CHIEF COMPLIANCE OFFICER
MR. REHAN HASAN - HEAD OF SALES
MS. GAGAN AHLUWALIA - VICE PRESIDENT -CORPORATE AFFAIRS
MR. N. KRISHNAN - GENERAL MANAGER -FINANCE
MS. ISHA LAMBA - HEAD, INVESTOR RELATIONS AND M&A

Isha Lamba: Good evening, ladies and gentlemen. On behalf of the management of Dabur India Limited, I welcome you to the earnings conference call pertaining to the results for Q4 and year ended FY '25.
Present here with me are Mr. Mohit Malhotra, Chief Executive Officer; Mr. Ankush Jain, Chief

Financial Officer; Mr. Ashok Jain, E VP (Finance) and Group Company Secretary; Mr. Rehan Hasan, Head of Sales , Mrs. Gagan Ahluwalia, VP -Corporate Affairs and Mr. N. Krishnan, General Manager -Finance.

We will start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I'll now hand over to Mr. Mohit Malhotra.

Mohit Malhotra: Good evening, ladies and gentlemen. We welcome you to Dabur India Limited conference call pertaining to the results for the quarter and year ended 31st of March '25. Fiscal year '24-'25 ended with the consolidated revenue of INR12,563 crores and PAT of INR 1,768 crores.

Consolidated revenue growth was 3.6% in constant currency terms, which was impacted by onetime inventory correction in India business done in quarter 2.

Even though it was a challenging year on account of the slowdown in urban consumption, high food inflation and unfavorable season, our business fundamentals remain strong, and we gained market shares across 90% of our portfolio, emerging channels comprising modern trade, e - commerce, quick commerce, grew in double digit s, although general trade in urban markets remained under pressure.

During Q4 FY25 , consolidated revenue grew by 2.1% in constant currency terms and 0.6% in INR terms. International business exhibited a strong growth of 19.3% in constant currency and India business declined by around 3.4%. Within HPC, Skincare recorded a strong performance with 8% growth driven by Gulabari franchise. Home Care grew in low single digits w ith Odonil performing well and gaining 67 basis points market share during the quarter.

Odomos was impacted on account of seasonality. However, the brand gained market share of 386 bps in the MRC category. Oral Care was impacted by higher base of 22% in the same quarter last year. However, our CAGR remains strong at 9% to 10%.

Meswak and Dabur Herb al portfolio performed well in this quarter, we continue to outpace the category growth and gain market share of 15 bps. In the Hair care portfolio, shampoo recorded a growth of around 4%, but Hair Oils were impacted. Hair Oils grew ahead of the category and gained market share of 196 basis points. Coconut Hair Oil portfolio recorded a strong growth of 11%.

Within the Healthcare portfolio, Health Supplements recorded a muted performance. Sales in Honey and Chyawanprash were impacted on the count of delayed and contracted winters, however, Chyawanprash and Honey both gained market shares of 162 bps and 75 bps, respectively. Glucose was a strong performer and recorded a growth of 10% with market share gains of 112 basis points.

In the digestive portfolio, Hajmola franchise recorded a growth of 3.3% with market share gains of 233 basis points. Recently launched Hajmola Zeera was very well received by the consumers. Extensions and variants now contribute more than 15% to Hajmola franchise.

Within OTC and Ethicals, winter centric portfolios such as Lal tail, Honitus, etc . were impacted. However, Dabur Health Juices continued their growth momentum and grew by 25% year -on-year.

The Foods business continued the growth momentum with Culinary business recording a strong double -digit growth of 14% led by the Hommade brand. Badshah grew by 6% in the quarter. Institutional sales of Badshah this quarter were impacted due to cut down in budgetary spends by CSD . However, business grew by 12% in the financial year '25.

Beverage portfolio was impacted due to slowdown in urban consumption as 7

0% of the portfolio is in urban India. While the overall portfolio declined, premium segment has done well with Real Activ and coconut water recording a robust growth of 11%. We gain market share of 261 basis points in the J&N category.

Coming to international business, we registered a robust growth of 19% in constant currency terms. This was on back of strong double -digit growth in MENA, Egypt, U.K., U.S.A., Turkey and Bangladesh markets. International business has been performing well, and we shall continue the momentum going forward as well.

As we look ahead to the next phase of our growth journey, we have undertaken a comprehensive refresh of our Vision strategy. Our ambition is to achieve a sustainable double -digit CAGR by financial year '28 in both top line and also bottom line. This renewed strategy builds on our core strengths while pivoting towards future -ready levers of value creation. Our strategy is anchored on seven key pillars. I'll take them one by one.

First, continued investment in our core portfolio. We have – 8 500 crore + brands, which contribute to approximately 70% of our portfolio, Dabur Red, Real, Chyawanprash, Honey, Hajmola, Amla, Odonil and Vatika. We will continue to add scale to these brands through disproportionate investments thereby increasing penetrations and d riving market share gains.

Second , premiumization and contemporization across strategies. Few examples of these are

serum, conditioners, masks in hair care, benefit -led toothpaste in Oral Care, active range in beverages, gummies, powder, effervescent in health care.
Third , bold be ts across healthcare and wellness spaces. We will focus on ramping up Hajmola franchise, health juices, Shilajit, to name a few.
Fourth , rationalization of underperforming products and SKUs in order to release capital for bigger bets. A few examples of these are Vedic tea, diapers and Vita.
Fifth , we will continue to drive GPM 2.0 in the organization for effective expansion across urban and rural India. We will double down on emerging channels like e -commerce, quick commerce

and modern trade. We will also focus on consolidation of stockist for better ROI, reducing cost to serve with urban GT channel and enhanced use of digital tools to boost extraction.
Sixth , aggressively pursue M&A opportunities for creating a future fit portfolio particularly focused on new age health care, wellness foods, premium personal care.
Seventh , operating model refinement by optimizing costs, driving efficiency, agility, and digitization across value chains in the company.
With these initiatives supported by improving macros aided by income tax cuts in the budget , easing food inflation and positive monsoon forecast. We anticipate our business to regain momentum and deliver sustainable profitable growth going forward.
With this, I conclude my address and open the floor to any Q&A. Thank you.
Abneesh from Nuvama
Abneesh: My first question is on McKinsey. So you have engaged with McKinsey from a longer time frame in terms of way forward. And I do understand these are initial days. But I think it will be quite helpful if you can share what are the initial suggestion, areas of improvement, focus areas? You did discuss the 7- point agenda. And now, a lot of the 7- point agenda, I think every FMCG company anyway has. Anything specific, if you can highlight from a growth expectation, from a portfolio transformation perspective and FY '26 key focus area, what can be t hose given the base is very favorable?
Mohit Malhotra: Yes. So Abneesh, we've done an elaborate exercise with McKinsey, and they've actually gone through all the live trends and all the analysis. And the seven points that I mentioned in my address is what broadly that they talked about. And the ones which stand out is that we shall weed and feed our portfolio and portfoli

o rationalization will happen and a clear exit p ath for
some of the categories, which are the non -performers , have been identified to release capital, which is what I mentioned.
So the categories that we will get out from is the tea category, and our baby diaper category, the sanitizing category, which actually happened and the Vita category. So we will get out of these categories and the big bold bets, which we've identified and core portfolio is where we will invest. That is one theme which actually comes out.
The second big thing is premiumi sation and contempori sation across the portfolio. So if you look at past 4 to 5 years, we've generally focused on increasing market share and consolidating our business in each of the categories. But premiumi sation has been lesser focus and it was a deliberate attempt, because we wanted to bring Dabur Amla back on growth path, gain market share. Now that we've done all the gain market shares in Chyawanprash , in Honey, in Amla, in Home Care, and in Skin Care, now it's 2.0 journey to embark upon premiumi sation and contempori sation.
And we have identified segments that we will enter for premiumi sation. Like in Hair Care, we always focused on gaining market share in Dabur Amla. Going forward, you will see our

concerted effort on premiumi sation of post bath categories like serum, conditioners, masks, etc, and we will focus investment there. Shampoo will do alpha ingredients , in Oral Care will be plugging white gaps of whitening, sensitivity, etc. On beverages, will invest money on the A ctive portfolio, which will have a halo effect on the entire beverage portfolio, because each of these subcategories of nectars, pure juices, and drinks are anchored around the Real brand. So we will communicate on zero sugar and no preservative range of beverag es which will have a halo effect on the entire range.
Then Health Care, like Chyawanprash, Honey, Glucose, we will be getting the modern formats which resonates with the new consumers like gummies, powder, effervescent , etc. You may be right to say it's quite what we attempted in the past, but I think this is the way forward going.
Apart from this, M&A is what we will aggressively pursue and it will be a two-pronged M&A strategy from our point of view. One will be revenue accretive to us, which will substantially

add to the revenue of the company because grow th in GT is a little subdued. That is one.
And the second will be creating a future fit portfolio which resonates to the new generation. That is what we are looking at.
Then the fourth one is bigger bolder bets to be identified in health care and to invest behind that, like Shilajit, like health juices, and Hajmola. So that's what one will do. That was on the portfolio piece.
On the GTM piece, we are wanting to get into increasing ROI s of distributors . That's why we rationalize d our inventory last year. Apart from that, we will get into stockist consolidation, especially in metros and mini metros and double down on distribution expansion and extraction in Class 3, Class 4 and rural India. So that's what we'll do. And this will ha ppen by way of digitization across the GTM activity to bring in more transparency and consolidation in the GTM.
And to get cost takeout to invest in our brands, we will be embarking on cost optimization exercise like Samriddhi , which also we did, but there will be a huge focus behind it, pretty much this.
Abneesh: One quick follow -up there. In Q4 call, almost every FMCG company on FY '26 demand outlook is sounding reasonably optimistic, given softer food inflation, tax rate cut and interest rate cuts and good monsoons, etc. And companies which are giving guidance are talking about mid- to high single -digit kind of volume growth. And it may not start with Q1, but that's a full year number they are looking at. In your case,

what is the confidence level? And what kind of number for India business do you think is possibl e given base is very favorable?
Mohit Malhotra: Yes. So, we are seeing green shoots in the business. So, I think food inflation is kind of moderating. And we are seeing a 2% to 2.5% of food inflation. And to your point, only tax cuts have happened. So urban consumers should have more money in their hands to be now used in the discretionary, and we will keep working on our GTM activity.
So going forward, sequential improvement is what we are seeing, but a gradual sequential improvement. We are not saying that quarter 1 and we are already sitting on very high bases for

quarter 1. The highest base, we had a 7 -odd percent growth in the quarter 1 last year. So I think, quarter 1 and then quarter 2 and quarter 3 . I think, sequentially, we'll keep getting better , because rural is already growing much ahead of urban and urban green shoots will also come in gradually and slowly.
So, I think sequential recovery is what we are also seeing. And we should also end the year with high single digit, if not double -digit or near double -digit kind of growth for the full year. That's the guidance that we can give by looking at the macroeconomic situation at the moment.
Abneesh: Okay. So high single to double digit for the full year volumes?
Mohit Malhotra: Yes, value growth.
Abneesh: Sure. L ast question on your fruit juice business, Campa Cola overall, I think for every beverage has been a big disruption initial days. This year, they are aggressive on IPL, putting big factory, INR1,000 crores in Bihar and Assam also reasonable size factory. N ow Tata Consumer has increased the trade commissions in their part of NourishCo business, and they are seeing good recovery post that. So if you could discuss on trade commission, what are the initiatives you need to do or already have done ? And FY '26 on fruit juice business, how do you see that part of the business? Here also high single digit volume growth possible or the value growth?
Rehan Hasan : So as far as commissions are concerned, we have not changed any channel margins. We have not changed any channel margins other than out -of-home portfolio where we have kind of increased our channel margins a little bit to compete with this Campa Cola war , which is being played out. So for our out -of-home portfolio, we have increased the margins slightly.
Abneesh: What is the growth expectation for FY '26 in this part?
Rehan Hasan : Growth expectation actually low to mid -single digit as far as this beverage portfolio is concerned .
Prakash Kapadia from Spark PMS
Prakash Kapadia: A couple of questions from my end. We've seen a slowdown across most of the categories. So can you help us understand, Mohit , the rural and urban side of the current slowdown, which we are seeing ? And historically, what we've observed in earlier cycles, we had a diversified portfolio. So that helped us navigate some of the challenges whenever there was a slowdown. So currently, what is hitting us hard?
And secondly, you did mention we would want to increase premiumization and try and do some M&A. So directionally, how are we thinking? Is it going to focus more on the Health Care segment, because that is where our leadership would be so good M&A and premi umization in that specific segment? Or is it younger generation, which don't have such habits to some of the products in the Health Care segment. So how are we thinking?
And lastly , GT channel inventory issues are over as we've rationalized some of the inventory in

earlier quarter. Also given the base now favorable , how are we looking at modern trade, quick

commerce, e-commerce, GT. Is the distribution setup now fine or som e thoughts will be very helpful?

Mohit Malhotra: All right. So Pra

kash, a lot of questions. So first, I'll take your diversification question. I think last quarter was a tough quarter in terms of all the three divisions. Now I'll take it one by one. One, beverage business was impacted by competitive intensity and seasons are not favoring us. Plus, what we've done is , if you see the learning coming from last year, we usually load before the season, in anticipation of a good season. So stock gets into the market with the stockist and then the tertiaries and the secondaries happen.

This time, we've done less loading. So, around INR50 -60crores, of loading has been less in the season. And that's why you see an impact on primary, and that's why you see tertiaries and market share is actually moving up, because secondaries haven't suffered. It's basically primary, which is what you see in the Food & Beverage business for us.

Now number two is the Health Care business. Health Care business had a problem of the season, because I was telling you the winter season was truncated and delayed. So therefore, Chyawanprash and Honey, both these two pillars of ours, were actually impacted. Going forward , Honey is getting into a lower base. We had some crystallization problems also, which is also behind us now, and we are seeing good market share gains in Honey going forward. So that is also sorted in my view, and we are embarking on all -season campaign for Chyawanprash. Hopefully, that should address the issues of Health Care. Our Glucose has done well with 10% to11% growth.

Now as far as the HPC business is concerned, we were navigating high bases in HPC. Now that is why HPC got impacted. We had a growth of around 22%, 23% in Oral Care and then other businesses also, like in Odomos, we had a base of around 20%, 25% growth in last year same quarter.

So base effects played out in our HPC portfolio, and that's why HPC has not grown. While I look at the primary, primary is down by around 3- odd percent or so, but the secondary has done well, increased by around 5% there. So, I think business fundamentals in terms of secondary in HPC is okay, it's just the base effect came in. That is on the portfolio piece.

If you look at the urban and rural, our rural in tertiary is growing by around 13%, 14%. That's what Nielsen tells us for the Q4 data. So, the business fundamentals are fine. We are growing by 14% and urban is what is flat, and which is there with the category. It's in line with the category. But overall, we are growing ahead of the category.

So what's happened is, we have kind of rationalized some sort of schemes or have not given the scheme, because we did not load. Because we did not load, we did not give extra credit, we did not give extra schemes, because of which the little bit of inventory in the wholesale has, I think, gone down and STRs have gone down. Because of t he STRs going down, but our offtakes are very resilient and doing well.

We never wanted to increase the inventory. We corrected the inventory from 30 days to 21 days. Had we loaded once again, then there was no point of doing any kind of inventory correction,

we would have gone back to around the same level of unhygienic inventory. So we did not do that. And therefore, for long -term sustainable good health of the company, we've actually not loaded and not given schemes.

And that's why you see the HPC business is a little low. And therefore, wholesale, which feeds rural for us, rural decline is more than urban decline in the first quarter. But in tertiary sales, Nielsen says , rural is still firing. And there is no problem in terms of offtake. So I hope I've been able to give you a little bit of color on why all the three divisions didn't do well.

Prakash Kapadia: What I was trying to unde rstand about the premiumization and M&A piece. You hinted that as being a key.

Mohit Malhotra: Yes, I hear you.

So the second question you asked is premiumization. So premiumization, as I was telling you, premiumization is a lever that Dabur hasn't really consciously attempted because we're a little rural skewed. And s o now we'll be embarking on premiumization across all the three verticals of the company.

So at Food, we already have A ctive range. So we'll be doubling down on A ctive range with functional benefits like slimming, gut health, etc. And our Health Care portfolio of juices is already doing very well. So that is what we'll double down on as far as the beverage business is

concerned. Hommade etc, that is doing well. Our premium portfolio is doing well there. Our cold pressed oils and ghee are already growing by around 30%. So that also we will kind of double down on F&B.
Now in Personal Care, Amla should move into premium categories. And Home Care, we're already into premium portfolio. And Skin Care also we'll do premiumization. In Health Care, we will get into modern formats of existing brands. So if it is a honey , we will get into honey powder. So, what scale we will get out of this premiumization, I think if I was to take a guess, it will be more from Personal Care that we will gain on premiumization. And the Health Care initiatives that we have done, we'll keep attempting those premium Health Care initiatives.
Coming to M&A. M&A should come and bolster our initiatives of premiumization. Why? If there is a brand acquisition, a premium brand in Health Care wellness space, we will acquire that. And this wellness extends from Health Care to Foods also. So wellness f oods, wellness health care is what we should attempt to get a brand in an inorganic way. And in Personal Care, it should be more organic initiatives. So this is where we are, yes.
And as far as third question of yours on GT. In GT, we are looking at consolidation of stockist in urban India. So reducing cost to serve, increasing span of control, increasing digitization in urban India and rural expand on villages, expand on direct reach, and focusing on the INR10, INR20 bundle pack, which can ride on our rural go-to -market infrastructure. So this is what we are embarking on the GT piece.
Prakash Kapadia: Understood. Understood. Clear on this. Thank you. All the best.
Mohit Malhotra: Thank you.

Kunal Vora from BNP Paribas
Kunal Vora: Yes. Thanks for the opportunity. Firstly, you mentioned various initiatives to premiumize make our products more relevant and future fit. What is the timeframe you're looking at? And would this require investment in the medium term? And would this result in any kind of margin dips?
Mohit Malhotra: Yes. So, Kunal, we are setting up a cadence of looking at monitoring of the strategy that McKinsey has recommended. So that journey should begin as we speak from this quarter onwards. And the exact timelines as we are still working on it, the exercise we just finished. So, I can't give you right now, but we'll start from current year onwards itself. Even the GTM rekindlement should start from the current year itself is what we'd be looking at. So immediately, we will start working on the vis ion exercise that we've created for Vision 7.
Kunal Vora: Does it have to be especially on the GTM ?
Mohit Malhotra: No, there will not be . We aspire to grow double -digit or near single -digit value growth and also increase our operating margins. So, investments will be diverted towards the new initiatives, which will come under our core brand itself. So that is how we are seeing those initiatives and it's more modernization of formats and not really creating mega new brands which will require separate investments.
Ankush Jain: And also, just to add on the premiumization margin, there will be specific guardrails where every new product launch will have to have an accretive margin to the core product of it.

And therefore, it will lift the overall gross margin profile.
Kunal Vora: Understood. Thank you. Second is, if you can help me understand the longer -term trends in two of your key categories: in Health Care, sales are at the same level as they were in FY '21; in Beverages, you had like a very strong FY '21 to FY '23, in which sales almost doubled. The n after that, like it, you went down. So if you can help me understand whether the worst is behind, what exactly went wrong in these two categories in last couple of years?
Mohit Malhotra: Yes. I think in Health Care, if you look at the CAGR , CAGR of Health Care are in the range of around 7% , and 7% to 8%, that's what we want to sustain the CAGR. Prior to 4 years, I think it was COVID, which actually surged the entire Health Care and after that we've seen the penetration levels of key brand categories like Chyawanprash and Honey coming down. So we are taking initiatives to reduce the sizes and therefore resonating the brand, reducing the price level so that the penetration sho uld increase, embark on new campaigns of all seasons. So all those initiatives are being taken.
Honey, new variants are coming in for premiumization and powders, etc. We will launch at bottom of the pyramid sort of market. On back of this, we want to get back on the growth path.
In Beverage business, our CAGR is again 10% plus level s. And there, we've already got the portfolio. So the infrastructure is being se t and to Rehan’s point, we want to go back on the path to make our Koolerz pack of INR10, INR20 pet bottles and coconut water available in rural India and drive the active range for urban India , and go back to the path of growth and recovery on beverages. So we've also corrected our RPI as compared to the Colas, which went down from

2.2 to 2.7. We are bringing it down to INR99 point. We just introduced a new range, and that's doing reasonably well in the marketplace.
Kunal Vora: Understood. Thank you. And lastly, you mentioned the target to grow at high single -digit volumes. That will require some categories growing even faster, maybe even double digits. Is there the categories in which you're confident that the growth could be even higher compared to high single digits?
Mohit Malhotra: See, we talked about high single digit value growth looking at the situation of the macro and the category performance is there. Within that, I think we are more confident about HPC as we speak home care, skin care, oral care. And we are more confident of these categories, and we are on path of doing corrections in beverages and health care.
Mohit Malhotra: Understood. That's it for me. Thank you.
Mohit Malhotra: Thank you.
Harit Kapoor from Investec
Harit Kapoor: I had a few questions on the stand-alone business, India business, there is a sharp kind of 250 basis points GM contraction. Do we attribute this largely to mix? Because it doesn't seem like there has been massive inflation in our portfolio, and this has dropped off from Q3, Q4. So there is obviously some seasonality in the quarter, but I just wanted to understand what's been the reason? Is it purely mix? And how do we think about this going forward? Is this a gradual buildup? Or how do we see it?
Ankush Jain: Yes. I think you see almost 240 bps of contraction in our stand- alone in quarter 4 and our inflation is the highest in this quarter in this year. So almost 80% of the inflation of the year has come in this quarter itself, which has impacted this almost 250 bps itself. And most of the price increases we took, they were by and large negated by cer tain trade promotion intensities and hence, the gross margins got impacted.
Mohit Malhotra: To rephrase, I think, it's all linked . I think its inflation, which is a key issue. So we had an inflation of around inflation 4.5% - 5% and price increase was to an extent of

3.5% , and because of
competitive intensity, we could not take the full inflation into the price increase. And that is why this GM contraction of 247 basis points that you see.
Harit Kapoor: So going into quarter 1, we should see a 4% to 5% type of pricing. Is that what you're kind of hinting at?
Mohit Malhotra: Yes. So there's already we've increased the prices by around 3.5%, 4%, and that flow -through will happen in quarter 1 also.
Harit Kapoor: And how much of that Mohit, w as in quarter 4? Like what would have been your weighted average pricing in quarter 4, 2 %-1.5%? What would have been that number?
Mohit Malhotra: We have taken a price increase of around 4.5%, 5% in Health Care. In Personal Care, which is a very competitive category, our price increase was in the range of 1.5%. And in Beverages, our

price increase, again, 1.6% broadly. So overall, it's around 3.5% sort of a price increase that we've taken in the quarter 4, which will flow through to the quarter 1.
Harit Kapoor: Got it. T he second thing was on the premiumization journey. In Hair Oil, it's a bit of a dichotomy because on the others, there is also the competitive intensity at the bottom end of the pyramid. So how do we kind of marry both these things , will you continue to have that aggression at the bottom of the pyramid and still try and populate the top end in Hair Care. So as part of your premiumization agenda, how do I think about that segment?
Mohit Malhotra: So premiumization, we've not embarked upon. Like in Hair Care, especially, I think we were very busy consolidating our portfolio and trying to gain back market share that we lost to competition in Dabur Amla, especially because you had a competitor who was half at your price point. So now that we've got our strategy in place and we've gained all -time high market share of 19.1% from 14% around 3 years back. We will start on the journey of premiumization and premiumization is more urban linked for us. And e -commerce, quick -commerce, all these channels actually help us to get on to the premiumization journey, which is fairly easy to do.
As far as rural is concerned, INR10, INR20 price points and I NR50 or INR100 price points also in Hair Care, just ride our rural infrastructure. There's not as much of brand trending that you not need to do on at the bottom of the pyramid. It is at the top of the pyramid that you need to do that, so which we have not done it. So like I was telling you , serum s, mask s, conditioners, etc. that should come in and help our premiumization journey. I don't see both of them conflicting with each other at all. They are both water tight, almost compartment and urban more so with e -commerce and modern trade doing very separately.
As far as organization structure is also concerned, we have a separate organization for e-com and MT, and a separate organization structure for GT at the lower end. So it is not at conflict

with each other. So one can embark on both the parts , that one is to consolidate at the bottom end of the pyramid, keep continuing gaining share and second is to embark on premiumization at the top end also.
Harit Kapoor: Understood. And last thing, just a clarification on one of the earlier questions, you said growth will gradually improve . And do you expect exit rates to be high single -digit revenue growth? Or you said for the full year, it will be high single digits or double -digit type of revenue growth? I didn't quite understand ?
Mohit Malhotra: I'm talking about average of the full year, but it's a guess at the moment and it all depends upon how the categories are behaving and how the macros are performing. If I go by the macros now, with MSP increases and with the MGNREGA outlay going up by 40% in rural India, rural India already growing around 450 basis points ahead of urban India , food inflation coming down and more

money in the hands of the consumer, not taking into account Operation Sindoor . I think everything looks like a gree n shoot today. But how the political and the macroeconomic situation evolves is one has to see. But I was talking about average of the full year when I was talking about high single digit.
Naveen Trivedi from Motilal Oswal

Naveen Trivedi: Sir, my question is on the Oral Care performance. You did mention about the base effect impact on this quarter performance. But if I look at this, even sequentially also I would assume that this, sequentially, it is down close to 17 %, 18% versus quarter 3. Is the understanding right? And typically, this is not a category where the seasonality player play a big role. So any color on that part or any specific markets where we've seen this kind of impact?
Mohit Malhotra: I think Oral Care is in a very good state as far as we are concerned. All the 4, 5 vectors of Oral Care brands are doing well. Dabur Red continues to do well for us and our market share s, our tertiaries, our secondaries, all are moving up as far as Oral Care is concerned. We got IDA certification also now, the endorsement by doctors has also started. Our no fluoride campaign has also kind of resonated very well with the consumers. We won a court case also in Oral Care.
We are continuing to a dvertising. So I think all guns blazing as far as Oral Care is concerned, and we are betting our bets on Oral Care going forward also.
So Dabur Red, as we see, this quarter was an anomaly, because of the high base effect of 22% is what I said. So that's the only reason that I see. So Dabur Red is doing well. Our Meswak has grown by around 10 %-11%. Our Dabur herbal toothpaste continues to do well and we are planning to take it to South India . In modern trade, the herbal category has got a tailwind, which is at around 31%, last year it was 30%. That is growing at double the rate of the non-herbal category. So I think everythi ng is very favorable as far as o ral care is concerned for us.
Naveen Trivedi: So is the understanding right where we have seen sequentially down 17 %, 18% the segment revenue?
Mohit Malhotra: No, we are not down sequentially 70%, 80%.
Ankush Jain: Not 70%, 80%. I think it's 10% to 12% down.
Mohit Malhotra: No. I think, you should see a year -on-year trend. That's how this has to be seen because there is some loading impact of the other categories and therefore this category is a little subdued in quarter 4. So I think it's a year -on-year that you should be looking at rather than sequential.
Sequential, our market shares continue to move up. We've gained around 15 to 16 basis point , market share in the current quarter also.
Naveen Trivedi: Yes. That’s all from my side. Thanks.
Akash from UTI Mutual Fund
Akash : Thank you for the opportunities. Sir during your opening remarks, I mean during your response to one of the participant's question, you said while streamlining the portfolio, we will exit some of the segments like let's say, diaper or tea. I could not hear that completely. So can you please repeat what are the product categories which going forward, we will not be focusing on?
Mohit Malhotra: See, we mentioned a few examples of the categories, one was tea, other is baby diapers and other is Vita in MFD category. Now these have been margin dilutive for us and tha t's why we are planning to exit with a limited right to win and also breakfast cereals. So these are the 3-4 categories that we are planning to exit .

Akash : And sir how much would the se products contribute revenue, i t would be sort of low single digits?
Mohit Malhotra: Less than 1% of the overall revenue.
Akash: Okay. Sure, sir. Thank you.
Senthil from iThought PMS
Senthil : Yes. Sir, one of your drivers for the strategy point, you mentioned about

c ontemporizing the
category. So pa rticularly with respect to the h ealth care vertical, if you can throw some insight into how we are picking the products from the health care si de to the millennials or Gen Z, so that's my first question?

Mohit Malhotra: Yes. So for a healthcare, o ne of the key brands for healthc are products are Chyawanprash. Chyawanprash we have premiumized in the past and we will continue the journey with Ratanprash, with K esarprash, with Khajurprash, etc. that we have premiumized and we'll be launching modern formats like gummies, powders, et cetera, which is more targeted towards the new generation.

In honey, we've extended ourselves into organic honey and single ingredient honey –like single floral honey. So that is how we contemporize. We extended ourselves into contemporary format which is more amenable to breakfast consumption .. And also we'll be targeting new target audiences like geriatric , gym goers etc. with our healthcare portfolio.

Senthil : Okay, sir. And in the last A nalyst Meet, the Investor Day, you mentioned there's an incremental focus on the therapeutic side. So if you can share what has been the development on that side?

Mohit Malhotra: So, therapeutics bus iness continues to be as it is . We've done some organi zational changes. So Mr. Philipe Haydon who has super -annuated and this new gentleman has actually joined instead of Philip e. So focus on advocacy vertical to promote Ayurveda to the modern doctors will continue and the turnover will be taken from INR100 crores to INR200 crores and that journey will happen and we are currently addressing around 100,000 medical practitioners with this vertical. So that journey will go o n. We will try to do better extraction with better efficiency in that vertical. So that initiative will be continued going forward.

Senthil : Okay. Just the last question. Again, coming on the inorganic side. So you mentioned about -- we'll be focusing on the wellness side, foods and heath care. So having the her itage from the Ayurvedic healthcare, going organic will be much better or if you can share some strategy from here?

Mohit Malhotra: Yes. So here or there we have organic brands. So I think all these organic brands like Chyawanprash, honey, Hajmola, Shilajit etc., there the modernization journey will be all organic because these are our core brands and we will continue to extend them into modern formats organically. If there is a new brand or a new category to be addressed, that is where M&A comes in and supplements our efforts of organic business with inorganic business. That's what one will do.

Senthil : Okay, sir. Thank you.

Manoj Trivedi from SP Securities

Manoj Trivedi: Thanks for the opportunity. M y question is regarding Dabur's compliance, current compliance rate on EPA regulation in terms of use of recycled material in their flexible and hard packaging of plastic products. So, my query is that, I mean on the back of that we know that the industry has made a presentation to the ministry and the government and approached them to delay or give some more time to the industry.

But the fact of the matter is that ministry or the government has not made any official statement on this , post the presentation. So at this point of time, what is the view of the industry as well as Dabur and where Dabur stand in terms of compliance, in terms of flexible and hard plastic packaging?

Mohit Malhotra: See as well as Dabur is concerned, we are recycling more than 100%. We are actually a plastic positive company, because we are recycling more of plastics than what we are consuming ourselves. So we don't have any credits for plastic in India unlike a carbon credit in international market. So otherwise, we are ensuring our EPS compliance more than what is actually adequate.

Manoj Trivedi: No, I think, you got me wrong. My questio

n is that use of recycled material in the plastic
packaging for flexible, it is 10% and for hard, it is, I think, 30% from 1st April 2025. I actually asked the question of the compliance plastic bag complex.

Mohit Malhotra: No, now, I got you. So as far as recycled plastic is concerned, our use of recycled plastic is fairly limited like all other players in the industry, and therefore, we've represented to the government also on the same because the recycled plastic today is more dearer in the market as compared to the regular plastic. And moreover, we are a health care company.

In a health care company where 50 %-60% of the portfolio is coming from wellness foods and they're coming from health care, we are very reluctant to use recycled plastic in food products and also in our Ayurvedic product. Like in pharmaceutical industry, you don't use recycle d plastic. So we are reluctant.

As far as personal care is concerned, yes, with the 50% of the portfolio, we can use recycled plastic, but that is today dearer than the existing packaging material and will have an implication on the gross margins and the operating profit of the company. That's why the representation has happened to the government , because the demand of recycled plastic is higher than the supply.

As the industry grows of recycled plastic I think the cost of producing will be cheaper and then we'll be able to do it. So our stand to the government is to give us more time, till the time the recycled material becomes a little more cheaper and capacities go up in the industry. So yes. I hope, I could answer your question.

Manoj Trivedi: So what I understood, if you can confirm is that currently, Dabur is not planning to be compliant with that because government has not withdrawn the regulation. So I believe that, that reg ulation is pretty much in force?

Mohit Malhotra: Yes, we are already utilizing recycled plastic in our packaging material, but it is still limited because the capacity is not evident. So which is what the entire industry has also represented to the government saying that because the capacity is limited, nobody is able to meet the 30% requirement, which has come in. So which is why even the rules is in abeyance, right. It's not been announced yet . So if the government was to mandate the use of the recycle, then we will have no option but to use it. But today, the capacity is limited, and it's difficult for us to do it and it's more expensive in terms of cost.

Manoj Trivedi: So are we planning to pass it down to the end consumer at the end of the day?

Mohit Malhotra: If the government mandates, we will have no other option but to pass it to the consumer, and we will be using it. Yes.

Anurag Dayal from PhillipCapital

Anurag Dayal: Yes. So basically, my question is on Beverages. Now we are sitting on a favorable base. We have done a lot of actions in terms of INR10, INR 20 price point pack, expanding in rural. And since 70% as I understand the saliency of beverages is in urban and then we expect urban market to recover eventually this year. But still we are a little conservative on low to mid -single digit growth expectation. So what could happen basically that we can get back to double -digit growth here? What all actions are required from our side or the competitive intensity is going to be l ow? What's your view on that?

Mohit Malhotra: Yes. See, as I was telling you that we have a CAGR of almost double digit as far as beverage is concerned and it's going through a cyclical storm as competitive intensity going up. So we are making all our efforts in terms of GTM, although the portfolio we've already done.

I think, the efforts are on as far as the go -to-market is concerned and the price points are concerned. So that's what we are trying to now fix for us. So what we are doing is that we have a 2-way down with the exclusive distri

bution of beverages. That is continuing to do well. For rural and semi -urban markets also, we are opening up all the beverages to our existing rural distributors also, because we've got affordable price points there. That's what.

And also w e fixed the price of around INR99 and INR 100. That said, the wait and watch situation to see a gradual ramp up and the distribution initiatives are taking time in the market. So that's why a little defensive sort of growth aspiration on it, but we are not leaving any stone unturned.

Like coconut water, which is coming under the active range that is firing. Our Hajmola Jeera is actually doing pretty well.

Our active range is performing very well. Our Koolerz and the Nectar range is something that we have to still correct and execute it well in the marketplace. So that's why it's a slow gradual recovery, which is happening in beverages.

Anurag Dayal: Okay. Sir, another question is on Odomos. So you mentioned there were some seasonality impact as I understand. But especially in the HI portfolio, the market leaders said that the season was very favorable for them. So could you explain us where is the sea sonality, which came for

us? I mean, you this product -specific issue or how we define the seasonality, especially for Odomos?

Mohit Malhotra: No, I think it's a seasonality plus coupled with high base. We had a very high base of Odomos last year or so. So we are navigating a higher base. If you look at the CAGR also, it will be in the range of around 8% to 10% for us. So that's fine. And for us at least we did not see the mosquito season pan out as much as what it was last year.

So relative, it has been low, but I think it will be slowly catching up. We have got a market share increase of around more than 386 basis points on Odomos. So from a market standpoint, we are pretty much okay.

Isha Lamba: Thank you, everybody, for joining the call. The webcast and transcript will be available on our website. Thank you, and have a great evening.

Call: Aug 2025

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Ref: SEC/SE/2025-26
Date: August 6, 2025
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Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai- 400001
BSE Scrip Code: 500096^^
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Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai - 400051
NSE Scrip Symbol: DABUR
Sub: Transcri t of Investors' Conference Call for Dabur India Limited -
Q1 FY 2025-26 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on July 31, 2025, post declaration of Financial Results for the quarter ended on June 30, 2025. The said transcript is also available on the website of the Company at www. dabur. com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(Ash kKu arJ'ain)
Group Company Secretary and Chief Compliance Officer
End: as above
DABUR INDIA LIMITED, Punjabi Bhawan, 10, Rouse Avenue, New Delhi-110 002, Tel.: +91 11 71206000 Fax:+91 11 23222051
Regd. Office: 8/3, AsafAli Road, New Delhi -110 002 (India)
CIN: L24230DL1975PLC007908, Email: corpcomm@dabur. com, Website: www. dabur. com

“Dabur India Limited Q1 FY '26 Investors Conference Call”

July 31, 2025

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MS. GAGAN AHLUWALIA - VP- CORPORATE AFFAIRS
MS. ISHA LAMBA - HEAD, INVESTOR RELATIONS AND M&A
MR. N. KRISHNAN - GENERAL MANAGER - FINANCE

Isha Lamba:

Mohit Malhotra: Good afternoon, ladies and gentlemen. On behalf of the Management of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the Results for Q1 FY '26.
Present here with me are Mr. Mohit Malhotra - Chief Executive Officer, Mr. Ankush Jain - Chief Financial Officer, Ms. Gagan Ahluwalia-VP-Corporate Affairs and Mr. N. Krishnan-General Manager-Finance.
We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I now hand over to Mr. Mohit Malhotra.
Thank you, Isha. Good evening, ladies and gentlemen. We welcome you to Dabur India Limited Conference call pertaining to the Results for the Quarter Ended 30th June 2025.
The quarter witnessed sequential improvement in domestic and international markets, despite challenges posed by unseasonal rainfall and geopolitical headwinds. In India, rural markets continue to outperform urban for the fifth consecutive quarter, sustaining its strong growth momentum. Even the urban markets witnessed sequential recovery vis-a-vis last quarter.
Our international business remained resilient, delivering a robust double-digit growth. During Q1 FY26, our seasonal portfolio comprising of beverages and glucose was impacted due to unseasonal rain and a very short summer. Growth in consolidated sales was around 7% excluding the seasonal portfolio, while the reported growth was 1.7%, impacted by the seasonal portfolio.
India's business revenue grew by 4.3% excluding the seasonal portfolio. International business exhibited a strong growth of 13.7% in constant currency and 12.7% in INR terms.
Within the domestic business, HPC portfolio performed well with 5% growth. The Toothpaste portfolio delivered a growth of 7.3% led by a strong growth in the Red franchise. The Herbal segment growth accelerated and outpaced the non-herbal segment by 440 bps, reinforcing the growing consumer preference for Ayurvedic, Herbal, and Natural Oral Care offerings. In line with the above trend, we outperformed the Toothpaste category growth, leading to sustained market share gains.
The Home Care portfolio delivered strong growth of 10%, delivered by a robust performance in both Odonil and Odomos franchises. Odonil has emerged as the #1 brand in the Air freshener category with 44% volume market share. The brand recorded 11% growth this quarter, supported by strong double-digit growth in Gel pockets and aerosols. This translated into market share gain of 183 bps. Our mosquito repellent brand Odomos recorded a double-digit growth aided by early monsoons that positively impacted category demand resulting in market share gain of 261 bps.
Skincare portfolio registered a growth of 9% by Gulabari franchise and Oxylife.

In Hair Oil, we outperformed the category growth and gained market share of 214 bps, taking our total Hair Oil volume market share to 19%. This is the ever-highest market share that we registered in Hair Oil. We remain focused on premiumization and expansion into new age offerings in both Hair Oils and shampoos.
In our Healthcare portfolio, Health supplements excluding glucose which got impacted by unseasonal rains, grew by 9%, backed by robust growth in Chyawanprash and Honey.
Contextual monsoon campaign has worked for the Chyawanprash brand, which reported a growth of 28%, with market share gains of 111 bps.
Honey saw a broad-based growth across channels, growing by 11% year-on-year, and strengthened its leadership position with 46 bps gain in market share. Premium variants like Sundarbans and organic honey witnessed good traction. Glucose was severely impacted by rain during the quarter and declined by around 30%. Despite this, we gained market share of 118 bps in the category.
In the Digestives portfolio, Hajmola franchise repor

ted a 9% growth, with variants like Chatcola,
Limcola, and Mr. Aam now contributing around 50% to the overall brand franchise. Recently launched Hajmola Soft Chews received a good response from the consumers. Pudin Hara brand grew by 7% driven by new campaigns and renewed focus.
Within OTC and Ethicals, Honitus registered a growth of 46% driven by a surge in demand during the monsoon season. Health Juices continued on a strong trajectory and grew by 18%.
We are focusing on new contemporary formats across our Healthcare portfolio. And some of these products will be introduced in next few months.
J&N category was impacted due to unseasonal rains and business disruption due to Operation Sindoor in key markets of North India, such as Jammu and Kashmir, Himachal and Punjab. However, our focus on driving the premium portfolio is working well with 'Real Activ' franchise witnessing a robust growth of 20%. We launched coconut water in aseptic pet format this season, which has witnessed exceptional growth with the brand cornering 25% of the fast-growing coconut water market. Even in the J&N segment, we continued to outperform the category, gaining 207 bps in market share in nectars and 141 bps in 100% juices.
Coming to international business, we registered robust growth of 13.7% in constant currency

terms. This was on the back of strong growth of 10% in MENA, 20% in Sub-Saharan Africa, 40% in UK(EU), 30% in United States, 36% in Turkey, and 10.2% in Bangladesh.
Coming to profitability, in spite of high inflation and seasonal impact, our operating profit and PAT grew ahead of the topline led by price increase and saving initiatives. This is indicative of strength and resilience of our brands.

Overall, consolidated growth of 7% excluding the seasonal portfolio is quite encouraging with market share gains across 95% of our portfolio.
Looking ahead, we are quite optimistic of a sequential recovery in demand on back of softening food inflation, favorable monsoon, sustained momentum in rural and some green shoots which are visible in the urban demand. Our international business continues to be on a strong trajectory with currency depreciation now lapping over in most of our geographies.
With this, I want to conclude my address and open the floor for any Q&A that you may have.
Thank you very much.
Mihir Shah from Nomura
Mihir Shah: Firstly, I wanted to just highlight that the presentation that we are seeing this quarter versus the historical times, there has been a lot of change in disclosures. You know, we have been tracking this company for more than, I would say, 15-17 years, a lot of us on the street. And we have never seen less disclosures from Dabur. And you have been one of the companies which has highlighted many disclosures across categories. Can we request you to revert back to the earlier disclosure standards so that we can gauge the progress of the company in a much more better manner like we have done all these years? So, that is point number one.
As far as my question is concerned, Mohit, there is a favorable base that you are having in the 2nd Quarter. There is a 5.5% decline that we had seen last year. With this ex of seasonal impact 7% growth that you were seeing, should one expect high-teens growth to come back from 2nd Quarter? Will that be a fair understanding?
Mohit Malhotra: Yes, Mihir, I want to answer the second question first. So, yes, you are absolutely right. Last year we did some sort of inventory correction in the same quarter last year. So, there is little favourable base, but we have no intention of increasing the pipeline at all. So, we are expecting, depending upon the season, how the season fairs, and how the juices trajectory remains, because the month of July has been quite wet, which has been unprecedented in the past.
So, we are closely observing the situa

tion. But we will definitely expect double-digit growth, we are gunning towards double-digit growth in the 2nd Quarter. So, I think we are observing the situation. Beverage business will be low single-digit growth only in the coming quarter. Rest of the businesses should fire at double digits to your point.
Now, on the first point of disclosures, I would want Isha to address it.
Isha Lamba: Hi Mihir. Thanks for your question. So, we have streamlined certain disclosures in the Investor Presentation. But this has been based on benchmarking with industry peers. This helps avoid excessive details that would pose any kind of competitive sensitivity. And we also remain

committed to transparency and consistency. We will continue to share any meaningful insights via earnings calls and also maintain this format going forward.
Mihir Shah: Secondly, I wanted to just check on the margin front. Gross margins continue to be under pressure. We are seeing Amla continuing to be inflationary. Do you foresee any headwinds on the margins, or should one expect some improvement on the gross margin side as well?
Mohit Malhotra: Yes, so I think as far as margins are concerned, we don't see any pressure on the margins. There was inflation of around 7% in the previous quarter, and all the inflation has been mitigated by price increases that we have taken and that talks about resilience and strength of our brand. So, we have mitigated through saving initiatives and some price increases that we have taken. We have taken 3%-4% of price increases, and the rest are saving initiatives, which completely mitigated the impact of inflation that we had on our basket of commodities.
That said, the projection of inflation going forward is also very high in the range of around 8%. But we are pretty optimistic of mitigating it through price increases and saving initiatives. There is a string of initiatives that are lined up going forward in the future, which will mitigate the impact.
Our gross margins have not got diluted in the previous quarter because the IGAAP gross margins remain the same. Because of the competitive intensity, there was a higher netting of schemes. Because of competitive intensity from Colgate and in Hair Oils, we had to give a lot of BTL which got netted off from the top line, and therefore, you see a gross margin dilution in the Ind

AS number.
But overall, operating margin has been maintained at the same level, and so we don't see any gross margin pressure. For the full year, we want our operating margin to only inch up significantly as compared to last year to this year.
Mihir Shah: Understood, Mohit. On the operating margin front, lastly, I see that you have been able to maintain it, but that is on the back of sharp decline in ad spends, about 15% decline. But I also remember that your base had a higher ad spend. So, is there any one-off sitting in the base that we are missing out or one-off sitting in this quarter for ad spends? And should one expect ad spends to continue to be upwards?
Mohit Malhotra: The overall advertising and promotion expenditure has actually moved up ahead of the top line and that is in the range of around 5% growth. We have redirected the money from ATL into BTL. As I have told you earlier as well, that depending on the competitive intensity, the trade inputs (consumer and trade scheme) are given. So, we have invested more in consumer and trade & that is why the netting is more and less spends have been done on media.

But going forward, actual investments will continue to be higher. We want to increase our gross margins and invest that in advertising support. There is no one-off sitting at the base. I can just confirm that to you. So, we will continuously make an endeavor to increasing the overall advertising and promotion expenditure going forwa

rd by investing in brand and distribution.
Mihir Shah: Thank you very much, Mohit. Wishing you all the best. I have a few more follow-up questions which I will circle back in the queue or probably check with the Investor Relations team later. Thanks and wishing you all the best.
Mohit Malhotra: Thank you, Mihir.
Prakash Kapadia from Kapadia Financial Services
Prakash Kapadia: Two questions, Mohit, slightly longer-term in nature. If I were to look at the Healthcare piece, after the COVID base of around Rs. 1,600 crores in '21, despite all our efforts in smaller packs, newer formats, we have not been able to cross that broader range. So, what are the challenges we are facing in honey, Chyawanprash? Because this was our forte, formulation, higher margin. So, has the product lost relevance to the younger population? Or has the dynamic changed? Because you seem to be the leader, but beyond the point of time, the category growth would depend on the leader. And even if I were to take the OTC and Ethical segment, that has also been broadly Rs. 800 crores despite all the efforts of the new business head - focus on medical channel, doctor efficacy. So, is there a competitive landscape which has changed? Because if we have the aspiration and the base to do well, this segment has to grow. So, what really is the game plan in this segment? Thoughts will be very helpful.
Mohit Malhotra: No, Prakash, I don't think there is any issue of the category here. Because, as I told you, season played a spoilsport for us. Glucose, which is a significant contributor in the first quarter, because of the season, declined by the 30%. So, rest of the entire portfolio has done very well.
Just to give you an example, Chyawanprash has grown by around 30% for us. Our monsoon campaign has worked well for us. New formats are already contributing to more than around 20% of the business, which are margin accretive to us. We have gained 111 bps of market share in Chyawanprash.
Honey, last year there was some headwind in terms of honey issues and there were returns coming from the market. Now that is all behind us. The honey has grown by around 11%. Premium variants are doing very well. There is a 46 bps gain in the market for us, agnostically across segments.
Glucose, which is an issue, which got impacted by unfavorable weather condition. And not just for us, even for Zydus, that was the case. So, that's taken out the steam from the growth. If I exclude glucose, then the business is grown by around 2.7%. We have taken a price increase of

around 6% in the overall Healthcare portfolio. Our margins are remaining the same. But season, you know nobody can predict.
As far as Digestives portfolio is concerned, Hajmola has grown by 9%. Hajmola Variants are now contributing 50%. We launched soft chews and this is how we are modernizing the portfolio. To your point of portfolio modernization, 50% of the Hajmola portfolio is now variant And it is just not regular variant. It's all Limcola, Chatcola, which are all modern, quite urban-centric portfolio, and resonates with the new consumer. And we can see the light at the end of the tunnel. Soft chews are doing well for us.
Pudin Hara saw 7% growth with Lemon Fizz, which is a newer powder format, growing by

around 60%. The new communication of acidity relief is again adding to the growth momentum of Pudin Hara.

In OTC and Ethicals, there is Honitus, which has grown by around 46% because of the cough and cold season and virus. Hot Sip, a newer format of Honitus, saw 95% growth. Our new initiative of Health Juices has gone up by 18%.

Lal Tail as a brand got impacted in UP and Bihar with a small player called AD Oil and it took away our market share. So, suddenly, a new player has come in, and we will correct that situation, which is very localized problem, which has been identified and we will correct it. So, there has been market share loss in our Lal Tail business, which we will correct going forward.

Shilajit, in the secondary term has grown by 10%, but because of competitive intensity, you have to use schemes, so you don't see so much growth here. We have also exited Diapers, Tea and Vita. These three brands which contributed to around Rs. 8 crores of business, were discontinued as part of our vision exercise, so that has led to a little bit pushback on the absolute growth in Healthcare. We did this as a part of our cutting the tail and providing focus on the core brands. So, I don't think there is any problem. And glucose was also cycling a very high base of 31% and now declined by 30% because of rains and very centric. So, that is the only outlier here. Otherwise, I think Healthcare is on a very strong trajectory of growth. So, I don't think there is any concern on this thing.

Prakash Kapadia: But Mohit, from that base of post-COVID, I was looking at a slightly longer-term trend. And the question was more towards, you know, is communication relevant to the newer or younger population? Is there a habit change? Because at the end of the day, we all understand, post-COVID, there was a high base. But it has been now three or four years, the category is more or less stagnant is what I was looking for. Not necessarily this specific quarter number perspective. So, directionally, how will the growth come back? You know, this is where our margins are highest. This is where our moat is. This is where our leadership is. And beyond a point of time,

if the core engine doesn't fire, the overall growth could be muted despite the base is what I was trying to understand.

Mohit Malhotra: Yes, so you need to understand where are we operating? We are operating in segment of cough and cold and this market is huge. My market share is very low and we compete against Allopathic brands. Ayurvedic is gaining traction, therefore, Honitus is very well poised to grow to the next level and taking share from Ayurvedic cough syrup and consumers are moving back to nature and natural.

Now, the second segment which we are present is Digestives. In Digestives, we have two brands called Hajmola and Pudin Hara. Again, they are growing very well and one is the appetizer which ignites hunger and other is the stomach ailment and handles acidity. So, Eno is a big brand. Again, market share gains are consistently happening.

The third is health juices that we introduced. We are steering it to around Rs. 100 crores. Again, long-term trend and growing exceedingly well. Baby care, Lal Tail, again very well positioned. Shilajit is a men's care brand. As you know, Kapiva is the new startup, which is really taking the category to new level and growing. For gym goer population also, that's doing well.

Glucose targets the energy-giving population. As you know, Unilever also launched an IV liquid, which is catering to this. And most of the brand electrolytes are again targeting this market. So is where glucose is. So, again, no concern on that.

Honey is doing well and we have got 50% share. Another 50% share is there and also honey penetration in the country is low. We are continuously driving honey on positioning of weight management, low sugar and non-Sucrose and more fructose and energy giving. That’s doing well. On Dabur Chyawanprash again, new formats are the one which are driving that growth. So, I don't think there is a long-term any concern. Yes, the new generation is using newer formats and when you see new generation, its 10% of the population on e-commerce and quick commerce that you see, which is 10% of the industry. That 10% should not make a perception in you that 90% of the market is following 10% and these categories are not doing well. There is some winter or sometimes summer, I think, poses a little obstacle to growth, but that should not be seen as a long-term trend in my view. So, that is the take which I have.

Prakash Kapadia: I will join back if I have more questions.

Aditya Vikram from Digital Securities Private Limited .

Aditya Vikram: So, what I was saying is that congrats on a good set. Sequentially it looks like a good performance. But still people are not happy, so can't do much about that. I missed your answer on the first question which was asked by one of the analysts that what would be the growth

guidance from here? I heard that you said beverages might not do great. But what about the other segments?
Mohit Malhotra: Yes, so we are expecting, I think you are talking about the guidance going forward for the full year. Full year, we are looking at a guidance of high single-digit kind of a growth for the full year. For the coming quarter, because the base was low, we should be looking at a double-digit growth.
Beverage seems to be under pressure and that may have a low single digit, but other parts of the verticals should be growing at double digits owing to a lower base and also urban and rural both doing well for us and we gaining market shares across the board.
So, I have no doubt about other two verticals having double-digit growth. But the month of July has been very wet, and the beverage part of the business hasn't done too well in the month of July. So, that is the only remark.
Aditya Vikram: So, I will ask my first question. In terms of this quarter’s performance, right, could you please give a breakup of volume versus price differentials?
Ankush Jain: Yes, so basically volume is low single digit, around minus 1% and price increase was 3%. But most of it got negated because of heightened competitive intensity. And therefore, the net realization was minus 1.8% in India.
Aditya Vikram: So, what I was trying to ask is that are you satisfied with where these levels right now or you see price hikes in the coming quarter?
Ankush Jain: Yes, so what we are seeing is more inflationary pressure, especially in the edible oils category. And consequently, we have either taken fresh price increases, apart from the rollover price increases, or heightened our saving initiatives program going forward as well. So, we expect that at least before netting, we would be able to protect our margins despite 7% to 8% inflation.
Aditya Vikram: Understood. So, thank you very much. And congrats on a good set, and I hope you do all the best in the coming quarters with festive season and everything coming along.
Tejas Shah from Avendus Spark
Tejas Shah: Mohit, I just have one broader question now. So, when you step back and look at the portfolio more broadly and not related to monsoon or summer seasonality, which comes and goes, is there a strategic stencil of framework you are now using to shape, let’s say, next two, three years of growth? And how are you thinking about where to double down, where to dial back from here or of which category? Because when you said high single digit, I am assuming some of the

categories have to deliver double-digit growth also. So, which those categories would be and which will be the kind of under index on that number?
Mohit Malhotra: Yes, so as you know, we conducted a vision exercise recently, and there are seven big moves that I communicated also. The first one is to double down on our Core brands which contributes to around 60%-70% of the business, which are Rs. 700 crores plus, which will contribute to our growth. And we are spending 70 bps higher in the first quarter also investment, which is Oral Care, which is Dabur Red, and we are planning to launch Dabur Red to other benefit gaps which are there in the segment.
The second is Dabur Amla, of course, is doing well. We invested on Dabur Amla to gain market share. Now we want to contemporize and streamline the b

rand going forward and that is the second pillar.
The third is also home care, which is already market is growing at double digits. So, we have introduced LVP and that is doing well. So, that is what we are doing. Skincare is also, so HPC broadly. In Healthcare, we have identified four brands where we will be doubling down on. Those four brands are Pudin Hara, Health Juices, Hajmola and Shilajit. And we want to all scale them up to around Rs. 100 crores each and Hajmola moving up to around Rs. 550 crores.
We are also conducting a GTM exercise to improve the ROI of the GT distributors, price equilibrium and increasing span of control, etc. All the same, I think whatever gaps in the portfolio are that we want to plug through M&A, and we are continuously scouting for targets for M&A, which would be new age and will fortify our existing portfolio with some new age brands in all the 3 verticals of Healthcare, HPC, and F&B which we are planning.
So, that is a very big picture, broad brush on our portfolio where we will be wanting to scale up the business. But I think the low-hanging fruit for us is definitely Oral Care, Home care, Skin care and also Hair care innovations going forward.
Tejas Shah: Perfect. Thanks for the detailed answer. Just one follow-up on that. On M&A, like what we have seen with some of the peers that have created 20%-25% of their portfolio of D2C brands and that segment is kind of growing at 20%-25% to cover up the 5-6% of overall growth. So, when you talk about M&A, will we be going in some of the new categories which is largely on

wellness side? Or will it be large, more premiumization in the existing portfolio that we have?

Mohit Malhotra: So, we are basically looking at wellness. Wellness foods, wellness health, that kind of M&A is what we are intending to look at. But M&A is very chance based, depending upon what is available. But definitely premium, which is margin accretive to our base business, so that it improves our margins going forward. We understand for a couple of years there may be

investment, but there should be a path to profitability, which should be accretive to our base profits.

Gaurang Kakkad from Centrum Broking

Gaurang Kakkad: So, Mohit, firstly, on the volume part, you mentioned the volume on a reported basis is 1% degrowth, right? And if we have to look at it ex of seasonal business, the 7% growth, what will be the volume growth in that portfolio?

Mohit Malhotra: So, volume growth is 3%. 3% to 3.5% is our volume growth, if you look at the 7% ex-seasonal portfolio.

Gaurang Kakkad: Secondly, you mentioned, and obviously we all know that last year was an inventory correction year for us at the GT level. Now, is that largely exercise done and in FY '26, whatever secondary growth we get, will that largely be reflected in terms of primary growth?

Mohit Malhotra: Yes, Gaurang, yes. We don't intend to do any more inventory correction going forward. It's already been done. We are sitting at around 21 to 22 days depending on product category inventory. And we think that with our diversified portfolio and the seasonality that we have, this is the optimal level of inventory, and the stockiest are also making good ROI. While we are conducting the GTM exercise, which will be all about consolidation, increasing span of control, etc., but the inventory levels will be very similar.

Gaurang Kakkad: Thanks for that. And just finally, one thing on the guidance front. So, you have given largely the top line guidance and broken it up into the beverages and the non-beverage portfolio. In terms of margins, you mentioned that at the gross margin level, we see some improvement on a full-year basis. So, at the EBITDA front, largely are we expecting improvement or most of it will be reinvested in A&P and EBITDA on a full-year basis would largely be flattish?

Mo

hit Malhotra: No, we are working towards significant improvement of operating margin as compared to last year. So, if you look at the first quarter, despite the high inflation, our operating margins have been maintained. As we embark on premiumization and a better mix and contemporization of portfolio, I think these margins will only improve going forward. At this year end, we expect operating margins to move up significantly from last year to this year. That is the intent and that is the target that we have taken.

Alokita Ash from Goldman Sachs

Alokita Ash: So, just a question on Oral Care. So, I understand you said that there have been gross margin pressures due to Colgate being super-competitive and you having to give distributors, I mean, you have to increase promotional spends. So, how has the Toothpaste growth been much

stronger than the market leader, which is Colgate? Have there been any other initiatives which are driving this outperformance? And do you expect this to continue?

Mohit Malhotra: Yes, so we expect Oral Care category growth is around 4%. We are growing substantially higher than the category growth as far as the Nielsen data is concerned plus there is a tailwind for herbal and natural category, which is growing at 2x the non-herbal category.

Non-herbal category is growing at 4.4%. We are in the herbal category which is growing at 8.8% and we are by far the market leaders in the herbal, natural, Ayurvedic category. So, we continue to grow there.

Our Red franchise has grown at around 9% secondary and 8% IGAAP sales. Meswak is growing by around 5%. Our Dabur herbal toothpaste which is a new franchise, is growing at 30%. So, we expect Oral Care to keep firing at the same momentum as it has been in the first quarter, and that is a category which we are doubling on.

We have Amitabh Bachchan, plus we have embarked on anti-fluoride campaign, which is working very well for us across different regions, and on back of which we are getting market shares. We gained around 14 bps market shares to reach 16.6% in the current quarter. So, we are very confident on improving trajectory in Oral Care going forward.

Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: Nov 2025

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Ref: SEC/SE/2025-26
Date: November 6, 2025
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Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai- 400001
BSE Scrip Code: 500096^%.y~ ^
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Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai - 400051
NSE Scrip Symbol: DABUR
Sub: Transcri t of Investors' Conference Call for Dabur India Limited -
Q2 FY 2025-26 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on October 30, 2025, post declaration of Financial Results for the quarter and half year ended on September 30, 2025. The said transcript is also available on the website of the Company at www. dabur. com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(A h umarJain)
Group ompany Secretary and Chief Compliance Officer
End: as above
DABUR INDIA LIMITED, Punjabi Bhawan, 10, Rouse Avenue, New Delhi-110 002, Tel.: +91 11 71206000 Fax: +91 11 23222051
Regd. Office: 8/3, AsafAli Road, New Delhi -110 002 (India;
CIN: L24230DL1975PLC007908. Email: corpcomm@dabur. com, Website: www. dabur. com

"Dabur India Limited Q2 FY '26 Investors Conference Call"

October 30, 2025

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MS. GAGAN AHLUWALIA - VP-C ORPORATE AFFAIRS
MS. ISHA LAMBA – HEAD, INVESTOR RELATIONS AND M&A
MR. N. KRISHNAN - GENERAL MANAGER - FINANCE

Isha Lamba: Good evening, ladies and gentlemen. On behalf of the managemen t of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the r esults for the quarter ended 30th September 2025.
Present here with me are Mr. Mohit Malhotra-Chief Executive Off icer, Mr. Ankush Jain-Chief Financial Officer, Ms. Gagan Ahlu walia–VP-Corporat e Affairs and Mr. N. Krishnan-General Manager-Finance.
We will start with an overview of the Company’s performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session. I now hand over to Mr. Mohit Malhotra. Thank you.
Mohit Malhotra: Thank you, Isha. Good evening, ladies and gentlemen. We welcom e you to Dabur India Limited Conference Call pertaining to th e results for the quarter ended 30th September '25.
In India, this quarter was marked by Government's announcement of a landmark GST reform, a pivotal step towards enhancing affordability and increasing con sumers' purchasing power, thereby laying the foundation for stronger consumption and dema nd acceleration. Nearly 66% of our portfolio benefits from the rate reduction, including ke y categories such as juices, toothpaste, hair oils, shampoos, Glucose, and proprietary Ayurv edic medicines. With this, 86% of our portfolio is now at 5% GST.
We demonstrated operational agility by executing timely price r eductions across the portfolio, thereby effectively transmitting the benefits to the consumers. W h i l e t h e G S T r e d u c t i o n i s structurally positive, it led to a temporary disruption in trad e as the channel anticipated forthcoming rate reductions following lower MRP.
This resulted in a short-term moderation in sales in our India business during September. This quarter, our consolidated revenue grew by 5.4% year-on-year, wi th international business reporting a growth of 7.7% in INR terms and India FMCG business growing at 5.7% year-on-year.
I n t h e I n d i a b u s i n e s s , H P C p o r t f o l i o p e r f o r m e d w e l l w i t h 8 . 9 % g rowth year-on-year. The Toothpaste portfolio continued its robust growth trajectory and delivered a strong growth of 14%, led by Dabur Red franchise and Meswak. Recently launched " Swadeshi" campaign for Dabur Red has garnered a positive market response, supporting v olume momentum and strengthening the brand equity i n the competitive Toothpaste se gment.
T h e H e r b a l s e g m e n t g r o w t h i n t h e c a t e g o r y o u t p a c e d t h e n o n - h e r b al segment by 770 bps, underscoring the strong and sustained consumer shift towards na tural and herbal oral care products. Leveraging this shift, our portfolio outperformed ove rall Toothpaste category growth, resulting in robust market share gains.

Skincare portfolio registered a high single-digit growth driven by Gulabari and Oxy franchises.
In the Hair Oil portfolio, Hair Oil grew ahead of the category and gained market share of 232 bps. Shampoo category posted high single-digit growth. We remai n focused on premiumizing and expanding our new age offerings in both Hair Oil and Shampo o portfolios.
The Home Care portfolio delivered mid-single-digit growth drive n by robust double-digit performance in Odonil, strong pe rformance in Sanifresh. Odonil’ s growth was supported by double-digit grow th in Gel pockets and aerosols, re sulting in m arket share gain of 127 bps.
In our Healthcare portfolio, health supplements grew in mid-sin gle digits. Honey continued its leadership position and recorded a broad-based volume net growt h of 28% year-on-year.
Premium variants like Sundarbans and Organic Honey witnessed go od traction. We continue to gain market shares in Chyawanprash and Glucose.
In the Digestive portfolio, Hajmola franchise posted robust dou ble-digit growth with variants like Chatcola

, Limcola, and Mr. Aam now contributing more than 50% to the overall brand franchise.
Within OTC and Ethicals, Honitus registered a strong growth of 28% driven by a surge in demand during monsoons. All the key variants such as Cough Syru ps, Drops, and Hot Sips grew in double digits.
Ayurvedic health juices continued to perform well, witnessing 2 5% growth. Overall category was impacted due to GST transition, and discontinued diaper bus iness.
In Juices and Nectars, our premium portfolio, ‘Real Activ’ 100% juices, continued to scale rapidly and reported a robust growth of 45% led by a two-fold i ncrease in coconut water sales.
Nectar sales were impacted by heavy monsoons across the country and floods across Jammu and Kashmir, Himachal Pradesh, Punjab, and Uttarakhand. However, we continue to outperform the J&N category, gaining market share of 115 bps in nectars and 1, 000 bps in Activ juices. The recent GST rate cuts from 12% to 5% on juices is anticipated to act as a strong demand catalyst going forward.
The international business registered a growth of 7.7% in INR t erms and 5.5% in constant currency terms, led by a CC growth of 12% in Dubai, 10% in Nige ria, 37% in UK, 11% in

Namaste business, 37% in Turkey business, and 13% in Bangladesh business. Growth was impacted by geopolitical disturbance in Nepal, which declined b y 15%. The situation has since improved and the new interim government has been formed.

Talking of profitability, operating profit grew by 6.4% and PAT grew by 6.5% during the quarter. Despite the GST transition, seasonal headwinds, and hi gh inflation, both operating profit and PAT grew ahead of its top line in standalone and consolidat ed business on the back of price increases and cost-s aving initiatives.

Looking ahead, we remain optimis tic about the sequential recove ry in demand supported by improving macros, good monsoon, recent GST rate reductions, and expectation of a strong winter season.

We are pleased to announce the launch of Dabur Ventures with ca pital allocation of INR 500 crores over the next few years. With this, we intend to make fo cused investments into high potential new age dig ital-first businesses that are closely ali gned with our strategic vision roadmap. This initiative reaffirms Dabur's commitment to drivin g innovation-led growth, enhancing its premiumization agenda, and expanding participatio n in new consumer spaces that represent the categories of tomorrow.

With this, I conclude my address and open the floor to any Q&A. Thank you.

Abneesh Roy from Nuvama Wealth Management

Abneesh Roy: My first question is on the GST impact. So, you are at a very favorable base last year and ideally you should have obviously grown much faster, which I think you may be doing the pre-GST impact. So, could you clarify how much was the GST volume impac t in Q2? The market leader said 2%. And in October month, are you still facing reasonable disruption and you see normalcy coming in November, or already in mid-October the normalcy has come?

Mohit Malhotra: Abneesh, GST impact is in the range of around Rs. 100 crore, g ive or take for us, which is in the range of around 3% to 4% for us. And since the GST announcement , that is where the primary got impacted and therefore the vo lume sales got impacted of the business.

I am sure the liquidation of inventory has happened. We have b een monitoring, liquidation of inventory is happening. So, the impact wasn't restricted to onl y September. There will be a carry forward impact in the month of October, and I think first 15-16 days of October will also be impacted due to the GST.

But long term, I think GST has been very transformative for th e country and it will unleash volume growth which are much better than what we have seen in t he past and has more money in the hands of the consumer. And the sentiment is also

positiv e because of the GST. So, that's what I feel will be the case.

Abneesh Roy: A related question in terms of the GST cut. Which categories y ou expect more benefit in terms of volume uptake? And in terms of lower unit packs, obviously, there will be grammage increase

there. So, if you could tell us one ballpark number in terms of the GST rate cut portfolio, how much is the LUP where the grammage increase will happen? That w ill give us some idea where at least initially the volume uptake will be on the higher side ? Could you give us some insights here?

Mohit Malhotra: Yes. So, LUP for us contribute to around 27% of the overall bu siness where we are doing grammage increases. So, I think that is where the volume of the tonnage increase will actually happen and I feel it will be like surrogate consumer promotion. Consumer promotion drives sentiment and therefore uptick in terms of primary sale and als o secondary sale and stocking also. And the categories which I think will get favorably impac ted first of all would be oral care in my view, I think that will be a big upside.

Shampoos would be a good upside. Hair oil should gain on accou nt of this. In health care, our Ayurvedic proprietary branded medicine should gain because the rate has come down from 12% to 5%. So, the pricing will come d own in terms of almost at par with classical here. So, this will give us a headroom to pick up the prices in long term. And also , consumer sentiment in terms of shifting from unbranded to branded will also happen here.

Our entire OTC portfolio has actually benefited from it, be it Hajmola or Shilajit or all other brands. Their rates have come down to 5%. They will also get be nefit and also in the low unit price points of beverages, which is Rs. 10, Rs .20 pack should also get an upswing as LUPs from the GST.

Abneesh Roy: My second question is on the beverages and Nectar. Entire port folio has been facing this competition from Campa Cola. So, specific question here is with the GST rate cut which has

benefited you, how does this help in fighting say Campa Cola?
Second is Campa Cola's incentive, dealer incentive is almost d ouble of Cola players. If you could tell us how does your dealer incentive compare with say Campa a nd would you need to change that? Because Tata NourishCo has done that and they have seen a very good growth come back already. Would you need to do that or already you have done som e action in terms of the dealer incentives?
Mohit Malhotra: So, I think in terms of overall category now the aerated bever ages which is Campa Cola impacted our Juice category because the price index, the related price i ndex actually went up because the price they had dropped and therefore the price disparity betwee n the aerated and the juices went up drastically.
With the GST reduction, the RPI is coming down. Therefore, the juices will become more affordable relative to the beverages. So, it should provide a l ittle bit of tailwind to our beverage portfolio. And that said, our beverage portfolio performance ha s been better in the current quarter

compared to the previous quarter and the business has grown by around 1.5% to 2% and flat. At least it's come back on the growth path.
As far as incentive is concerne d, regarding what the Reliance team is offering as an incentive to the trade. We also have greased up the trade in terms of the in centives that we are giving and we hope that we will be able to bridge the gap not totally, but to a certain extent. Again, the rate RPI will also get reduced going forward from here. We have done it a bit and we did it after the GST and we will continue the same going forward also.
Abneesh Roy: Last question. Toothpaste, you have done quite well last few q uarters. Market leader has not. So, one question was, you sai

d because of the GST rate cut in t e r m s o f L U P , y o u d o s e e
toothpaste gaining on the higher side for you. So, I wanted to understand that bit specific to toothpaste, how much is LUP?
Second is inverted duty structure is a big problem for market leaders in toothpaste. So, if you could tell us from a competitive landscape, how does this help you in toothpaste? And on an overall basis, this inverted GST structure, as a company you al so will face some issues. So, if you could discuss that bit in terms of input and output, how mu ch will be the GST service tax refund issue for you?
Mohit Malhotra: So, in terms of overall toothpaste category, then I will give it to Ankush to answer the second part of the question. But overall, Oral Care category has been growing. If you look at, I will split up the whole category into herbal and non-herbal. Herbal catego ry has grown at around 5x of the non-herbal category.
Non-herbal category has grown at 2% and the Herbal category ha s grown at 10%, so actually almost a 5x higher growth. And the Herbal category now from 30% has become actually 32%. So, there is a definite tailwind towards herbal natural, and th is is happening because of the Swadeshi movement of homegrown and indigenous brands which are being promoted and this whole theme resonates with PM Modi's thing also of movement tow ards the Swadeshi brand. So, that campaign for us has also paid up. And I think the ove rall business of oral care is doing well. Meswak has grown at 25%. Our Red toothpaste is growing at around 16%. And two brands, Babool and LDM, which have not performed, also we are trying to refurbish those brands going forward in the quarter and you will see good growth coming back to these two brands. We have gained market share of 60 basis points. So, competitively, we p erformed better.
In terms of lubricating trade from a GST standpoint also we ha ve given better schemes to help and enable the intermediaries to cross over this new price, the old price and the new price kind of differential. We have offered some trade schemes and so has the competitor also offered the trade schemes there. So, we are doing whatever it takes to help Oral Care go to the next trajectory

of growth. As far as the input tax credit, I will ask Ankush to take that question and I can answer in case there is any other follow-up questions.
Ankush Jain: Hi, Abneesh. So, like everybody, input tax credit will be an i ssue for us. As you know, 90% of our portfolio approximately, 87% to be precise, has gone to 5% and remaining at 18%. Weighted average output would be at around 6.5% to 7%, while we estimate our input tax rate to be at around 8% to 8.5%. So, there is a gap of 1.25% to 1.5% which wi ll get accumulated.
Having said that, we are working internally and also with the help of an external consultant how to bridge that. We have already identified certain action point s which we are working across sales, across marketing, or even logistics to mitigate this imp act. I think we will have more clarity in next one month or so in terms of implementation of those act ion points.

But you are right, there is an inverted duty issue, which is a recurring issue as the government has still not clarified what would be the problem solution. Tec hnically and legally you can get some bit of refund at least from the raw material and packaging perspective, for services such as the legal solutions and services, it is not refundable. So, the re is an issue and we are working towards that.
Mohit Malhotra: Yes, so we are actually waiting and watching the brief as to w hat's happening with raw materials and packaging materials where the duty structures are higher as to what we can pass on to the consumer. If there is no resolve from the government, then we m ay have to take a price increase. But we will see what the industr y

is actually doing for the RMP .
And to Ankush's point on services, we will have to see how ren egotiations will happen with freight forwarders or transporter s, etc., to put it in the pric e itself rather than-- So, those all discussions are actually underway as you guys speak.
As far as the intermediaries are concerned, and they are facin g the impact of this input tax credit, there we are offering higher cred it or higher schemes for them to address this problem in their working capital which has got stuck with this. So, we are helpi ng our intermediaries to whatever possible extent that we can by offering them higher credit or g iving them higher schemes. That's happening on a case-to-case basis. I hope I am clear.
Mihir Shah from Nomura
Mihir Shah: Firstly, in continuation with the previous question, post mid- October, have you seen any material improvement in volumes because of the GST reduction? Any clarif ication of that will be helpful.
Mohit Malhotra: As I told you that this will carry forward for 15-20 days. So, a little bit of improvement will be there due to the festive season , I think, but it is still a wai t and watch situation. I will not say that all the inventory of the old price stock has been flushed out i n the system because there is a huge

inventory. There will be around 30-day inventory sitting at the retail, then wholesale and distributors around 20 days, and also in our space. So, all tha t is still getting flushed out. It is not that once the new price comes into effect, which has actually c ome into effect, but the entire old price inventory is flushed out. Then we can say that things are kind of streamlined. Still a little bit of issues are there as far as the old prices are concerned with trade and the intermediaries today.
Mihir Shah: Sir, my first question actually is on Chyawanprash sales. It s eems if Honey has done so well, maybe Chyawanprash has not done so well because the category gr owth is relatively low. That is also on a very low base where you had destocked in the same quarter last year. Can you talk about how should one think about this category? Is the category still appears to be impacted and what can bring back the category growth going forward? Any step s that you are taking?
Mohit Malhotra: Yes. So, I think Chyawanprash had got impacted a couple of yea rs ago due to the season, and the winter season has been contracted. This time we anticipate the business to be more severe and prolonged as compared to what has happened in the last coup le of years.
But initial hiccups are the fact that the trade is holding old season inventory, and we are getting rid of that inventory also as soon as possible. We have shifted the loading from last quarter to the current quarter due to (A) GS T, (B) there is some remnant i nventory left from the previous season, and we have been loading it in the current month as we speak. Loading is currently ongoing. Loading is what delayed, which is helping us to actual ly clean up the system, and the GST has been a blessing in disguise to that extent.
As far as fundamentally what we are doing to the Chyawanprash category, we bei ng the market leaders, we have launched a couple of variants to make Chyawanp rash all-season brand. Therefore, rather than only a single Chyawanprash, we have laun ched multiple variants. Now the variants are contributing to almost 20%-30% of the Chyawanp rash business. We launched Khajurprash especially for women, and that has done exceedingly well in the marketplace. Our sugar free Chyawanprash is again doing very well in the market. In the current season also, we are wanting to launch another variant of Chyawanprash.
So, from the base Chyawanprash, we are premiumizing Chyawanpra sh where the gross margin is actually moving up while the brand is becoming non-seasonal and getting spread out as we speak. So,

that is one effo rt that is happening.
Our monsoon campaign had come in good last quarter, which did reasonably well in terms of Chyawanprash. That was second that we had done. Then we are ext ending formats in Chyawanprash. Gummies and bars will get launched in the Chyawan prash. That is the third effort which is actually happening in Chyawanprash. So, all tho se efforts are ongoing.

Plus, we have unleashed new communication which is outside of immunity and more towards long-term build up and habit formation with the kids to have Ch yawanprash on a regular basis. That's using Akshay Kumar there. So, that is also getting launc hed as we guys are speaking. So, a lot of effort is happening. Plus, consumer promotions are als o happening. Extra grammage is being given free in the current season for the consumers. So, t hat is also underway as we speak. So, a lot of initiatives happening on Chyawanprash.
Mihir Shah: So, it seems that it can be on the path of recovery soon. Sir, on the winter portfolio, can you give an update on the winter portfolio loading? Winter is expected t o be delayed, but it is going to be harsh. Would that be sitting in t he 2Q sales, or can one expect the winter loading to happen in 3Q, 4Q, and better sales to be seen in Quarter 3 and Quarter 4?
Mohit Malhotra: So, winter loading actually got pushed out because GST transit ions were happening from Quarter 2 to Quarter 3. And as we speak, as I told you, we are doing the winter loading. Winter portfolio, a significant part of our portfolio, in Quarter 3. S o, if the winter is going to be harsh, we expect this quarter to be good relatively as compared to wha t we saw in the past.
So, I think winter loading will happen now, and if the winters are harsh and prolonged, then I think the whole company will benefit because around a third of our portfolio is winter centric in the current quarter.
Mihir Shah: Sir, last question on the Dabur Ventures that you have set up. Dabur has been one of the most diversified portfolios. Which category should one think that wi ll get attracted to this and what is the kind of investment that you have planned out? I might have missed out the outlay on the investment side on Dabur Ventures.
Mohit Malhotra: There are two parts to the question, Mihir. First is your dive rsified portfolio, then why Dabur Ventures, first rationale to that. And the second part is outla y. Outlay is simple. The Rs. 500 crore outlay that we kept for the next couple of years, and the Rs. 500 crore is meant for digital-first brands, which are future forward-looking brands, so that we can get high growth and we can extend our portfolio into the new age categories of the fut ure. So, that is the single purpose of creating this investment sort of a venture called Dabur Vent ures, so that the focused attention is provided and Rs. 500 crore is used for taking a minority/a m ajority stake and we will be flexible on it
In the company wherein we will be allocating capital, we will be helping growing the company and if the company is able to sustain the growth, then graduall y and slowly acquire majority stake and therefore harness that growth which is coming from th e digital-first br ands. That is the logic or the rationale of making this investment vehicle called Dabur Ventures.
Mihir Shah: Wishing you all the very best.

Mohit Malhotra: Just second part of the question to clarify, it doesn't exclud e other M&As like Badshah, Balsara, Sesa etc. It does not preclude that. So, we have got INR 7,000 crores in our balance sheet. The balance INR 500 crores is too small an allocation as far as the balance sheet is concerned. The other part of the fund would be used for other acquisitions as we feel. So, it doesn't impinge upon those allocations in any case.
Percy Panthaki from IIFL Securiti

es
Percy Panthaki: Just trying to understand your performance on a two-year CAGR basis. But before that, sorry, I had another question before that is, can you tell me as of 30th September, what was the distributor days?
Ankush Jain: So, Percy, hi. The distributor days as of 30th September is ar ound 22 days.
Percy Panthaki: 22 days, okay. Secondly, I just wanted to understand your two- year CAGR performance. So, even if I adjust for this 4% impact of GST that you mentioned, the two-year CAGR comes to about 2%. So, how do we interpret this performance? I mean, ass uming that the same underlying strength continues in the business, what kind of growth can we expect because on a two-year CAGR this is only 2% as of now?
Mohit Malhotra: Yes. So, besides the GST impact, Percy, there has been other i mpact of the weather, as I told you, the inclement weather and therefore our beverage business has almost remained flat and that got impacted, number two.
And the third impact also came in because, as I mentioned to y ou, there is Chyawanprash loading did not happen, which I did not call out in our GST impact, whi ch is over and above that. So that Chyawanprash loading of INR 60-70 crores could not happen becau se of the weather and the trade carrying that kind of inventory. We did not increase our number of days and we are very conscious of the hygiene and therefore have not increased that. And so these two impacts are there, which also contribute to around 2%-3% of the sales.
Otherwise, 95% of our portfolio has gained market share and th e business has done well. If you

look at HPC, HPC has grown by around 9% of the business. If we even factor in the two-year CAGR, the growths are good. Healthcare and beverages, which got impacted, and that is what is flagging the sales.
Plus, there has been an impact of around INR 50-60 crores of N epal due to the Gen Z protest which happened in Nepal. Our international business, which is g rowing at double digit, has done a CC growth of 5.5%and the business was impacted because of Nep al and US tariffs. Some bit of impact on Badshah and exports to the U.S. came in due to US tariffs, which also will get addressed. So, these macros actually kind of suppressed the bus iness growth.

Percy Panthaki: So, this 3% to 4% GST pipeline impact, it has happened this qu arter. Do you expect that similar amount of pipeline f ill will happen in Q3?
Mohit Malhotra: Not to that extent as we have cleaned up the pipeline there an d we have not increased the pipeline, but we feel it will be relatively better than what we have seen in the past. Like the loading which did not happen in the previous quarter should hap pen if the season is doing well. So, that is what we expect it to be. Partially offsetting what we have seen a depression in last quarter should happen, not completely because we don't want to increase the pipeline once again. We want to keep the hygiene at around 22 or even improve it goi ng forward by increasing secondary and lower primary.
Mr. Prakash Kapadia from Kapadia Financial Services
Prakash Kapadia: Mohit, if you can give us some sense, how do we look at the bu siness over the next few quarters? Because I would guess there are tailwinds in terms of monsoons being good, GST coming in, which was not really expected. Winter is expected to be good. S o, in this scenario, is there a case, maybe not immediate quarter, but over the next few quarte rs to get to double-digit growth and is there a shift from unorganized to organized market being possible with the GST cut? So, could you comment on some of these factors which will lead to g rowth? And secondly, from a rural and urban demand perspective, what categories will drive growth? And premiumization seems to be doing pretty well in most of the urban markets. Is that a play for Dabur? Is the time right for new product launches at least

on the urban side? So, some thoughts on urban and rural
on the game plan that will be helpful.
Mohit Malhotra: So, first of all, I think, let me talk about urban and rural, your last question first. So, rural is sustaining growth for the company and also overall, I think the re is a huge growth. There is a 5.6% growth which is happening overall in FMCG. The rural is gr owing at 8.5% and urban is growing at around 3%, sustained resilience in ruraland so is th e case of Dabur also.There is a difference of around 400 to 500 bps between urban and rural gro wth for FMCG and for us also. So, we see a 7% odd growth happening in GT in rural and we see around 3% odd growth happening as far as our urban is concerned. If I leave aside th e modern trade and e-commerce, this is completely urban feet. So , there is a tailwind of rural . To capitalize on this tailwind, we are looking at the LUP bundles and doing a lot of activation in rural and harnessing that growth of rural.
So, we see one of the pivots of growth for us is definitely bo ttom of the pyramid and rural, leveraging our distribution of super-stocking and sub-stocking also. And we are looking at initiatives expanding our distribution going forward, reaching out to more number of villages and increasing our portfolio, increasing visibility to our sale s as far as the rural is concerned

through SFA and through BMS and upgrading our sub stockists whi ch have sales greater than INR 600,000-700,000 to become stockists.
So, we have a project Saksham which is currently ongoing, and we are working on expanding our rural footprint as far as In dia is concerned. So, we feel t here is a huge rural tailwind and monsoon has been great. Agricultural output is fantastic, Khari f acreage is kind of improved, MSP is going up, MGNREGA allocation is not there. So, everythin g is in favor of rural and rural, I think, will drive the business growth, especially volu me growth forward.
As far as urban is concerned, urban is also, last couple of qu arters, actually inching up for us. And to drive urban, we have now very systematically taken premi umization as one of the initiatives and that was also mentioned in the seven moves of o ur strategy. So, we are tracking premiumization in category after category. As I mentioned, in C hyawanprash, we are looking at gummies. In hair oils, we are looking at value-added products l ike serums etc, and likewise we are looking in oral care, home care, health supplements, OTC pr oducts and in foods, we are looking at wel lness food.
So, we are looking at premiumization and we are driving premiu mization percentage of the

overall mix, and the way we define premium product is that it s hould have 20% higher MRP and should also be accretive to the gross margin of the respective category. So, premiumization is the agenda that we are driving. As far as again rural is concer ned, we see unorganized to organized movement because the price points have quite bridged between unbranded and branded. So, definitely there will be a movement happening from unbranded to branded, which I mean from unorganized to organized. So, things are looking up and season is also looking up. So, for the balance of the year we look at mid- to high-single -digit growth backed by low to mid volume growth. We don't want to promise high single here. That is the kind of guidance that we are looking at going forward for the next half of the year. The first half obviously got impacted by weather and GST transition, but the second half our guidance remains what we have already alluded to before.
Prakash Kapadia: That gives us confidence to the recovery path.
Avi Mehta from Macquarie Capital
Avi Mehta: Sir, just a clarification. Mid- to high-single-digit is for th e second half, sir, or for the full year? I am sorry, I missed that.
Mohit Malhotra: Yes, so mid to high single digi

t growth is for the second half actually. That is the guidance that we have given. This will be backed by volume growth of around l ow to mid single digit.

Avi Mehta: The reason why, if I may push back, sir, we have winter also w orking. I mean, the loading is yet to happen. We also have GST related kind of coming back. Could there be an upside risk here? That is what would be the case because initially we are hoping to kind of drive a more mid- to high-single-digit for the full year. So, just wanted to appreci ate how are you looking at this guidance and how should we see it? What is driving the expectat ion?
Mohit Malhotra: Yes, so I am being a little, you know, high single is what opt imistically we should be able to achieve. But I am giving you a guidance of mid to high to be no t faltering here, but a high single is what we should be achieving if everything comes in our favor because with Gen Z protest in Nepal, we did not count for, this Trump tariff we did not. So, there are unforeseen events that actually happen which actually push back the business. I am fac toring that in case something. Otherwise, a high single digit should look quite possible for u s and backed by mid single volume growth. But don't hold me onto it. So, that is what we think sh ould be, yes.
Avi Mehta: Sir, just if I may, on the marg in side also, if you could give us, should we see EBITDA growth being higher than sales growth for the full year? Is that an ex pectation that we still have? And if I may put the next question, sir, just clarification on Dabur V entures. While I understand the philosophy, could you just deep dive into any categories that y ou would look for? In particular, whether there will be adjacencies, new categories, and IRRs, w hat are the metrics or things that you would kind of focus on when you are doing investments? Thos e are the two questions.
Mohit Malhotra: As far as margin is concerned, definitely I think we have seen , despite whatever headwinds we face in international business or in the domestic business besi des GST, our margins driven by gross margin have been higher. Plus there was huge inflation, a round 8% inflation that we faced in the first half. Despite that, our margins have kind of held up and we saw 20 basis points increase in our gross margin and therefore operating margin has also gone up and our first half margins are operating margins around 19% broadly.
So, I think for the full year, our margins will definitely be better than the top line. And we are looking at saving initiatives als o in the first half, saving in itiatives in the range of around Rs. 60-odd crores. So, we are continuous ly tracking those saving initi atives as we go on. So, I think on margins front, we are good as far as current year is concerned as we have passed down all the inflation to the consumer. And w hile we took a 5% price increas e for 8% inflation, our saving initiatives came in. So, all that we have been able to pass on.
As far as Dabur Ventures, about what categories we will look a t, we will restrict ourselves to our existing categories and we will not go beyond existing cate gories because earlier also there was a question on diversification. We are already quite a diver sified portfolio. So, we will restrict ourselves to home and personal care, health care, wellness food s and beveragesand also adjacencies of these categories. We will look for premium categ ories which are resonating with the digital-first consumer (Gen Z and Gen Alpha), we will get i nto modernization of formats and

any digital-first company which has got a head start to what we can’t do organically ourselves, is what we will kind of speak to and get the company in the ear ly stages of its formation. So, that is what this venture is meant to do, not to get diversifie d into multi

ple other categories. We
want to stick to our knitting and our categories and adjacencie s what it may be, yes.
Ankush Jain: Avi, in terms of our returns, we think it should be superior t han our current tr easury y ields.
Mohit Malhotra: Over the long term, we expect the returns to be ahead of our t reasury. Our treasury returns are in the range of around 6% to 7% and we expect to be a little hi gher than the treasury over a long term. Immediately when you acquire a company, obviously there w ill be a hit in the P&L, but that we will absorb for the long term better yield than the tre asury.
Harit Kapoor from Investec India
Harit Kapoor: Just one clarification. Firstly, the presentation mentioned th e growth ex-Badshah for India FMCG. Just trying to understand why that is the case? Why you k ind of ex that out while giving the numbers?
Isha Lamba: So, actually, as far as our published finances are concerned, we put Badshah in the consolidated numbers. So, from that point of view, we have given ex-Badshah. That is the reason. But Badshah also, the domestic business has grown well.
Harit Kapoor: So, the difference between standalone and the India?
Ankush Jain: Yes, Harit, in fact, the Badshah does not get into India. It's consolidated at a c onsolidated level, since it is a subsidiary of Dabur India.
Harit Kapoor: No, I understand. I thought maybe in the presentation you woul d give a consol number. I got the point for the India FMCG. So, the difference between the two is still the export piece, right? I think you have an export piece. So, that is the difference betw een your India FMCG and standalone number. That's the way to look at it, right?
Mohit Malhotra: Yes. There is a piece of private label, there is a piece of a guar gum business, there is a piece of intercompany export. All that is a difference to the India FMCG plus private label plus guar plus intercompany exports which comes through the total standalone b usiness.
Harit Kapoor: The second thing was, you mentioned that you passed on this pr icing about 5%, but when I look at the numbers, 5.7% and 2% doesn't fully reflect. I was wonder ing, has that happened through the quarter and will yo u see this kind of 4%-5% pricing in Quar ter 3, Quarter 4 going forward? Is that the right way to think about it?

Mohit Malhotra: The pricing will not lap over. Pricing will carry forward in Q uarter 3 also. We expect inflation of 7%. So, this will carry forward into the Quarter 3 also beca use we have just taken the price increases also. The difference why it strictly doesn't add up i s because a lot of across trade schemes and consumer schemes also go which get netted off from the top line, and that is why. And we had to lubricate the trade because of GST also. We had t o give additional schemes. So, they get netted off from the top line as well as the primary gi ven schemes that we operate in. So, that is why you don't see a full difference between the two.
Harit Kapoor: Mohit, just a follow up on this part. So, the gross margin act ually sequentially has improved quite a bit, 300 basis points despite your lubrication of the t rade and not the full impact of the pricing. So, is there a mix element here also because toothpast e has done better, foods not so much, which would have driven a higher GM and that should to so me extent normalize in the quarters going forward as food also starts to pick up?
Ankush Jain: Yes. So, Harit, when you try to answer, what we are seeing is it is sequentially down by 300 bps. But ours is a seasonal business. So, in the first half of the 1 st Quarter, it is more juices, Glucose, and other stuff. But here, we start with loading of Chyawanpras h and some bit of Honey itself, and hence the seasonality. And therefore, you can't compare seq uential margins in our business because of seasonality.
Mohit Malhotra: If you look at t

he Y-o-Y, I thi nk year-on-year, Harit, that is a better way of looking at and there it's a 20-bps improvement. There is not 300 bps. Sequentially, the portfolio differs and rightly to your point, juices did not do as well. Juices is very high in t he 1st Quarter. So, I think juices, the season ends in the 1st Quarter and you end into a lean quarter in Quarter 2. So, that goes down, which is inherently a low gross margin as compared to health ca re, and home and personal care which are high margin for us. It is a category play and a produ ct play. That is what is impacting the margins on the positive side.
Harit Kapoor: My last question is on Ventures. So, Dabur Ventures, is there a separate team leading this initiative?
Mohit Malhotra: Yes, we have got Mr. Abhinav Dh all who joined us from McKinsey . He is an expert in private equity, venture capital investments, and has got a huge experie nce and is a very talented gentleman. I think he will be heading Dabur Ventures. And if ne ed be, then we will be supporting him with other members also who will be exclusively working on Dabur Ventures. But today, he will be exclusively leading this whole venture.
Mehul from JM Financial
Mehul: Sorry, my questions are answered.

Nitin Gupta from Emkay Global Financial Service
Nitin Gupta: First question is around your guidance around mid- to high-sin gle-digit growth in second half. If I be particular about Q3, so we have multiple benefits in te rms of winter loading, primary sales shift, GST benefit. So, any sense you can provide in terms of h ow you see the domestic growth in Q3 particularly?
Mohit Malhotra: Nitin, it is very difficult for me to give you a guidance of s uch a short-term business. Long term I can comment upon, the short term very difficult. As I told yo u, it all depends upon how the season pans out because this quarter is going to be very season dependent and very winter centric for us, and a third of the portfolio is winter centric. While o ur winter products are doing well, Honitus last quarter gave us a growth of 28%. Honey has also gr own by 28%, etc. I think the Chyawanprash is a big one and all depends upon how Chyawanprash offtakes and fares in the market. It is difficult for us to give you a guidance in such a short term.
Nitin Gupta: This is fine. So, my question was also pertaining to the price growth. We are sort of having around 5%, so that itself takes to mid single digits. So, any h eadwind particularly you see which is limiting your guidance or aspiration you can say, like, will not chase you for the number, but just wanted to have so me clarity on this?
Mohit Malhotra: Not really, we don't see any headwind as of now. I think we ar e only seeing the tailwind. The only headwind which I told you i s that the GST transition is ca rrying forward into the October month also, and there is an old price stock still with the trad e. And till the time that gets flushed out, the whole system is not ge tting streamlined. So, that is t he only hiccup that we see in the current quarter. Otherwise, not much we have seen. Even Nepal s ituation is relatively better as compared to the previous quarter, and we hope the Trump tariff situation also getting resolved in the short term.
Nitin Gupta: Second question is with respect t o like we have the widest por tfolio in FMCG, and the question is around like how we are aligning our portfolio with youth. So , HUL in this quarterly call have highlighted that Gen Z is 400 million and they are basically dr iving the shift in growth, and they are looking to sort of align their portfolio with youth. So, do you agree with the view? And any perspective you can provide here?
Mohit Malhotra: No, so I think it is not aligning my view to HUL. I think they have got their own strategy, we h ave g ot o ur o w n s t r at egy . A s I to ld yo u, th er e ar e tw o p i

v ot s of growth as far as Dabur is concerned. One is the growth of premiumization where we are mod ernizing and contemporizing our portfolio and all our brands. Whether it is hair oils, whet her it is shampoo, whether it is home care or skin care, we are modernizing and that is towards this 400 to 500 million cohort which is an urban cohort of consumers.

Out of that, only 2% or 3% are in the income bracket who earn more than around INR 2-3 lakh per month kind of income bracket. So, it is a more razor-sharp approach of going to e-commerce and doing premiumization. So, that is the premiumization pivot of growth.
The second pivot of growth is a rural pivot of growth towards the bottom of the pyramid, which is towards LUP, etc. So, two growth forks for us: one is the pr emium end, which is where we are contemporizing the brands and premiumizing it and making it more relevant to the Gen Z and the new generation.
To your point, like giving you examples like Chyawanprash gumm ies coming in, so that is a good thing. Launch of Siens that we have already done, that has happened. Launching a Shilajit resin, which has already happened. So, all those initiatives ar e meant to relate with the new consumer, but that will be more of a premiumization, more price -driven, more profit driver, and the bottom of the pyramid is going to be more volume driver and more bulk driver for business. So, that is our strategy in terms of premiumization and innovat ion and relating to the current Gen Z.
Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: Feb 2026

Ref: SEC/SE/2025-26
Date: February 03, 2026
To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai- 400001
BSE Scrip Code: 5000964^!.
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Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai -400051
NSE Scrip Symbol: DABUR/ /
India Ltd
Sub: Transcri t of Investors' Conference Call for Dabur India Limited -
3 FY 2025-26 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on January 29, 2026, post declaration of Financial Results forthe quarter and nine months ended on December 31, 2025. TTie aforementioned transcript is also available on the website of the Company at www. dabur. com.
Tliis is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(Ashok Kumar Jain)
Group Company Secretary and Chief Compliance Officer
End: as above
DABUR INDIA LIMmED. Punjabi Bhawan, 10, Rouse Avenue. New Delhl-110 002. Tel.: +91 11 71206000. 42786000 Fax: +91 11 23222051
Regd. Office: 8/3, AsafAII Road, New Delhi -110 002 (India)
~. CIN: L24230DL1975PLC007908, Email: corpcomm@mall. dabur, Webslte: www. dabur. com

“Dabur India Limited Q3 FY'26 Investors Conference Call”

January 29, 2026

MANAGEMENT :

MR. MOHIT MALHOTRA - CHIEF EXECUTIVE OFFICER
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MS. GAGAN AHLUWALIA - VP- CORPORATE AFFAIRS
MS. ISHA LAMBA - HEAD- INVESTOR RELATIONS AND M&A

Dabur India Limited
January 29, 2026

Isha Lamba: Good evening, ladies and gentlemen. On behalf of the Managemen t of Dabur India Limited, I welcome you to the Earnings Conference Call pertaining to the R esults for the Quarter Ended 31st December 2025.

Present here with me are Mr. Mohit Malhotra - Chief Executive Officer; Mr. Ankush Jain - Chief Financial Officer; and Ms. Gagan Ahluwalia - VP - Corporate Aff airs.

We will start with an overview of the Company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.

I will now hand over to Mr. Mohit Malhotra. Thank you.

Mohit Malhotra: Thank you, Isha. Good evening, ladies and gentlemen. We welcom e you to Dabur India Limited's Conference Call pertaining to the Results for the Qua rter Ended 31st December 2025.

Demand trends in India witnessed a gradual recovery following the GST rate cuts. While the month of October experienced transient headwinds due to GST tra nsition, demand improved over the rest of the quarter. Rural markets continue to outperf orm urban markets, consistent with recent quarters. In Q3, consolidated revenue of Dabur grew by 6 .1% year-on-year, with domestic FMCG business growing at 6% year-on-year on back of volume grow th of 3% year-on-year.

In the India business, HPC portfolio continued its strong perf ormance and recorded a double-digit 10.6% growth year-on-year. Within hair care, Hair Oil por tfolio registered a robust growth of 19.1% year-on-year, with both perfumed and coconut oils grow ing in double digits.

We outpaced the category growth and gained market share of 193 bps, with overal l volume market share touching all-time high of 20%. Shampoo posted 6.2% growth this quarter. We remain focused on premiumization and expansion into new-age off erings in both hair oils and shampoo.

The Toothpaste portfolio delivered a robust growth of 10%, wit h the flagship brand Dabur Red toothpaste sustaining its growth momentum. Meswak and Herbal re gistered strong growth of 25% each. The Herbal segment grew 530 basis points ahead of non -herbal segment, highlighting a strong and sustained consumer shift towards the natural and h erbal oral care products. Capitalizing on this trend, our portfolio outperformed overall category growth, driving gains in market shares.

Skincare portfolio registered a mid-single-digit growth. Bleac h portfolio and facial kits performed well during the quarter.

Within Home Care, Sanifresh reco rded a high single-digit growt h. Odonil Gel pockets and aerosols posted a high double-digit growth, resulting in market share gains of 131 bps in Air Freshener category.

I n t h e H e a l t h c a r e c a t eg o r y , h e a l t h s u p p l e m e n t s g r e w i n l o w s i n gle digits. Honey recorded a strong volume-led growth of 10%. Chyawanprash remained flattish , primarily due to excess inventory in the trade. However, offtakes grew by 11% during th e quarter, resulting in a higher secondary sale and gain of 52 bps in market shares. The premium portfolio of Gur Chyawanprash and Ratnaprash recorded a strong double-digit growth.

In the Digestive portfolio, Hajmola franchise posted a 7% grow th, driven by double-digit growth in candy. New variants such as Chatcola, Imli Chews, and Mr. Aa m contributed to 20% overall franchise, registering a strong 23% growth. Pudin Hara grew by 6.6% year-on-year.

OTC and Ethical portfolio recorded a growth of mid-single digi ts. Honitus delivered a strong growth of 16.6%, supported by a favorable season.

Ayurvedic health juices continued their strong momentum, regis tering a growth of 17.9%. In Juices and Nectars, the premium portfolio, comprising ‘Real Act iv’ 100% juices and coconut water, continued to scale up, delivering a robust growth of 38% and 52%, respectively. The Nectar portfolio remained muted on account of an unfavo

rable se ason. We continued to outperform the Juices and the Nectars category, gaining market shares of 195 bps in nectars and 650 bps in juices.

The Culinary portfolio grew by 14%, led by oils and fats and h omemade portfolio.

The international business registered a growth of 11% in INR t erms and 7.5% in CC terms. In INR terms, MENA grew by 12.5%, Sub-Saharan Africa grew by 30%, UK and European Union by 30%, and Namaste US grew by 19.3%. The export and emerging m arket businesses were impacted by tari ffs and geopolitical disturbances.

In terms of profitability, operating profit grew by 7.7%, whil e PAT grew in double digits by 10.1% during the quarter. There is a one-time provision arising from changes in the labor laws. Adjusting for this exceptional item, PAT grew by 7.2%. In spite of GST transition, high inflation, and one-time provision due to labor laws, operating profit and PAT growth was ahead of the top line on back of calibrated price increases and prudent cost-sav ing measures.

Looking ahead, we remain optimistic on a sequential recovery i n demand, supported by an improving macroeconomic environment and targeted investments in brand and distribution. This

strategic focus strengthens our ability to deliver sustainable value and reinforce our leadership
in the FMCG sector.

With this, I conclude my address and open the floor for the Q& A. Thank you.
Abneesh Roy from Nuvama
Abneesh Roy: My first question is on hair oil. So, Q3, we have seen all the three listed comp anies see strong double-digit growth in hair oils, including you. So, I wanted t o check, is there any one-off for the industry and for you, given such a strong double-digit grow th? And is there something we can take away from here that some of your other FMCG categories could see some kind of a revival in the near term? And is this kind of hair oil growth p ossible to continue in the near term?
Mohit Malhotra: Hi, Abneesh. Yes, on hair oils, I think overall the growth of the category has been driven by value growth, which is price increases. If you look at a major contributor of hair oils, it has been coconut oils. In coconut oils, there has been a huge inflation of roughly around 100% odd. The coconut oil rates used to be around INR 120-INR 130, went up to a spike of around INR 400, and then down to around INR 250 odd. So, all companies have tak en price increases in coconut. So, if you look at the growth, growths are essentially price-d riven growths, which I think is one-off till the time we lap over the base of the cost increases in coconut. As we see, the coconut prices are actually softening going forward. But the volume gro wths are pretty muted in the category, around 3%-4% is the kind of volume growth for the cat egory. But overall, value growths are in the high double digits.
Abneesh Roy: One follow-up there. We have seen for Marico's VAHO and even f or Bajaj Consumer, volume growth also has been quite impressive. So, is there any differe nce we are seeing in terms of volume growth in like-to-like categories? I understood on the c oconut, but non-coconut, how has been the volume performance?
Mohit Malhotra: Yes, non-coconut also, because LLP prices have actually come d own. The margin upside is there, and that is being invested in consumer communication. On back of that, even the perfume hair oil category or the value-a dded category that Marico nomen clatures it, it also has been doing well. For us also, there has been high double-digit growth in t he perfumed hair oil category. And due to GST rate cuts, also there is a positive upside onto that .
Abneesh Roy: Second question on, in terms of toothpaste, your performance h as been quite impressive since past few quarters, including this quarter. But when I see your growth, it seems that Meswak and Herbal seem to be growing much faster than Red. Is there any ba se ef

fect which is leading to that? Is there any specific consumer promotion which has led to those two segments growing faster than your main brand of Red toothpaste?
Mohit Malhotra: Not really. I think overall, oral care is doing exceedingly we ll for us. I think there is a tailwind, like I mentioned. There is a 500 bps gap between the growth of the non-herbal category and the

herbal category. Herbal category is growing by 500 bps higher a s compared to the non-herbal category. The natural segment is actually doing far better than the non-natural segment.
Meswak and Herbal don't have any base effect, so base itself i s pretty low. Both the brands are showing great traction in the marketplace on back of a lot of a dvertising work that we guys are doing on digital marketing front. I think brands are resilient and continuing to do well both on distribution expansion, as well as on the consumer franchise fr ont.
As far as Dabur Red is concerned, our flagship brand is doing very well and growing in double digits for us. So, there is no issue. We have done a pack chang e and complete revamp of Dabur Red which is also yielding dividends in the marketplace, and it is doing well.
Now, where we have not done well in oral care is Babool. Baboo l has not done very well for us, and we are in the process of revamping our entire portfolio of Babool for that also to get into the growth trajectory.
Abneesh Roy: Mohit, one follow-up on toothpaste. Last 3-4 quarters, competi tive intensity in this category across the 3-4 players has been on the higher side. So, if you could tell us, are you seeing some level of abatement there? Given that, how are the margins in th e toothpaste business given the higher intensity?
Mohit Malhotra: Yes, so I think competitive intensity in oral care has been in ching up, especially in the modern trade side, with the main market leader being very aggressive o n the modern trade. And of late, a bit of abatement was seen in the previous quarter, but not so much so that I can say that it is going to be sustained. So, the c ompetitive intensity has always been high in oral care for us. I think modern trade is where the shoe pinches more as compared t o the general trade for us. But overall, oral care will continue on a growth trajectory, and I don't see a reason why this should

go down. Also, the tailwind on natural herbal is actually helpi ng us.
Ankush Jain: So, Abneesh, on the margin front, we have protected the margin s because we have saved some bit of cost on consumer promotions and invested that into more advertisement. And hence, overall margins are actually pro tected despite the competitive intensity.
Mohit Malhotra: Yes, because, there was a high degree of inflation in oral car e with SLES and SLS prices also moving up. But we took calibrated price increases before the GS T rate cuts happened, and that follow-through impact is also there in our oral care. Margins a re as robust or higher than what they used to be before.
Abneesh Roy: Last quick question. So, on Chyawanprash, one or two questions . One is if you could update us on contemporization of the category because that has been a key challenge. Second, there is a big divergence between the primary and secondary. Does that mea n that in Q4, the growth in Chyawanprash could be better because season is favorable? I do understand Q4 is the second

half of the season ends. So, Q3 is more important, Q4 is not. B ut given primary and secondary, there is a big gap. Do you think there is some kind of recovery in Q4?
Mohit Malhotra: Absolutely right. I think you got the analysis perfectly right . Our tertiary sales have improved by 11%, our market share on MAT basis is also up. So, tertiary in terms of offtake, I think the season has favored us, and the brand has been doing exceedingly well.

But why the primary has been low is because last year there were some carry-forward sto cks which we had to liquidate in the marketplace. Therefore, we did not do too much of pre-se ason loading in Chyawanprash and that is why you see an impac t in terms of primary sales.
And the Quarter 4 is going to be better because last year we d id the loading and the season did not favor us. So, there were some stocks which came back to us. But this time, we haven't done the loading and hence the anomaly is not going to happen. And t herefore, Quarter 4 will give you very high double-digit growth albeit on a very lower base o f Chyawanprash. So, that way, the business has been okay on Chyawanprash.
As far as premiumization is concerned, premiumization percenta ge of Chyawanprash is roughly around 13% to 14% of premiumization. We are continuously adding variants for premiumization in Chyawanprash. Gur has done exceedingly well for us. Ratnapra sh has done well for us. So, all the newer variants that we have added in Chyawanprash have done.
Sugar-free is doing e xceedingly well. We have almost doubled o ur distribution in sugar-free also. So, that is doing well. And we got a little late. We will be introducing gummies and bars in Chyawanprash also going forward. And that is the modernizati on of the formats that we are doing on Chyawanprash.
Abneesh Roy: That's all from my side.
Prakash Kapadia from Kapadia Financial Services
Prakash Kapadia: Two questions from my end, Mohit. Any thoughts on the upcoming summer season? How does the beverage and juice business look like? Because it has been volatile for some external factors over the last many, many quarters. One quarter, we see growth. T h e n t h e r e i s s o m e s e a s o n change. So, what is the outlook for that? And as we progress, h ow does the mid-term growth look from here on? And if you could dissect that for rural and urban demand, is it now set for higher teens growth? How does the next few quarters look like? So, those were my two questions.
Mohit Malhotra: On the beverage and juices business, we are also keeping our f ingers crossed. Because the season did not favor us in the last summers, there were some stocks an d we are in the process of liquidating all that stock in th e marketplace so that we start the new season afresh without old

stocks, and we are able to do billing. Keeping our fingers cros sed. I just hope the season favors us in the coming summers and the weather gods favor us. I think that is what we sit and pray. The whole category should surge on the back of the category ta ilwind. We should also ideally do well because the bases are low. Last year, we had in the fir st quarter around -14% business growth. Sequentially, the business has improved going forward, and we are almost flushing out the inventories in the trade. So, hopefully, the next year for beverages, we will target a double-digit growth for ourselves. Next quarter, the pre-season loadin g should be good. So, hopefully, I think the season should be good.
As far as the overall FMCG growth is concerned, this quarter h as actually seen a little depression in the FMCG numbers. Last year, sequentially, the business FMCG numbers are down from 13% to around 7.8%. That depression is, I think, only optical b ecause of GST rate cuts. The pricing and the value is down, and that is why you see. But eve n the volumes are down. Volumes

are down because people are waiting for the new price stocks to hit the market and then do the purchases. So, therefore, they will postpone the purchases till the time inventory actually liquidates in the marketplace.

But if you look at the MAT numbers, MAT numbers are pretty sta ble from 11.5%-11.8% to around 11% now. And gradually, slowly, there will be only impro vement on account of the sentiment improving. Consumer confidence levels are improving. E

ven the CPI inflation has reined in. So, I think the subsequent quarters are going to be better, because the 1st quarter was hit by season, 2nd Quarter was hit by GST, 3rd Quarter has been significantly better, and the 4th Quarter would even be better. And I think we will start on a fi rm footing as far as the next year is concerned.

Prakash Kapadia: Any specific categories you would want to call out or any urba n or rural insight you would want to share? How is that demand looking? Because both urban and ru ral areas were doing pretty okay for us as compared to industry where rural was doing bette r. So, any thoughts on that?

Mohit Malhotra: So, as far as urban and rural is concerned, the difference bet ween urban and rural has narrowed a little bit. That means urban has started also doing well whil e rural continues its consistent performance. And rural is outsmarting urban by around 300 basis points, but this 300-basis point is down to half from what it used to be last year.

So, I think the urban performance is kind of inching up. The r ural performance is kind of steering up also. So, I think both urban and rural are doing well, and G ST rate cuts are only helping this consumer sentiment. So, I think overall is doing well, and this will be across categories. So, whether it is food or it is OTC o r it is personal care, beauty care, it should be across categories.

Beverage, which is very season-dependent, is something that we have to wait for and watch. And glucose, which is also very summer season-dependent, is wha t we will have to see. So, that is a little caveat, which is very weather god dependent. The re st, I think overall things are seemingly all right.

As far as inflation is concerned, we saw huge inflation in Qua rter 3. The inflation is ebbing a little bit as we see. As I told you, coconut oil prices are sof tening, SLES prices are softening, vegetable oil prices are also softening. So, the next year grow th is going to be more volume-driven growth and not so much price-driven or value-driven grow th. So, that is a little remark. And volume-driven growth is a little harder to get as compared to a combination of a value and a volume.

Prakash Kapadia: I will join back the queue if I have more questions.

Mihir Shah from Nomura

Mihir Shah: Sir, firstly, just some clarification. You highlighted post-No vember demand saw some improvement. How much of this improvement can be attributed to restocking? Also, given the quarter was partially impacted earlier, can one expect growth t o improve on a quarter-on-quarter basis in 4Q or probably remain at a similar range because we ha d both up and down levers in 3Q playing out? So, that is my first question.

Mohit Malhotra: So, I think overall, if you look at the quarter, October had a cascade impact of the GST old stock liquidation in the trade and therefore October was not so good. November also got impacted a little bit because of that. But December has been far better as compared to October and November also.

I think going forward, demand should only improve in Quarter 4 as compared to Quarter 3. And that is what the MAT numbers also tell us on account of restock ing, to your point. So, I think that going forward, the business should only inch up.

Mihir Shah: Sir, secondly, while juices is one of the lowest margin portfo lio, it seems the mix within juices is changing towards Nectars and Activ, which are relatively hig her margin than the rest of the portfolio. So, wanted to understand, has the change been so sig nificant? Can it improve the overall margins of the Juices portfolio and thus the overall co mpany margins?

Also, if you recollect, usually 4Q is one of the lowest margin quarters because of this since past few years. But last year was, the margins were really low. Is t here any way that the margins can see material improvement in 4Q? And also

, the impact on the U.S . litigation, any update on that? That probably can see some reversal on margins because of that. So, essentially on the margin basically.

Mohit Malhotra: So, in juices, you are right, N ectars is a lowe r margin portfo lio for us, whereas Activ and coconut

water are the higher margin portfolio for us. The higher margin portfolio has done significantly better. If you look at the Activ business, Activ business has g rown by 38% for us, which is the 100% pure juice business, although it is a smaller base. And th e coconut water have, again, grown by around 50% for us.
So, high margin portfolio is inching up far higher as compared to the low margin portfolio. And we expect this to continue that trajectory going forward also. So, on Quarter 4 being a low margin quarter, yes, as compared to Quarter 3, it is a relatively lowe r margin because of glucose being quite salient in the Quarter 4 and also being a juice quarter.
So both ways, I think it is a little low margin. But as the pr emium portfolio should inch up, I think margins should b e a little bit better compared to last ye ar. If last year Quarter 4 to this year Quarter 4, I will expect the margins to be higher on back of lo wer inflation and on back of premium portfolio also inching up going forward.
As far as the third part of your question on U.S. litigation i s concerned, the cost over a period of past 2 to 3 years has come down drastically. In Quarter 3, we h ad a lower base last year. So, this time in Quarter 3, you see a spike in terms of the litigation c ost because of some insurance reimbursement happening onto us. But next quarter, the U.S. lit igation cost again will be on lower side. But significant reduction in the litigation cost is happening year-on-year for us overall.
Mihir Shah: Sorry if I get this question once again.
Ankush Jain: So, litigation cost has reduced by almost 25% over the last 3 years since we started, and we expect it to stabilize from next year onwards at these lower le vels.
Mihir Shah: Given that there is a tailwind of this and the margin, so just on the margin bit for FY '27, what would be a fair range of margin that one should think about for 4Q specifically and for FY '27 specifically?
Mohit Malhotra: So, while we expect sequential improvement in margins as we go along, but we are still in the budgeting process and working on the exact margins because the commodity prices, all the numbers are just flowing in. And we don't expect too much of in flation coming in. So, margins sequentially should be better. But exact range of margin, I can 't tell you right now. How much is that I think An kush can tell?
Ankush Jain: Next year margin should be better than this year. But exact ra nge, I think we will have to see.
Mihir Shah: Thank you very much and wishing you all the best.

Percy from IIFL
Percy: My first question is on Q4. So, over the last 3 years we are s eeing in Q4, there is some or the other sort of negative surprise either on the top line or the m argin or both. So, just wanted to understand Q4 this year. One is, can we expect the sales growth to be at least in line with what we have delivered currently?
Secondly, can we expect on a Y-o-Y basis, the EBITDA growth fo r Q4 to be higher than Q4? Sorry, the Y-o-Y EBITDA growth for Q4, would it be higher than the sales growth for Q4? So what I am trying to say is, would there be an EBITDA margin exp ansion in Q4 after accounting for whatever one-offs, etc., that you might have? Because Q4 is typically a quarter in which maybe the full year tuning up, etc., happens, and there are som e one-offs. So, including that, is there some level of confidence that we can show a Y-o-Y EBITDA margin expansion combined with a normative level of sales growth that we are clocking cur rently?
Mohit M

alhotra: So, I think in terms of the top line first, I think top line Q 4, we expect because of some one-offs which happened last year and the season not favoring us, we exp ect the season to favor us, and the top line should be better th an what the Q4 was last year, d efinitely. And we e xpect the growth to be in high single digits in Quarter 4.
That is what we are aspiring to deliver, a high single-digit g rowth, which will be either in line with Quarter 3 growth or will be a little higher than what we h ave delivered in Quarter 3. That is what we expect. And we are all aspiring. I don't know what h appens. India is such an unpredictable environment on regulatory front. This time labor code came as a surprise in Quarter 3. That is not going to happen in Quarter 4. And last y ear, there were some one-offs which will not happen in the current year.
So, in EBITDA margins also, we anticipate expansions on EBITDA margins Y-o-Y. From last year to this year, there should be expansion. While the Quarter 3 is the highest EBITDA margin for us, that will be lower than Quarter 3. But Y-o-Y, there wil l be improvement. Keeping Ankush, you want to add anything.
Ankush Jain: So, our operating margin will definitely be higher than the re venue. And we expect PAT growth to be higher even from operating profit growth.
Percy: Very helpful. Secondly, just wanted to understand for FY '27, as you mentioned earlier, that it is going to be a volume-led growth, and therefore at an overall value level, there is no price

contribution, and therefore that would sort of put a damper on the sales growth.
Just trying to understand on the EBITDA how it works out, beca use while there is an input cost benefit, and that is the reason for the pricing growth to be ab sent, does it mean that we should be looking at a slightly higher margin expansion on a lower sal es growth.

So, has the absolute EBITDA growth that we would be looking at should remain unchanged, or do you think that the absolute E BITDA growth will also suffer a little bit given that the absolute sales growth will sort of be on the lower side? I hope I am cle ar in my question. If not, please let me know.
Ankush Jain: So, Percy, what we are thinking is while this year it was a co mbination of price and volume, next year it should be more volume given the GST tailwinds. How ever, having said that, price increase will not be a bsent because certain price increases whi ch we took in earlier part pre-September, they will also have a rollover impact. And further, wherever there are inflation categories, we will definitely take more price increases. So, t here will be a combination, but it will be more volume and slightly lesser value.
Having said that, since we will be moving into lesser inflatio n, and therefore we will have headroom to improve our operating margins. And whatever upside in gross margins we will get, a significant portion of that we may want to reinvest in advert ising and balance around 20%-25% of that expansion in gross margin we will give back as oper ating margin expansion.
So, we see that tailwinds in volume with some price increases and some inflation at a lower level, things should be better than this year at least is what we think. While we are still in the budgeting process and more clarity will emerge over next three to four months.
Mohit Malhotra: Yes, but just to summarize, I think we are targeting a growth of high single digit on top line and EBITDA improvements over this y ear and next year. That is what in summary I think it is.
Percy: So, this high single-digit top line growth would be like 80% t o 90% of that would be volume-led, right?
Mohit Malhotra: We don't really know. We are supposed to be making budgets bec ause what has happened in Quarter 3 is that we have not taken any price increases because of GST regime change.
So, what I am s

aying is that during the GST transition, we pos tponed a lot of price increases wherever there was inflationary raw material. We had to postpon e the price hikes due to the anti-profiteering issue, which we will be taking in the current quar ter and which should follow t hr o ug h n ex t y e ar as w ell . S o , t h er e w i ll be pr i ce in cr eas e to that extent. Plus, there will be volume growth.
So, we are targeting a high single-digit to a low double-digit growth next year with operating margin improvement over current year. We want to go back to our erstwhile 20% operating margin. So, there will be attempt to have saving initiatives an d price increases even if there is no inflation. So, there are brands in which we are market leade rs. So, we will take price increases proactively despite being not so inflationary environment.

Percy: That's all from me.
Nihal Mahesh Jham from HSBC
Nihal Mahesh Jham: Mohit, as you mentioned about the growth improvement in hair o il, one of the key reasons was also GST cut for the category. With a similar thought, toothpas te has obviously seen a higher relative cut in GST. So, have we not seen an acceleration in gr owth in that category because of the GST cut?
Mohit Malhotra: Yes. So, there has been acceleration in the growth in toothpas te also, as you know. Our toothpaste have also grown by double digits in the quarter. And there has been a tailwind in oral care. And as I told you, in oral care, also herbal and natural segment is growing 500 basis points ahead of the non-natural segment. So, that is the double whammy . Meswak has grown by 25%-26% and so, has herbal toothpaste and Dabur Red toothpaste grow n.
So, there has been an impact on the sentiment improvement on p urchase of the consumers in oral care also. And we have taken some price increases when we revamped our portfolio also because of the inflation in SLES price increases. So, there has been an impact in oral care as well. Home and skin, there has been no GST impact. So there, sa le growth is in the range of around 6% or 6.6% for skincare.
Nihal Mahesh Jham: Sir, I was just comin g from the fact that if I look at, say, t he Q1 growth for oral care, Q2 obviously had the base impact. It is cumulatively last year, th is year combined sort of similar even in Q3, whereas in hair oil, that has accelerated. So, henc e, I was asking that you have not seen a big step up in growth like the Hair Oil category has see n for you. That is where I was

coming from.
Mohit Malhotra: Yes, oral care step up is not as high because the price increa se element in oral care is not as much as in hair oils. Like I told you, in hair oils, there is coconu t oil, and there was an inflation of around 100% plus. So, there is a price increase element which i s playing out in hair oils, which is not the case in oral care. Oral care is largely driven volum etrically as compared to hair oil, which is both value and volume mix.
Nihal Mahesh Jham: The second question was on the beverage category. If you could j u s t c o m m e n t o n h o w t h e competitive intensity is. And also, the Drinks portfolio, we ha d an aspiration of sort of reaching a Rs. 500 crore top line there. What is the current scale of th at, if you could just give a sense of that?
Mohit Malhotra: So, Drinks portfolio, approximately the revenue is around Rs. 200-odd crores ballpark. So, we are in a good space in drinks, and the out-of-home portfolio is sequentially doing well. And out-of-home portfolio was the one which was impacted by the season not favoring us. In the summer of first quarter, there were unprecedented rains, which impacte d out-of-home portfolio. But if

we look at the current quarter, t he sequential improvement in o ut-of-home has been better. Out-of-home portfolio has grown by around

5% in the current quarter despite being acute winters.
So, we expect our drinks portfolio, PET bottles also, to do we ll. To bolster the impact of season, we have also introduced a Rs. 10, Rs. 20, Rs. 50, and Rs. 100 p rice points also in drinks. So, that should also help us in the season going forward. And with the G ST cuts, which have actually happened for the beverage category as compared to the carbonate d category, the relative price index premium of juices over the carbonated has also significan tly reduced. That should also be a sort of helping factor.
Nihal Mahesh Jham: That was it from my side.
Harit Kapoor from Investec
Harit Kapoor: I just had two questions. First one is on this GST bit again. So, would it be fair to say, Mohit, that going into Quarter 4, you should realize the full kind of volume growth benefits on lower unit tax, etc., in Q4 because October still had a transition? A nd if yes, how much could that kind of contribute to as far as volume growth is concerned? That is the first question.
And the second question was on gross margin. So, you did menti on that there was some pricing that you couldn't take because obviously you don't want to be l ooked at as profiteering. Going into next year, what is the quantum of pricing that you think y ou will need?
Also, it seems like the India gross margins are actually going to be the base is quite comfortable. So, going into, say, Q4, Q1, Q2, at least standalone numbers as you report. So, is there still a belief that you need to take kind of incremental pricing going forward? So, those are my questions.
Mohit Malhotra: So, on account of GST, we will de finitely see volume growth mo ving up in the category, and the inflation is also coming down. So, we will see volume growt h moving up in Quarter 4 and sequentially going forward in Quarter 1 and Quarter 2 also. And as far as pricing is concerned, I think pricing growth will also be better as compared to last year, and the gross margin improvement will also be better on account of pricing coming in , which we have pushed out (due to anti-profiteering law), and which will be followed thro ugh into next year also.
Harit Kapoor: Could you just give a sense of what the weighted pricing would be that you are either pushed out or looking to push out into Q4, which will carry forward in to FY '27 as well?
Ankush Jain: What you are asking is in Q1 and Q2, the price increases, corr ect?
Harit Kapoor: Yes, I am asking how much of pricing are you planning to put ou t?

Mohit Malhotra: There are 2% price increases, w hich is what will happen in Qua rter 4, which will be carried forward in next year as well. Yes, broadly.
Ajay Thakur from Anand Rathi Shares and Stock Brokers Limited
Ajay Thakur: So, I wanted to just check on the hair oils growth. If you wer e to get a bit more color in terms of how the coconut oil versus the non-coconut hair oil volumes hav e trended during the quarter, so that can give us maybe some sense of how the growth has been in the two different segments.
Mohit Malhotra: So, both the segments, whether it is coconut oil or it is perf umed hair oil, both have grown well for us, and we have registered a market share increase of aroun d 193 bps in overall hair oils. The perfumed hair oils also have grown in double digits for us, aro und 16%-17% growth. And coconut oils have grown in the range of around 29% for us.
And within the Hindi-speaking belt, one out of every two house holds is now a Dabur hair oil user. And we have got an exit market share of 20% in hair oils now. So, it is ever highest market

share that we have registered in hair oils, in both perfumed as well also in coconut. So, that is where we are.

Ajay Thakur: That is quite helpful. The second question was more on the NPD s that we had launched maybe around 1/1.5/2 years back. Wanted to get a sense on how they ar e kind of performing, if there is any update on them, and what are the plans for scaling them up further. Some details would be helpful.

Mohit Malhotra: So, NPD percentage for the business is roughly in the range of around 2% to 3%. As you know, we had engaged McKinsey, and we have done an exercise. So, we h ave rationalized a lot of tail products which were there. T hat has been rationalized.

That said, a couple of NPDs are really doing very well for us. One is health juices that we had launched. Health juices are giving a growth of around 17% to 18 % for us. And all the variants in health juices are doing well.

Drinks have performed exceedingl y well for us. But for the sea son backlash, I think the drink portfolio is doing well. Ghee, which we had launched as an NPD a couple of years back, is giving a growth of 33%. Edible oils that we had launched are giving a growth of roughly around 50% for us.

So, I think across the board, our NPDs are doing well. Our RED Gel, which we had launched, is also showing a good traction in the marketplace. That said, Coo l King is what we had launched in the hair oil piece is doing well.

In healthcare, we had launched variants of Chyawanprash a coup le of years back. Sugar-free is doing exceedingly well. Now, the variants' contribution to the Chyawanprash business is around 13% to 14%, and they are growing at 2x, 3x of what Chyawanprash is doing. Gur Chyawanprash is doing very well.

In honey, two variants of Sundarban and Organic Honey are agai n trending exceedingly well for us. In glucose, the variants are doing well, but again, the sea son did not favor us. So, therefore, I can't comment upon how they will do on account of the season, basically.

And we have more plans in the OTC range. Like in Shilajit, we had launched resins and drops. Both are growing in very high double digits for us. And E-comme rce is actually the platform where they are doing exceedingly well. These are some of the ex amples of NPDs that I talked about.

Isha Lamba: I would like to thank all the participants for joining today's call. The webcast recording and transcript will be available on our website. Thank you and have a great evening ahead.

Call: May 2026

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To,
Corporate Relations Department
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai- 400001
BSE Scrip Code: 500096Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No. C/1, G Block, Bandra Kurla Complex
Bandra (E), Mumbai - 400051
NSE Scrip Symbol: DABUR
Sub: Transcri t of Investors' Conference Call for Dabur India Limited -
4 FY 2025-26 Financial Results
Dear Sir/Madam,
Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Investors' Conference Call organized on May 07, 2026, post declaration of Financial Results for the quarter and financial year ended on March 31, 2026. The aforementioned transcript is also available on the website of the Company at www. dabur. com.
This is for your information and records.
Thanking You,
Yours faithfully,
For Dabur India Limited
(Ash k K ar Jain)
Group Company Secretary and Chief Compliance Officer
End: as above
DABUR INDIA LIMITED. Punjabi Bhawan, 10, Rouse Avenue, New Delhi-110 002, Tel.: +91 11 71206000 Fax: +91 11 23222051
Regd. Office: 8/3. AsafAli Road. New Delhi -110 002 (India)
C1N: L24230DL1975PLC007908. Email: corpcomm@dabur. com, Webslte: www. dabur. com

Dabur India Limited
Q4 FY'26 Results Investors Conference Call
May 07, 2026

MANAGEMENT :
M
R. MOHIT MALHOTRA - GLOBAL CHIEF EXECUTIVE OFFICER
MR. HERJIT BHALLA - CHIEF EXECUTIVE OFFICER -INDIA BUSINESS
MR. ANKUSH JAIN - CHIEF FINANCIAL OFFICER
MS. GAGAN AHLUWALIA - VICE PRESIDENT -CORPORATE AFFAIRS
MR. RAHUL SARAWAGI - HEAD-INVESTOR RELATIONS AND M&A

Rahul Sarawagi: Good evening, ladies and gentlemen. On behalf of the managemen t of Dabur India Limited, I welcome you to the earnings conference call pertaining to the r esults for the quarter and year ended 31st March, 2026.
Present here with me are Mr. Moh it Malhotra-Global Chief Execut ive Officer, Mr. Ankush Jain-Chief Financial Officer, Ms. Gaga n Ahluwalia-VP-Corporate Affai rs and Mr. Herjit Bhalla-CEO-India Business, who has recently joined the Dabur family. W e'll start with an overview of the company's performance by Mr. Mohit Malhotra, and this will be followed by a Q&A session.

I'll now hand over to Mr. Mohit Malhotra. Thank you.
Mohit Malhotra: Thank you, Rahul. Good evening, ladies and gentlemen. We welco me you all to Dabur India Limited's conference call pertaining to the results for the qua rter ended 31st March, 2026.
Demand conditions in India remained steady, reflecting consumpt ion resilience backed by fiscal measures of direct and indirect tax rationalization.
Rural markets continued to outpe rform urban markets, although g ap between urban and rural has narrowed. Geopolitical headwinds in the Middle East are imp acting input costs and supply chain across businesses, including India.
In quarter 4, our consolidated revenue grew by 7.3% year-on-ye ar with domestic FMCG business growing at 9.5%, backed by volume growth of 6%. Within the India business, HPC portfolio maintained its strong momentum, recording a double-di git growth of 17% during the quarter.
Our Hair Care business including Hair Oils and Shampoos regist ered a strong double-digit growth. Hair Oil portfolio grew by 28% year-on-year with both p erfumed and coconut oils growing in double digits. We outpaced the category growth and g ained 154 bps in volume market shares. Shampoo portfolio posted a growth of 20% during the quarter. Our strategy continues to focus on premiumization, along with expanding our presence in new age offerings across both hair oils and shampoos.
The Home Care portfolio delivered a robust 24% growth, driven by strong double-digit growth across Odonil, Odomos and Sanifresh franchises. Odonil grew by 20% during the quarter, supported by sustained momentum in aerosols and gel pockets, re sulting in a market share gain of 243 bps. The Odomos brand reported a growth of 48%, translat ing into a market share gain of 88 bps. Sanifresh continued its strong performance, register ing a growth of over 20%.
Skin Care portfolio also register ed a double-digit growth drive n by Gulabari franchise and OxyLife.
The toothpaste portfolio delivered a 7.2% growth during the qua rter, supported by Dabur Red, Meswak and Dabur Herbal. The Herbal toothpaste segment grew at nearly twice the rate of non-herbal segment, reflecting a continued and deepening consumer p reference for natural and herbal oral care solutions. This enabled Dabur to outperform the categ ory growth and expand market shares.
In the health care category, the digestive portfolio grew in mi d-teens with a double-digit growth in both Hajmola and Isabgol. The Hajmola franchise posted a 12. 7% growth driven by strong performance across tablets and candies, resulting in market sha re gains of 233 bps. Isabgol also recorded a growth of over 50%.
Within health supplements, the Honey portfolio recorded a stron g growth of over 20%, driven by volume expansion across channels, leading to market share ga ins of 150 bps. Glucose portfolio was impacted by unseasonal rains during the month of March in core states.

OTC and Ethical portfolio delive red a high single-digit growth. H o n i t u s r e c o r d e d a s t r o n g growth of over 36%, led by key variants such as cough syrup and hot sips. Ayurvedic health juices continued their growth momentum, registering a growth of 30%. Lal Tail also delivered a double-digit growth of 10%.
Our beverage portfolio witnessed a sequential recovery during t he quarter. Premium beverage portfolio continued to outperform the category, delivering a ro bust growth of 26% in Real Activ Juices and Coconut Water growing by 100% over last year. We gai ned 250 bps market share in Nectars and 280 bps in Activ portfolio.
The culinary business registered a growth of 30%, led by Fats a nd oils and Hommade portfolio.
The international business reported a muted growth of 2.5% in I NR terms. While the war in West Asia impacted the MENA regi on, Sub-Saharan Africa grew by 20%, U.K. and

EU grew
by 10%, Hobi by 16.5%, Bangladesh business grew by 22% and Nama ste U.S. grew by 6.2%.
In terms of consolidated profitability, the operating profit g rew by 8.2%, while reported PAT grew by 15%.
While geopolitical developments in the Middle East remain fluid , we are confident of sequential acceleration of growth in India business, driven by stable cons umption trends, GTM transformation exercise, focus o n premiumization and investment s in brand building.
With this, I conclude my address and now open the floor to Q&A . Thank you.
Abneesh Roy from Nuvama
Abneesh Roy: Thanks, and congrats on strong recovery in many parts of the p ortfolio. My first question is that only that we are seeing around 20% to 36% growth in some parts of the portfolio, and you also

mentioned that the sequential recovery will accel erate. So do y ou mean to say that in Q1, either you expect in similar growth in these portfolios or maybe even acceleration? Also is there any one-off in any of these strong growth numbers?
Mohit Malhotra: Yes. So, we think that in quarter 1, the growth will sustain. In HPC at least, we are seeing good traction in the month of April also. In health care portfolio, barring glucose, which is impacted by unseasonal rains here, we see rest parts of the portfolio do ing well for us.
Beverages, again, Activ and Coconut Water is doing exceedingly well. Nectar is impacted by rains. But because we are lapping over the low base of last yea r where we were impacted by rains again, we expect the growth to be much better. We've alre ady gotten into the flat trajectory as far as beverage is concerned. So, we should be going into a mid to a high single digit kind of growth in beverages. And the culinary continues to fire at the pace it is.
And with the inflation picking up in India business, we expect a part value growth through price increases to come in along with the volume growth that we have pencilled. So, nutshell, I think the growth trajectory should continue and sequential recovery s hould continue that will be driven partly by volume and partly by price.

Abneesh Roy: Understood. In terms of the El Nino impact, do you see glucose , juice, etc, giving super strong growth, given base is favourable and then the El Nino impact is also there. So if you could give us some sense of beverage and glucose or essentially the El Nin o portfolio, how do you see the Q1 growth? You have already spoke on the juice business, but on the glucose and any other part of the portfolio, which caters to summer demand, do you see str ong demand cond itions. Also on t h e s u p p l y s i d e , i n t e r m s o f , s a y , a l u m i n i u m c a n s , a n y m a r k e t s hare gains that can happen because for some of the other competitors that could be a chall enge. And in the PET bottle, how do you see the inflation on the supply side there?
Mohit Malhotra: Right. So, I'll take the second part of the question first and then go to the first part of your question. The second part of the question was inflation. So, wh en we were doing the budgets, we had budgeted a flat inflation because we are lapping over a 6% inflation of last year and we thought that most of the RM/PM prices will remain benign in the marketplace, but that's not the case.
With the war happening in the Middle East, we see a cascading i mpact happening across all countries and geographies, and therefore, the inflation has rea lly picked up. We now see an inflation of roughly around 10% hitting us in a lot of portfoli os, barring the portfolio of beverages and healthcare. Within HPC, all the subparts of the portfolio a re reeling under the pressure of inflation, and therefore we've already announced a 4% price inc reases across different parts of the business to mitigate the inf lationary impact that we are se eing.
That's why I'm saying that part value gro

wth will come in along with volume growth, plus there's some benefit of GST also that we will be seeing in the first qu arter for the low unit price points etc. So, I think inflation will translate into price increases, and therefore, the growth will be there.
As far as the El Nino impact is concerned, we hear from MET, f rom you and from all the media people that the summer is going to be very severe, but we are n ot seeing that severity on ground as yet and when we go outside, we only see thunderstorms here. I don't know how Mumbai is, but at least Delhi and the North India where we are very salien t in beverages, we are seeing thunderstorms. And if that is anything to go by, then I'm a wor ried man. But if El Nino is what is to go by, then I'll be a happy guy will see a double-digit g rowth in beverages and glucose. So, we all are praying to the rain gods to be kind to us and not to rain and praying to the Sun god to be nicer to us.
So that's all I can say and because the bases are low, we shou ld have expected a double-digit growth in these 2 portfolios, which are summer-centric portfoli o, big time for us. So, if the summer turns out to be acute, this will do very well and even i f not, because of the low basis, we'll still be better off than last year in any case.
Abneesh Roy: One last question. So, toothpaste, are you happy with the perf ormance? I do understand 7% to 8% growth is not a bad number. And category growth etc, yes, th ey can always give a picture, but ultimately, your historical performance in toothpaste has b een on the higher side versus this 7% to 8% growth -- in Q4, we saw Unilever also saw muted growth . So, you have done definitely better.

So, my question here is, are you happy with this performance? A nd are you seeing the number 1 player come back because what we are picking up is that they are now coming back to a very

respectable growth, already in Q4 and maybe further acceleratio n obviously in Q1, Q2. So, if
you could talk about your satisfaction and are you seeing the m arket leader, come back?
Mohit Malhotra: So not at all. I think we're not even at a threshold of satisf action in terms of happiness index. We
are quite unhappy with this performance because entire HPC port folio has grown by 17% with
oral care being a outlier where we've seen a muted performance of around 6%, 7% growth in
Oral Care. So, while we are respectable, if I talk to the categ ory heads, they are very happy
because the category is growing at 2.5%, and we are growing by 7%and hence gaining market
share. So, they are very happy with this argument. But I think we've been growing at double-
digit here, and this is the most profitable growth. If you look at the full year number, our Oral
Care growth is around 9%-10%, so double-digit growth. So the le ast expected is a double-digit
growth and I think we should come back in quarter 1 with very s trong double-digit growth here
led by Dabur Red, Meswak, Dabur Herbal.
If I have to just tell you the numbers, -- our Meswak is contin uing a trajectory of a double-digit
growth of around 11%. Our herbal toothpaste is growing by 30%, 4 0 % . O u r D a b u r R e d i s
growing at around 6%, 7%. Our Babool hasn't performed much. Bab ool growth is in the range
of around 1%, 2%. So, we've got a lot of work to be done on Bab ool and Lal Dant Manjan and
I think we are ready with the arsenal.
So ready to now go to the front line with LDM and LDM should fi re. If you look at the
category construct, category is growing at 2.5% and we've grown by 7% which is leading to
market share increases., All the basics of market share, penetr ation numbers etc., are by our side.
Also, the whole tailwind of the herbal category is also with us as we speak. While the market
leader may come back because of the low bases of last year and expected growth will come
back.
But I think the tailwinds are

favouring us, because if you look at the category growth numbers,
which I had talked about in my s peech also, the non-herbal is g rowing at 2.8% and the herbal is
growing at 2x at around 6% growth rate. And since we are the ma rket leaders in the herbal
category, these tailwinds will on ly support our growth aspirati ons. So, I think next quarter will
definitely be better than the quarter 4.
Abneesh Roy: Mohit, one last follow-up on your comments. So do you see a di sconnect between the, say, 2.5%
oral category growth and your own 10% to 30% growth in many par ts of the HPC portfolio.
Other FMCG companies are also seeing very strong numbers. It is not that only you are doing
well; you are doing well. But the category growth of 2.5%, that looks very low for the toothpaste
business?
Mohit Malhotra: Yes. I think it's just not toothpaste, Abneesh, I think it's a cross the categories. What Nielsen data
is showing, they are showing muted growth across FMCG And when we see and analyse our
results and the competitor result s, we see everybody showing sp ectacular results this time. And
we are not seeing any sort of granular signs of suppression in the marketplace. We are only
seeing robust signs of growth recovering and that's why I'm tal king about sequential recovery.

But Nielsen data is the only dampener that I see, and they are showing that FMCG growth has
got muted from 11% to 9%. That said, 9% is also very respectabl e growth out of which partial
is volume and partially is pricing, but there's been a sequenti al decrease. I don't know if Nielsen
is a lead indicator of things to come because inflation is pick ing up and because of inflation,
volumes will get suppressed and price hikes will come in. So th at's something which is a
dichotomy, which I am not able to unfold.
Mihir Shah from Nomur/a
Mihir Shah: So just wanted to understand your comment on rural-urban gap n arrowing a bit better. Would it
be fair to assume that urban growth is improving and rural grow th is moderating down? And if
so, if you could highlight the key factors in your view that is driving both these changes? So
that's question number one.
Mohit Malhotra: Yes. So I was just talking to Abneesh only that we see overall FMCG growth at around 9.2%
out of which rural happens to be 11.4% and urban happens to be 8%. So, there is 340 basis points
of difference between urban and rural, where rural is outpacing urban. And we see the same
reflection of Nielsen gap in our business also.
Our GT business has also grown by around 5%, in which we see a 300-basis points difference –
with rural outsmarting urban. So still rural tends to be doing well. But if I look at sequential
numbers, the gap of 340 bps between urban and rural, which is t here now, this gap used to be
500 basis points. So, 500 bps has got narrowed down to around 3 40 bps. That's why I'm saying
-- and urban is sustaining, rural is coming down. Maybe it coul d be an impact of inflation a little
bit, but this is not what we see in the market right now. This is all Nielsen data. From our
standpoint, both urban and rural are growing.
Mihir Shah: Understood. But post the GST changes one was expecting urban t o do better and rural also could

have done better post the GST changes. So, it is a bit surprisi ng for us to understand why rural growth is moderating, especially if you think about the context of El Nino in FY27, which could further pressure rural growth.

So secondly, sir, if I could get your views on how should one think about FY27 from here on? You had indicated earlier that you expect high single-digit rev enue growth and EBITDA growth to be a little bit better. But with the return of pricing growt h and El Nino, which could pressure rural growth, how do you think that the entire math will work o ut both on revenue front and on margin front?

Mohit Malhotra: Yes. So, I'm not saying that

we are seeing the depression in r ural. I'm talking about Nielsen data.

So, for us, 9.2% growth is very healthy growth, and that's the syndicated data growth that we're talking about. Our business in India has also grown by 9.5%, an d as far as we are concerned, we will see sequential improvement both in urban and rural.

So earlier, we had given a guidance of a high single and now we want to revise it. We are seeing high single to a low double-digit growth because you've got som e pricing coming in because of inflation. So, it will be a combination of pricing and volume. So, we'll see 50% growth may be coming from volume and balance coming from pricing.

And over a period, volume coul d become lower and pricing will become higher depending upon how the war situation and availability of raw material and pack aging material etc. is. So that we'll have to see. But I think the sequential recovery is only accelerating from here because of the value piece coming in.

Mihir Shah: Yes. That is clear on the revenue front. On the margin front, would you expect a certain pressure on margins, at least in the near-term because –it will take som e time for new price increases to land the market?

Mohit Malhotra: Yes. So, there is an inflation pressure. As I was saying, we a re seeing a 10% inflation, and we have already mitigated the inflati on for Q1 by way of price inc reases. There will be a second round of price increase also which we'll take after considering the war situation. The information trail on the war situation is cha nging every day. Today Brent h as become softer, yesterday it was more expensive. So, one really doesn't know where the thing wil l go.

But as far as we are concerned, we want to increase the margins from last year to current year. So –we would want to mitigate all the inflation through price i ncreases and improve the margins going forward from here, either by way of product mix or pricin g or cost saving initiatives that we are planning or premiumizatio n initiatives, which are alread y planned as per our vision strategy.

Mihir Shah: Got it. Thank you very much. That is very clear. Wishing you al l the very best.

Mohit Malhotra: Thank you very much, Mihir.

Aditya Soman from CLSA

Aditya Soman: Yes, hi. Thanks for the opportunity and good evening. So, two questions. Firstly, in the health care business, I'm assuming that Chyawanprash business also dec lined just given the overall decline in the health care business. So, could you just throw s ome light on what happened? And how do we sort of turn this business around, which has been rel atively weak for a few quarters? That's one.

And then the second question on -- I heard you say that I think the price increases should mitigate margin impact. Does that mean tha t top line growth and margin g rowth should be similar for 1Q?

Mohit Malhotra: Sorry, could you repeat the second part of the question, please .

Aditya Soman: Yes. So, you indicated that the margin impact in 1Q should be mitigated by the price increases that we've taken. So effectively, we are saying that top line g rowth should remain similar with more pricing. But would profit growth also be similar to what w e saw in 4Q and 1Q?

Mohit Malhotra: Right. So, Aditya, second part of the question first. I think the margins will sequentially improve. If you look at our operating margins also, our operating margin s are the lowest in the fourth quarter, which happens to be a beverage quarter and a summer-ce ntric quarter. So, the margins are lower. If you ente r the first quarter, in any case, sequent ially, the margins will improve.

But not just seq uentially, we want to improve the margins year- on-year on the back of premiumization and on back of pricing and other initiatives tha t we people are taking. That's on the margins. On the health care p

ortfolio, our health care port folio is not doing bad. Optically, it
seems that it's not really firing as compared to HPC portfolio, which is obviously a big glimmer of strength for us. But the health care portfolio, if you just look at glucose, which declined by around 24%, 25% for us in the la st quarter, rest of the entire portfolio ex glucose has grown by around plus 12.5% for us. So that's a very healthy growth in he alth care and which is also margin accretive to the overall business. So, I think in Chyawanprash, it happens to be a low season for Chyawanprash. It's completely inconsequential.

Our Honey business, which is a part of health supplement has g rown by 25%. Our Hajmola has grown by 12.7%. Candies have grown by 9%, and we've gained mark et share of 233 basis points. Our Pudin Hara is high-single-digit growth. Our Isabgol has gro wn by 53%. I told you about Honey, which has actually grown for us. Our Honitus has grown b y 36%. Our health juices have grown by 29%, Lal Tail 10%. Shilajit again declined in the busi ness.

So, I think 90% of the portfolio, barring glucose has all grown in terms of market shares and in terms of revenue as well. So, I don't think there's any problem . Chyawanprash becomes salient in the winter timing only, and tha t's when it's co nsequential.

Aditya Soman: I understand very clear. So, it is just glucose that has led t o this mid-single digit decline in the overall business?

Mohit Malhotra: Correct, correct. That's right.

Aditya Soman: And so, what would the salience of glucose be in a normal quar ter in 4Q?

Mohit Malhotra: In 4Q, it's around 20%, 25% of the business is glucose. So, lo ok at now a 25% business declining by 20% and balanced portfolio with a 12% growth, you can look a t the kind of growth, which is 20% plus growth on balance of the portfolio, which is a traject ory that we are having as we speak.

And another tailwind for us in health care is now the branded business and the classical business has all become 5% GST. So that's a tailwind that we people are facing. Earlier, it used to be 12% which has been reduced to around 5% now. So that's a tailwind o n the entire Ayurveda and health care for us. That is also going to help us take health c are to the new levels.

Aditya Soman: That's very good. Thank you.

Mohit Malhotra: Thank you.

Percy Panthaki from IIFL Capital

Percy Panthaki: Hi, sir. This is Percy Panthaki here. Just wanted to understan d the growth, I mean, very good growth in HPC at mid to high teens kind of numbers. What is rea lly driving this? I understand there is a low base effect to some extent. And therefore, on a 2-year CAGR, the numbers are a little more sort of reasonable. But how do we look at this goin g forward? Do we look at this mid-

teens, high teens kind of growth in that part of the business t o be able to continue on a Y-o-Y basis even in the cu rrent quarters due to some initiatives?

And if so, can you enumerate what those initiatives are? Becaus e we were struggling to give a high-single-digit growth also in some parts of our portfolio, w hich are now growing at sort of close to 20% and some of the other parts which are growing at s ort of mid- to high single digits were probably declining also.

So, what really has happened apart from the base effect becomin g normal because the initiatives even every quarter on the call, we have several sort of initiat ives to boost the business. But it seems suddenly only this quarter, they have worked very well.

Mohit Malhotra: I get you. So now on the hair oils, what has driven this growt h in HPC, I'll come to that. Hair oil business has actually grown by 28% and it is just not value or the pricing growth due to inflation of coconut oil that you've seen with the competitor. But for us , it is a growth which is driven by more value-added oils of what we call perfumed oils.

So there's only a price

increase of 9%, rest is around 14% volu me growth. Coconut portfolio has
grown by 48% with Dabur Amla growing by 26%, Almond grown at 57 % and now 1 in every 2 households in Hindi-speaking belt uses Dabur hair oils. Our pen etrations have moved up. Our market shares have moved up by 154 basis points. So, it is not just a base effect, it is actually penetration and market shares which are actually moving up

And what's happening on ground is that coconut prices went up and due to the coconut oil prices going up, the index between perfumed oil and coconut oil actual ly narrowed because of which there was a consumer shift from coconut to perfumed. And that h as, to a certain extent, helped us bolster the growth of the value-added hair oils. Since our m ajority of the portfolio is value-added hair oils and that is the reason of organic growth.

Now what we are doing initiative s we are taking in hair oils is , we are proposing new launches to fill up our aspiration of premiumization. So therefore, you will see premium offerings come in, in quarter 1 and quarter 2 in the hair oils portfolio and w hich are post bath application products for hair oils and hair nourishment. Our shampoo busine ss has grown by 20%. And in this, there has been a conscious attempt to shift the sachet sa liency towards the bottle saliency.

The bottle is more value accretive to the overall portfolio and also profit accretive. So therefore, our profits have improved in shampoos and so is our value going up in shampoo. There's been a conscious attempt. On the emerging channels like e-comm, we are introducing premium offerings of shampoos.

And our bottle saliency as we speak in the quarter is up to aro und 22%, and we expect the saliency to even move up further. As far as Oral Care is concer ned, the third bucket of the HPC, that has grown by around 6%, 7%. And as I was saying, we are no t very happy with that kind of a growth.

I think because post GST, there was a little higher stocking up , which happened in the trade. And this time, it's got evened o ut. But I think coming quarter, Oral Care will see a real bump up

in the business. So, I expect Oral Care to continue its traject ory of double digits, which is what we registered in the full year.

Home Care portfolio, Home Care has grown by 24% and we expect it to sustain that growth with Odonil growth at 20% and gel pockets is a tailwind on the whole category. Category itself is growing at high single digits, and we are gaining market shares . We've gained around 243 bps in market shares and we'll gain. We have got a lot of new initi atives also planned in Odonil brand, including car fresheners, etc.

In skin care, we've got a growth of around 12.5%. Gulabari con tinues to do well, and we are planning to extend Gulabari into larger categories of body bath s etc., and wanting to democratize them across channels, which is not the case as of now. So that' s big picture of HPC. The whole year HPC has seen a double-digit growth and for next year also, we expect HPC to grow at double digit, if not high teens. At least a double digit is a b are minimum that we expect HPC to grow.

Percy Panthaki: Got it. And what is your expectation for food and beverages fo r the full year?

Mohit Malhotra: I told you food and beverages, we pencilled a target for us fo r a double-digit growth because of the low base and on an assumption that season will play out in our favour. But if season does not play out and if monsoons are disrupting the business, then the whole category will get impacted and not just us.

That said, we are gaining market shares in our respective categ ory, whether it's coconut water or it's 100% juices or it's nectars or drinks, we are gaining m arket shares across. So, we pencilled the double-digit growth. The food part of the F&B with the Culi nary is growing at 30% for us and we are not even s

cratching the market surface with fats and oils, which is very small for us.

So we are wanting to grow food and beverage. Our Badshah busine ss, which is also a part of our food portfolio is growing at 12% and we want to continue that t rajectory.

Percy Panthaki: And last question, if I might quickly squeeze in. On margins, if I see your history over the long term, in any year where there is a sharp crude inflation, the E BITDA margin always drops. I don't think -- and correct me if I 'm wrong, I'll also probably relook at my data. I don't think there is a single year in which there has been a sharp spike in crude and the margins have even stayed flat. So how is it that you are targeting a margin expansion th is year on a full year basis over FY26? What specific levers do we have apart from pricing, which you think can drive this?

Ankush Jain: Let me take this. So at least whatever clear visibility we hav e for Q1, our attempt is that we would be able to maintain our margins at least in our India bus iness for sure. And then we are taking adequate price increases or reducing grammage or millage , stepping up our saving initiatives etcetera, plus also o ptimizing some of the trade an d CP spend.

So quarter 1, we have a clear bit of visibility in this. We are also preparing as the things are very volatile, we are also preparing fo r Q2. We are watchful about t he international business, and we'll have greater visibility maybe towards next few weeks abou t international business as well. But yes, we are work ing towards that.

Mohit Malhotra: Percy, to Ankush's point, I think domestic business we are ver y clear that most of the inflationary pressure of whether LLP or crude etc., we'll pass on to the con sumer. That's what we'll do. Even if we have to take a little bit cut in terms of shares, we are okay with it. And if a competitor doesn't take it, we have to take it.

We will bite that bullet, but we'll protect our margins. So tha t is one. International business, we are not too sure of because if the war continues unabated, then there could be a pressure in terms of margins from international. But as of now, we are wanting to mitigate that. So, India business, I don't think there should be so much of pressure.

Percy Panthaki: Okay. Thank you very much.

Prakash Kapadia from Kapadia Financial Services
Prakash Kapadia: Yes. Thanks for the opportunity. Mohit Activ was a smaller par t of the juices portfolio. Is the low base helping us? Is it new va riants, newer channels and wha t is happening on the larger part, real juice and in coconut water what is working well for us bec ause it's a pretty competitive category, a lot of players there right from Paper Boat to Stori a to Freshio to Presso to Tata's Coco Mama. Is that a segment tailwind or consumer preferences a re changing? So that insight would help. And lastly raw material cost, I think packaging was always one-third of our RM basket. So, given the inflationary pressure and the input cost we are seeing, is the focus now on bridge packs, larger packs, what is LUP contribution currently? And what are we planning in terms of growth to offset some of these costs? Those are my thr ee questions?
Mohit Malhotra: Right. I got two parts of your question. I think third part, I 'll come back to you. So first of all, on the juices portfolio, our Activ p ortfolio you're absolutely rig ht. Activ portfolio is a small part of our business. The larger part of the business is nectar. Activ is growing at around 26%, and we are wanting to scale it up.
All the advertising and above-the-line communication, we are wa nting to pivot towards Activ, because Activ is the one that dr ives the consumer franchise tow ards the real. And there is also a consumer preference very clearly, which is going from drinks an d nectars to juices. So it's also a beneficiary of the tailwind which is there

in the category.
So that's what -- where there is no artificial sugar added and it's only natural fruit sugar. So that is what is driving the whole category. As far as coconut water is also concerned, it is supposed to be a non-sin drink sort of and it's taking business from car bonated beverages. So, the whole market is growing. As far as com petitive intensit y is concerned , it's not very, very active.
The basic two players in the category are Storia, who was the number one who created the category and is number two with us. We delayed our entry into t his whole market of coconut water because we didn't have infrastructure to produce it. We'v e already put an AFET line now, and we've got surplus capacity.
So, we are bursting from scenes in terms of capacity, and we ar e augmenting capacity as we go on. And we'll be producing this. And whatever we are producing is what we are selling. So,

there's 100% growth happening in our coconut water portfolio. S o, although it is also small insignificant as compa red to overall, but this is what we are t rying to build.
And because it's growing by 100%, so it will become huge in sca le. The Nectar part of the portfolio, which is a larger piece there we are introducing new er variants. We've introduced PET bottles there. We're introducing new price points on INR50, INR 100 also to bolster that. And that is where the shoe is pinching.
And that's what we are trying to -- so new variants will come i n. We are wanting to reduce the sugar over there also. And that's how we add new price points t o plug the gaps in the marketplace on the Nectar. So that's the part on beverages. And on back of all this, we expected a double-digit growth if the weather supports us.
Now the second part of your question is packaging. Packaging o ne third of the RM basket, yes because the crude prices have gone up, packaging costs have mov ed up and to mitigate those inflationary pressures, we are doing price increases as I've be en telling you multiple times. Other initiatives that we are taking is shrink inflation. So, all the INR10, INR20 pack, we are reducing grammage. So, because we can't breach those price points and we want to maintain those price points for that, we are reducing grammage, which we had increas ed during GST.
So, we are revising all that. So, there's a headroom available there from a pre-GST time to the post-GST time. So that comes in handy. It's easier call for us to take. We already have the mold; the gestation period is low. So, we'll be able to pass on the p rice increase. LUPs almost contribute around 30% of our overall business, and that will grow as we in crease our rural business because that is more LUP business for us . I didn't understand the third part of your question.
Prakash Kapadia: I think that was it. And on coconut water, we should look at I NR100 crores ARR currently. Are we there?
Mohit Malhotra: No, no, we are already INR100 crores. We are looking at INR150 crores, INR200 crores ARR.
Prakash Kapadia: INR100 crores ARR...
Mohit Malhotra: We are looking at around INR150 crores ARR.
Prakash Kapadia: INR150 crores Yes.
Mohit Malhotra: E x i t r a t e .
Prakash Kapadia: Yes, exit rate. That's true. And on Honey, what has been the g rowth for the whole year if you have that handy in value terms?
Mohit Malhotra: Honey, the quarter growth is a 24% growth, whole year growth, I will tell you. Honey grows around 18% for us. Honey is growing because honey as a category is growing, and we are growing ahead of the category and therefore, gaining share in m odern trade.

So there, we've gained 150 bps. There's a little bit of pressur e that we are facing from
unorganized players in the rural market, which we are planning to correct through the right price

points in honey. Plus, our new variants on honey like

Sundarban s Honey and Organic Honey are
doing well, and they are value accretive and profit accretive t o the base brand, although it's only
2%, 3% of the rural brand. But I think that's what we want to s cale going forward, value-added
honey.
Prakash Kapadia: Understood. That's helpful. Thank you. All the best
Mohit Malhotra: Thank you.
Kshitij Jadhav with WealthCulture
Kshitij Jadhav: Yes, hello. So, my question was that we have delivered margin expansion despite having higher
advertising spend in this quarter . So now with the inflationary pressure now if it sustains at the
current level, so do you believe there will be further margin e xpansion in FY '27? Or will it be
some challenges? And will it be more advertising spends or it w ill be limited to advertising
spends?
Mohit Malhotra: Right. So, we are committed to increasing our margins going fo rward, as I mentioned earlier
also. So, advertising will depe nd upon how much m oney we have a vailable because in a situation
where the inflation is very high, there's invariably consolidat ion which happens in the market.
Smaller players get marginalized and larger players become big ger. And when the market
construct is shrinking, it's not very prudent to advertise and splurge with the advertising so much,
better to retain your consumers by giving better value to them. So, we will prioritize our margin
over our media spend going forw ard. While we are committed doin g more media and doing
demand, but when the inflation is very high, it's better to pro tect the base business.
S o , I t h i n k m a r g i n s w i l l n o t b e c o m p r o m i s e d . A n d w e h a v e a n e n deavour of doing more
advertising. But if the saving initiatives kind of give us more cost savings, then that will be
deployed into advertising, but margins will definitely be given a priority.
Kshitij Jadhav: And my second question was I wanted a detail on I mean, after increasing your input costs? And
how are you balancing your pricing versus protecting our market share and consumption
growth?
Mohit Malhotra: Sorry, I didn't quite get your question.
Kshitij Jadhav: I was talking about that now we are going to be increasing our input cost. So, input costs are
going to be increasing. So how a re we balancing pricing actions and then consumption growth?
Mohit Malhotra: Yes. So, input costs are increasing to offset that input cost increase, we will be doing price
increases, like I mentioned to you, on the larger packs. In the smaller packs where we can't do
price increases at INR10, INR20, w e'll be doing shrinkflation. We'll be shrinking our packs. So
that's a surrogate sort of price increases, and that's how we'l l be protecting our margins.
Kshitij Jadhav: Okay, that's all. Thank you.
Mohit Malhotra: Thank you.

Manoj Menon with ICICI Securities
Manoj Menon: Hi, Mohit and team. Only one question on the quick commerce ch annel. What's the salient
currently? Point number two, how t he, let's say, the growth rat e would have been over the last 1
year? And point number three, if I have to pick the top three c ategories for you specifically, it
should have tailwinds from the quick commerce as a channel? Tha nk you.
Mohit Malhotra: Right. So, the salience of quick commerce in e-commerce is alm ost like 70%, 75% Manoj for
us. So that's drastically gone up. It used to be 50%, but 50% f rom quarter 3 to 75% in quarter 4.
So, I think it's really growing. And salience is 75%, growth ra t e i s 5 0 % . A n d m o s t s a l i e n t
categories here are beverages, then food and then there is also personal care. Home care is pretty
big for us there. And other HPC categories like shampoos and ha ir oils will trend, but healthcare
will be the last to fall.
Manoj Menon: Thank you.
Mohit Malhotra: Thank you.
Kunal Vora from BNP Paribas
Kunal Vora: Yes. Thanks. I wanted to unders

tand to what extent has GST rat e cut helped in driving the growth
revival. So, if you try to split your portfolio into categories in which you've seen GST rate cut
and those which are not, has the growth rate in categories in w hich you've seen GST rate cut
significantly higher compared to categories in which there was not rate cut?

Mohit Malhotra: Yes. So, GST has really helped us, Kunal. So, 70% of our portf olio was on a higher tax rate where the GST rates have got moderated and there, the growth ra tes are stupendous. All the growth that you're seeing in hair oils for us, in the shampoos for us, in oral care for us, barring home and skin care, where the GST did not impact, all these 3 c ategories are the ones which have driven the growth. So, GST has kind of really helped us, h elped us in the terms of prices, which is optical in immediate term and also long term in terms of demand building. So, I think both ways.

Ankush Jain: Even in health care portfolio, OTC, digestives and other portf olio where GST has come down; it is helping drive consumption there, because the MRPs have co me d ow n an d al s o t h e g ap between unorganized players and branded players has actually na rrowed down.

Kunal Vora: Understood. Some of these benefits are more structural that yo u become more competitive and that benefit continues.

Ankush Jain: Yes, yes.

Kunal Vora: Okay. Second is on international business, especially in the M iddle East, what's happening now? I mean how do you see that playing out? Are you able to export now? What kind of impact you could see in the impacted markets in the coming quarters?

Mohit Malhotra: Yes. So, our Middle East business is a good substantial 30%, 3 5% of our overall international business. So that is impacted substantially. And supply chain d isruptions are the ones which are

really creating havoc for us bes ides inflation, which is there. And number three is demand, which is going down because expats leaving the Middle Eastern where t here are huge Indian expats and Asian expats were there. So threefold impact. So, first imp act is supply, chain. Second impact is the inflation. The third impact is demand.

So, first impact on supply chain disruptions, we're opening up newer routes from India and from Egypt or from Turkey, etcetera, and getting into the other mark ets. So, we were unduly impacted because our supply chains were geared from Ras Al Khaimah, whic h is Middle East. And that's what we are doing, alternative supply locations, albeit coming at a higher cost and therefore, margin erosion. But therefore, price increases will come and he lp us there. The second bigger is inflation. So, we are already announcing price increases there to offset to whatever extent we can mitigate that inflation through price increases.

And third, demand. So, because we hope the situation should no rmalize and expats should come back to the market. And the way the war has kind of ebbed for t he time being, we think the situation is only short-lived and we will expect a correction t here, yes.

Kunal Vora: What's the initial assessment f or the international business? Where do you see the growth rates as well as what kind of margin hit you might be taking there?

Mohit Malhotra: See, our international business growth rate traditionally has been double-digit business. We expect international business to grow in double digits, althoug h volume will go down, pricing increase will go down, but the dollar has appreciated as compar ed to rupee. So, I think that the upside Indian rupee depreciating by 6% is a delta on translatio n gain that we will get as far as top line is concerned and cost savings, et cetera, that we will do for the bottom line.

Kunal Vora: Understood. And lastly, what would be the rough raw material c ost split? I mean what kind of linkage with crude like besides packing material?

Mohit

Malhotra: Sorry, I didn't get your question.

Kunal Vora: Yes. I mean, like say, the key raw materials which you use, an d r aw m at er i al s pl it f or y ou , packing material and raw material, like especially the ones whi ch have crude linkage -- how much do they contribute?

Mohit Malhotra: So crude linkage in overall global business. -- crude link bus iness will be 25% from a raw material perspective. If you look packaging material, it could be a little higher.

Kunal Vora: Okay. That's it for me. Thank you, sir.

Rahul Sarawagi: Thank you all for joining us today on our earnings call. The w ebcast recording and transcript will be available on our website. Thank you and have a great ev ening ahead.